

9. RISK FACTORS

NOTWITHSTANDING THE PROSPECTS OF OUR GROUP AS OUTLINED IN THIS PROSPECTUS, YOU SHOULD CAREFULLY CONSIDER THE FOLLOWING RISK FACTORS THAT MAY HAVE A SIGNIFICANT IMPACT ON OUR FUTURE PERFORMANCE, IN ADDITION TO ALL OTHER RELEVANT INFORMATION CONTAINED ELSEWHERE IN THIS PROSPECTUS, BEFORE MAKING AN APPLICATION FOR OUR IPO SHARES.

9.1 RISKS RELATING TO OUR BUSINESS AND OPERATIONS

9.1.1 We derive a significant portion of our revenue from our major customers, namely Customer A and Customer D

The revenue contribution from our major customers for the Financial Years/Period Under Review accounted for approximately 70.53%, 71.08%, 80.01% and 46.34% of our total revenue, respectively. For clarification, major customers refer to our customers that contributed more than 10% of our revenue on a recurring basis and/or in more than one of the Financial Years/Period Under Review. The revenue contribution from our major customers for the Financial Years/Period Under Review are as follows:

Name	Main services provided	FYE 2023		FYE 2024		FYE 2025		FPE 2026		Length of business relationship as at the LPD (Years)
		RM'000	% of total revenue	RM'000	% of total revenue	RM'000	% of total revenue	RM'000	% of total revenue	
Customer A	Provision of geospatial solutions	17,586	70.53	16,314	46.71	14,291	42.92	7,392	22.29	10
Customer C Consortium	Provision of intelligent rail solutions	-	-	6,429	18.41	6,291	18.89	1,072	3.23	3
Customer D	Provision of intelligent rail solutions	-	-	2,081	5.96	6,060	18.20	6,904	20.82	3
Total		17,586	70.53	24,824	71.08	26,642	80.01	15,368	46.34	

Further details of our major customers and their respective revenue contribution are set out in **Section 7.11** of this Prospectus.

Dependency on Customer A

Under our geospatial solutions segment, we are dependent on Customer A which contributed approximately 70.53%, 46.71%, 42.92% and 22.29% of our total revenue for the Financial Years/Period Under Review, respectively. Our working relationship with Customer A commenced in 2016, when we secured our first contract to provide geospatial solutions to Customer A with a contract value of RM0.78 million. Since 2016 up to the LPD, we have secured a total of 239 short term contracts/purchase orders with Customer A with a total value of RM138.98 million.

We provide geospatial solutions to Customer A, a Malaysian electricity utility company listed on the Main Market of Bursa Securities, to capture, store, manage, analyse and geographically map their assets in a customised geospatial platform. These assets comprise transmission and distribution networks across Malaysia such as substations, generators, feeder pillars, cables, poles and meters. Our geospatial solutions form part of Customer A's broader asset management program, whereby Customer A, as a Malaysian electricity utilities company, is required to continuously keep track of its asset locations, conditions and aging profiles, given that these assets constitute critical infrastructure.

9. RISK FACTORS (cont'd)

In the event Customer A reduces its purchases for our geospatial solutions, we may experience a reduction in sales which could result in a loss in revenue from our geospatial solutions segment. Further, any substantial delay in the receipt of orders or decrease in the value of orders from Customer A could have an adverse effect on our financial performance. Given our established working relationship with Customer A since 2016 and the ongoing short term contracts/purchase orders with Customer A, we anticipate that we will continue to be dependent on our business relationship with Customer A in the near future. However, there is no assurance that Customer A will continue to engage us in the future. In such event where our business relationship with Customer A is terminated, we may not be able to secure other customers which can contribute the similar revenue proportion by Customer A on a timely basis. Additionally, should there be any adverse changes specific to Customer A's operations, financial conditions, capital expenditure plans, or external factors beyond their control that result in a decrease to their level of capital spending, our business operations and financial performance may be adversely affected. Accordingly, there can be no assurance that our financial performance and business operations will not be adversely affected by any reduction or loss of business from Customer A.

Dependency on Customer D

Under our intelligent rail solutions segment, we are dependent on Customer D, both as a direct customer and the end-customer of our intelligent rail solutions. Customer D is a Government-owned owner-operator of the rail services in Malaysia, including LRT networks, KL Monorail and MRT lines. Our revenue contribution derived from Customer D-related projects contributed approximately 24.37%, 37.09% and 24.05% of our total revenue for FYE 2024, FYE 2025 and FPE 2026, respectively. *Strictly for illustration purpose only, based on the assumption that the acquisition of the entire equity interest in ATSB was effected at the beginning of the FYE 2023, our pro forma revenue contribution derived from Customer D-related projects would constitute approximately 5.00%, 31.21%, 37.09% and 24.05% of our total revenue for Financial Years/Period Under Review, respectively.* Our intelligent rail solutions provided to Customer D, whether directly or indirectly through contractors or delivery partners such as Customer C Consortium, primarily comprise the installation and commissioning of our proprietary PIES® System, a safety solution for rail transportation providers. Our solutions are deployed at LRT rail stations and form part of broader rail infrastructure, upgrade, expansion or maintenance projects undertaken by or for Customer D. As such, while our Group may contract directly with Customer D or indirectly through contractors or delivery partners, Customer D remains the end-user and beneficiary of the intelligent rail solutions delivered by our Group.

For clarity, although Customer C Consortium is our direct contractual customer for certain intelligent rail solutions projects, the continuation, scope, timing and funding of these projects are substantially dependent on Customer D's operational requirements, procurement decisions, capital expenditure and capital allocations. Accordingly, any adverse changes affecting Customer D, including but not limited to reductions, delays (such as due to upgrade maintenance) or cancellations of rail solutions projects, changes in Government policies, budgetary constraints, shifts in safety solutions or technological changes, and/or changes in procurement strategy, may have a material adverse impact on the scale, volume and continuity of projects awarded to our Group or contractors or delivery partners including but not limited to Customer C Consortium. In such circumstances, even if our contractual relationship with Customer C Consortium remains intact, we may experience delays, variations, suspension or termination of work scopes, which could adversely affect our revenue, cash flow and profitability. There is also no assurance that Customer D will continue to undertake new rail projects, and/or expand or upgrade existing infrastructure and systems. In the event of a material decline in Customer D-related projects particularly encompassing public rail construction projects (such as LRT) as well as the upgrading and maintenance works in existing LRT rail stations, our Group may not be able to secure alternative intelligent rail solutions projects on comparable terms or within a similar timeframe, which may have an adverse effect on our Group's results of intelligent rail solutions operations and prospects. Additionally, any changes in government policies, public sector spending priorities, and regulatory standards or requirements relating to public transportation sector may adversely affect Customer D's capital expenditure, procurement activities and project pipeline, which in turn may adversely affect the demand for our intelligent rail solutions and consequently have a material adverse effect on our business operations and financial performance.

9. RISK FACTORS (cont'd)

As our proprietary PIES® System are currently deployed at LRT rail stations, the demand for our intelligent rail solutions (particularly PIES® System) is closely linked to the continued expansion of LRT networks as well as the upgrading and maintenance works in existing LRT rail stations. In the event that the LRT networks reach a level of maturity, and major upgrade, maintenance or enhancement programmes are substantially completed, the demand for further deployment of our PIES® System may decline. In such circumstances, the number of new project opportunities (including upgrade, maintenance or enhancement works) available to our Group may be reduced, which may adversely affect our ability to sustain or grow our revenue from the intelligent rail solutions segment particularly in respect of our PIES® System offerings. As at the LPD, we have 2 ongoing intelligent rail solutions projects involving the installation and commissioning of our PIES® System with total contract value of RM47.98 million, of which the remaining unbilled contract value stood at RM0.13 million. As substantial portions of these projects have been completed as at the LPD, there can be no assurance that we will be able to replenish our order book with PIES® System-related contracts to replace the revenue contribution from these projects upon their completion on a timely basis or at all. Any failure to secure PIES® System-related contracts may adversely affect our business and financial performance within the intelligent rail solutions segment.

While we may continue to secure new projects or purchase orders from our major customers when the opportunity arises, there is no assurance that they will continue to utilise our ICT solutions in the future at the current level, if at all. If we were to lose one or more of our major customers, or if there are material delays, reductions or cancellations in the contracts or purchase orders awarded by our major customers, and we are unable to secure replacement customers or projects on a timely basis or on comparable commercial terms, our Group's revenue, cash flow and financial performance may be materially and adversely affected. The termination or non-renewal of contracts with major customers may also limit our future business opportunities with such customers, and there is no assurance that our Group will be able to mitigate the loss of such business in a timely manner, if at all.

9.1.2 Our revenue from the provision of geospatial solutions is mainly derived from short term contracts and/or purchase orders

Save for our contract with United National Networks Sdn Bhd, we do not have long term contracts in respect of our geospatial solutions segment that extend beyond 36 months as we secure sales mainly through short term contracts (typically ranging from 1 month up to 36 months) or purchase orders.

In order to maintain revenue and profitability, our Group needs to consistently secure new customers and/or new projects of contract values, sizes and/or margins comparable to our existing ones. As our projects are typically awarded on a project-by-project basis, our customers are under no obligation to award future contracts to us and there is no assurance that we will be able to successfully secure projects from our existing customers in the future, after the completion of the current projects. Hence, the sustainability of our order book is dependent on our ability to continuously secure new contracts and/or purchase orders from existing or new customers. Any inability to continuously secure new purchase orders and/or contracts will adversely affect our sustainability and future business performance.

Our order book is also subject to the risk of termination or suspension of purchase orders and/or contracts, and variations that may reduce the scope of work of our projects. During the Financial Years/Period Under Review and up to the LPD, we have not experienced any material delay, suspension or termination of purchase orders and/or contracts by our customers. Although we have a geospatial solutions order book of RM18.17 million as at the LPD, there is no assurance that our current order book can be sustained in the future nor can we provide any assurance that the implementation of the projects that are currently in our order book, not be delayed, suspended or cancelled. Any delays, suspensions or cancellations may lead to an adverse effect on our business and financial performance.

9. RISK FACTORS *(cont'd)*

9.1.3 We are dependent on Supplier A Group as our major supplier

We are dependent on Supplier A Group for the supply of their geospatial software, which we use in the provision of our geospatial solutions. Supplier A Group is our Group's major supplier for each of the Financial Years/Period Under Review and had contributed 59.93%, 42.06%, 45.75% and 17.05% of our total purchases, respectively. Moving forward, we anticipate that Supplier A Group will continue to be a major supplier to our Group and we will be dependent on our business relationship with Supplier A Group.

Our relationship with Supplier A Group has spanned 11 years since 2016, when we were appointed as an authorised service provider/reseller by the Singapore subsidiary of the Supplier A Group for the latter's geospatial software to Customer A. Later in 2018, we were appointed as the authorised service provider/reseller by Supplier A Group, as a solution provider for its geospatial products in Malaysia. Presently, our appointment by the Supplier A Group carries a validity period commencing from 17 May 2024 for a period of 48 months.

Certain of our customers, particularly Customer A, requires us to provide them with geospatial software from Supplier A Group, given that their existing assets have been geographically mapped out on the geospatial software platform of Supplier A Group. Due to the nature and longstanding system integration in place, any migration of our customers' existing geographical data to a new geospatial software platform will involve lengthy transition period and is a process which is time consuming and costly. Our customers would also be required to familiarise themselves with the display, functionality and system processes of the alternative geospatial software platform. Therefore, due to our existing customers' requirements, we anticipate that we will continue to be dependent on our business relationship with Supplier A Group in the near future as we intend to continue utilising Supplier A Group's products as part of our geospatial solutions and complementary offerings to our customers. However, in the event Customer A elects to procure geospatial software directly from Supplier A Group instead of through our Group, we may experience a reduction in sales which could result in a loss in revenue from our geospatial solutions segment. This may in turn exacerbate our customer concentration risk (i.e. dependency on Customer A) as set out in **Section 9.1.1** of this Prospectus, and any reduction in revenue contribution from Customer A could have an adverse effect on our business operations and financial performance.

Further, in the event our customers were to adopt or require support for a different geospatial software platform, whether due to changes in their internal requirements or technology preferences, we may be required to identify and integrate an alternative geospatial software supplier. There can be no assurance that we will be able to source a suitable alternative geospatial software supplier on commercially acceptable terms or within a reasonable timeframe. The process of integrating and supporting an alternative geospatial software platform may involve additional costs, operational complexity and resource allocation, and may disrupt our service delivery or project work progress. If we are unable to do so effectively, our business operations, financial performance and customer relationships may be adversely affected.

There is also no assurance that our appointment by Supplier A Group would be renewed, extended upon expiry or continued without interruption. Our appointment is also non-exclusive. In the event that we are not able to renew, extend upon expiry, or continue our appointment as an authorised service provider/reseller of Supplier A Group's geospatial software, we may still continue engaging Supplier A Group directly as a supplier, albeit without an upfront status recognition as an authorised service provider/reseller. In the absence of such authorised status, our Group may have reduced priority access to product training and technical support, as well as other commercially favourable terms accorded to authorised partners such as potential rebates or sales incentives, which may lead to higher procurement and operational cost. However, we are unable to reliably quantify the extent of such price differences or their potential financial impact. This is because the pricing of Supplier A Group's software or other related products is not fixed and is subject to various factors, including but not limited to the scope and specifications of each project required by our Group's customers, volume of purchases, prevailing commercial negotiations with the Supplier A Group, and the timing of procurement. Notwithstanding this, in event of any potential increase in procurement cost, we would assess and may incorporate into project pricing and commercial arrangements with our customers. As such, we do not expect the loss or absence of authorised service provider/reseller status of Supplier A Group, in isolation, to have a material adverse impact on our overall financial performance.

9. RISK FACTORS *(cont'd)***9.1.4 Our geospatial solutions and intelligent rail solutions project deliverables are exposed to unexpected delays or interruptions that are beyond our control**

The timely delivery of our projects for our geospatial solutions and intelligent rail solutions is subject to unexpected delays or interruptions caused by factors beyond our control. Such factors may include difficulties in accessing our customers' network and infrastructure due to sudden breakdowns or unscheduled system maintenance, and the unavailability of the relevant persons-in-charge at the customers' sites. The abovementioned factors may result in delays to the completion of our projects and as such, we are dependent on the availability and cooperation of our customers to minimise delays in our project deliverables.

In the event there are delays caused by our customers or the appointed subcontractors which result in delays in the progress of our projects, our ability to deliver such projects on a timely manner may be affected. This will subsequently affect our timing for revenue recognition and collection of payment from our customers for the respective project, thus affecting our financial performance. Any other unexpected events such as movement restriction or logistic disruptions may also restrict the movements of our implementation teams to customer premises which may cause temporary disruptions to our projects.

Given that our projects are subject to specific completion schedules, such delays caused by our customers or subcontractors resulting in our failure to meet the stipulated schedule requirements may subject us to the following:

- (i) risk of claims for liquidated ascertained damages ("**LAD**") and service level agreement claims against us. For certain of our projects, our customers are entitled to claim LAD or service level agreement claims from us if we do not meet the stipulated schedules of the projects, which may negatively affect our business reputation and customer confidence. Further, in the event we are required to provide monetary compensation to our customers as a result of the abovementioned claims, this may negatively impact our cash flow and financial performance; and
- (ii) risk of contractual disputes or termination. The delays in achieving key milestones of our projects may result in our customers initiating legal contractual disputes. Our customers may claim breach of contract and seek legal remedies (i.e. damages or specific performance) from us in order to remedy their position. Such contractual disputes may also result in the termination of our project by the respective customer. Such event will negatively affect our business reputation and relationship with the respective customer. The termination of our project with the respective customer may also result in the loss of revenue contribution from the customer, which may negatively impact our financial performance.

During the Financial Years/Period Under Review and up to the LPD, we have not encountered any delays or interruptions in the progress and delivery of our projects that have had a material adverse impact on our business operations and financial performance. Save for a LAD of RM0.04 million incurred in the FYE 2025 in respect of a geospatial solutions project, we have not incurred any LAD penalty during the Financial Years/Period Under Review and up to the LPD. The aforesaid LAD arose from a delay in the completion of a geospatial solutions project due to site access constraints at the customer's premises, where the relevant personnel were not available for the scheduled implementation works. As the project was subject to stipulated completion timelines, the delay resulted in the imposition of LAD. The LAD incurred was not due to deficiencies in our technical capabilities or project execution.

During the Financial Years/Period Under Review and up to the LPD, our Group has also not sustained any material service level agreement claims, contractual disputes or termination as at the LPD. However, there can be no assurance that we will not face project delays or interruptions, or be subject to LAD claims, service level agreement claims, contractual disputes or project termination in the future.

9. RISK FACTORS *(cont'd)*

9.1.5 We may not be able to accurately estimate the cost required to deliver our intelligent rail solutions projects resulting in cost overruns

We secure contracts for the delivery of intelligent rail solutions through competitive tendering process and direct bidding process for which we have to estimate the time and costs needed in order to determine our fees and submit the quotations. Some of our contracts, particularly for intelligent rail solutions, are fixed-price contracts, the terms of which normally require us to complete a project for a fixed price, increasing the possibility of exposing us to cost overruns and resulting in lower profits or losses in a project.

The actual time taken and cost incurred by us in completing these intelligent rail solutions projects may be affected by various factors, including technical difficulties, delays caused by subcontractors, integration with third party vendors' products, procurement of additional hardware and other unforeseeable circumstances. Any one of these factors may cause cost overruns or schedule variations to our projects, thereby affecting the profitability from the affected projects, resulting in overall lower profits to our Group.

In our project planning and design development stage for undertaking projects for the provision of our intelligent rail solutions, our team prepares a project execution plan which mainly encompasses the desired project schedule, deliverables, costing, and resource allocation based on the information made available to us at the material time that the project is undertaken. This project execution plan is vetted and confirmed by our customer prior to us procuring the necessary equipment and software to undertake the project. However, after the procurement stage wherein we incur significant costs for the necessary equipment and software, there may be changes in certain variables of the project throughout the later stages that may result in additional costs incurred for the project. Such variables may include additional ad hoc works that may require additional labour, rectification of technical difficulties, procurement of additional hardware and other unforeseeable circumstances.

Any one of these factors may cause cost overruns or schedule variations to our projects, and there is no assurance that the actual time taken and costs incurred would not exceed our estimation. In such event, the cash flow and profitability of the affected project may be negatively impacted, thereby adversely impacting the financial performance of our Group.

During the Financial Years/Period Under Review and up to the LPD, our Group did not experience any material cost overruns or scheduled variations to our projects that have materially or adversely affected our business operations.

9.1.6 The delivery of our intelligent rail solutions requires certain licences, registrations and permits

In the provision of our intelligent rail solutions, we are involved in the design, development, customisation, installation, configuration, integration, implementation, testing and commissioning of our proprietary PIES® System on railways. Given that rail transportation projects fall within the ambit of construction activities, we are required to comply with the government bodies governing the approval of licences and certificates for construction activities, such as the CIDB. Pursuant to the CIDB Act, it is mandatory for all contractors (whether main contractors or subcontractors) to register with the CIDB before undertaking and completing any construction work in Malaysia.

ATSB Group undertakes our intelligent rail solutions projects and is the proprietary owner of the PIES® System, wherein ATSB is a Grade G7 contractor registered with the CIDB. With this Grade G7 registration grade, ATSB has the ability to tender for construction projects without restriction in the maximum value of the projects. All licences, registrations and permits are granted subject to our compliance with conditions imposed by the relevant authorities and/or under the relevant laws, rules or regulations. Such licences, registrations and permits are valid for a limited period of time and subject to periodic reviews and renewal by the relevant authorities. The licences, registrations and permits of our Group and relevant validity periods are set forth in **Section 7.18** of this Prospectus. As such, our certification of registration issued by CIDB is key to the continuity of the business operations of our intelligent rail solutions segment.

9. RISK FACTORS (cont'd)

During the Financial Years/Period Under Review and up to the LPD, our Group did not experience any revocation or suspension of our licences, registrations and permits prior to their expiration. We have also been successful in renewing our existing licences, registrations and permits with the relevant authorities. However, there can be no assurance that our licences, registrations and permits will not be revoked or suspended prior to their expiration or that we may be able to renew such licences, registrations and permits from the relevant authorities. Any revocation or non-renewal of our licences, registrations and permits by the relevant authorities or failure on our part to obtain new licences, registrations and permits from the relevant authorities, if required, will have a material impact on our ability to continue our business operations and consequently affect our financial performance.

9.1.7 We may not always be able to protect the intellectual property rights of our intelligent rail solutions and may inadvertently infringe on the intellectual property rights of other parties

As at the LPD, we own several intellectual properties, trademarks and patents, including our proprietary PIES® System, further details which are set out in **Section 7.19** of this Prospectus. However, we may not always be able to fully protect our intellectual property rights and may inadvertently infringe upon the intellectual property rights of other parties. We are exposed to the potential risks that:

- we could, by omission, fail to renew a trademark and/or patent on a timely basis;
- other parties including our competitors may challenge, invalidate or circumvent any existing or future intellectual property rights issued to us; and
- we may inadvertently infringe upon the intellectual property rights of other parties, including our competitors, any of which may lead to disputes, litigations, financial penalties and/or restrictions on the use of our intelligent rail solutions.

There can be no assurance that any such disputes or challenges will be resolved in our favour. In the event we are unsuccessful in protecting our intellectual property rights or are found to have infringed the intellectual property rights of other parties, we may incur additional costs, suffer reputational damage, or face restrictions or limitations on the sale or use of our intelligent rail solutions and products, which could adversely affect our business and financial performance.

Although we have taken measures to protect our intellectual property rights, there is also no guarantee that other parties including our competitors will not offer solutions, products or concepts that are substantially similar to ours and compete with our business. If the protection of our proprietary rights is inadequate to prevent unauthorised use or appropriation by other parties, the value of our brand and other intangible assets may be diminished and competitors may replicate our solutions and products, which could have an adverse effect on our business and financial performance.

For the Financial Years/Period Under Review and up to the LPD, we did not experience any infringement by third parties in to our intellectual property rights, and have not experienced any claims against us for infringement upon other third party's intellectual property rights.

9. RISK FACTORS (cont'd)**9.1.8 We are subject to foreign exchange risks**

Our Group is involved in the provision of ICT solutions for customers and the procurement of goods from suppliers across various regions. As such, we are mainly exposed to transactional currency exposure as our revenue and purchases are presently denominated in RM, USD, INR, SGD and EURO. Fluctuations in these foreign currency exchange rates may adversely affect our financial performance and profit margin.

Our Group does not hedge our exposure to fluctuations in foreign currency exchange rates. As such, we are subject to foreign exchange fluctuation risk for our revenue and purchases denominated in foreign currencies which we transact. A depreciation of the RM against the currencies which we transact will lead to higher revenue in RM after conversion, and will also lead to higher cost of purchases in RM after conversion. Conversely, appreciation of the RM against the currencies which we transact will lead to lower revenue and lower cost of purchases in RM after conversion.

As set out in **Section 12.3.21** of this Prospectus, our revenue was primarily denominated in RM, which accounted for 80.51%, 86.65%, 84.69% and 87.79% of our total revenue for the FYE 2023, FYE 2024, FYE 2025 and FPE 2026, respectively, while the remaining revenue was mainly denominated in USD, INR and SGD, as follows:

	Audited						Unaudited		Audited	
	FYE 2023		FYE 2024		FYE 2025		FPE 2025		FPE 2026	
	RM'000	%	RM'000	%	RM'000	%	RM'000	%	RM'000	%
RM	20,075	80.51	30,261	86.65	28,197	84.69	20,382	82.16	29,117	87.79
USD	2,957	11.86	1,315	3.77	2,494	7.49	2,280	9.19	2,015	6.08
INR	922	3.70	2,271	6.50	1,991	5.98	1,590	6.41	1,715	5.17
SGD	677	2.72	1,077	3.08	614	1.84	557	2.24	319	0.96
EURO	302	1.21	-	-	-	-	-	-	-	-
Total revenue	24,933	100.00	34,924	100.00	33,296	100.00	24,809	100.00	33,166	100.00

Our purchases were primarily denominated in USD, which accounted for 81.74% and 55.93% of our total purchases for the FYE 2023 and FYE 2024, respectively. In FYE 2025 and FPE 2026, our purchases were primarily denominated in RM which accounted for 64.91% and 93.49% of our total purchases for the FYE 2025 and FPE 2026, while the remaining purchases were denominated in USD, INR, SGD and EURO, as follows:

	Audited						Unaudited		Audited	
	FYE 2023		FYE 2024		FYE 2025		FPE 2025		FPE 2026	
	RM'000	%	RM'000	%	RM'000	%	RM'000	%	RM'000	%
RM	212	3.08	3,331	31.42	4,119	64.91	2,432	47.82	13,009	93.49
USD	5,618	81.74	5,930	55.93	975	15.37	671	13.19	-	-
INR	744	10.82	978	9.22	947	14.92	746	14.67	596	4.28
SGD	133	1.94	184	1.73	131	2.06	1,063	20.90	147	1.06
EURO	166	2.42	180	1.70	174	2.74	174	3.42	163	1.17
Total purchases	6,873	100.00	10,602	100.00	6,346	100.00	5,086	100.00	13,915	100.00

The impact of foreign exchange fluctuations on our earnings for the Financial Years/Period Under Review is shown as below:

	FYE 2023	FYE 2024	FYE 2025	FPE 2025	FPE 2026
	RM'000	RM'000	RM'000	RM'000	RM'000
Net unrealised gain/(loss) on foreign exchange	150	(3)	(916)	(418)	(438)
Net realised gain/(loss) on foreign exchange	204	276	(121)	(111)	(1)
Net gain/(loss) on foreign exchange	354	273	(1,037)	(529)	(439)

9. RISK FACTORS (cont'd)

Our foreign currency exposure is primarily in USD due to the sales of our services to foreign customers and purchase of hardware and software from foreign suppliers. We are exposed to foreign exchange gains or losses arising from timing differences between billings/invoices and actual cash receipt from customers as well as billing/invoices from suppliers and payment to suppliers. Based on the above, our Group recorded a net loss on foreign exchange of RM1.04 million and RM0.44 million for the FYE 2025 and FPE 2026, which represented 13.72% and 9.36% of our PBT for the respective financial year/period. This illustrates the potential material impact that foreign exchange fluctuations may have on our financial performance.

Any sustained or adverse movements in foreign exchange rates may result in our earnings volatility and overall profitability. Further, as our Group does not utilise any financial instrument for hedging purposes to manage foreign currency exposure, we may remain exposed to fluctuations in foreign exchange rates. Any material adverse movement in exchange rates may therefore have a material adverse effect on our business operations, financial position, and results of operations.

9.1.9 We are dependent on our Executive Directors, Key Senior Management and ICT staff for the continuing success of our Group

The continued success and growth of our business is dependent on our ability to identify, engage and retain suitable, skilled and experienced employees, including our Key Senior Management team who possess the essential industry experience, knowledge and expertise. Our Key Senior Management personnel are vital in driving the future growth of our Group as they contribute in aspects of strategic direction, leadership, business planning and development as well as the management of our Group.

Specifically, Lian Wah Seng, our Managing Director, and P.K. Senthil Kumar, our Executive Director and Chief Executive Officer, GIS Group, together with our Key Senior Management have been instrumental in the development of our corporate strategy and the growth of our business. The abovementioned individuals have 33 years and 26 years of experience, respectively, and have been actively involved in our Group's daily business operations as well as formulating and implementing strategies to drive the growth and expansion of our Group. Their ability to understand the ICT and technology industries and anticipate industry trends equips them with the necessary skillsets to establish business relationships with our customers and suppliers.

The abovementioned individuals are supported by a team of qualified and experienced Key Senior Management personnel comprising Azhar Ahmad (Head of Data Services), Chow Pooi Onn (Group Chief Financial Officer), Catherine Lee Mei Chin (Senior Project Director and Head of Software Solutions) and Lim Ming Guan (Engineering Director). These individuals have extensive knowledge and experience in their relevant fields of expertise which enable us to remain competitive. Any loss of our Executive Directors and Key Senior Management personnel without suitable and timely replacements could have a material impact on our competitiveness, business and operations. Further information on the profiles of our Executive Directors and Key Senior Management team are set out in **Sections 5.1.2 and 5.3.2** of this Prospectus, respectively.

There can be no assurance that we will be successful in retaining our existing Key Senior Management team or there will be a smooth transition should changes occur, which may bring about an adverse impact on our Group. The loss of any personnel in our Key Senior Management team without suitable replacement in a timely manner may adversely affect our business operations. This will delay our project completions and may eventually affect our ability to maintain and/or improve our business performance.

9. RISK FACTORS (cont'd)

Further, the provision of ICT solutions, including consulting and implementation of the respective solutions as well as operations, maintenance and support services, requires the expertise of our ICT staff who are equipped with domain knowledge and experience in the technology industry. As at the LPD, we have a total workforce of 116 employees comprising 90 technical personnel, which accounted for 77.59% of our total employees. Further details of our Group's employees are set out in **Section 7.14** of this Prospectus, whereby technical personnel refers to employees in the departments of software solutions, data team, project management and engineering. As the ICT solutions industry, specifically the geospatial solutions and intelligent rail solutions business, is technical and specialised, our technical personnel are essential to carry out various technical and engineering works in our business operations.

Our ability to retain and also to attract competent and skilled ICT staff is crucial for our continued success, future business growth and expansion. Any loss of our ICT staff and our inability to find suitable replacements in a timely manner may cause disruptions to our project deliverables. For the Financial Years/Period Under Review and up to the LPD, we did not encounter any material turnover in our ICT staff, nor any material delays in project implementations resulting from the turnover of our ICT staff.

9.1.10 We are subject to risks associated with our reliance on ICT systems and network infrastructure

The delivery of our ICT solutions projects requires technology infrastructure including hardware, networks, software and management systems. These comprise, among others, the following:

- software used in the development of geospatial solutions and intelligent rail solutions;
- servers, computers and mobile devices that either receive, process, store or transmit data;
- data centres for storage of data and information; and
- communications infrastructure, including local area network and the internet to facilitate the transmission and reception of data.

The abovementioned network infrastructure are potentially vulnerable to sabotage, theft, destruction and/or loss of data and information. Furthermore, we may be vulnerable to internal threats, such as unauthorised access by employees, or subcontractors and external parties who have access to this information. In the event of the abovementioned, or if there are errors or defects in the software and freeware, failure in hardware or networks, or failure of back-up facilities, such events will affect the delivery of our ICT solutions projects which could adversely affect our reputation and financial performance.

For the Financial Years/Period Under Review and up to the LPD, we did not experience any material interruptions or failures in ICT systems and network infrastructure which resulted in a delay or failure in delivering our geospatial solutions and intelligent rail solutions. However, there is no assurance that we will not experience any future disruptions which could adversely affect our business operations and financial performance. Further, for the Financial Years/Period Under Review and up to the LPD, we did not experience any termination of contracts, legal proceedings or penalties from our customers arising from disruptions or failures in ICT systems and network infrastructure. Nevertheless, we may not be able to anticipate or implement adequate preventive measures against all security breaches and/or damage to our systems and/or human errors, any of which would adversely affect our reputation, operations and financial performance.

9. RISK FACTORS (cont'd)**9.1.11 We may face risks of security breaches**

In the course of providing our ICT solutions and services, with the consent of our customers, we may have access to customers' confidential information, including information on their proprietary data, technology framework, systems and operational processes.

As such, we may face risks of external security threats (such as cyber attacks) and internal security breaches which could result in a breach of ours or our customers' confidential information. External security threats include malware attacks, hacking, espionage and cyber intrusion. Meanwhile, internal security breaches include unauthorised access to restricted information by employees or attacks that originate from malware-infected devices that are brought into the network system by employees. Any such security breaches can compromise the security of our ICT infrastructure and data.

Accordingly, there can be no guarantee that our ICT infrastructure and data will not be subject to inadvertent conduct (which may arise from software bugs or other technical malfunctions, employee error or misconduct, amongst others), unauthorised disclosure or loss of confidential information, or security breaches by third parties. For the Financial Years/Period Under Review and up to the LPD, we have not encountered or been subject to cybersecurity attacks or security breaches or threats, whether external or internal.

In addition, any data leakage, loss of data or cybersecurity breaches to our customers' data and ICT infrastructures as a result of the provision of our services, whether actual or perceived, could adversely affect the market perception of our services. The occurrence of such events may cause reputational damage and/or expose our Group to complaints, claims, termination of business relationship as well as legal actions or monetary compensation by our customers. This in turn may adversely affect our Group's reputation, business and financial performance.

For the Financial Years/Period Under Review and up to the LPD, our Group has not encountered any claims, contract termination or been subject to any legal action by our customers for any such security breaches or data leakages.

9.1.12 We are exposed to credit risks and payment defaults by customers

We generally grant customers credit periods ranging between 30 days to 120 days upon issuance of invoices.

If there are circumstances that affect our customers' ability or willingness to pay us, we are exposed to the risks of payment delays or default in payments. In such circumstances, we may be required to make allowance for doubtful debts or write-off uncollectable trade receivables as bad debts. This may result in adverse impact on our operating cash flows and financial performance.

Our impairment loss on trade receivables for the Financial Years/Period Under Review are as follows:

	Audited			Unaudited	Audited
	FYE 2023	FYE 2024	FYE 2025	FPE 2025	FPE 2026
	RM'000	RM'000	RM'000	RM'000	RM'000
Allowance for impairment loss on trade receivables	(895)	-	-	-	(25)

Save for the above, we did not write off any bad debts in the Financial Years/Period Under Review.

Notwithstanding this, there can be no assurance that our customers will settle the outstanding amounts owed to us in a timely manner. Any default or delay in the collection of our receivables may result in additional impairment losses or bad debts which may have material adverse impact on our financial performance and cash flow.

Further details on our trade receivables past due but not impaired as at the LPD are set out in **Section 12.4(a)** of this Prospectus.

9. RISK FACTORS (cont'd)**9.1.13 We may be subject to DLP claims from customers**

Our customers may make DLP claims against us concerning the equipment and devices that we supply and install as part of the delivery of our geospatial solutions and intelligent rail solutions as stipulated in specific customer contracts. The DLP for our geospatial solutions contracts ranges up to 12 months whereas the DLP for our intelligent rail solutions contracts ranges up to 24 months upon project handover or certificate of practical completion. During the DLP, we are responsible for replacing, rectifying or making good any work defects or faults that arise at our own cost. We are neither liable for any work damages, defects or faults that may arise after the expiry of DLP period, nor those that are caused by our customers.

Some of the equipment and devices that we supply and install as part of the delivery of our geospatial solutions and intelligent rail solutions are supplied by third party suppliers and are covered by back-to-back warranties provided by such suppliers who will bear the costs of replacing or repairing the equipment and devices. If any such defects or faults arise, the customer will make a warranty claim directly against the respective third party suppliers, who will be responsible for replacing or repairing the equipment and devices, including any incidental costs such as manpower and logistics.

During the Financial Years/Period Under Review and up to the LPD, we have not incurred any material costs arising from DLP claims. Nevertheless, there is no assurance that we will not receive any DLP claims in the future that may have an adverse effect on our business operations and financial performance.

9.1.14 Our insurance coverage may not be adequate to cover all losses and liabilities

We maintain insurance at levels that are customary in our industry to protect against various losses and liabilities, such as directors and officers liability, professional indemnity, public liability, fire, burglary and personal accident insurance, arising from our business operations. As at the LPD, we have taken up insurance with a total insured amount of up to approximately RM19.61 million. During the Financial Years/Period Under Review and up to the LPD, we have not made any claims against our insurance policy.

Notwithstanding the above, our insurance may not be adequate to cover the losses, damages or liabilities that may arise in the course of our business operations. Any losses, damages or liabilities in excess of our insured limits or in areas for which we are not fully insured may result in an adverse impact on our Group's business, financial performance or results of operations. Further, there can be no assurance that our insurance premiums payable in respect of the above insurance policies or additional insurance required by specific project will not increase. Any increase or mandatory imposition in insurance premium costs may affect our financial results.

9.1.15 We may not be able to successfully implement our future plans

Our business objectives are to maintain sustainable growth in our business and create long-term shareholders value. Our business strategies involves participating in geospatial solutions and intelligent rail solutions projects that will enable us to strengthen our market position, expanding our intelligent rail solutions offering, and strengthening our R&D efforts to enhance our geospatial solution offering, details as set out in **Section 7.22** of this Prospectus.

To execute our business strategies, we may have to incur additional expenditures including operational expenditures, capital expenditures and other working capital requirements, which will increase our Group's operational cost including overhead costs, and consequently adversely affect our profit margin if we are unable to gain sufficient revenue by securing more sales or projects following the implementation of our business strategies. Further, the implementation of our business strategies may be influenced by factors beyond our control, such as changes in general market conditions, economic climate as well as the political environment in Malaysia and other regions where our customers are domiciled. This may affect the commercial viability of our business strategy.

9. RISK FACTORS (cont'd)

The implementation of our business strategies could also be adversely affected by other factors such as new and unforeseen technologies used or introduced by our competitors or the pricing strategies of our competitors, any of which may affect the attractiveness of our geospatial solutions and intelligent rail solutions. Hence, there can be no assurance that the effort and expenditures spent on the implementation of our business strategies will yield expected results in growing our business in terms of financial performance and market presence. We are not able to guarantee that we will be successful in executing our business strategies, nor can we assure that we will be able to anticipate all the business, operational and industry risks arising from our business strategies. Such failure may lead to adverse effect on our business operations and financial performance.

9.2 RISKS RELATING TO OUR INDUSTRY**9.2.1 We may not be able to keep up with technological changes in the ICT industry**

The ICT and technology industry are characterised by rapidly changing technology, evolving industry standards, frequent introductions and enhancements of new products and services, and changing customer demands.

Our Group's success depends on our continued ability to:

- adapt promptly to technological changes and advancements in the geospatial and intelligent rail solutions industry;
- improve our technical expertise in the geospatial and intelligent rail solutions industry; and
- adapt to evolving standards, such as regulatory, operational standards and the requirements of our customers.

In addition, our proprietary PIES® System are primarily deployed as a safety solution at LRT rail stations. There are inherent limitations to the application of the PIES® System, as it represents one of several safety solutions available to rail operators. Alternative safety solutions, such as the installation of platform screen doors or platform barriers at rail stations, may be adopted by rail operators or mandated by relevant authorities. In the event such alternative safety solutions are widely implemented across LRT networks, whether for new or existing rail infrastructure networks, the demand for our PIES® System may be reduced or displaced. This may be particularly the case where such solutions are prioritised under government policies, directives or regulatory requirements applicable to public transportation systems. While our PIES® System may be deployed alongside such alternative solutions as part of a broader safety management framework, there can be no assurance that rail operators will continue to adopt our solutions in such circumstances. Accordingly, any increased adoption of alternative safety solutions, including platform screen doors or barriers, may have a material adverse effect on the demand for our intelligent rail solutions (particularly PIES® System) and consequently on our business and financial performance.

The introduction of new technology and the emergence of new industry standards may render our services obsolete and uncompetitive. As an ICT firm, our future success will depend on our ability to adapt to and adopt changing technologies, adapt our services to the evolving industry standards and continually improve the know-how of our employees in response to evolving demands of the marketplace and our customers. The need to keep abreast with technology is a requirement for companies in the ICT solutions industry. Notwithstanding that it is in the nature of our Group as an ICT solutions provider to keep updated with latest technologies, there is a risk that we may not be fully aware of all technological changes taking place and adapt to these changes in a timely manner. Failure to adapt to such changes would have a material adverse effect on our business operations.

9. RISK FACTORS (cont'd)**9.2.2 We are subject to competition within the ICT solutions industry**

The geospatial solutions industry is competitive in nature, and there are barriers to entry that may restrict the entry of new firms into this industry. The barriers for entry include track record, industry reputation, skilled ICT talents and long-term relationships with customers. Conversely, the intelligent rail solutions industry has high barriers to entry, whereby service providers are required to have track record and to comply with industry safety standards as pre-requisites to qualify being appointed as service providers for intelligent rail solutions, particularly in respect of platform safety services as this involves passenger safety concerns. Service providers such as our Group that are able to demonstrate domain knowledge to deliver practical and workable solutions for our customers, are better positioned to secure these contracts. This restricts the entry of new industry players that may not possess the abovementioned qualities.

Notwithstanding this, our Group's existing competitors may, in the future, achieve greater market acceptance and recognition as well as a greater market share. We compete with other similar solutions providers in relation to expertise and resources available, type of software used, service quality, delivery time and pricing strategies. The competition from other similar solutions providers may result in stiffer competition in successfully winning competitive tenders for future projects, which will have a negative impact on our revenue and subsequently our overall financial performance. There can be no assurance that the competition in the ICT solutions industry will not increase in the future and if we fail to maintain or improve our market position or fail to respond successfully to changes in the competitive landscape, our business and financial performance would be negatively affected.

9.2.3 We are exposed to risks relating to the economic, political, legal and regulatory environments in the countries in which we derive revenue

Our sales from the domestic market accounted for 77.80%, 86.63%, 84.68% and 87.79% of our revenue, whilst the remaining 22.20%, 13.37%, 15.32% and 12.21% of our revenue are derived from foreign markets in Asia (excluding Malaysia), Africa, Europe, Oceania, North America and South America for the Financial Years/Period Under Review, respectively, details of which are set out in **Section 7.3.2** of this Prospectus.

Our business, prospects, financial condition and results of operations may be affected by any adverse developments, changes and/or uncertainties in the economic, political, legal and regulatory environments that are beyond our control in the countries where we operate and transact business. These risks include unfavourable changes in political conditions, economic conditions, interest rates, government policies and regulations, import and export restrictions, duties and tariffs, civil unrests, methods of taxation, inflation and foreign exchange controls.

Changes in government policies, public sector spending priorities, and regulatory standards or requirements may result in the adoption or prioritisation of alternative technologies, systems or solutions within the countries/industries in which we operate or transact business. Any such adverse changes may result in reduced capital expenditure, operational expenditure or project deferments by our customers, which may adversely affect the demand for our ICT solutions and consequently have a material adverse effect on our business operations and financial performance.

While we take measures to mitigate such risks by keeping abreast with political, economic and regulatory changes in the relevant countries, there can be no assurance that any such adverse changes will not materially affect our financial performance in the future.

9. RISK FACTORS *(cont'd)*

9.3 RISKS RELATING TO THE INVESTMENT IN OUR SHARES

9.3.1 There is no prior market for our Shares on the ACE Market

Before our Transfer and IPO, there was no prior market for our Shares on the ACE Market. Accordingly, there is no assurance that upon our Listing, an active market for our Shares will develop, or if developed, that such a market will be sustainable. There is no assurance as to the liquidity of any market that may develop for our Shares, the ability of holders to sell our Shares or the selling prices at which the holders would be able to sell our Shares.

In addition, there can be no assurance that our IPO Price will correspond to the price at which our Shares will trade on the ACE Market upon our Listing and the market price of our Shares will not decline below the IPO Price.

9.3.2 The trading price and trading volume of our Shares following our Listing may be volatile

The trading price and volume of our Shares may fluctuate due to various factors, some of which are not within our control and may be unrelated or disproportionate to our financial results. These factors may include variations in the results of our operations, changes in analysts' recommendations or projections, changes in general market conditions and broad market fluctuations.

The performance of Bursa Securities is also affected by external factors such as the performance of the regional and world bourses, inflow or outflow of foreign funds, economic and political conditions of the country as well as the growth potential of the various sectors of the economy. These factors invariably contribute to the volatility of trading volumes witnessed on Bursa Securities, thus adding risks to the market price of our Shares.

9.3.3 Payment of dividends

Our ability to declare dividends to our shareholders will depend on, amongst others, our future financial performance, distributable reserves and cash flows. This, in turn, is dependent on our operating results, capital requirements and our ability to implement our future plans, demand for and selling prices of our products, general economic conditions, and other factors specific to our industry, many of which are beyond our control. As such, there is no assurance that we will be able to pay dividends to our shareholders.

We are a holding company and conduct substantially all of our operations through our subsidiaries. Accordingly, dividends and other distributions received from our subsidiaries are our principal source of income. The receipt of dividends from our subsidiaries may also be affected by the passage of new laws, adoption of new regulations and other events outside our control, and our subsidiaries may not continue to meet the applicable legal and regulatory requirements for the payment of dividends in the future. In addition, changes in accounting standards may also affect the ability of our subsidiaries and, consequently, our ability to pay dividends.

Further, our payment of dividends may adversely affect our ability to fund unexpected capital expenditure as well as our ability to make interest and principal repayments on any borrowings that we may have outstanding at the time. As a result, we may be required to borrow additional money or raise capital by issuing equity securities, which may not be on favourable terms or available at all. Further, if we incur new borrowings subsequent to our Listing, we may be subject to additional covenants restricting our ability to pay dividends.

Dividend payments will depend on our ability to do so and could not be guaranteed, and our Board may decide, at its sole and absolute discretion, at any time and for any reason, not to pay dividends. If we do not pay dividends or pay dividends at levels lower than that anticipated by investors, the market price of our Shares may be negatively affected, and the value of any investment in our Shares may be reduced.

Further details of our dividend policy are set out in **Section 12.8** of this Prospectus.

9. RISK FACTORS (cont'd)

9.3.4 Our Promoters will be able to exert significant influence over our Company

Our Promoters will collectively hold approximately 53.57% of our enlarged share capital upon Listing. As a result, they will be able to, in the foreseeable future, effectively control the business direction and management of our Group as well as have voting control over our Group. As such, our Promoters may be able to influence the outcome of certain matters requiring the vote of our shareholders, unless they are required to abstain from voting either by law and/or by the relevant guidelines or regulations. There can be no assurance that the interests of our Promoters will be aligned with those of our other shareholders.

9.3.5 Our Listing is exposed to the risk that it may be aborted or delayed

Our Listing may be aborted or delayed should any of the following occur:

- (i) our Underwriter exercising its rights under the Underwriting Agreement to discharge itself from its obligations therein;
- (ii) we are unable to meet the public shareholding spread requirement of the Listing Requirements of having at least 25.0% of our total number of Shares for which listing is sought being in the hands of at least 200 public shareholders holding not less than 100 Shares each at the point of our Listing; and
- (iii) the revocation of the approvals from the relevant authorities for our Listing for whatever reason.

If any of these events occur, investors will not receive any Shares and we will return in full without interest, all monies paid in respect of the Application within 14 days, failing which the provisions of Section 243(2) of the CMSA will apply.

If our Listing is aborted and/or terminated, and our Shares have been allotted to the investors, a return of monies to the investors could only be achieved by way of cancellation of share capital as provided under Sections 116 or 117 of the Act and its related rules. Such cancellation requires the approval of shareholders by special resolution in a general meeting, with sanction of High Court of Malaya or with notice to be sent to the Director General of the Inland Revenue Board and the Registrar of Companies within 7 days of the date of the special resolution and us meeting the solvency requirements under Section 117(3) of the Act.

There can be no assurance that such monies can be recovered within a short period of time or at all in such circumstances.

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10. RELATED PARTY TRANSACTIONS

10.1 RELATED PARTY TRANSACTIONS

Save as disclosed below, there are no other material related party transactions, existing or proposed, that we have entered or to be entered into with the related parties for the Financial Years/Period Under Review and up to the LPD:

No.	Transacting parties	Nature of relationship	Nature of transaction	Transaction value				
				FYE 2023 RM'000	FYE 2024 RM'000	FYE 2025 RM'000	FPE 2026 RM'000	1 April 2026 and up to LPD RM'000
1.	(i) RedPlanet (ii) Lian Wah Seng (iii) NCSB (iv) PPSB	Lian Wah Seng is our Promoter, major shareholder and Executive Director. He is also a major shareholder and director of NCSB and PPSB. At the material time of the transaction, Lian Wah Seng by virtue of his direct and indirect shareholding (via NCSB and PPSB), held 100% equity interest in ATSB, and he was a director of ATSB.	Acquisition of 51% equity interest in ATSB by RedPlanet from Lian Wah Seng, NCSB and PPSB ⁽¹⁾ This transaction was one-off.	-	7,650 (32.06% of the NA for FYE 2024)	-	-	-
2.	(i) RedPlanet (ii) Lian Wah Seng (iii) NCSB (iv) PPSB	Lian Wah Seng is our Promoter, major shareholder and Executive Director. He is also a major shareholder and director of NCSB and PPSB. At the material time of the transaction: (i) ATSB was a 51%-owned subsidiary of RedPlanet. (ii) Lian Wah Seng by virtue of his direct and indirect shareholding (other than via RedPlanet) held the remaining 49% equity interest in ATSB. (iii) Lian Wah Seng was a director of ATSB.	Acquisition of 49% equity interest in ATSB by RedPlanet from Lian Wah Seng, NCSB and PPSB ⁽²⁾ This transaction was one-off.	-	-	12,128 (66.27% of the NA for FYE 2025)	-	-
3.	(i) ASSB (ii) Lian Wah Seng	Lian Wah Seng is our Promoter, major shareholder and Executive Director. At the material time of the transaction: (i) ASSB was a wholly-owned subsidiary of ATSB while ATSB was, in turn, a wholly-owned subsidiary of RedPlanet. (ii) Lian Wah Seng was a director of ATSB and ASSB.	Acquisition of 1 unit motor vehicle by ASSB from Lian Wah Seng ⁽³⁾ This transaction was one-off in nature.	-	-	104 (0.57% of the NA for FYE 2025)	-	-

10. RELATED PARTY TRANSACTIONS (cont'd)

Notes:

- (1) On 7 September 2023, RedPlanet entered into a share purchase agreement with Lian Wah Seng, NCSB, and PPSB (collectively, the "**Vendors**") for the acquisition of a 51% equity interest in ATSB for a total purchase consideration of RM7.65 million to be satisfied via a combination of cash consideration of RM5.36 million and share consideration of RM2.29 million via issuance of 10,928,571 new Shares at an issue price of RM0.21 each. The total purchase consideration was arrived at on a willing-buyer willing-seller basis after taking into consideration amongst others, the cumulative profit guarantee of RM5.00 million provided by the Vendors for the period from 1 January 2024 to 31 December 2025 as well as the implied PE multiple of 6.00 times derived based on the 100% equity valuation of ATSB of RM15.00 million against the annualised profit guarantee of RM2.50 million.

On 1 December 2023, the conditions precedent as stipulated in the share purchase agreement for the acquisition have been fulfilled, and accordingly, ATSB became a 51%-owned subsidiary of RedPlanet. As at the LPD, the cumulative profit guarantee of RM5.00 million for the period from 1 January 2024 to 31 December 2025 has been fulfilled.

- (2) On 18 September 2024, RedPlanet entered into a share purchase agreement with Lian Wah Seng, NCSB, and PPSB for the acquisition of the remaining 49% equity interest in ATSB for a purchase consideration of RM12.13 million to be satisfied entirely via cash. The purchase consideration was arrived at on a willing-buyer willing-seller basis after taking into consideration amongst others, the cumulative profit guarantee of RM9.00 million provided by the Vendors for the period from 6 December 2024 to 31 December 2026 as well as the implied PE multiple of 5.50 times derived based on the 100% equity valuation of ATSB of RM24.75 million against the annualised profit guarantee of RM4.50 million.

On 6 December 2024, the conditions precedent as stipulated in the share purchase agreement for the acquisition have been fulfilled, and accordingly, ATSB became a wholly-owned subsidiary of RedPlanet. As at the LPD, of the cumulative profit guarantee of RM9.00 million, (a) RM2.25 million for the first guarantee period from 6 December 2024 (being unconditional date) to 30 June 2025, and (b) RM4.50 million (for the second guarantee period from 1 July 2025 to 30 June 2026), have been fulfilled. The fulfilment of the remaining profit guarantee of RM2.25 million (for the third guarantee period from 1 July 2026 to 31 December 2026) is subject to completion of the remaining guarantee period and finalisation of ATSB's accounts.

Pursuant to the terms of the share purchase agreement, the Vendors have agreed that a cash sum of RM4.41 million from the purchase consideration shall be retained by our Company as a security for ATSB to achieve the profit guarantee ("**Retained Consideration**"). The Retained Consideration is computed based on the profit guarantee amount attributable to the 49% equity interest held in ATSB by the Vendors (i.e. RM9.00 million x 49%). Any shortfall in the profit guarantee will result in a corresponding reduction in the amount payable to the Vendors from the Retained Consideration. UOBKH, being our Sponsor, is of the view that the profit guarantee structure and retention mechanism provide reasonable safeguards to protect our Company's interests and serve to mitigate the risk of ATSB's financial performance during the guarantee period.

- (3) On 3 March 2025, ASSB had acquired a motor vehicle from Lian Wah Seng for RM0.10 million for the purposes of work related transportation. The acquisition price was arrived at based on reference to the comparable market quotation and taking into account prevailing vehicle condition.

Our Directors (excluding the interested Director, namely Lian Wah Seng) are of the opinion that the related party transactions were carried out on an arm's length basis and on normal commercial terms which are not more favourable to the related parties than those generally available to third parties and/or not detrimental to our non-interested shareholders.

Our Directors also confirm that there are no other related party transactions that have been entered into by our Group that involve the interest, direct or indirect, of our Directors, major shareholders and/or persons connected with them but not yet effected up to the date of this Prospectus.

10. RELATED PARTY TRANSACTIONS *(cont'd)*

After our Listing, we will be required to seek our shareholders' approval each time we enter into a material related party transaction in accordance with the Listing Requirements. However, if the related party transactions can be deemed as recurrent related party transactions, we may seek a general mandate from our shareholders (which mandate would typically be renewed as required at each AGM of our Company) to enter into such recurrent related party transactions without having to seek separate shareholders' approval each time we wish to enter into such recurrent related party transactions during the validity period of the mandate.

In addition, to safeguard the interest of our Group and our minority shareholders, and to mitigate any potential conflict of interest situation, our Audit and Risk Management Committee will, amongst others, supervise and monitor any related party transactions and the terms thereof and report to our Board for any further action, as set out in **Section 10.4** of this Prospectus. When necessary, our Board will make appropriate disclosures in our annual report with regard to any related party transaction entered into by us.

In the event that there are any proposed related party transactions that require the prior approval of our shareholders, our Directors and major shareholders, and/or persons connected with them which have any interest, direct or indirect, in the proposed related party transaction will abstain from voting in respect of his direct and/or indirect shareholdings. Such interested Directors and/or major shareholders will also undertake to ensure that the persons connected with him will abstain from voting on the resolution approving the proposed related party transactions at the general meeting.

10.2 TRANSACTIONS WHICH ARE UNUSUAL IN THEIR NATURE OR CONDITION

There are no related party transactions that are unusual in their nature or conditions, involving goods, services, tangible or intangible assets, to which our Company and/or our Subsidiaries were a party for the Financial Years/Period Under Review and up to the LPD.

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10. RELATED PARTY TRANSACTIONS (cont'd)

10.3 OUTSTANDING LOANS AND/OR FINANCIAL ASSISTANCE MADE TO OR FOR THE BENEFIT OF RELATED PARTIES

10.3.1 Outstanding loans (including guarantees of any kind) and/or financial assistance made to or for the benefit of related parties

Save as disclosed below, there are no outstanding loans (including guarantees of any kind) or financial assistance that have been granted by our Group to or for the benefit of the related parties during the Financial Years/Period Under Review and as at the LPD:

No.	Transacting parties	Nature of relationship	Nature of transaction	Transaction value				
				FYE 2023	FYE 2024	FYE 2025	FPE 2026	1 April 2026 and up to LPD
				RM'000	RM'000	RM'000	RM'000	RM'000
1.	(i) RedPlanet (ii) ATSB (iii) ASSB	Lian Wah Seng is our Promoter, major shareholder and Executive Director. At the material time of the transaction: (i) ASSB was a wholly-owned subsidiary of ATSB while ATSB was, in turn, a 51%-owned subsidiary of RedPlanet. (ii) Lian Wah Seng, by virtue of his direct and indirect shareholding (other than via RedPlanet), held the remaining 49% equity interest in ATSB. (iii) Lian Wah Seng was a director of ATSB and ASSB.	Provision of financial assistance in the form of corporate guarantee by RedPlanet and ATSB in favour of ASSB ⁽¹⁾	-	16,000 (67.05% of the NA for FYE 2024)	-	-	-
2.	(i) RedPlanet Solutions (ii) ASSB	Lian Wah Seng is our Promoter, major shareholder and Executive Director. At the material time of the transaction: (i) ASSB was a wholly-owned subsidiary of ATSB while ATSB was, in turn, a 51%-owned subsidiary of RedPlanet. (ii) Lian Wah Seng, by virtue of his direct and indirect shareholding (other than via RedPlanet), held the remaining 49% equity interest in ATSB. (iii) Lian Wah Seng was a director of ATSB and ASSB.	Provision of financial assistance in the form of cash advance (including accrued interest) by RedPlanet Solutions to ASSB ⁽¹⁾	-	2,233 (9.36% of the NA for FYE 2024)	3,277 (17.91% of the NA for FYE 2025)	-	-

10. RELATED PARTY TRANSACTIONS (cont'd)**Note:**

- (1) On 7 June 2024, the non-interested shareholders of RedPlanet had in an Extraordinary General Meeting of RedPlanet approved the provision of the following financial assistance:
- (a) Corporate guarantees of up to RM26.00 million by RedPlanet and ATSB in favour of ASSB comprising (i) securities for banking facilities of RM16.00 million for project financing (LRT3 project and Kelana Jaya LRT Line project), and (ii) additional general corporate guarantee of up to RM10.00 million for banking facilities which may be obtained by ASSB in respect of new potential railway project; and
 - (b) Cash advance of up to RM5.00 million by RedPlanet Solutions to ASSB to meet the capital working requirements of ASSB. Included in the advance amount is the accrued interest chargeable at 8% per annum. In view that the interest rate was within the prevailing interest rates ranging from 7.95% to 8.65% per annum charged on our facilities used for working capital purposes in the FYE 2024 and FYE 2025, our Directors (excluding the interested Director, namely Lian Wah Seng) are of the opinion that such advance was carried out on an arm's length basis and are neither unfavourable nor detrimental to our Group.

In view that ATSB and ASSB have become wholly-owned subsidiaries of RedPlanet since 6 December 2024, such financial assistance are inter-company in nature and no longer fall under the purview of related party transactions pursuant to the Listing Requirements.

10.3.2 Outstanding loans and/or advances granted by our related parties to our Group

Save as disclosed below, there are no outstanding loans and/or advances that have been granted by our related parties to our Group during the Financial Years/Period Under Review and as at the LPD:

No.	Transacting parties	Nature of relationship	Nature of transaction	Transaction value				
				FYE 2023	FYE 2024	FYE 2025	FPE 2026	1 April 2026 and up to LPD
				RM'000	RM'000	RM'000	RM'000	RM'000
1.	(i) NCSB (ii) PPSB (iii) Lian Wah Seng (iv) ASSB	Lian Wah Seng is our Promoter, major shareholder and Executive Director. He is also a major shareholder and director of NCSB and PPSB. At the material time of the transaction: (i) ASSB was a wholly-owned subsidiary of ATSB while ATSB was, in turn, a 51%-owned subsidiary of RedPlanet. (ii) Lian Wah Seng, by virtue of his direct and indirect shareholding (other than via RedPlanet), held the remaining 49% equity interest in ATSB. (iii) Lian Wah Seng was a director of ATSB and ASSB.	Shareholders' advance by NCSB, PPSB and Lian Wah Seng to ASSB ⁽¹⁾	-	1,808	-	-	-

10. RELATED PARTY TRANSACTIONS (cont'd)

No.	Transacting parties	Nature of relationship	Nature of transaction	Transaction value				
				FYE 2023	FYE 2024	FYE 2025	FPE 2026	1 April 2026 and up to LPD
				RM'000	RM'000	RM'000	RM'000	RM'000
2.	(i) Lian Wah Seng (ii) ASSB	Lian Wah Seng is our Promoter, major shareholder and Executive Director. At the material time of the transaction: (i) ASSB was a wholly-owned subsidiary of ATSB while ATSB was, in turn, a wholly-owned subsidiary of RedPlanet. (ii) Lian Wah Seng was a director of ATSB and ASSB.	Director's advance (including accrued interest) by Lian Wah Seng to ASSB ⁽²⁾	-	-	1,225	-	-

Notes:

- (1) In the FYE 2024, NCSB, PPSB and Lian Wah Seng (in the capacity as shareholders of ATSB at that material point in time) had temporarily advanced RM1.81 million to ASSB to meet its working capital requirements for the LRT3 project and Kelana Jaya LRT Line project. There were no interest charged by the shareholders on these advances. These advances were not made on arm's length basis as they were non-interest bearing in nature.
- (2) In the FYE 2025, Lian Wah Seng (in the capacity as director of ASSB at that material point in time) had temporarily advanced RM1.23 million to ASSB to meet its working capital requirements for the LRT3 project and Kelana Jaya LRT Line project. Included in the advance amount is the accrued interest chargeable at 8% per annum. In view that the interest rate was within the prevailing interest rates ranging from 7.95% to 8.20% per annum charged on our facilities used for working capital purposes in the FYE 2025, our Directors (excluding the interested Director, namely Lian Wah Seng) are of the opinion that such advance was carried out on an arm's length basis and are neither unfavourable nor detrimental to our Group.

All of the advances (including accrued interest) have been fully repaid by our Group in the FYE 2025. Moving forward, there will be no further advances, loans and/or financial assistances to be provided to, or received from, any related parties of our Group, unless such advances, loans and/or financial assistances are permitted under the relevant rules and regulations, and that such advances, loans and/or financial assistances had been tabled at our Audit and Risk Management Committee and Board meetings for deliberation and approval.

10. RELATED PARTY TRANSACTIONS (cont'd)

10.3.3 Provision of guarantees by our related parties for the banking facilities granted to our Group

Save as disclosed below, there are no outstanding provision of guarantees by our related parties for the banking facilities granted to our Group as at the LPD.

As at the LPD, Lian Wah Seng has rendered personal guarantee in respect of the hire purchase facility extended by Public Bank Berhad to our Group. The guaranteed amount secured for such facility amounts to RM0.11 million, and the outstanding loan balance comprised in the same facility amounts to RM0.03 million as at the LPD.

Our Group has applied to Public Bank Berhad to discharge and/or release the guarantee rendered by Lian Wah Seng upon the successful Listing by substituting the same with a corporate guarantee to be rendered by our Company. Until such discharge and substitution of guarantee have been implemented, Lian Wah Seng will continue to guarantee the aforesaid hire purchase facility extended to our Group.

In conjunction with the Listing and as at the LPD, our Group has received conditional approval from Public Bank Berhad to discharge the above guarantee upon the successful Listing by substituting the same with a corporate guarantee from our Company.

10.4 MONITORING AND OVERSIGHT OF RELATED PARTY TRANSACTIONS AND CONFLICT OF INTEREST

10.4.1 Audit and Risk Management Committee review

One of the main functions of our Audit and Risk Management Committee is to assess the matters relating to related party transactions and conflict of interest that may arise. In carrying out this task, our Audit and Risk Management Committee maintains and reviews the adequacy of the procedures and processes set by our Company to monitor all related party transactions and conflict of interest situations.

The review also includes having in place the procedures and processes to ensure that the transactions are carried out in the best interest of our Company on normal commercial terms and not more favourable to the related party than those generally available to third parties dealing at arm's length and are not detrimental to the interest of our Company's minority shareholders.

In the event that there are any proposed related party transactions that require the prior approval of our shareholders, our Directors, major shareholders and/or persons connected with our Directors or major shareholders, who have any interest, direct or indirect, in the proposed related party transactions will be required to abstain from deliberations and voting on the transaction.

The reviews conducted by our Audit and Risk Management Committee are reported to our Board.

10.4.2 Our Group's policy on related party transactions and conflict of interest

It is our Group's policy that all related party transactions and conflict of interest or potential conflict of interest situations must be immediately and fully disclosed by the interested Directors or major shareholders to the management for reporting to the Audit and Risk Management Committee. Such transactions must be reviewed by the Audit and Risk Management Committee to ensure that they are negotiated and agreed upon in the best interest of our Company and on an arm's length basis, and are based on normal commercial terms and not more favourable to the related party than those generally available to third parties and are not detrimental to the interest of our Company's minority shareholders.

When necessary, our Board will make appropriate disclosures in our annual report of any related party transaction and conflicts of interest with our Group.

11. CONFLICT OF INTEREST

11.1 CONFLICT OF INTEREST**11.1.1 Interest in the businesses or corporations which are our customers or suppliers**

As at the LPD, none of our Directors and/or substantial shareholders have any interest, whether direct or indirect, in any businesses or corporations which are customers or suppliers of our Group.

11.1.2 Interest in similar business or corporations

As at the LPD, none of our Directors and/or substantial shareholders have any other interest, whether direct or indirect, in any businesses or corporations which are carrying on a similar trade as our Group.

11.2 DECLARATIONS BY OUR ADVISERS**11.2.1 Principal Adviser, Sponsor, Underwriter and Placement Agent**

UOBKH has confirmed that there is no existing or potential conflict of interest in its capacity as the Principal Adviser, Sponsor, Underwriter and Placement Agent to our Group in relation to our Transfer.

11.2.2 Due Diligence Solicitors

Messrs Chan & Ong and Messrs Han Kuan & Co have both confirmed that there is no existing or potential conflict of interest in their capacities as the Solicitors to our Group in relation to our Transfer.

11.2.3 Auditors and Reporting Accountants

Crowe Malaysia PLT has confirmed that there is no existing or potential conflict of interest in its capacity as the Auditors and Reporting Accountants to our Group in relation to our Transfer.

11.2.4 IMR

Providence has confirmed that there is no existing or potential conflict of interest in its capacity as the IMR to our Group in relation to our Transfer.

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12. FINANCIAL INFORMATION

12.1 HISTORICAL FINANCIAL INFORMATION

Our historical financial information throughout the Financial Years/Period Under Review has been prepared in accordance with MFRS. The selected financial information included in this Prospectus is not intended to predict our Group's financial position, results and cash flows.

The historical financial information of our Group for the Financial Years/Period Under Review was prepared on a consolidated basis and presented based on the audited consolidated financial statements of our Group, without audit qualifications.

The following historical financial information for the Financial Years/Period Under Review have been extracted from the Accountants' Report and it should be read with the 'Management's Discussion and Analysis of Financial Condition and Results of Operations' and the Accountants' Report set out in **Sections 12.3 and 13** of this Prospectus, respectively.

Historical consolidated statements of profit or loss and other comprehensive income

	Audited			Unaudited	Audited
	FYE 2023	FYE 2024	FYE 2025	FPE 2025	FPE 2026
	RM'000	RM'000	RM'000	RM'000	RM'000
Revenue	24,933	34,924	33,296	24,809	33,166
Cost of sales	(16,043)	(22,417)	(16,709)	(13,360)	(21,239)
GP	8,890	12,507	16,587	11,449	11,927
Other income	722	686	425	346	204
Administrative expenses	(3,189)	(5,906)	(6,767)	(4,912)	(5,875)
Selling and marketing expenses	-	(75)	(83)	(61)	(91)
Other expenses	(624)	(982)	(2,108)	(1,607)	(1,086)
Finance costs	(3)	(273)	(498)	(407)	(366)
Net reversal of/(allowance for) impairment losses on financial assets	40	15	-	-	(25)
Share of results of an equity accounted associate	-	(1)	-	-	-
PBT	5,836	5,971	7,556	4,808	4,688
Income tax (expense)/saving	(1,675)	(813)	(2,335)	(1,212)	286
PAT	4,161	5,158	5,221	3,596	4,974
<i>Item that will be reclassified subsequently to profit or loss</i>					
Foreign currency translation differences	9	(37)	580 ⁽⁶⁾	591 ⁽⁶⁾	174 ⁽⁶⁾
Total comprehensive income for the financial year/period	4,170	5,121	5,801	4,187	5,148
Profit after taxation attributable to:					
Owners of the Company	4,161	4,001	5,184	3,559	4,974
Non-controlling interests	-	1,157	37	37	-
	4,161	5,158	5,221	3,596	4,974
Total comprehensive income attributable to:					
Owners of the Company	4,170	3,980	5,391	3,777	5,148
Non-controlling interests	-	1,141	410	410	-
	4,170	5,121	5,801	4,187	5,148
EBITDA ('000) ⁽¹⁾	6,348	7,068	8,808	5,680	5,528
GP margin (%) ⁽²⁾	35.66	35.81	49.82	46.15	35.96
PBT margin (%) ⁽³⁾	23.41	17.10	22.69	19.38	14.13
PAT margin (%) ⁽³⁾	16.69	14.77	15.68	14.49	15.00
Effective tax rate (%) ⁽⁴⁾	28.70	13.62	30.90	25.21	(6.10)
Number of Shares in issue after our IPO ('000)	410,650	410,650	410,650	410,650	410,650
Basic/diluted EPS (sen) ⁽⁵⁾	1.01	0.97	1.26	0.87	1.21

12. FINANCIAL INFORMATION (cont'd)**Notes:**

- (1) The table below sets forth a reconciliation of our PBT to EBITDA.

	Audited			Unaudited	Audited
	FYE 2023	FYE 2024	FYE 2025	FPE 2025	FPE 2026
	RM'000	RM'000	RM'000	RM'000	RM'000
PBT	5,836	5,971	7,556	4,808	4,688
<u>Adjusted for:</u>					
Interest expenses ^(a)	22	372	508	414	375
Interest income ^(b)	(72)	(213)	(261)	(278)	(142)
Depreciation	562	665	738	511	561
Amortisation	-	273	267	225	46
EBITDA	6,348	7,068	8,808	5,680	5,528

- (a) Include interest expenses on financial liabilities that are not at fair value through profit or loss and lease liabilities.
- (b) Include interest income on short-term investments and financial assets measured at amortised cost.
- (2) GP margin is calculated based on GP over revenue.
- (3) PBT or PAT margin is calculated based on PBT or PAT over revenue.
- (4) Effective tax rate is calculated based on income tax expense/saving divided by PBT.
- (5) Basic and diluted EPS is calculated based on PAT attributable to owners of the Company for the financial year/period over the enlarged issued share capital of 410,650,542 Shares upon our Listing. The diluted EPS is equivalent to the basic EPS as no potential dilutive securities are in issue during the respective financial years/period.
- (6) The exchange differences on translation of foreign operations recorded a net gain of RM0.58 million, RM0.59 million and RM0.17 million for FYE 2025, FPE 2025 and FPE 2026 respectively which accounted for exchange differences arising from the translation of the financial statements of our foreign Subsidiaries (i.e. RedPlanet Aust, RedPlanet Spatial and Alpha Zaicon). These adjustments occurred when the functional currencies of our foreign Subsidiaries differ from our Group's presentation currency (RM).

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12. FINANCIAL INFORMATION (cont'd)**Pro forma consolidated statements of profit or loss of RedPlanet Group based on the assumption that the acquisition of the entire equity interest in ATSB was effected at the beginning of the FYE 2023**

Our Group had in December 2023 and December 2024 completed the acquisition of 51.00% and 49.00% equity interest in ATSB respectively, following which ATSB became our wholly-owned subsidiary. Strictly for illustration purpose only, the table below sets out the pro forma consolidated statements of profit or loss of our Group for the Financial Years/Period Under Review based on the assumption that the acquisition of the entire equity interest in ATSB was effected at the beginning of the FYE 2023:

	Pro forma (unaudited)				
	FYE 2023⁽¹⁾	FYE 2024	FYE 2025	FPE 2025	FPE 2026
	RM'000	RM'000	RM'000	RM'000	RM'000
Revenue	26,330	38,616	33,296	24,809	33,166
Cost of sales	(19,565)	(24,944)	(16,709)	(13,360)	(21,239)
GP	6,765	13,672	16,587	11,449	11,927
Other income	884	704	451	346	204
Administrative expenses	(5,019)	(7,253)	(6,790)	(4,912)	(5,875)
Selling and marketing expenses	(318)	(103)	(83)	(61)	(91)
Other expenses	(989)	(828)	(1,818)	(1,607)	(1,086)
Finance costs	(256)	(410)	(525)	(407)	(366)
Net reversal of/(allowance for) impairment losses on financial assets	40	15	-	-	(25)
PBT	1,107	5,797	7,822	4,808	4,688
Income tax (expense)/saving	(698)	(939)	(2,399)	(1,212)	286
PAT	409	4,858	5,423	3,596	4,974
Profit after taxation attributable to:					
Owners of the Company	409	4,858	5,423	3,596	4,974
Non-controlling interests	-	-	-	-	-
	409	4,858	5,423	3,596	4,974
EBITDA ('000) ⁽²⁾	2,059	6,773	8,726	5,680	5,528
GP margin (%)	25.69	35.41	49.82	46.15	35.96
PBT margin (%)	4.20	15.01	23.49	19.38	14.13
PAT margin (%)	1.55	12.58	16.29	14.49	15.00
Effective tax rate (%)	63.05	16.20	30.67	25.21	(6.10)

Notes:

- (1) Includes ATSB Group's financial results from 1 October 2022 to 30 June 2023. During the FYE 2023, ATSB has changed its financial year end from 30 September to 30 June.
- (2) The table below sets forth a reconciliation of our pro forma PBT to pro forma EBITDA.

	Pro forma (unaudited)				
	FYE 2023	FYE 2024	FYE 2025	FPE 2025	FPE 2026
	RM'000	RM'000	RM'000	RM'000	RM'000
PBT	1,107	5,797	7,822	4,808	4,688
<i>Adjusted for:</i>					
Interest expenses ^(a)	292	424	535	414	375
Interest income ^(b)	(186)	(230)	(369)	(278)	(142)
Depreciation	846	782	738	511	561
Amortisation	-	-	-	225	46
EBITDA	2,059	6,773	8,726	5,680	5,528

- (a) Include interest expenses on financial liabilities that are not at fair value through profit or loss and lease liabilities.
- (b) Include interest income on short-term investments and financial assets measured at amortised cost.

This pro forma financial information is purely hypothetical in nature and has been prepared solely for illustrative and comparability purposes. It does not represent the actual financial performance of our Group for the Financial Years/Period Under Review, and should not be regarded as a substitute for the historical audited consolidated financial statements of our Group.

12. FINANCIAL INFORMATION (cont'd)**Historical consolidated statements of financial position**

	Audited			
	FYE 2023	FYE 2024	FYE 2025	FPE 2026
	RM'000	RM'000	RM'000	RM'000
ASSETS				
Non-current assets				
Investment in an associate	-	49	-	-
Property, plant and equipment ⁽¹⁾	856	8,436	8,447	8,080
Right-of-use assets	532	469	264	859 ⁽¹⁴⁾
Goodwill ⁽²⁾	-	6,680	6,680	6,680
Intangible assets	-	324	57	1,288 ⁽¹³⁾
Deferred tax assets ⁽³⁾	824	2,612	1,563	2,851
Total non-current assets	2,212	18,570	17,011	19,758
Current assets				
Contract cost assets	1,091	1,540	1,782	860
Trade receivables	2,100	3,445	4,230	5,841
Other receivables, deposits and prepayments ⁽⁴⁾	973	4,117	1,791	1,314
Contract assets ⁽⁵⁾	2,917	4,761	7,259	5,159
Current tax assets	15	652	489	254
Short-term investments ⁽⁶⁾	5	4	-	-
Fixed deposits with licensed banks	889	4,946	4,671	5,901
Cash and bank balances	15,142	9,820	7,528	7,744
Total current assets	23,132	29,285	27,750	27,073
TOTAL ASSETS	25,344	47,855	44,761	46,831
EQUITY AND LIABILITIES				
EQUITY				
Share capital	5,544	7,730 ⁽¹⁰⁾	7,730	7,730
Reorganisation deficit ⁽⁷⁾	(1,318)	(1,318)	(1,318)	(1,318)
Foreign exchange translation reserve	2	(19)	277	451
Retained profits	14,623	17,470	11,612 ⁽¹²⁾	15,564
Equity attributable to owners of the Company	18,851	23,863	18,301	22,427
Non-controlling interests	-	1,847	-⁽¹²⁾	-
TOTAL EQUITY	18,851	25,710	18,301⁽¹²⁾	22,427
LIABILITIES				
Non-current liabilities				
Other payables and accruals ⁽⁸⁾	-	1,800	3,119	-
Lease liabilities	368	266	95	651
Long-term borrowings	-	5,357	5,245	4,906
Deferred tax liabilities	-	44	43	43
Total non-current liabilities	368	7,467	8,502	5,600
Current liabilities				
Trade payables	572	2,082	2,187	1,454
Contract liabilities ⁽⁹⁾	3,787	4,409	2,697	3,526
Other payables and accruals ⁽¹¹⁾	1,384	4,043	11,302	12,235
Lease liabilities	175	219	183	213
Short-term borrowings	-	3,829	1,072	805
Current tax liabilities	207	96	517	571
Total current liabilities	6,125	14,678	17,958	18,804
TOTAL LIABILITIES	6,493	22,145	26,460	24,404
TOTAL EQUITY AND LIABILITIES	25,344	47,855	44,761	46,831

12. FINANCIAL INFORMATION (cont'd)**Notes:**

- (1) In the FYE 2024, the higher property, plant and equipment was mainly attributable to the inclusion of the ATSB Group's property, plant and equipment at a carrying amount of RM7.74 million following its inclusion into our Group in December 2023. This mainly comprised ATSB Group's Puchong office (land and building) and renovation of RM7.17 million and RM0.27 million, respectively.
- (2) Goodwill arising from the consolidation of ATSB Group pursuant to the acquisition of ATSB which was completed in December 2023.
- (3) In the FYE 2024, higher deferred tax assets arise from the temporary difference between the tax base and accounting base of contract liabilities and unutilised tax losses.
- (4) The breakdown of other receivables, deposits and prepayments during the Financial Years/Period Under Review are as follows:

	Audited			
	FYE 2023	FYE 2024	FYE 2025	FPE 2026
	RM'000	RM'000	RM'000	RM'000
Other receivables ^(a)	685	1,167	1,320	873
Deposits ^(b)	193	2,627	275	197
Prepayments ^(c)	95	323	196	244
Total	973	4,117	1,791	1,314

- (a) Non-trade receivables mainly comprise performance security for projects secured and tender bonds paid for tenders submitted by our Group. Tender bond is a refundable sum of money submitted by our Group to project owner of a project with a bid to show a bidder's serious intent to enter into a contract if awarded.
- (b) Deposits mainly comprise rental and utility deposits as well as tender deposits. Tender deposits is a refundable sum of money submitted by our Group to the main contractor of a project with a bid to show a bidder's serious intent to enter into a contract if awarded. The higher deposits as at 30 June 2024 was due to deposits paid for project tenders.
- (c) Prepayments mainly comprise advance payments to our suppliers for the purchase of IT infrastructure products.
- (5) Contract assets arise from the timing difference with higher revenue recognised for works performed compared to the invoice issued to our customers. The timing differences arise due to the contractual billing structure of our projects, which are based on achievement of specified milestones. While revenue is recognised progressively based on work performed, invoices are only issued upon achieving the agreed billing milestones. As a result, when significant progress on projects is achieved before such milestones are reached during the financial year, revenue recognised exceeds amounts billed, leading to an increase in contract assets. Our Group's unconditional right to bill/invoice the customers is contingent upon achieving the billing milestones in the following financial year.

The breakdown of our contract assets by business segments is as follows:

	Audited			
	FYE 2023	FYE 2024	FYE 2025	FPE 2026
	RM'000	RM'000	RM'000	RM'000
Geospatial solutions	2,917	1,164	1,959	1,602
Intelligent rail solutions	-	3,597	5,300	3,557
Total	2,917	4,761	7,259	5,159

- (6) Short-term investments comprise investment in short-term money market fund.
- (7) Reorganisation deficit arise from the difference between the carrying value of the investment in RedPlanet Solutions and the nominal value of the shares of RedPlanet Solutions upon consolidation of RedPlanet Solutions and its subsidiaries under a reorganisation exercise in the FYE 2020.

12. FINANCIAL INFORMATION (cont'd)

- (8) Comprise the non-current portion of the contingent consideration, being fair value of the profit guarantee in relation to the acquisition of 51.00% equity interest in ATSB in the FYE 2024 and further acquisition of the remaining 49.00% equity interest in ATSB in the FYE 2025.
- (9) Contract liabilities arise from the timing difference with higher consideration received from customers which the amount will be recognised as revenue when the services or installation works are performed in the next financial year.

The breakdown of our contract liabilities by business segments is as follows:

	Audited			
	FYE 2023	FYE 2024	FYE 2025	FPE 2026
	RM'000	RM'000	RM'000	RM'000
Geospatial solutions	3,787	3,459	2,697	3,369
Intelligent rail solutions	-	950	-	157
Total	3,787	4,409	2,697	3,526

- (10) Increase in our share capital arising from the issuance of 10,928,571 new Shares at RM0.20 per Share to part satisfy the acquisition of 51.00% equity interest in ATSB, which was completed in December 2023.
- (11) The breakdown of other payables and accruals during the Financial Years/Period Under Review are as follows:

	Audited			
	FYE 2023	FYE 2024	FYE 2025	FPE 2026
	RM'000	RM'000	RM'000	RM'000
Other payables ^(a)	367	2,168	6,643	4,121
Sales and service tax payable	190	100	96	92
Accruals ^(b)	827	1,151	1,683	1,888
Contingent consideration ^(c)	-	624	2,880	6,134
Total	1,384	4,043	11,302	12,235

- (a) Non-trade payables mainly comprise performance bond received from customers and retention sums withheld by our customers for the ongoing projects as at each financial year. The higher other payables as at 30 June 2024 was mainly due to amount owing to shareholders of RM1.81 million in relation to advances from Lian Wah Seng, NCSB and PPSB (being shareholders of ATSB at that material point in time) for our working capital requirement. Such advance from Lian Wah Seng was fully settled in the FYE 2025.

The higher other payables as at 30 June 2025 was mainly amount payable of RM6.50 million for the balance of cash consideration for the acquisition of 49.00% non-controlling interests in ATSB from 3 vendors (i.e. Lian Wah Seng, NCSB and PPSB) in the FYE 2025. The lower other payables as at 31 March 2026 was due to payment of RM2.62 million for the balance of cash consideration for the acquisition of 49.00% non-controlling interests in ATSB to 3 vendors (i.e. Lian Wah Seng, NCSB and PPSB) during FPE 2026.

- (b) Accruals mainly comprise accruals for employees' bonuses and statutory contributions, employees' claims as well as professional fees such as audit fee, secretarial fee, tax agent fee, outsource manpower and project expenses. The higher accruals as at 30 June 2025 was due to the higher accrued outsource manpower expenses and project expenses, while the higher accruals as at 31 March 2026 was due to accruals of audit fee for special audit.
- (c) Being fair value of the profit guarantee in relation to the acquisition of 51.00% equity interest in ATSB and remaining 49.00% equity interest in ATSB, completed in December 2023 and December 2024, respectively. The higher contingent consideration as at 31 March 2026 was due to reclassification from non-current to current liabilities as the underlying profit guarantee is within 12 months from the reporting date, subject to the fulfilment of the relevant condition precedent.

- (12) Decrease in our total equity by RM7.41 million, mainly due to decrease in retained profits and non-controlling interest which were accounted for in accordance with MFRS 10, as a result of the adjustment made pursuant to changes in the ownership interest in ATSB arising from the acquisition by our Company of the remaining 49.00% equity interest in ATSB in December 2024.

12. FINANCIAL INFORMATION (cont'd)

The decrease in our retained profits arose from the accounting treatment of the acquisition of the remaining 49.00% equity interest in ATSB for RM12.13 million in FYE 2025. As our Company had obtained control of ATSB upon acquiring the 51.00% equity interest in ATSB in FYE 2024, the subsequent acquisition of the remaining 49.00% equity interest in ATSB was accounted for as an equity transaction with non-controlling interests in accordance with MFRS 10. The difference between the consideration paid and the carrying amount of the non-controlling interest acquired was recognised directly in equity and charged against retained profits, and as such resulted in a decrease in retained profits and consequently, total equity. Correspondingly, the non-controlling interest attributable to ATSB was derecognised in FYE 2025 upon ATSB becoming a wholly-owned subsidiary of our Company.

- (13) The increase in intangible assets as at 31 March 2026 was attributable to the capitalisation of development costs on our proprietary software solutions, specifically the Automated Open Track AI Detection and Early Warning System and Smart digitalisation with AI.
- (14) The increase in right-of-use as at 31 March 2026 was attributable to the tenancy renewals for our office premises located at Mid Valley City, Kuala Lumpur.

12.2 CAPITALISATION AND INDEBTEDNESS

	Unaudited	I	II
	As at 31 July 2026	After our IPO	After I and utilisation of proceeds
	RM'000	RM'000	RM'000
Capitalisation			
Shareholders' equity	23,462	36,762	34,667
Total capitalisation	23,462	36,762	34,667
Indebtedness			
Current			
<u>Secured and guaranteed</u>			
Term loans	274	274	274
Hire purchase payables	137	137	137
	411	411	411
Non-current			
<u>Secured and guaranteed</u>			
Term loans	4,635	4,635	4,635
Hire purchase payables	147	147	147
	4,782	4,782	4,782
Total indebtedness	5,193	5,193	5,193
Total capitalisation and indebtedness	28,655	41,955	39,860
Gearing ratio (times) ⁽¹⁾	0.22	0.14	0.15

Note:

- (1) Calculated based on total indebtedness (excluding lease liabilities) divided by total capitalisation.

12. FINANCIAL INFORMATION (cont'd)**12.3 MANAGEMENT'S DISCUSSION AND ANALYSIS OF FINANCIAL CONDITION AND RESULTS OF OPERATIONS**

The following management's discussion and analysis of our Group's financial condition and results of operations for the Financial Years/Period Under Review should be read in conjunction with the Accountants' Report together with the accompanying notes as set out in **Section 13** of this Prospectus. There are no accounting policies which are peculiar to our Group in regards to the nature of the business or the industry which our Group is involved in.

This discussion and analysis contains data derived from our audited consolidated financial statements as well as forward-looking statements that involve risks, uncertainties and assumptions. Our actual results may differ significantly from those projected in the forward-looking statements. The factors that may cause future results to differ significantly from those described in the forward-looking statements include, but are not limited to, those discussed below and elsewhere in this Prospectus, particularly the risk factors as set out in **Section 9** of this Prospectus.

12.3.1 Overview of our operations

Our Group is an enterprise ICT firm and we are principally involved in the:

- (a) **provision of geospatial solutions** – we analyse our customers' geographical data and tailor our geospatial solutions through data collection, analytics, processing and application in order to enable our customers to visualise, manage and analyse their geographical data;
- (b) **provision of intelligent rail solutions** – we utilise our proprietary platform intrusion safety system (i.e. PIES® System) to detect human intrusion on railway platforms, to maintain railway safety. The PIES® System is a safety solution for railways and urban rail transit systems; and
- (c) **trading of ICT solutions and ancillary hardware** – we trade ICT software and hardware that are complementary to our geospatial solutions. We also trade components for our intelligent rail solutions such as our proprietary strain sensitive sensor (i.e. BLUCOR®).

We also provide maintenance and support services to our customers for our geospatial solutions and intelligent rail solutions, when requested by the customer.

We offer our enterprise ICT solutions to enterprise customers on a turnkey basis where we undertake solution design, development, customisation, installation, configuration, integration, implementation, testing and commissioning to meet the digitalisation, automation and operating requirements of our customers.

Our business model can be illustrated as follows:

Enterprise ICT solutions			
Business segment	Design and implementation of geospatial solutions	Design and implementation of intelligent rail solutions	Trading of ICT solutions and ancillary hardware
Description of business segment	Turnkey solution design, development, customisation, installation, configuration, integration, implementation, testing, commissioning, maintenance and support		Trading of ICT software and hardware that are complementary to our solutions
Customer segment	Public sector, utilities, energy, infrastructure, ICT, engineering and environment	Rail transportation providers	Public sector, utilities, energy, infrastructure, ICT, engineering, environment and rail transportation providers
Principal markets	Malaysia, India, Brunei Darussalam, Philippines, Australia, Saudi Arabia and USA	Malaysia	Malaysia, India, Brunei Darussalam, Philippines, Australia, Saudi Arabia and USA

12. FINANCIAL INFORMATION (cont'd)

Please refer to **Section 7** of this Prospectus for further information on our business activities.

12.3.2 Revenue**(a) Revenue by business activities**

Our Group's revenues are generated based on the following:

Geospatial solutions and Intelligent rail solutions

Revenue from geospatial solutions and intelligent rail solutions are recognised over time in the period in which the services are rendered using the input method, determined based on the proportion of project costs incurred for work performed to date over the estimated total project costs. Transaction price is computed based on the price specified in the contract and adjusted for any variable consideration. Past experience is used to estimate and provide for the variable consideration, using most likely method and revenue is only recognised to the extent that it is highly probable that a significant reversal will not occur.

Our Group also provides maintenance and support services in relation to geospatial solutions to our customers which is recorded under provision of geospatial solutions. Revenue for maintenance and support services is recognised on a straight-line basis over the term of the fixed price contract.

A receivable is recognised when the services are rendered as this is the point in time that the consideration is unconditional because only the passage of time is required before the payment is due. If services are rendered but not yet billed at the reporting date ("**unbilled revenue**"), contract asset will be recognised. The unbilled revenue will be billed upon achieving the contract milestone. If the billing to customers exceed the services rendered or/ and any deposits or advance considerations are received from customers of which the amount will be recognised as revenue when the performance obligations are satisfied, a contract liability is recognised.

Trading of ICT solutions

Revenue from trading of ICT solutions includes sale of software, licences and hardware. Software and licences may be provided to the customer at a point in time, activated or ready to be activated by the customer at a later stage, therefore revenue is recognised when customer obtains control of the software or licences. Revenue for hardware is recognised where transfer of control is deemed to occur upon delivery of products and customer acceptances.

A receivable is recognised when the goods are delivered as this is the point in time that the consideration is unconditional because only the passage of time is required before the payment is due.

(b) Revenue by business segments

Our revenue by business segments is illustrated in the table below:

	Audited						Unaudited		Audited	
	FYE 2023		FYE 2024		FYE 2025		FPE 2025		FPE 2026	
	RM'000	%	RM'000	%	RM'000	%	RM'000	%	RM'000	%
Geospatial solutions	19,169	76.88	18,636	53.36	18,699	56.16	13,521	54.50	13,649	41.16
Intelligent rail solutions	-	-	8,510	24.37	12,351	37.09	9,424	37.99	8,714	26.27
Trading of ICT solutions	5,764	23.12	7,778	22.27	2,246	6.75	1,864	7.51	10,803	32.57
Total	24,933	100.00	34,924	100.00	33,296	100.00	24,809	100.00	33,166	100.00

12. FINANCIAL INFORMATION (cont'd)**(c) Revenue by geographical locations**

	Audited						Unaudited		Audited	
	FYE 2023		FYE 2024		FYE 2025		FPE 2025		FPE 2026	
	RM'000	%	RM'000	%	RM'000	%	RM'000	%	RM'000	%
Local	19,398	77.80	30,254	86.63	28,196	84.68	20,425	82.33	29,117	87.79
International										
Asia (exclude Malaysia) ⁽¹⁾	4,551	18.25	4,297	12.30	4,485	13.47	3,923	15.81	3,330	10.04
Africa ⁽²⁾	36	0.14	154	0.44	7	0.02	-	-	51	0.15
Europe ⁽³⁾	343	1.38	94	0.27	102	0.31	76	0.31	71	0.21
Oceania ⁽⁴⁾	605	2.43	119	0.34	-	-	-	-	225	0.68
North America ⁽⁵⁾	-	-	6	0.02	472	1.42	385	1.55	324	0.98
South America ⁽⁶⁾	-	-	-	-	34	0.10	-	-	48	0.15
Total	24,933	100.00	34,924	100.00	33,296	100.00	24,809	100.00	33,166	100.00

Notes:

- (1) Comprising India, Brunei Darussalam, Philippines, Saudi Arabia, United Arab Emirates and Singapore, breakdown as follows:

	Audited						Unaudited		Audited	
	FYE 2023		FYE 2024		FYE 2025		FPE 2025		FPE 2026	
	RM'000	%	RM'000	%	RM'000	%	RM'000	%	RM'000	%
India	1,325	5.31	2,070	5.93	1,991	5.98	1,499	6.04	1,715	5.17
Brunei Darussalam	677	2.72	1,077	3.08	603	1.81	547	2.20	311	0.94
Philippines	1,353	5.43	802	2.29	725	2.18	558	2.25	644	1.94
Saudi Arabia	976	3.91	348	1.00	1,145	3.44	1,298	5.23	652	1.97
United Arab Emirates	220	0.88	-	-	9	0.03	9	0.04	-	-
Singapore	-	-	-	-	12	0.04	12	0.05	8	0.02
Total	4,551	18.25	4,297	12.30	4,485	13.47	3,923	15.81	3,330	10.04

- (2) Comprising South Africa.
- (3) Comprising Germany, Netherlands, Norway and United Kingdom.
- (4) Comprising New Zealand and Australia.
- (5) Comprising USA.
- (6) Comprising Peru.

(d) Revenue by customers' industry

	Audited						Unaudited		Audited	
	FYE 2023		FYE 2024		FYE 2025		FPE 2025		FPE 2026	
	RM'000	%	RM'000	%	RM'000	%	RM'000	%	RM'000	%
Utilities	21,034	84.36	18,720	53.60	16,434	49.36	11,699	47.16	9,390	28.31
Transportation	-	-	8,547	24.47	12,995	39.03	9,715	39.16	8,436	25.44
ICT	3,455	13.86	7,322	20.97	3,058	9.18	2,004	8.08	13,939	42.03
Engineering	433	1.74	329	0.94	714	2.14	1,298	5.23	1,389	4.19
Others ⁽¹⁾	11	0.04	6	0.02	95	0.29	93	0.37	12	0.03
Total	24,933	100.00	34,924	100.00	33,296	100.00	24,809	100.00	33,166	100.00

Note:

- (1) Comprise a local council in the USA and gas distribution company in India.

12. FINANCIAL INFORMATION *(cont'd)***Commentary on revenue:****FYE 2024 compared to FYE 2023**

Our Group's revenue increased by RM9.99 million or 40.07% to RM34.92 million in the FYE 2024 (FYE 2023: RM24.93 million). The increase was mainly contributed by revenue from the intelligent rail solutions segment, which increased by RM8.51 million or 100.00% in the FYE 2024 (FYE 2023: nil). The intelligent rail solutions segment is a new segment introduced in the FYE 2024, following the consolidation of ATSB Group's revenue after our acquisition of 51.00% equity interest in ATSB in December 2023. The trading of ICT solutions segment has also contributed to our improved revenue for the FYE 2024, which contributed to an increase of RM2.02 million or 35.07% to RM7.78 million in the FYE 2024 (FYE 2023: RM5.76 million).

The geospatial solutions segment remained our Group's largest revenue contributor, which contributed RM18.64 million or 53.36% of our Group's total revenue for the FYE 2024 (FYE 2023: RM19.17 million or 76.88%).

For our Group's revenue in the FYE 2023 and FYE 2024, 77.80% and 86.63% of our Group's total revenue was derived from local customers, respectively. Our Group's international revenue was mainly derived from our customers based in India, Brunei Darussalam, Philippines and Saudi Arabia in the FYE 2024.

The Malaysian market remained as our Group's primary revenue contributor, which accounted for RM19.40 million or 77.80% and RM30.25 million or 86.63% of our Group's total revenue in the FYE 2023 and FYE 2024, respectively. This is in line with our Group's emphasis of working with Malaysian customers, with results reflecting the project milestones of both existing and new contracts with such customers. Our Group's international revenue decreased by RM0.87 million or 15.70% to RM4.67 million in the FYE 2024 (FYE 2023: RM5.54 million), mainly attributed to the revenue contribution from Netherlands and New Zealand due to the completion of projects for the provision of geospatial solutions segment in the FYE 2023.

In terms of industry segments, the utilities industry was the largest revenue contributor, which has recorded RM21.03 million or 84.36% and RM18.72 million or 53.60% of our Group's total revenue in the FYE 2023 and FYE 2024, respectively. The revenue from the utilities industry decreased by RM2.31 million or 10.98% in the FYE 2024 mainly due to the lower level of service activities carried out for Customer A. The revenue from transportation industry of RM8.55 million or 24.47% in the FYE 2024 was mainly related to 2 projects (i.e. LRT3 project and Kelana Jaya LRT Line project). This was due to the inclusion of ATSB Group's financial results following the acquisition of 51.00% equity interest in ATSB, which was completed in December 2023. Further, the revenue from the ICT industry increased by RM3.86 million or 111.56% in the FYE 2024 mainly contributed by 2 new contracts secured from local customers for the provision of geospatial solutions and trading of hardware and software.

Geospatial solutions segment

Revenue from the geospatial solutions segment decreased by RM0.53 million or 2.76% to RM18.64 million in the FYE 2024 (FYE 2023: RM19.17 million), mainly due to the following:

- (a) lower level of service activities from the following projects:
 - (i) contracts for the provision of geospatial solutions comprising enhancements to the customer's GIS and its related platform as well as maintenance and support services for Customer A. The revenue decreased by RM1.86 million or 57.94% to RM1.35 million in the FYE 2024 (FYE 2023: RM3.21 million);
 - (ii) certain contracts for the provision of geospatial solutions mainly comprising data migration, custom GIS application development and system configuration, and integration with customer's core operational system as well as maintenance and support services for Customer B Group. The revenue decreased by RM1.53 million or 54.64% to RM1.27 million in the FYE 2024 (FYE 2023: RM2.80 million); and

12. FINANCIAL INFORMATION (cont'd)

- (iii) contract for the provision of geospatial solutions comprising the development and integration of GIS systems for a government platform project for a local ICT customer (GCIS Sdn Bhd). The revenue decreased by RM0.71 million or 72.45% to RM0.27 million in the FYE 2024 (FYE 2023: RM0.98 million); and
- (b) completion of a contract for the provision of geospatial solutions comprising cartography services for a New Zealand customer (Vector Limited) in the utilities industry, with a contract value of RM0.61 million of which the entire amount was fully recognised in the FYE 2023.

The abovementioned decreases were partially offset by the increase in revenue derived from a new contract for the provision of geospatial solutions comprising the development and integration of GIS systems for a government platform project for a local customer (Clearwisdom Sdn Bhd) in the ICT industry, which contributed to revenue of RM2.49 million in the FYE 2024.

Intelligent rail solutions segment

Revenue from the intelligent rail solutions segment recorded RM8.51 million in the FYE 2024, following the inclusion of ATSB's financial results into our Group in December 2023, mainly due to the following:

- (a) revenue recognition from Customer C Consortium in the engineering industry for the provision of intelligent rail solutions for LRT3 project, which contributed to revenue of RM6.43 million; and
- (b) revenue recognition from a government-linked agency (Customer D) in the transportation industry for the provision of intelligent rail solutions for Kelana Jaya LRT Line project, which contributed to revenue of RM2.08 million.

Trading of ICT solutions segment

Revenue from the trading of ICT solutions segment increased by RM2.02 million or 35.07% to RM7.78 million in the FYE 2024 (FYE 2023: RM5.76 million), mainly due to commencement of 2 new contracts, as follows:

- (a) a new contract for the provision of hardware and software in connection with the geospatial solutions for a local customer (Clearwisdom Sdn Bhd) in the ICT industry which contributed to revenue of RM1.05 million in the FYE 2024; and
- (b) a new contract for the provision of hardware (i.e. servers, switchboards and printers) to a local customer (Simple Advantage Sdn Bhd) in the ICT industry which contributed to revenue of RM1.30 million in the FYE 2024.

FYE 2025 compared to FYE 2024

Our Group's revenue decreased by RM1.62 million or 4.64% to RM33.30 million in the FYE 2025 (FYE 2024: RM34.92 million). The decrease was attributable to lower revenue contribution from the trading of ICT solutions segment, which decreased by RM5.53 million or 71.08% to RM2.25 million in the FYE 2025 (FYE 2024: RM7.78 million). This decrease was partially offset by the higher revenue contribution from the intelligent rail solutions segment, which increased by RM3.84 million or 45.12% to RM12.35 million in the FYE 2025 (FYE 2024: RM8.51 million).

The geospatial solutions segment remained as our Group's largest revenue contributor, contributing RM18.70 million or 56.16% of our Group's total revenue for the FYE 2025 (FYE 2024: RM18.64 million or 53.36%).

For our Group's revenue in the FYE 2024 and FYE 2025, 86.63% and 84.68% of our Group's total revenue was derived from local customers, respectively. Our Group's international revenue was mainly derived from our customers based in India, Brunei Darussalam, Philippines, Saudi Arabia and USA.

12. FINANCIAL INFORMATION (cont'd)

The Malaysian market remained as our Group's primary revenue contributor, which accounted for RM30.25 million or 86.63% and RM28.20 million or 84.68% of our Group's total revenue in the FYE 2024 and FYE 2025, respectively. Our Group's international revenue had increased by RM0.43 million or 9.21% to RM5.10 million in the FYE 2025 (FYE 2024: RM4.67 million), mainly attributed to the revenue contribution from American-based GIS service provider and a local council in USA (City of Tacoma) for the provision of geospatial solutions services, mainly entailing custom GIS development application, data migration, data integration and software support.

In terms of industry segments, the utilities industry remained the largest revenue contributor, which has recorded RM18.72 million or 53.60% and RM16.43 million or 49.36% of our Group's total revenue in the FYE 2024 and FYE 2025, respectively. The revenue from the utilities industry decreased by RM2.29 million or 12.23% in the FYE 2025 mainly due to the completion of certain projects for Customer A. This was followed by the transportation industry which contributed in revenue of RM8.55 million or 24.47% and RM13.00 million or 39.03% of our Group's total revenue in the FYE 2024 and FYE 2025, respectively. The revenue from the transportation industry increased by RM4.45 million or 52.05% in the FYE 2025, mainly attributable to the higher progress work done particularly for Customer D in the Kelana Jaya LRT Line project.

Geospatial solutions segment

Revenue from the geospatial solutions segment slightly increased by RM0.06 million or 0.32% to RM18.70 million in the FYE 2025 (FYE 2024: RM18.64 million), mainly due to the following:

- (a) a new contract for the provision of geospatial solutions comprising maintenance and support of GIS's software platform for Customer A with contract sum of RM13.93 million, which contributed to revenue of RM3.27 million in the FYE 2025; and
- (b) higher level of service activities from contract for the provision of geospatial solutions comprising the data digitisation, remediation, file validation and system upgrading for a customer from Saudi Arabia in the engineering industry, of which the revenue increased by RM0.53 million or 378.57% to RM0.67 million in the FYE 2025 (FYE 2024: RM0.14 million).

The abovementioned increases were partially offset by the following:

- (a) completion of a contract for the provision of geospatial solutions comprising the development and integration of GIS systems for a government platform project for a local customer (Clearwisdom Sdn Bhd) in the ICT industry. There was no revenue recognised for this project in the FYE 2025 as this project was completed in the FYE 2024 and revenue for such project was recognised in the FYE 2024 which amounted to RM2.49 million; and
- (b) completion of the contract for the provision of geospatial solutions comprising enhancements to the customer's GIS and its related platform as well as maintenance and support services for Customer A. There was no revenue recognised for this project in the FYE 2025 as this project was completed in the FYE 2024 and revenue for such project was recognised in the FYE 2024 which amounted to RM1.35 million.

Intelligent rail solutions segment

Revenue from the intelligent rail solutions segment increased by RM3.84 million or 45.12% to RM12.35 million in the FYE 2025 (FYE 2024: RM8.51 million), mainly due to higher revenue recognition from the progress work done for Customer D in the Kelana Jaya LRT Line project, whereby the revenue increased by RM3.98 million or 191.35% to RM6.06 million in the FYE 2025 (FYE 2024: RM2.08 million).

12. FINANCIAL INFORMATION (cont'd)Trading of ICT solutions segment

Revenue from the trading of ICT solutions segment decreased by RM5.53 million or 71.08% to RM2.25 million in the FYE 2025 (FYE 2024: RM7.78 million), mainly due to:

- (a) decrease in the supply order from Customer A of software subscription licences in connection with the customer's GIS and its related platform, which decreased by RM4.10 million or 78.54% to RM1.12 million in the FYE 2025 as compared to the preceding FYE 2024 of RM5.22 million. The decrease in supply order was mainly attributable to a set of software subscription licences which have ended and not renewed for the GIS platform of Customer A in the FYE 2024 in line with their reduced usage requirement. In the FYE 2025, we commenced the supply of a different batch of software subscription licences to Customer A for its project-specific requirements for a separate GIS platform relating to meter mapping network; and
- (b) completion of a contract for the provision of hardware and software in connection with the geospatial solutions for a local customer (Clearwisdom Sdn Bhd) in the ICT industry. There was no revenue recognised for this project in the FYE 2025 as this project was completed in the FYE 2024 and revenue for such projects were recognised in the FYE 2024 which amounted to RM1.05 million.

The abovementioned decreases were partially offset by sale of the hardware (sensor panels holders and cables) in connection with intelligent rail solutions for Kelana Jaya LRT Line project and LRT3 project, whereby the revenue increased by RM0.60 million or 1,500.00% to RM0.64 million in the FYE 2025 (FYE 2024: RM0.04 million).

FPE 2026 compared to FPE 2025

Our Group's revenue increased by RM8.36 million or 33.70% to RM33.17 million in the FPE 2026 (FPE 2025: RM24.81 million). The increase was attributable to higher revenue contribution from the trading of ICT solutions segment, which increased by RM8.94 million or 480.65% to RM10.80 million in the FPE 2026 (FPE 2025: RM1.86 million). The increase was partially offset by the lower revenue contribution from the intelligent rail solutions segment, which decreased by RM0.71 million or 7.54% to RM8.71 million in the FPE 2026 (FPE 2025: RM9.42 million).

The geospatial solutions segment remained our Group's largest revenue contributor, which contributed RM13.65 million or 41.16% of our Group's total revenue for the FPE 2026 (FPE 2025: RM13.52 million or 54.50%).

For our Group's revenue in the FPE 2025 and FPE 2026, 82.33% and 87.79% of our Group's total revenue was derived from local customers, respectively. Our Group's international revenue was mainly derived from our customers based in India, Saudi Arabia, Philippines and Brunei Darussalam.

The Malaysian market remained as our Group's primary revenue contributor, which accounted for RM20.43 million or 82.33% and RM29.12 million or 87.79% of our Group's total revenue in the FPE 2025 and FPE 2026, respectively. Our Group's international revenue had decreased by RM0.33 million or 7.53% to RM4.05 million in the FPE 2026 (FPE 2025: RM4.38 million), mainly attributed to the revenue contribution from 2 contracts for the provision of geospatial solutions mainly comprising data migration, custom GIS application development and system configuration, and integration with customer's core operational system for a subsidiary of Customer B Group domiciled in Saudi Arabia. There was no revenue recognised for these projects in the FPE 2026 as these projects were completed in the FPE 2025 with revenue recognised amounting to RM0.45 million.

In terms of industry segments, the ICT industry became the largest revenue contributor, which has recorded RM13.94 million or 42.03% of our Group's total revenue in the FPE 2026, mainly due to a new contract secured for the trading of ICT solutions. The revenue from the utilities industry decreased by RM2.31 million or 19.74% in the FPE 2026 mainly due to the completion of certain geospatial projects for Customer A. The revenue from the transportation industry decreased by RM1.28 million or 13.17% in the FPE 2026 mainly due to lower work progress for LRT3 project in the FPE 2026 as compared to preceding financial period.

12. FINANCIAL INFORMATION (cont'd)

Geospatial solutions segment

Revenue from the geospatial solutions segment slightly increased by RM0.13 million or 0.96% to RM13.65 million in the FPE 2026 (FPE 2025: RM13.52 million), mainly due to the following:

- (a) commencement of a new contract for the provision of geospatial solutions comprising upgrade works of GIS systems for a government platform project for Fiscal Digest Sdn Bhd, a local customer in the ICT industry, which contributed to revenue of RM1.79 million in the FPE 2026;
- (b) higher level of provision of geospatial solutions and service activities rendered to our existing and new customers in India which contributed an aggregate revenue of RM1.72 million (FPE 2025: RM1.50 million). Our customers in India operate in different industries such as utilities, ICT and power (i.e. gas distribution), and majority of our contracts are sourced through direct tender and negotiations from our existing and prospective customers in India and their business partners/principals of our geospatial products; and
- (c) commencement of a new contract for the provision of geospatial solutions comprising the upgrading works of the existing generative engine optimisation content management system for a local state-owned water distribution company which contributed to revenue of RM0.15 million in the FPE 2026.

The abovementioned increases were partially offset by the following:

- (a) completion of 3 contracts for the provision of geospatial solutions comprising enhancements to the customer's GIS and its related platform for Customer A. There was no revenue recognised for this project in the FPE 2026 as this project was completed in the FPE 2025 with revenue recognised amounting to RM1.48 million; and
- (b) lower level of service activities from contracts for the provision of geospatial solutions mainly comprising data migration, custom GIS application development and system configuration, and integration with customer's core operational system as well as maintenance and support services for Customer B Group. The revenue decreased by RM0.11 million or 5.88% to RM1.76 million in the FPE 2026 (FPE 2025: RM1.87 million).

Intelligent rail solutions segment

Revenue from the intelligent rail solutions segment decreased by RM0.71 million or 7.54% to RM8.71 million in the FPE 2026 (FPE 2025: RM9.42 million), mainly due to lower revenue recognition from the progress work done for LRT3 project which are nearing the tail-end phase of completion in FPE 2026, whereby the revenue decreased by RM4.23 million or 79.81% to RM1.07 million in the FPE 2026 (FPE 2025: RM5.30 million).

This was partially offset by the following:

- (a) higher revenue recognition from the progress work done for Customer D in the Kelana Jaya LRT Line project, whereby the revenue increased by RM2.73 million or 66.10% to RM6.86 million in the FPE 2026 (FPE 2025: RM4.13 million); and
- (b) commencement of a new contract secured in FPE 2026 from an engineering company for the supply and installation works of SCADA system for Kelana Jaya LRT Line project, which contributed revenue amounting to RM0.74 million in the FPE 2026.

Trading of ICT solutions segment

Revenue from the trading of ICT solutions segment increased by RM8.94 million or 480.65% to RM10.80 million in the FPE 2026 (FPE 2025: RM1.86 million), mainly due to the commencement of a new contract for the trading of ICT solutions for a government platform project for Fiscal Digest Sdn Bhd a local customer in the ICT industry, which contributed to revenue of RM10.10 million in the FPE 2026. The contract entails the supply provision of geospatial software and sale of certain of our ICT solutions for use of Fiscal Digest Sdn Bhd's rendering works which involves software integration, license allocation and active testing phases using desktop mapping software to align with the government platform's core operation system in relation to land administration matters.

12. FINANCIAL INFORMATION (cont'd)**12.3.3 Cost of sales, GP and GP margin****(a) Cost of sales by business activities**

The table below presents the breakdown of our Group's total cost of sales by business activities:

	Audited						Unaudited		Audited	
	FYE 2023		FYE 2024		FYE 2025		FPE 2025		FPE 2026	
	RM'000	%	RM'000	%	RM'000	%	RM'000	%	RM'000	%
Geospatial solutions	12,448	77.59	12,902	57.56	10,795	64.60	8,192	61.32	7,903	37.21
Intelligent rail solutions	-	-	4,000	17.84	4,827	28.89	3,615	27.06	3,312	15.59
Trading of ICT solutions	3,595	22.41	5,515	24.60	1,087	6.51	1,553	11.62	10,024	47.20
Total	16,043	100.00	22,417	100.00	16,709	100.00	13,360	100.00	21,239	100.00

(b) Cost of sales by cost items

The table below presents the breakdown of our Group's total cost of sales by cost items:

	Audited						Unaudited		Audited	
	FYE 2023		FYE 2024		FYE 2025		FPE 2025		FPE 2026	
	RM'000	%	RM'000	%	RM'000	%	RM'000	%	RM'000	%
Hardware and software ⁽¹⁾	6,873	42.84	10,602	47.29	6,346	37.98	5,086	38.07	13,915	65.52
Subcontractors' costs ⁽²⁾	4,139	25.80	5,814	25.94	3,395	20.32	3,111	23.29	2,677	12.60
Direct staff costs ⁽³⁾	4,852	30.24	5,525	24.65	6,508	38.95	4,871	36.46	4,254	20.03
Other direct costs ⁽⁴⁾	179	1.12	476	2.12	460	2.75	292	2.18	393	1.85
Total	16,043	100.00	22,417	100.00	16,709	100.00	13,360	100.00	21,239	100.00

Notes:

- (1) Comprise purchase of hardware and software that are required for the projects undertaken during the Financial Years/Period Under Review.
- (2) Comprise outsourcing cost to third party for project related non-core IT support services such as certain module programming works and maintenance works, and installation services (i.e. equipment installation works for project sites) as well as other non-IT related specialised works such as electrical wiring, cabling and structural works.
- (3) Comprise salaries, performance bonuses and other related staff costs for technical services personnel directly attributable to the implementation of our Group's geospatial solutions and intelligent rail solutions segments.
- (4) Comprise incidental expenses incurred for the implementation of our Group's solutions and services such as freight charges, rental of crane and scaffolding, expenses of technical services personnel, storage expenses as well as engineering and design fees.

(c) GP and GP margin

The table below presents the breakdown of our GP and GP margin by business activities:

	Audited						Unaudited		Audited	
	FYE 2023		FYE 2024		FYE 2025		FPE 2025		FPE 2026	
	GP	GP margin	GP	GP margin	GP	GP margin	GP	GP margin	GP	GP margin
	RM'000	%	RM'000	%	RM'000	%	RM'000	%	RM'000	%
Geospatial solutions	6,721	35.06	5,734	30.77	7,904	42.27	5,328	39.41	5,747	42.11
Intelligent rail solutions	-	-	4,510	53.00	7,524	60.92	5,809	61.64	5,401	61.98
Trading of ICT solutions	2,169	37.63	2,263	29.09	1,159	51.60	312	16.74	779	7.21
Total	8,890	35.66	12,507	35.81	16,587	49.82	11,449	46.15	11,927	35.96

12. FINANCIAL INFORMATION *(cont'd)***FYE 2024 compared to FYE 2023****Cost of sales**

Our Group's total cost of sales increased by RM6.38 million or 39.78% to RM22.42 million in the FYE 2024 (FYE 2023: RM16.04) mainly attributable to the increase in purchases of hardware and software of RM3.73 million or 54.29%, which was in line with our revenue growth from the intelligent rail solutions and trading of ICT solutions segments during FYE 2024.

Other than the increase in purchases of hardware and software, the overall increase in the Group's cost of sales was attributable to the net effect of the following:

- (a) subcontractors' costs increased by RM1.67 million or 40.34% to RM5.81 million in the FYE 2024 (FYE 2023: RM4.14 million) which corresponds with the increase in our Group's revenue in the FYE 2024;
- (b) direct staff costs increased by RM0.68 million or 14.02% to RM5.53 million in the FYE 2024 (FYE 2023: RM4.85 million) mainly due to inclusion of the direct staff costs of ATSB Group into our Group after ATSB became our subsidiary in December 2023; and
- (c) other direct costs increased by RM0.30 million or 166.67% to RM0.48 million in the FYE 2024 (FYE 2023: RM0.18 million), mainly attributable to rental of crane and scaffolding, storage expenses as well as engineering and design fees in relation to LRT3 project and Kelana Jaya LRT Line project. For avoidance of doubt, the design fees relate to the fabrication of prototype mould of the PIES® System panel used in the initial stage of railway project and do not constitute part of internal design works or direct staff costs.

Our Group's overall GP margin remained consistent at 35.81% in the FYE 2024 (FYE 2023: 35.66%).

Our total GP increased by RM3.62 million or 40.72% to RM12.51 million in the FYE 2024 (FYE 2023: RM8.89 million). This increase was primarily attributable to the addition of intelligent rail solutions segment which recorded GP contribution of RM4.51 million. This increase was however offset by the decrease in GP contribution from the geospatial solutions segment of RM0.99 million in the FYE 2024.

Geospatial solutions segment

Cost of sales for the geospatial solutions segment remained as the largest portion of our cost of sales, which accounted for 77.59% and 57.56% of our total cost of sales for the FYE 2023 and FYE 2024, respectively. Cost of sales for the geospatial solutions segment increased by RM0.45 million or 3.61% to RM12.90 million in the FYE 2024 (FYE 2023: RM12.45 million) mainly due to higher costs for purchase of hardware and software for our projects for the provision of geospatial solutions for a customer from India in the utilities industry.

Our GP and GP margin from the geospatial solutions segment decreased to RM5.73 million in the FYE 2024 (FYE 2023: RM6.72 million) and 30.77% in the FYE 2024 (FYE 2023: 35.06%), respectively. This was mainly attributable to a lower margin from a contract secured in the FYE 2024 for the provision of geospatial solutions comprising the development and integration of GIS systems for a government platform project for a local customer in the ICT industry, primarily attributable on the part of our pricing strategy due to competitive tender.

Intelligent rail solutions segment

Cost of sales for intelligent rail solutions segment recorded at RM4.00 million for FYE 2024 mainly contributed by subcontractors' costs, purchase of hardware and software as well as direct staff costs incurred for the 2 projects i.e. LRT3 project and Kelana Jaya LRT Line project.

12. FINANCIAL INFORMATION (cont'd)

Our intelligent rail solutions segment recorded GP and GP margin of RM4.51 million and 53.00% respectively for the FYE 2024. Our intelligent rail solutions segment generally command higher GP margin in relative to other segments, primarily due to the nature of our specialised ICT services which include the design, engineering, installation, commissioning and testing, as well as technical know-how and system integration capabilities that can meet the railway platform safety system requirements. Additionally, the deployment of our proprietary technologies enhances our value proposition in delivering railway platform safety systems. In particular, the use of our proprietary PIES® System and proprietary strain sensitive sensor (i.e. BLUCOR®) in project implementation enables our Group to achieve such margins, as compared to solutions that rely predominantly on externally sourced software and hardware components.

Trading of ICT solutions segment

Cost of sales for the trading of ICT solutions segment increased by RM1.92 million or 53.33% from RM3.60 million in the FYE 2023 to RM5.52 million in the FYE 2024, mainly due to higher costs for purchase of hardware and software for our projects which is in tandem with the higher revenue growth in the trading of ICT solutions in the FYE 2024.

Despite our GP from the trading of ICT solutions segment increased by RM0.09 million or 4.15% to RM2.26 million in the FYE 2024 (FYE 2023: RM2.17 million), our GP margin decreased to 29.09% in the FYE 2024 (FYE 2023: 37.63%). This was mainly attributable to lower margin from a new contract secured for the provision of hardware (i.e. servers, switchboards and printers) for a local ICT customer to be bundled as part of its service rendered for a government platform project.

FYE 2025 compared to FYE 2024Cost of sales

Our Group's total cost of sales decreased by RM5.71 million or 25.47% to RM16.71 million in the FYE 2025 (FYE 2024: RM22.42 million) mainly attributable to the following:

- (a) purchases of hardware and software decreased by RM4.25 million or 40.09%, to RM6.35 million in the FYE 2025 (FYE 2024: RM10.60 million) which was mainly in line with the reduction in our revenue from the trading of ICT solutions segment during FYE 2025; and
- (b) subcontractors' costs decreased by RM2.41 million or 41.48% to RM3.40 million in the FYE 2025 (FYE 2024: RM5.81 million), mainly due to the completion of a geospatial solutions contract for a local customer (Clearwisdom Sdn Bhd) involving the development and integration of GIS systems for a government platform project in the FYE 2024, which resulted in lower outsourcing requirements for module programming and equipment installation works in the FYE 2025.

The decreases in purchase of hardware and software as well as subcontractors' cost were partially offset by the direct staff costs, which increased by RM0.98 million or 17.72% to RM6.51 million in the FYE 2025 (FYE 2024: RM5.53 million). This increase was mainly due to the recognition of full-year direct staff costs from ATSB Group in the FYE 2025 as compared to 7-month direct staff costs in the FYE 2024 following our Group's acquisition of 51.00% equity interest of ATSB in December 2023.

Our Group's overall GP margin increased to 49.82% in the FYE 2025 (FYE 2024: 35.81%). The higher overall GP margin was contributed from the GP in the intelligent rail solutions segment, followed by trading of ICT solutions segment and geospatial solutions segment.

12. FINANCIAL INFORMATION *(cont'd)*

Our total GP increased by RM4.08 million or 32.61% to RM16.59 million in the FYE 2025 (FYE 2024: RM12.51 million). This increase was attributable to the higher GP contribution from the intelligent rail solutions segment and geospatial solutions segment, which increased by RM3.01 million and RM2.17 million respectively. This increase was, however, offset by the decrease in GP contribution from the trading of ICT solutions segment of RM1.10 million in the FYE 2025.

Geospatial solutions segment

Cost of sales for the geospatial solutions segment remained as the largest portion of our cost of sales, which accounted for 57.56% and 64.60% of our total cost of sales for the FYE 2024 and FYE 2025, respectively. Notwithstanding this, cost of sales for the geospatial solutions segment decreased by RM2.10 million or 16.28% to RM10.80 million in the FYE 2025 (FYE 2024: RM12.90 million) mainly due to lower subcontractors' costs incurred following the completion of a geospatial solutions contract for a local customer (Clearwisdom Sdn Bhd) involving the development and integration of GIS systems for a government platform project in the FYE 2024, which resulted in lower outsourcing requirements for module programming and equipment installation works.

Our GP and GP margin from the geospatial solutions segment increased to RM7.90 million in the FYE 2025 (FYE 2024: RM5.73 million) and 42.27% in the FYE 2025 (FYE 2024: 30.77%), respectively. This was mainly attributable to the following:

- (a) improved cost efficiency arising from increased scalability in geospatial solutions projects for Customer A, as existing manpower, systems and project mobilisation efforts were leveraged across multiple contracts for the same customer, resulting in lower incremental project costs without incurring additional subcontractors costs in the FYE 2025; and
- (b) absence from the low margin project for the provision of geospatial solutions comprising the development and integration of GIS systems for a government platform project for a local customer in the ICT industry which was completed in the FYE 2024.

Intelligent rail solutions segment

Cost of sales for the intelligent rail solutions segment increased by RM0.83 million or 20.75% to RM4.83 million in the FYE 2025 (FYE 2024: RM4.00 million) mainly due to higher purchases of hardware and software incurred for the activities carried out in Kelana Jaya LRT Line project.

Our GP and GP margin from the intelligent rail solutions segment increased to RM7.52 million in the FYE 2025 (FYE 2024: RM4.51 million) and 60.92% in the FYE 2025 (FYE 2024: 53.00%), respectively. This was attributable to the contract for the provision of intelligent rail solutions for Kelana Jaya LRT Line project which recorded a higher GP margin in the FYE 2025 arising from cost savings and adjustment for project costs over provided in previous years for the on-going LRT3 project. During the FYE 2025, our Group's project activities were mainly focused on installation, testing and commissioning works as well as technical services on the intelligent rail solutions, which require lower material input and thus yield higher margin as compared to earlier project phases carried out in the FYE 2024.

Trading of ICT solutions segment

Cost of sales for the trading of ICT solutions segment decreased by RM4.43 million or 80.25% to RM1.09 million in the FYE 2025 (FYE 2024: RM5.52 million), mainly due to lower costs incurred for the purchase of hardware and software for our customers' projects.

Despite the decrease in GP contribution from the trading of ICT solutions segment to RM1.16 million in the FYE 2025 (FYE 2024: RM2.26 million), our Group recorded an increase in GP margin within the same segment to 51.60% in the FYE 2025 (FYE 2024: 29.09%). This was attributable to sale of different product mix, with a greater proportion of sales contributed from higher margin ICT items, mainly comprising software licences and intelligent rail hardware such as cables.

12. FINANCIAL INFORMATION (cont'd)**FPE 2026 compared to FPE 2025****Cost of sales**

Our Group's total cost of sales increased by RM7.88 million or 58.98% to RM21.24 million in the FPE 2026 (FPE 2025: RM13.36 million) mainly attributable to higher purchases of hardware and software, which increased by RM8.83 million or 173.48%, to RM13.92 million in the FPE 2026 (FPE 2025: RM5.09 million) which was mainly in line with the increase in our revenue from the trading of ICT solutions segment during FPE 2026.

The increases in purchases of hardware and software as well as other direct costs were partially offset by the following:

- (a) direct staff cost decreased by RM0.62 million or 12.73% to RM4.25 million in the FPE 2026 (FPE 2025: RM4.87 million), mainly due to reduced manpower requirements arising from the completion of contracts for the provision of geospatial solutions for Customer A; and
- (b) subcontractors' costs decreased by RM0.43 million or 13.83% to RM2.68 million in the FPE 2026 (FPE 2025: RM3.11 million), mainly due to lower subcontractors' costs for LRT3 project as the project is nearing the tail-end phase of completion in FPE 2026.

Our Group's overall GP margin decreased to 35.96% in the FPE 2026 (FPE 2025: 46.15%). The lower overall GP margin was contributed from the GP in the trading of ICT solutions segment.

Our total GP slightly increased by RM0.48 million or 4.19% to RM11.93 million in the FPE 2026 (FPE 2025: RM11.45 million). This increase was attributable to the higher GP contribution from the trading of ICT solutions segment and the geospatial solutions segment, which increased by RM0.47 million and RM0.42 million, respectively. This increase was, however, offset by the decrease in GP contribution from the intelligent rail solutions segment of RM0.41 million in the FPE 2026.

Geospatial solutions segment

Cost of sales for the geospatial solutions segment decreased by RM0.29 million or 3.54% to RM7.90 million in the FPE 2026 (FPE 2025: RM8.19 million) mainly due to reduced manpower requirements arising from the completion of contracts for the provision of geospatial solutions for Customer A.

Our GP and GP margin from the geospatial solutions segment increased to RM5.75 million in the FPE 2026 (FPE 2025: RM5.33 million) and 42.11% in the FPE 2026 (FPE 2025: 39.41%), respectively. This was mainly attributable to the lower service cost per staff as a result of lower incentive and allowance benefits granted to the direct staff attributed to reduced manpower requirements for certain completion of contracts for the provision of geospatial solutions.

Intelligent rail solutions segment

Cost of sales for the intelligent rail solutions segment decreased by RM0.31 million or 8.56% to RM3.31 million in the FPE 2026 (FPE 2025: RM3.62 million) mainly due to lower subcontractors' costs for LRT3 project as the project is nearing the tail-end phase of completion in FPE 2026.

In tandem with the lower revenue for the intelligent rail solutions segment, our GP from the intelligent rail solutions segment decreased to RM5.40 million in the FPE 2026 (FPE 2025: RM5.81 million).

12. FINANCIAL INFORMATION (cont'd)

Our GP margin from the intelligent rail solutions segment increased to 61.98% in the FPE 2026 (FPE 2025: 61.64%), as our Group's project activities during the FPE 2026 particularly for LRT3 project were mainly focused on testing and commissioning works as well as technical services on the intelligent rail solutions, which require lower subcontractors' costs incurred and thus yield higher margin as compared to earlier project phases carried out in the FPE 2025.

Trading of ICT solutions segment

Cost of sales for the trading of ICT solutions segment increased by RM8.47 million or 546.45% to RM10.02 million in the FPE 2026 (FPE 2025: RM1.55 million), mainly due to higher costs incurred for the purchase of GIS software, licences and related development kits for a new contract for the trading of ICT solutions for a government platform project for a local customer (Fiscal Digest Sdn Bhd).

Despite the increase in GP contribution from the trading of ICT solutions segment to RM0.78 million in the FPE 2026 (FPE 2025: RM0.31 million), our Group recorded a decrease in GP margin within the same segment to 7.21% in the FPE 2026 (FPE 2025: 16.74%). This was attributable to sale of different product mix, with a greater proportion of sales contributed from lower margin ICT items, particularly the desktop mapping software, supplied to the local customer (Fiscal Digest Sdn Bhd) to be bundled as part of its service rendered for a government platform project. In contrast, the higher GP margin in FPE 2025 was mainly attributable to the sale of higher margin ICT items, mainly comprising software licences and intelligent rail hardware such as cables.

12.3.4 Other income

	Audited						Unaudited		Audited	
	FYE 2023		FYE 2024		FYE 2025		FPE 2025		FPE 2026	
	RM'000	%	RM'000	%	RM'000	%	RM'000	%	RM'000	%
Interest income ⁽¹⁾	49	6.79	127	18.51	50	11.77	102	29.48	81	39.71
Fair value gain on short-term investments ⁽²⁾	221	30.61	171	24.93	-	-	-	-	-	-
Realised gain on foreign exchange ⁽³⁾	204	28.25	276	40.23	-	-	36	10.40	28	13.73
Unrealised gain on foreign exchange ⁽⁴⁾	150	20.77	-	-	-	-	19	5.49	17	8.33
Income from short-term investments ⁽⁵⁾	23	3.19	86	12.54	212	49.88	176	50.87	61	29.90
Others ⁽⁶⁾	75	10.39	26	3.79	163	38.35	13	3.76	17	8.33
Total	722	100.00	686	100.00	425	100.00	346	100.00	204	100.00

Notes:

- (1) Relates to interest income earned from bank balances and fixed deposit from licensed banks.
- (2) Relates to the increase in gain on changes in the fair value of short-term investments at fair value through profit or loss marked to market for money market fund held as at the end of reporting period as compared to their investment cost.
- (3) Relates to collections from customers in foreign currency due to the conversion of foreign currencies to RM being higher than the book rate.
- (4) Relates to translation on foreign currencies bank balances into RM arising from weaker RM against foreign currencies as at the end of reporting period.
- (5) Relates to interest income earned from money market funds.
- (6) Mainly comprise cash rebate from credit card and back charge of printing and stationery charges to customers, as well as gain on disposal of property, plant and equipment of RM13,800 and gain on disposal of investment in 49.75%-owned associate company (Neotera Sdn Bhd) of RM1,196 in the FYE 2025.

12. FINANCIAL INFORMATION (cont'd)**FYE 2024 compared to FYE 2023**

Our other income decreased by RM0.03 million or 4.17% to RM0.69 million in the FYE 2024 (FYE 2023: RM0.72 million) mainly due to the impact from the absence of unrealised gain on foreign exchange of RM0.15 million.

The decrease in other income was partially offset by the following:

- (a) increase in interest income of RM0.08 million due to higher placement of fixed deposit with licensed banks with fixed deposit rate ranging from 2.40% to 6.60% per annum in the FYE 2024 (FYE 2023: 1.90% to 5.70% per annum); and
- (b) increase in income from short-term investments of RM0.07 million due to higher investments in money market funds throughout the FYE 2024.

FYE 2025 compared to FYE 2024

Our other income decreased by RM0.26 million or 37.68% to RM0.43 million in the FYE 2025 (FYE 2024: RM0.69 million) mainly due to the impact from the absence of fair value gain on short-term investments of RM0.17 million and absence of realised gain on foreign exchange of RM0.28 million as a result of the collections from customers in foreign currency due to weaker USD against RM as at 30 June 2025.

The decrease in other income was partially offset by the increase in income from short-term investments of RM0.12 million due to higher investments in money market funds throughout the FYE 2025.

FPE 2026 compared to FPE 2025

Our other income decreased by RM0.15 million or 42.86% to RM0.20 million in the FPE 2026 (FPE 2025: RM0.35 million) mainly due to the lower income from short-term investments with lower investments placed in money market funds throughout the FPE 2026.

12.3.5 Administrative expenses

	Audited						Unaudited		Audited	
	FYE 2023		FYE 2024		FYE 2025		FPE 2025		FPE 2026	
	RM'000	%	RM'000	%	RM'000	%	RM'000	%	RM'000	%
Staff costs ⁽¹⁾	1,682	52.74	3,216	54.45	3,498	51.69	2,593	52.80	2,552	43.44
Directors' remuneration	565	17.72	810	13.72	1,012	14.96	738	15.02	734	12.49
Office expenses ⁽²⁾	304	9.53	426	7.21	859	12.69	563	11.46	520	8.85
Rental expenses ⁽³⁾	84	2.64	231	3.91	127	1.88	97	1.97	72	1.23
Upkeep and maintenance ⁽⁴⁾	176	5.52	165	2.79	328	4.85	255	5.19	211	3.59
Marketing expenses ⁽⁵⁾	19	0.60	100	1.69	82	1.21	79	1.61	77	1.31
Professional fees ⁽⁶⁾	245	7.68	675	11.43	465	6.87	467	9.51	895	15.23
Withholding tax ⁽⁷⁾	97	3.04	269	4.56	174	2.57	112	2.28	38	0.65
Bank charges	17	0.53	14	0.24	32	0.47	8	0.16	11	0.19
Listing expenses ⁽⁸⁾	-	-	-	-	190	2.81	-	-	765	13.02
Total	3,189	100.00	5,906	100.00	6,767	100.00	4,912	100.00	5,875	100.00

Notes:

- (1) Comprise staff salaries, wages, bonuses, employee contributions, and other staff related expenses such as staff welfare, medical fees and training expenses.
- (2) Comprise mainly utilities charges, printing, courier and stationery, and other office general expenses.
- (3) Mainly relates to rented project site office located at Setiawangsa, Kuala Lumpur in the FYE 2023 and FYE 2024 as well as 2 rented offices in India which have a tenancy lease term of less than 12 months since FYE 2024.

12. FINANCIAL INFORMATION (cont'd)

- (4) Comprise maintenance expenses for our offices, computer, office equipment, motor vehicles, quit rent and assessment for premises as well as the road tax and insurances for motor vehicles.
- (5) Comprise promotional and advertisement expenses for business development and marketing purposes.
- (6) Comprise mainly fees incurred for audit, company secretarial, corporate advisory, legal and tax.
- (7) Represents our Saudi Arabia and Philippines customers that withhold part of their payments to us and remit to their home country inland revenue department. Our international customers assume the responsibility to remit the withholding tax to their home country inland revenue department of paying or crediting the non-resident payee. The withholding tax rate for our provision of geospatial solutions is taxed at 5.00% in Saudi Arabia and 25.00% in Philippines on the invoice value.
- (8) Comprise professional services and listing expenses associated with the Transfer.

FYE 2024 compared to FYE 2023

Administrative expenses increased by RM2.72 million or 85.27% to RM5.91 million in the FYE 2024 (FYE 2023: RM3.19 million) mainly attributable to the following:

- (a) increase in staff costs of RM1.54 million or 91.67% mainly attributed to inclusion of ATSB Group (with a headcount of 32 employees) to our Group and annual salary increments to existing employees;
- (b) increase in professional fees of RM0.43 million or 172.00%, mainly due to the professional fees (comprising legal fees, corporate advisory fees, company secretarial fees) incurred for the corporate exercise of the acquisition of ATSB which was completed in December 2023;
- (c) increase in directors' remuneration of RM0.24 million or 42.11%, mainly due to the inclusion of a director of ATSB Group into our Group after ATSB became our subsidiary in December 2023; and
- (d) increase in withholding tax of RM0.17 million or 170.00% due to increased collection received from 2 customers from Saudi Arabia and Philippines in the FYE 2024.

FYE 2025 compared to FYE 2024

Administrative expenses increased by RM0.86 million or 14.55% to RM6.77 million in the FYE 2025 (FYE 2024: RM5.91 million) mainly attributable to the following:

- (a) Increase in staff costs of RM0.28 million or 8.70% mainly attributed to recognition of full-year staff costs of ATSB Group in the FYE 2025 as compared to 7-month staff costs in the FYE 2024 as well as annual salary increments to existing employees;
- (b) increase in directors' remuneration of RM0.20 million or 24.69%, mainly due to recognition of full-year director's salaries of ATSB Group in the FYE 2025; and
- (c) increase in office expenses of RM0.43 million or 100.00% and upkeep and maintenance expenses of RM0.16 million or 94.12%, mainly due to recognition of full-year office expenses, upkeep and maintenance expenses of ATSB Group in the FYE 2025 as compared to 7-month office expenses, upkeep and maintenance expenses in the FYE 2024 as our Group acquired ATSB in December 2023.

The increases in administrative expenses were partially offset by the following:

- (a) decrease in professional fees of RM0.21 million or 30.88%, mainly due to absence of one-off professional fees (comprising legal fees, corporate advisory fees, company secretarial fees) which had been incurred during the FYE 2024 for the corporate exercise involving the acquisition of ATSB;

12. FINANCIAL INFORMATION (cont'd)

- (b) decrease in withholding tax of RM0.10 million or 37.04% due to decreased collections received from 2 customers from Saudi Arabia and Philippines due to lower billing derived in the FYE 2025; and
- (c) decrease in rental expenses of RM0.10 million or 43.48%, due to the cessation of rented project site office located at Setiawangsa, Kuala Lumpur subsequent to completion of the project in the FYE 2024.

FPE 2026 compared to FPE 2025

Administrative expenses increased by RM0.97 million or 19.76% to RM5.88 million in the FPE 2026 (FPE 2025: RM4.91 million) mainly attributable to the increase in listing expenses of RM0.58 million and increase in professional fees of RM0.43 million, which mainly comprised audit engagements and other professional engagements as well as listing expenses incurred in connection with the Transfer.

12.3.6 Selling and marketing expenses

Such selling and marketing expenses are included in the consolidated statements of profit or loss and other comprehensive income as a result of the consolidation of ATSB Group's financial results. For clarity, prior to the acquisition of 51.00% equity interest in ATSB, RedPlanet Group's (excluding ATSB Group) marketing expenses were presented under administrative expenses as set out in **Section 12.3.5** of this Prospectus, while ATSB Group's marketing expenses were presented under selling and marketing expenses as set out hereinbelow. The difference in presentation arose due to legacy financial reporting practices adopted by the respective entities prior to the acquisition of ATSB, and such difference in presentation does not affect our Group's total operating expenses and profit, as it relates solely to presentation within operating expense line items.

	Audited						Unaudited		Audited	
	FYE 2023		FYE 2024		FYE 2025		FPE 2025		FPE 2026	
	RM'000	%	RM'000	%	RM'000	%	RM'000	%	RM'000	%
Marketing expenses	-	-	4	5.33	2	2.41	2	3.28	35	38.46
Advertisement	-	-	5	6.67	9	10.84	7	11.47	11	12.09
Entertainment expenses	-	-	64	85.33	68	81.93	50	81.97	41	45.05
Others ⁽¹⁾	-	-	2	2.67	4	4.82	2	3.28	4	4.40
Total	-	-	75	100.00	83	100.00	61	100.00	91	100.00

Note:

- (1) Comprise staff claims on handphone charges and travelling expenses.

FYE 2024 compared to FYE 2023

Our selling and marketing expenses recorded RM0.08 million in the FYE 2024. These expenses are incurred by ATSB Group for business marketing and development purposes after ATSB became our subsidiary in December 2023.

FYE 2025 compared to FYE 2024

Our selling and marketing expenses recorded RM0.08 million in the FYE 2025, which remained fairly consistent with the selling and marketing expenses recorded in the FYE 2024.

FPE 2026 compared to FPE 2025

Our selling and marketing expenses slightly increased by RM0.03 million or 50.00% to RM0.09 million in the FPE 2026 (FPE 2025: RM0.06 million) mainly attributable to business development and marketing costs incurred in relation to our Group's participation in a local exhibition, namely the Alpine Integrated Solution Transport Expo Asia in November 2025.

12. FINANCIAL INFORMATION (cont'd)**12.3.7 Other expenses**

	Audited						Unaudited		Audited	
	FYE 2023		FYE 2024		FYE 2025		FPE 2025		FPE 2026	
	RM'000	%	RM'000	%	RM'000	%	RM'000	%	RM'000	%
Depreciation and amortisation	562	90.06	938	95.52	1,006	47.73	736	45.80	607	55.89
Unrealised loss on foreign exchange	-	-	3	0.31	920	43.64	771	47.98	458	42.17
Realised loss on foreign exchange	62	9.94	21	2.14	167	7.92	99	6.16	21	1.94
R&D expenses	-	-	12	1.22	15	0.71	1	0.06	Neg. ⁽²⁾	-
Property, plant and equipment written off	-	-	8	0.81	Neg. ⁽¹⁾	-	Neg. ⁽¹⁾	-	-	-
Total	624	100.00	982	100.00	2,108	100.00	1,607	100.00	1,086	100.00

Notes:

- (1) Represents RM4 only.
- (2) Represents RM166 only.

FYE 2024 compared to FYE 2023

Other expenses increased by RM0.36 million or 58.06% to RM0.98 million in the FYE 2024 (FYE 2023: RM0.62 million). Such increase was attributed to an increase in depreciation and amortisation expenses of RM0.38 million or 67.86% arising from the inclusion of the property, plant and equipment (mainly office building and related renovation, motor vehicles, office equipment as well as furniture and fittings), right-of-use assets (rental commitment of office premises) and intangible assets (relating to LRT3 project) of ATSB following its inclusion into our Group in December 2023. Further, our Group also recorded R&D expenses of RM0.01 million, mainly for renewal fees of AutoCAD software.

FYE 2025 compared to FYE 2024

Other expenses increased by RM1.13 million or 115.31% to RM2.11 million in the FYE 2025 (FYE 2024: RM0.98 million). Such increase was mainly attributed to the following:

- (a) unrealised loss on foreign exchange of RM0.92 million, mainly as a result of translation on foreign currencies bank balances and amount owing by a foreign subsidiary (i.e. Alpha Zaicon) into RM arising from weaker foreign currencies (particularly USD and CAD) against RM as at 30 June 2025; and
- (b) increase in realised loss on foreign exchange of RM0.15 million arising mainly from exchange rate differences between the invoice date and settlement date for USD-denominated billings, where the RM strengthened against USD at point of collection.

FPE 2026 compared to FPE 2025

Other expenses decreased by RM0.52 million or 32.30% to RM1.09 million in the FPE 2026 (FPE 2025: RM1.61 million). Such decrease was mainly attributed to the following:

- (a) unrealised loss on foreign exchange of RM0.31 million, mainly as a result of translation on foreign currencies bank balances and amount owing by a foreign subsidiary (i.e. Alpha Zaicon) into RM arising from strengthening of foreign currencies (particularly USD and CAD) against RM as at 31 March 2026; and
- (b) depreciation and amortisation of RM0.13 million, arising from lower amortisation on intangible assets due to certain projects costs being fully amortised after FPE 2025.

12. FINANCIAL INFORMATION (cont'd)**12.3.8 Finance costs**

	Audited						Unaudited		Audited	
	FYE 2023		FYE 2024		FYE 2025		FPE 2025		FPE 2026	
	RM'000	%	RM'000	%	RM'000	%	RM'000	%	RM'000	%
Term loans interests	-	-	250	91.58	252	50.60	192	47.17	176	48.09
Bank overdraft interests	-	-	16	5.86	144	28.92	129	31.70	21	5.74
Hire purchase interests	-	-	3	1.10	8	1.61	5	1.23	13	3.55
Revolving credit interests	1	33.33	-	-	-	-	-	-	-	-
Interests on amount owing to a director ⁽¹⁾	-	-	-	-	49	9.84	36	8.84	-	-
Trust receipt interests	-	-	-	-	16	3.21	16	3.93	-	-
Unwinding of discount on contingent consideration ⁽²⁾	-	-	-	-	13	2.61	14	3.44	135	36.88
Bank guarantee fees	2	66.67	4	1.46	15	3.01	9	2.21	13	3.55
Bank commitment fees	-	-	-	-	1	0.20	1	0.25	3	0.82
Lease liabilities	-	-	-	-	-	-	5	1.23	5	1.37
Total	3	100.00	273	100.00	498	100.00	407	100.00	366	100.00

Notes:

- (1) Relates to advances from a Director (Lian Wah Seng) for our working capital requirement. We have fully settled such advances in the FYE 2025.
- (2) Represents recognition of interest expenses over time to increase the contingent consideration to its full future value.

FYE 2024 compared to FYE 2023

Our finance costs increased to RM0.27 million in the FYE 2024 (FYE 2023: <RM0.01 million) mainly attributable to the inclusion of ATSB Group's interest expenses on term loans (with principal amount of RM5.65 million to finance the purchase of freehold land and building as well as with principal amounts of RM1.00 million to finance working capital requirement) after ATSB became our subsidiary in December 2023.

FYE 2025 compared to FYE 2024

Our finance costs increased to RM0.50 million in the FYE 2025 (FYE 2024: RM0.27 million) mainly attributable to the increase in interests charged on bank overdrafts due to higher utilisation for our working capital requirement. Further, the higher finance costs were also contributed by interest expenses on advances from our Director, Lian Wah Seng, for working capital requirements relating to LRT3 project and Kelana Jaya LRT Line project. Such advances carry an interest rate of 8% per annum. Our Group has fully settled such advances in the FYE 2025.

FPE 2026 compared to FPE 2025

Our finance costs decreased to RM0.37 million in the FPE 2026 (FPE 2025: RM0.41 million) mainly attributable to the net repayment of borrowings particularly term loans, bank overdrafts and trust receipt during FPE 2026 which resulted in lower interests charged. The decrease in finance costs was partially offset by a non-cash charge of RM0.14 million in FPE 2026 relating to the unwinding of discount on contingent consideration (FPE 2025: RM0.01 million).

12. FINANCIAL INFORMATION (cont'd)**12.3.9 Net reversal of/(allowance for) impairment losses on financial assets**

Our Group applies the simplified approach to provide for impairment losses prescribed by MFRS 9 – Financial Instruments to estimate a lifetime expected credit loss ("ECL") allowance for all trade receivables and contract assets. Collective impairment was based on the credit risk and the days past due, while individual impairment was based on specific receivables that are credit impaired. We derived the expected loss rates based on the payment profiles of past sales and the corresponding historical credit losses which is then adjusted based on reasonable and supportable qualitative and quantitative forward-looking information. Reversals of impairment losses are made when there is reassessment of ECL or subsequent collections.

The breakdown of our net reversal of impairment losses on financial assets for the Financial Years/Period Under Review is as follows:

	Audited						Unaudited		Audited	
	FYE 2023		FYE 2024		FYE 2025		FPE 2025		FPE 2026	
	RM'000	%	RM'000	%	RM'000	%	RM'000	%	RM'000	%
Allowance for impairment loss on:										
- trade receivables	(895)	2,237.50	-	-	-	-	-	-	(25)	(100.00)
Reversal of impairment losses on:										
- contract assets	895	2,237.50	-	-	-	-	-	-	-	-
- trade receivables	9	22.50	15	100.00	-	-	-	-	-	-
Writeback of impairment loss on trade receivables	31	77.50	-	-	-	-	-	-	-	-
Total	40	100.00	15	100.00	-	-	-	-	(25)	(100.00)

FYE 2024 compared to FYE 2023

In the FYE 2023, the impairment losses on trade receivables of RM0.90 million was due to 1 customer individually impaired as it was long outstanding for more than 365 days. Correspondingly, a reversal of impairment loss on contract assets amounting to RM0.90 million was recorded for the same customer. This arose because, upon the issuance of invoices, the contract assets relating to the project were reclassified to trade receivables, resulting in the reallocation of the previously recognised impairment loss from contract assets to trade receivables. For clarity, this reclassification did not result in an additional impairment charge but rather a movement of the impairment allowance from contract assets to trade receivables following the invoices issued. In addition, our Group had also recognised the writeback of impairment loss of RM0.03 million for the same customer given that the customer has repaid part of the outstanding balances.

In the FYE 2023 and FYE 2024, there were reversals of impairment losses amounting to RM9,000 and RM15,000 respectively, where we reversed the excess collective impairment recognised in previous years after the reassessment of credit risk and the number of days the receivables were past due.

FYE 2025 compared to FYE 2024

There were no impairment losses on trade receivables recorded in the FYE 2025.

FPE 2026 compared to FPE 2025

There were no impairment losses on trade receivables recorded in the FPE 2025. In FPE 2026, the impairment losses on trade receivables of RM0.03 million was due to collective impairment after the assessment of credit risk and the number of days the trade receivables were past due.

12. FINANCIAL INFORMATION (cont'd)**12.3.10 Taxation**

	Audited			Unaudited	Audited
	FYE 2023	FYE 2024	FYE 2025	FPE 2025	FPE 2026
Income tax expense/(saving) (RM'000)	1,675	813	2,335	1,212	(286)
Effective tax rate (%)	28.70	13.62	30.90	25.21	(6.10)
Statutory tax rate (%)	24.00	24.00	24.00	24.00	24.00

FYE 2024 compared to FYE 2023

Our tax expenses decreased by RM0.87 million or 51.79% to RM0.81 million in the FYE 2024 (FYE 2023: RM1.68 million), mainly attributable to over provision of current tax in the FYE 2023 of RM0.23 million and deferred tax assets relating to the temporary differences between accounting and tax treatment of RM0.17 million. Hence, this resulted in our Group's effective tax rate of 13.62% for the FYE 2024, which was lower than the statutory tax rate of 24.00%.

FYE 2025 compared to FYE 2024

Our tax expenses increased by RM1.53 million or 188.89% to RM2.34 million in the FYE 2025 (FYE 2024: RM0.81 million), mainly attributable to deferred tax assets relating to the temporary differences between accounting and tax treatment of RM1.05 million and the effect of adding back of non-deductible expenses (i.e. listing expenses and unrealised loss on foreign exchange) of RM0.60 million. Hence, this resulted in our Group's effective tax rate of 30.90% for the FYE 2025, which was higher than the statutory tax rate of 24.00%.

FPE 2026 compared to FPE 2025

Our Group recorded tax saving of RM0.29 million in the FPE 2026 (FPE 2025: income tax expense of RM1.21 million), mainly attributable to recognition of deferred tax assets relating to the temporary differences between accounting and tax treatment of RM1.29 million and recognition of an under provision of prior year income tax expenses relating to the FYE 2025 of RM0.12 million. The movement was mainly due to changes in the Group's assessment of future taxable profits. In FYE 2025, the Group reduced its deferred tax assets by RM1.05 million as the CTS Ampang contract had not been secured at that time and the related future taxable profits were not included in the Group's forecasts. Following the award of the CTS Ampang contract in February 2026, the Group reassessed its future taxable profits and recognised additional deferred tax assets of RM1.28 million, as sufficient future taxable profits were expected to be available to utilise previously unrecognised tax losses and other deductible temporary differences. As a result, the deferred tax asset reduction in FYE 2025 increased tax expense, whereas the subsequent recognition in FPE 2026 reduced tax expense and accordingly produced the tax savings observed.

12.3.11 PBT, PBT Margin, PAT and PAT Margin

	Audited			Unaudited	Audited
	FYE 2023	FYE 2024	FYE 2025	FPE 2025	FPE 2026
PBT (RM'000)	5,836	5,971	7,556	4,808	4,688
PBT margin (%)	23.41	17.10	22.69	19.38	14.13
PAT (RM'000)	4,161	5,158	5,221	3,596	4,974
PAT margin (%)	16.69	14.77	15.68	14.49	15.00

12. FINANCIAL INFORMATION (cont'd)**FYE 2024 compared to FYE 2023**

We recorded an increase in PBT and PAT of RM0.13 million or 2.23% and RM1.00 million or 24.04%, to RM5.97 million and RM5.16 million, respectively, for the FYE 2024 (FYE 2023: RM5.84 million and RM4.16 million, respectively). This was mainly contributed by our revenue and GP growth as explained in **Sections 12.3.2 and 12.3.3(c)** of this Prospectus, respectively.

Our PBT margin and PAT margin decreased from 23.41% to 17.10% and from 16.69% to 14.77% in the FYE 2024, respectively. This was mainly attributable to a higher proportionate increase in administrative expenses (by 85.27%) and other expenses (by 58.06%) as compared to the increase in revenue (by 40.07%) during the FYE 2024.

FYE 2025 compared to FYE 2024

We recorded an increase in PBT and PAT of RM1.59 million or 26.63% and RM0.06 million or 1.16%, to RM7.56 million and RM5.22 million, respectively, for the FYE 2025 (FYE 2024: RM5.97 million and RM5.16 million, respectively). This was mainly contributed by our GP growth as explained in **Section 12.3.3(c)** of this Prospectus.

Our PBT margin and PAT margin increased from 17.10% to 22.69% and from 14.77% to 15.68% in the FYE 2025, respectively. This was mainly attributable to a higher GP margin of 49.82% for FYE 2025 (FYE 2024: 35.81%) but this was offset by the effects from the higher proportionate increase in administrative expenses (by 14.55%), other expenses (by 115.31%) and finance costs (by 85.19%).

FPE 2026 compared to FPE 2025

We recorded a decrease in PBT of RM0.12 million or 2.50% to RM4.69 million for the FPE 2026 (FPE 2025: RM4.81 million), mainly due to higher administrative expenses arising mainly from professional fees and listing expenses incurred in connection with the Transfer. Notwithstanding the lower PBT, our PAT increased by RM1.37 million or 38.06% to RM4.97 million for the FPE 2026 (FPE 2025: RM3.60 million). This was mainly attributable to recognition of deferred tax assets relating to the temporary differences between accounting and tax treatment of RM1.29 million and recognition of an under provision of prior year income tax expenses relating to the FYE 2025 of RM0.12 million.

Our PBT margin decreased from 19.38% for the FPE 2025 to 14.13% for the FPE 2026. This was mainly attributable to lower GP margin as explained in **Section 12.3.3(c)** of this Prospectus. Notwithstanding the lower PBT margin, our PAT margin increased from 14.49% for the FPE 2025 to 15.00% for the FPE 2026. This was mainly attributable to net tax savings, specifically the recognition of RM1.29 million in deferred tax assets resulting from temporary differences between accounting and tax treatments and the recognition of an under-provision of prior year income tax expenses relating to FYE 2025 of RM0.12 million.

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12. FINANCIAL INFORMATION *(cont'd)*

12.3.12 Significant factors affecting our group's operations and financial results

Our Group's business operations and financial conditions have been and will continue to be affected by internal and external factors as detailed in **Section 9** of this Prospectus. The main factors which affect our operations and financial results include but not limited to, the following:

(a) We derive a significant portion of our revenue from our major customers, namely Customer A and Customer D

The revenue contribution from our major customers, namely Customer A (a Malaysian electricity utility company in Malaysia) and Customer D-related projects (a Government-owned owner-operator of the rail services in Malaysia which are either our direct customer and/or the end-customer of our intelligent rail solutions) for the Financial Years/Period Under Review accounted for approximately 70.53%, 71.08%, 80.01% and 46.34% of our total revenue, respectively.

While we may continue to secure new projects or purchase orders from our major customers when the opportunity arises, there is no assurance that they will continue to utilise our ICT solutions in the future at the current level, if at all. If we were to lose one or more of our major customers, or if there are material delays, reductions or cancellations in the contracts or purchase orders awarded by our major customers, and we are unable to secure replacement customers or projects on a timely basis or on comparable commercial terms, our Group's revenue, cash flow and financial performance may be materially and adversely affected. The termination or non-renewal of contracts with major customers may also limit our future business opportunities with such customers, and there is no assurance that our Group will be able to mitigate the loss of such business in a timely manner, if at all.

(b) Our revenue from the provision of geospatial solutions is mainly derived from short term contracts and/or purchase orders

Save for our contract with United National Networks Sdn Bhd, we do not have long term contracts in respect of our geospatial solutions segment that extend beyond 36 months as we secure sales mainly through short term contracts (typically ranging from 1 month up to 36 months) or purchase orders. In order to maintain revenue and profitability, our Group needs to consistently secure new customers and/or new projects of contract values, sizes and/or margins comparable to our existing ones. As our projects are typically awarded on a project-by-project basis, our customers are under no obligation to award future contracts to us and there is no assurance that we will be able to successfully secure projects from our existing customers in the future, after the completion of the current projects. Hence, the sustainability of our order book is dependent on our ability to continuously secure new contracts and/or purchase orders from existing or new customers. Any inability to continuously secure new purchase orders and/or contracts will adversely affect our sustainability and future business performance.

(c) Our geospatial solutions and intelligent rail solutions project deliverables are exposed to unexpected delays or interruptions that are beyond our control

The timely delivery of our projects for our geospatial solutions and intelligent rail solutions is subject to unexpected delays or interruptions caused by factors beyond our control. Such factors may include difficulties in accessing our customers' network and infrastructure due to sudden breakdowns or unscheduled system maintenance, and the unavailability of the relevant persons-in-charge at the customers' sites. The abovementioned factors may result in delays to the completion of our projects and as such, we are dependent on the availability and cooperation of our customers to minimise delays in our project deliverables.

In the event there are delays caused by our customers or the appointed subcontractors which result in delays in the progress of our projects, our ability to deliver such projects on a timely manner may be affected. This will subsequently affect our timing for revenue recognition and collection of payment from our customers for the respective project, thus affecting our financial performance. Any other unexpected events such as movement restriction or logistic disruptions may also restrict the movements of our implementation teams to customer premises which may cause temporary disruptions to our projects.

12. FINANCIAL INFORMATION (cont'd)**(d) We may not be able to accurately estimate the cost required to deliver our intelligent rail solutions projects resulting in cost overruns**

We secure contracts for the delivery of intelligent rail solutions through competitive tendering process and direct bidding process for which we have to estimate the time and costs needed in order to determine our fees and submit the quotations. Some of our contracts, particularly for intelligent rail solutions, are fixed-price contracts, the terms of which normally require us to complete a project for a fixed price, increasing the possibility of exposing us to cost overruns and resulting in lower profits or losses in a project. The actual time taken and cost incurred by us in completing these intelligent rail solutions projects may be affected by various factors, including technical difficulties, delays caused by subcontractors, integration with third party vendors' products, procurement of additional hardware and other unforeseeable circumstances. Any one of these factors may cause cost overruns or schedule variations to our projects, thereby affecting the profitability from the affected projects, resulting in overall lower profits to our Group.

(e) We may not be able to keep up with technological changes in the ICT industry

The ICT and technology industry are characterised by rapidly changing technology, evolving industry standards, frequent introductions and enhancements of new products and services, and changing customer demands. The introduction of new technology and the emergence of new industry standards may render our services obsolete and uncompetitive. Our future success will depend on our ability to adapt to and adopt changing technologies, adapt our services to the evolving industry standards and continually improve the know-how of our employees in response to evolving demands of the marketplace and our customers. The need to keep abreast with technology is a requirement for companies in the ICT solutions industry. Failure to adapt to such changes would have a material adverse effect on our business operations.

(f) We are subject to competition within the ICT solutions industry

The geospatial solutions industry is competitive in nature, and there are barriers to entry that may restrict the entry of new firms into this industry. The barriers for entry include track record, industry reputation, skilled ICT talents and long-term relationships with customers. Conversely, the intelligent rail solutions industry has high barriers to entry, whereby service providers are required to have track record and to comply with industry safety standards as pre-requisites to qualify being appointed as service providers for intelligent rail solutions, particularly in respect of platform safety services as this involves passenger safety concerns. Notwithstanding this, our Group's existing competitors may, in the future, achieve greater market acceptance and recognition as well as a greater market share. We compete with other similar solutions providers in relation to expertise and resources available, type of software used, service quality, delivery time and pricing strategies. There can be no assurance that the competition in the ICT solutions industry will not increase in the future and if we fail to maintain or improve our market position or fail to respond successfully to changes in the competitive landscape, our business and financial performance would be negatively affected.

(g) We are exposed to risks relating to the economic, political, legal and regulatory environments in the countries in which we derive revenue

Our business, prospects, financial condition and results of operations may be affected by any adverse developments, changes and/or uncertainties in the economic, political, legal and regulatory environments that are beyond our control in the countries where we operate and transact business. These risks include unfavourable changes in political conditions, economic conditions, interest rates, government policies and regulations, import and export restrictions, duties and tariffs, civil unrests, methods of taxation, inflation and foreign exchange controls. Changes in government policies, public sector spending priorities, and regulatory standards or requirements may result in the adoption or prioritisation of alternative technologies, systems or solutions within the countries/industries in which we operate or transact business. Any such adverse changes may result in reduced capital expenditure, operational expenditure or project deferrals by our customers, which may adversely affect the demand for our ICT solutions and consequently have a material adverse effect on our business operations and financial performance.

12. FINANCIAL INFORMATION (cont'd)**12.3.13 Liquidity and capital resources****(a) Working capital**

Our working capital is funded through a combination of cash generated from our operating activities, borrowings from financial institutions, credit terms granted by our suppliers as well as our cash and cash equivalents.

Our principal sources of liquidity as at 31 March 2026 are set out below:

	RM'000
Cash and bank balances	7,744
Fixed deposits with licensed banks	5,901
Net cash from operating activities	8,260
Total	21,905

As at the LPD, our Group recorded cash and bank balances of approximately RM6.00 million and unutilised banking facilities of approximately RM16.32 million.

Based on the above and after taking into consideration the cash and cash equivalents, the expected profits to be generated from our operations, the access to available banking facilities, our expected future cash flows from operations as well as proceeds to be raised from the Public Issue, our Board is of the opinion that our Group will have sufficient working capital to meet our present and foreseeable requirements for a period of 12 months from the date of this Prospectus.

There are no legal, financial or economic restrictions on the ability of our Subsidiaries to transfer funds to our Company in the form of cash dividends, loans or advances, subject to availability of distributable reserves, funds and compliance with any applicable laws and financial covenants. Please refer to **Section 15.4** of this Prospectus for further details on the repatriation of capital and remittance of profit from our Subsidiaries. Our Group's working capital is principally supported by cash generated from the operations of our Malaysian Subsidiaries and the available cash and banking facilities of RedPlanet, and we are not materially dependent on the transfer of funds from our foreign Subsidiaries such as Australia and India to meet our Group's cash obligations. For our Malaysian Subsidiaries, which are the principal source of funds for RedPlanet, transfers of funds to RedPlanet are generally not subject to foreign exchange restrictions, subject to compliance with applicable corporate, tax and other legal requirements and the availability of sufficient funds and distributable reserves. During the Financial Years/Period Under Review and up to the LPD, our Group has not experienced any material restriction or delay in the transfer of funds from our Subsidiaries, particularly our Malaysian Subsidiaries, to our Group, for the purpose of meeting our working capital requirements. Based on the foregoing, our Board is of the opinion that the aforementioned legal, financial and economic restrictions do not and are not expected to have a material impact on our Group's ability to meet its present and foreseeable cash obligations or working capital requirements for a period of 12 months from the date of this Prospectus.

12. FINANCIAL INFORMATION (cont'd)**(b) Cash flows**

The table below sets out the summary of our consolidated statements of cash flows for the Financial Years/Period Under Review and should be read in conjunction with the Accountants' Report as set out in **Section 13** of this Prospectus:

	Audited			
	FYE 2023	FYE 2024	FYE 2025	FPE 2026
	RM'000	RM'000	RM'000	RM'000
Net cash from/(used in) operating activities	8,146	(1,562)	4,687	8,260
Net cash used in investing activities	(521)	(5,126)	(178)	(5,025)
Net cash used in financing activities	(2,117)	(604)	(5,031)	(2,577)
Net increase/(decrease) in cash and cash equivalents	5,508	(7,292)	(522)	658
Cash and cash equivalents at beginning of the financial year/period	9,480	15,147	7,815	6,976
Effect of foreign exchange translation	159	(40)	(317)	(247)
Cash and cash equivalents at end of the financial year/period	15,147	7,815	6,976	7,387

FYE 2023**Net cash from operating activities**

For the FYE 2023, we recorded net operating cash inflow of RM8.15 million after taking into consideration the PBT of approximately RM5.84 million, which was then adjusted for non-cash and other items of approximately RM0.32 million, mainly comprising depreciation of property, plant and equipment, depreciation of right-of-use assets, impairment loss on trade receivable, reversal of impairment loss on contract assets, interest income and finance costs, as well as further adjustment mainly for the following working capital changes:

- (i) increase in trade and other receivables of RM0.63 million mainly due to timing difference on invoices attributed to the reclassification of certain previously recognised contract assets to trade receivables in the FYE 2023;
- (ii) increase in trade and other payables of RM0.23 million, mainly due to the increased purchases made which was in line with the increase in revenue in the FYE 2023;
- (iii) decrease in contract assets of RM3.07 million mainly due to timing difference with higher invoices issued to our customers based on the cost incurred method compared to the revenue recognised for services and installation performed, as well as reversal of contract assets to trade receivables amounting to RM0.90 million;
- (iv) increase in contract cost assets of RM0.11 million, due to higher amount charged by our suppliers in advance that is used to fulfill the maintenance and support services contract in future under geospatial solutions segment;
- (v) increase in contract liabilities of RM0.63 million due to timing difference with higher advance payments received from our customers compared to the corresponding services and installation works for geospatial solutions and intelligent rail solutions segments to be performed in next financial year; and
- (vi) income tax payments of RM1.22 million.

12. FINANCIAL INFORMATION (cont'd)**Net cash used in investing activities**

For the FYE 2023, our net cash outflow for investing activities was RM0.52 million, mainly attributable to cash payment for the following:

- (i) purchase of property, plant and equipment of RM0.32 million mainly comprising computer hardware and software for employees' use; and
- (ii) placement of fixed deposits pledged with licensed banks of RM0.21 million for banking facility.

Net cash used in financing activities

For the FYE 2023, our net cash outflow for financing activities was RM2.12 million, due to dividend paid of RM1.93 million (comprising dividend of RM1.28 million in respect of the FYE 2022 and dividend of RM0.65 million in respect of the FYE 2023) and repayment of lease liabilities of RM0.17 million in relation to rental commitment of rented offices.

FYE 2024**Net cash used in operating activities**

For the FYE 2024, we recorded net operating cash outflow of RM1.56 million after taking into consideration the PBT of approximately RM5.97 million, which was then adjusted for non-cash and other items of approximately RM1.09 million, mainly comprising depreciation of property, plant and equipment, depreciation of right-of-use assets, amortisation of intangible assets, interest income and finance costs, as well as further adjustment mainly for the following working capital changes:

- (i) increase in trade and other receivables of RM4.29 million mainly due to the increased invoices issued to customers which was in line with the increase in revenue in the FYE 2024;
- (ii) increase in trade and other payables of RM1.10 million, mainly due to the increased purchases made which was in line with the increase in revenue in the FYE 2024;
- (iii) increase in contract assets of RM1.84 million due to timing difference with higher revenue recognised for services and installation performed based on the cost incurred method compared to the invoices issued to our customers, mainly related to the LRT3 project and Kelana Jaya LRT Line project;
- (iv) increase in contract cost assets of RM0.45 million, due to higher amount charged by our suppliers in advance that is used to fulfill the maintenance and support services contract in future under geospatial solutions segment;
- (v) decrease in contract liabilities of RM1.65 million due to timing difference with higher services and installation works for geospatial solutions and intelligent rail solutions segments performed in the FYE 2024 compared to advance payments received from our customers; and
- (vi) income tax payments of RM1.49 million.

During the FYE 2024, our Group recorded negative operating cash flow which amounted to RM1.56 million. This was attributable to timing differences with higher amounts of contract assets and higher trade receivables due to inclusion of ATSB's financial results in December 2023.

Net cash used in investing activities

For the FYE 2024, our net cash outflow for investing activities was RM5.13 million, mainly attributable to the placement of fixed deposits pledged with licensed banks of RM4.03 million for banking facility and net cash outflow from acquisition of ATSB of RM0.95 million (net of cash and cash equivalents of ATSB acquired) in December 2023.

12. FINANCIAL INFORMATION (cont'd)**Net cash used in financing activities**

For the FYE 2024, our net cash outflow for financing activities was RM0.60 million, mainly due to the following:

- (i) dividend paid of RM1.15 million, comprising dividend of RM0.56 million in respect of the FYE 2023 and dividend of RM0.59 million in respect of the FYE 2024;
- (ii) interest paid of RM0.32 million, mainly comprising interests charged on term loans and trust receipts; and
- (iii) repayment of term loans and lease liabilities of RM0.20 million and RM0.23 million respectively in the FYE 2024.

The cash outflow was partially offset by the proceeds of RM1.32 million from the drawdown of trust receipts for payments to suppliers.

FYE 2025**Net cash from operating activities**

For the FYE 2025, we recorded net operating cash inflow of RM4.69 million after taking into consideration the PBT of approximately RM7.56 million, which was then adjusted for non-cash and other items of approximately RM2.34 million, mainly comprising depreciation of property, plant and equipment, depreciation of right-of-use assets, amortisation of intangible assets, unrealised loss on foreign exchange, listing expenses, interest income and finance costs, as well as further adjustment mainly for the following working capital changes:

- (i) decrease in trade and other receivables of RM1.54 million mainly due to the tender deposits refunded in the FYE 2025;
- (ii) decrease in trade and other payables of RM1.40 million, mainly due to the decrease in other payables arising from repayment of advance to a Director (Lian Wah Seng) in the FYE 2025;
- (iii) increase in contract assets of RM2.50 million due to timing difference with higher revenue recognised for services and installation performed particularly for the LRT3 project based on the cost incurred method compared to the invoices issued to our customers;
- (iv) increase in contract cost assets of RM0.24 million, due to higher amount charged by our suppliers in advance that is used to fulfill our future performance obligations under the service contracts for geospatial solutions and intelligent rail solutions segments, including maintenance and support services;
- (v) decrease in contract liabilities of RM1.71 million due to timing difference with higher services and installation works for geospatial solutions and intelligent rail solutions segments are performed in the FYE 2025 compared to advance payments received from our customers;
- (vi) income tax payments of RM1.02 million and interest paid of RM0.20 million; and
- (vii) tax refunded of RM0.32 million.

Net cash used in investing activities

For the FYE 2025, our net cash outflow for investing activities was RM0.18 million, mainly attributable to contingent consideration paid of RM0.64 million to the 3 vendors (i.e. Lian Wah Seng, NCSB and PPSB) after conditions were fulfilled in the FYE 2025 as stipulated in the share purchase agreement in relation to the acquisition of 51.00% equity interest in ATSB.

12. FINANCIAL INFORMATION (cont'd)

The net cash outflows from investing activities were partially offset by withdrawal of fixed deposits pledged with licensed banks of RM0.20 million and interest income received of RM0.21 million from short-term investment.

Net cash used in financing activities

For the FYE 2025, our net cash outflow for financing activities was RM5.03 million, mainly due to the following:

- (i) net repayments of RM1.42 million of trust receipts for purchase of hardware and software as well as payments to subcontractors;
- (ii) dividend paid of RM1.29 million, comprising dividend of RM0.70 million in respect of the FYE 2024 and dividend of RM0.59 million in respect of the FYE 2025;
- (iii) payment of deposit of RM1.21 million in relation to the acquisition of the remaining 49.00% equity interest of ATSB;
- (iv) interest paid of RM0.29 million, mainly comprising interests charged on term loans and trust receipts;
- (v) repayment of term loans and lease liabilities of RM0.35 million and RM0.23 million respectively in the FYE 2025; and
- (vi) payment of RM0.19 million for listing expenses in the FYE 2025.

FPE 2026**Net cash from operating activities**

For the FPE 2026, we recorded net operating cash inflow of RM8.26 million after taking into consideration the PBT of approximately RM4.69 million, which was then adjusted for non-cash and other items of approximately RM2.06 million, mainly comprising depreciation of property, plant and equipment, depreciation of right-of-use assets, unrealised loss on foreign exchange, listing expenses, interest income and finance costs, as well as further adjustment mainly for the following working capital changes:

- (i) increase in trade and other receivables of RM1.16 million mainly due to the increase in invoices issued to customers which was in line with the increase in revenue in the FPE 2026;
- (ii) decrease in trade and other payables of RM0.51 million, mainly due to the decrease in trade payables arising from timely payments made in FPE 2026;
- (iii) decrease in contract assets of RM2.10 million mainly due to timing difference with higher invoices issued to our customers based on the cost incurred method compared to the revenue recognised for services and installation performed;
- (iv) decrease in contract cost assets of RM0.92 million, due to the progressive recognition of revenue arising from our maintenance and support services contracts within the geospatial solutions segment during FPE 2026. Consequently, these previously deferred fulfilment costs were charged to the statement of profit or loss to align with the timing of revenue delivery, in compliance with MFRS 15;
- (v) increase in contract liabilities of RM0.83 million due to timing difference with higher advance payments received from our customers compared to the corresponding services and installation works for geospatial solutions and intelligent rail solutions segments to be performed in next financial year;
- (vi) income tax payments of RM0.84 million and interest paid of RM0.03 million; and
- (vii) tax refunded of RM0.20 million.

12. FINANCIAL INFORMATION *(cont'd)*

Net cash used in investing activities

For the FPE 2026, our net cash outflow for investing activities was RM5.03 million, mainly due to the following:

- (i) contingent consideration paid of RM2.63 million to the 3 vendors (i.e. Lian Wah Seng, NCSB and PPSB) after conditions were fulfilled in the FPE 2026 as stipulated in the share purchase agreement in relation to the acquisition of the remaining 49.00% equity interest in ATSB;
- (ii) addition of intangible assets of RM1.26 million mainly due to the development costs incurred on our proprietary software solutions, specifically the Automated Open Track AI Detection and Early Warning System and Smart digitalisation with AI; and
- (iii) placement of fixed deposits pledged with licensed banks of RM1.23 million for bank guarantees.

Net cash used in financing activities

For the FPE 2026, our net cash outflow for financing activities was RM2.58 million, mainly due to the following:

- (i) dividend paid of RM1.02 million, comprising dividend of RM0.43 million in respect of the FYE 2025 and dividend of RM0.59 million in respect of the FYE 2026;
- (ii) interest paid of RM0.21 million, mainly comprising interests charged on term loans;
- (iii) payment of RM0.77 million for listing expenses in the FPE 2026; and
- (iv) repayment of hire purchase payables, term loans and lease liabilities of RM0.11 million, RM0.30 million and RM0.17 million respectively in the FPE 2026.

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12. FINANCIAL INFORMATION (cont'd)**12.3.14 Borrowings**

All of our borrowings (excluding lease liabilities) are secured, interest bearing and denominated in RM. Our total outstanding borrowings as at 31 March 2026 stood at RM5.71 million, details of which are set out below:

Borrowings	Financier	Purpose	Tenure	Interest rate % per annum	As at 31 March 2026 RM'000
Interest bearing short-term borrowings, payable within 12 months					
Bank overdraft	RHB Bank Berhad	Our working capital requirements	On demand	7.95	356
Term loans	RHB Islamic Bank Berhad	To finance the purchase of our freehold land and building	20 years	4.50	209
	RHB Bank Berhad	Our working capital requirements	7 years	7.70	92
	Public Bank Berhad	To finance the purchase of motor vehicles	5 years	6.33 to 6.48	40
Hire purchase payables	Malayan Banking Berhad	To finance the purchase of motor vehicles	5 years	3.35	108
Interest bearing long-term borrowings, payable after 12 months					
Term loans	RHB Islamic Bank Berhad	To finance the purchase of our freehold land and building	20 years	4.50	4,722
Hire purchase payables	Public Bank Berhad	To finance the purchase of motor vehicles	5 years	6.33 to 6.48	60
	Malayan Banking Berhad	To finance the purchase of motor vehicles	5 years	3.35	124
Total borrowings					5,711
Gearing (times)					
Before the Public Issue					0.25
After the Public Issue and utilisation of the proceeds raised from our Public Issue ⁽¹⁾					0.17

Note:

(1) Computed based on our Pro Forma Consolidated Statements of Financial Position after the Public Issue and utilisation of the proceeds raised from our Public Issue.

12. FINANCIAL INFORMATION (cont'd)

Our total bank guarantees as at 31 March 2026 and as the LPD stood at RM3.13 million and RM4.48 million respectively, details as set out below:

		Tenure	Commission rate	As at 31 March 2026	As at the LPD
	Purpose		% per annum	RM'000	RM'000
Bank guarantees	Performance guarantees ⁽¹⁾ for projects carried out by our Group	8 - 76 months	1.20 – 1.50	3,132	4,483

Note:

- (1) The performance guarantees are issued to our customers or at the request of our customers, as security for the performance of contractual obligations under the projects awarded.

The liabilities in respect of the bank guarantees will only crystallise and become payable following a call by our customers of the performance guarantees in accordance with the terms and conditions of such contracts. During Financial Years/Period Under Review and up to the LPD, we did not experience any call of the performance guarantees issued to our customers.

We have not defaulted on payments of principal sums and/or interests in respect of any of our borrowings during the Financial Years/Period Under Review and up to the LPD. As at LPD, save for our hire purchase payables and 1 term loan which are based on fixed rates, our other facilities with licensed financial institutions are based on floating rates which varies depending on the type of facility.

As at the LPD, we do not have any borrowings which are non-interest bearing and/or in foreign currency.

We do not encounter any seasonality in our borrowings trend and there is no restriction on our committed facilities.

As at the LPD, our Group was not in breach of any terms and conditions or covenants associated with the credit arrangement or bank loan which can materially affect our financial position and results or business operations or the investments by holders of our Shares.

During the Financial Years/Period Under Review, we did not experience any claw back or reduction in the facilities limit granted to us by our lenders.

12.3.15 Types of financial instruments used

We do not utilise any financial instrument for hedging purposes during the Financial Years/Period Under Review.

As at the LPD, our borrowings from financial institutions consist of the following:

- term loans used for the acquisition of freehold land and building and working capital;
- hire purchase arrangement for financing the purchase of motor vehicles;
- trust receipts for working capital; and
- bank overdraft facilities for working capital.

As at the LPD, we do not have any formal policy on foreign currency transactions and we do not hedge our exposure to fluctuations in foreign exchange rates.

12. FINANCIAL INFORMATION (cont'd)**12.3.16 Treasury policies and objectives**

We have been financing our operations with a combination of internal and external sources of funds. Our internal funds comprise cash generated from operating activities, while our external funds mainly comprise credit and loan facilities from financial institutions as well as credit terms granted by our suppliers. Our funding policy is to obtain the most suitable type of financing and favourable cost of funding whereas our treasury policy is to maintain sufficient working capital to finance our operations, coupled with adequate credit facilities to meet estimated commitments arising from our operational expenditure and financial liabilities.

The decision to either utilise banking facilities or internally generated funds for our operations depends on factors such as our cash reserves, expected cash inflows or receipts from customers, future working capital requirements, future capital expenditure and the prevailing interest rates of the banking facilities. For the Financial Years/Period Under Review, our cash and cash equivalent are held in the following currencies:

	FYE 2023	FYE 2024	FYE 2025	FPE 2026
	RM'000	RM'000	RM'000	RM'000
RM	10,981	5,857	2,898	4,376
USD	1,075	1,035	1,822	2,173
SGD	1,441	32	710	147
EURO	1,030	246	78	-
INR	286	380	1,252	500
Others ⁽¹⁾	334	265	216	191
Total	15,147	7,815	6,976	7,387

Note:

(1) Comprising AUD and CAD.

12.3.17 Material capital commitment

There are no material capital commitments incurred or to be incurred by us that have not been provided for which, upon becoming enforceable, which may have a material impact on our financial results or financial position as at the LPD.

12.3.18 Material investments and divestitures

Save as disclosed under **Section 6.4** of this Prospectus, there have not been any material investments and divestitures undertaken by our Group for the Financial Years/Period Under Review.

12.3.19 Material litigation, claims or arbitration

As at the LPD, neither our Company nor our subsidiary is engaged in any governmental, legal or arbitration proceedings, including those relating to bankruptcy, receivership or similar proceedings which may have or have had, material or significant effects on our financial position or profitability, in the 12 months immediately preceding the date of this Prospectus.

12.3.20 Contingent liabilities

As at the LPD, save for the bank guarantees as disclosed in **Section 12.3.14** of this Prospectus, there are no material contingent liabilities which upon becoming enforceable may have a material impact on the financial position of our Group.

12.3.21 Impact of foreign exchange rates

Our financial performance for the Financial Years/Period Under Review was not materially affected by the fluctuations in foreign exchange rates.

12. FINANCIAL INFORMATION (cont'd)

Our revenue was primarily denominated in RM, which accounted for 80.51%, 86.65%, 84.69%, 82.16% and 87.79% of our total revenue for the FYE 2023, FYE 2024, FYE 2025, FPE 2025 and FPE 2026, respectively, while the remaining revenue was mainly denominated in USD, INR and SGD, as follows:

	Audited						Unaudited		Audited	
	FYE 2023		FYE 2024		FYE 2025		FPE 2025		FPE 2026	
	RM'000	%	RM'000	%	RM'000	%	RM'000	%	RM'000	%
RM	20,075	80.51	30,261	86.65	28,197	84.69	20,382	82.16	29,117	87.79
USD	2,957	11.86	1,315	3.77	2,494	7.49	2,280	9.19	2,015	6.08
INR	922	3.70	2,271	6.50	1,991	5.98	1,590	6.41	1,715	5.17
SGD	677	2.72	1,077	3.08	614	1.84	557	2.24	319	0.96
EURO	302	1.21	-	-	-	-	-	-	-	-
Total revenue	24,933	100.00	34,924	100.00	33,296	100.00	24,809	100.00	33,166	100.00

Our purchases were primarily denominated in USD, which accounted for 81.74% and 55.93% of our total purchases for the FYE 2023 and FYE 2024, respectively. In FYE 2025, FPE 2025 and FPE 2026, our purchases were primarily denominated in RM which accounted for 64.91%, 47.82% and 93.49% of our total purchases for the FYE 2025, FPE 2025 and FPE 2026 respectively, while the remaining purchases were denominated in USD, INR, SGD and EURO, as follows:

	Audited						Unaudited		Audited	
	FYE 2023		FYE 2024		FYE 2025		FPE 2025		FPE 2026	
	RM'000	%	RM'000	%	RM'000	%	RM'000	%	RM'000	%
RM	212	3.08	3,331	31.42	4,119	64.91	2,432	47.82	13,009	93.49
USD	5,618	81.74	5,930	55.93	975	15.37	671	13.19	-	-
INR	744	10.82	978	9.22	947	14.92	746	14.67	596	4.28
SGD	133	1.94	184	1.73	131	2.06	1,063	20.90	147	1.06
EURO	166	2.42	180	1.70	174	2.74	174	3.42	163	1.17
Total purchases	6,873	100.00	10,602	100.00	6,346	100.00	5,086	100.00	13,915	100.00

Our foreign currency exposure is primarily in USD due to the sales of our services to foreign customers and purchase of hardware and software from foreign suppliers. We are exposed to foreign exchange gains or losses arising from timing differences between billings/invoices and actual cash receipt from customers as well as billing/invoices from suppliers and payment to suppliers. We have taken into consideration the risk of exchange rate fluctuations and priced into our selling price and purchases. Given that the sales/purchases are normally due for payment within 30 to 120 days from the sales/purchase date, our Group does not foresee any movement in the foreign exchange rate during the short-term period that would have a material adverse impact on our Group.

The impact of foreign exchange fluctuations on our earnings for the Financial Years/Period Under Review is shown as below:

	FYE 2023	FYE 2024	FYE 2025	FPE 2025	FPE 2026
	RM'000	RM'000	RM'000	RM'000	RM'000
Net unrealised gain/(loss) on foreign exchange	150	(3)	(916)	(418)	(438)
Net realised gain/(loss) on foreign exchange	204	276	(121)	(111)	(1)
Net gain/(loss) on foreign exchange	354	273	(1,037)	(529)	(439)

Should our exposure become substantial, we may enter into derivative contracts with banking institutions to minimise the impact of foreign exchange fluctuations on our earnings. Our Board will monitor and review the need to hedge from time to time.

12.3.22 Impact of interest rates

Our exposure to changes in interest rate risk relates primarily to our borrowings from banks. We do not generally hedge interest rate risks.

12. FINANCIAL INFORMATION (cont'd)

Interest coverage ratio measures the number of times a company can make its interest payments with its EBIT and is computed based on EBIT over interest expenses. Our interest coverage ratio was 263.00 times, 16.48 times, 15.36 times, 11.94 times and 13.12 times for the FYE 2023, FYE 2024, FYE 2025, FPE 2025 and FPE 2026 respectively, which indicates that we have been able to generate sufficient profits before interest and tax to meet our interest bearing obligations.

Our financial results for the Financial Years/Period Under Review were not materially affected by the fluctuations in interest rates. However, any major increase in interest rates would raise the cost of borrowings and finance costs for our working capital, which may have an adverse effect on our performance.

12.3.23 Impact of government, economic, fiscal or monetary policies

There were no government, economic, fiscal or monetary policies or factors which have an adverse effect on our business operations and financial results for the Financial Years/Period Under Review. Notwithstanding this, our business, prospects, financial condition and results of operations moving forward may be affected by any adverse developments, changes and/or uncertainties in the economic, political, legal and regulatory environments that are beyond our control in the countries where we operate and transact business. Risks relating to government, economic, fiscal or monetary policies or factors which may materially affect our operations are set out in **Section 9** of this Prospectus.

12.4 KEY FINANCIAL RATIOS

The key financial ratios of our Group for the Financial Years/Period Under Review are as follows:

	Audited			
	FYE 2023	FYE 2024	FYE 2025	FPE 2026
Trade receivables turnover period (days) ⁽¹⁾	32	29	42	42
Trade payables turnover period (days) ⁽²⁾	24	29	76	29
Current ratio (times) ⁽³⁾	3.78	2.00	1.55	1.44
Gearing ratio (times) ⁽⁴⁾	-	0.36	0.35	0.25

Notes:

- (1) $\frac{(\text{Trade receivables at beginning} + \text{trade receivables at end}) / 2}{\text{Revenue}} \times \frac{365/366 \text{ days}}{(\text{in respect of FYE})} \text{ or } \frac{274 \text{ days}}{(\text{in respect of FPE})}$
- (2) $\frac{(\text{Trade payables at beginning} + \text{trade payables at end}) / 2}{\text{Cost of sales (excluding direct staff costs)}} \times \frac{365/366 \text{ days}}{(\text{in respect of FYE})} \text{ or } \frac{274 \text{ days}}{(\text{in respect of FPE})}$
- (3) Computed based on current assets over current liabilities as at the respective FYE/FPE.
- (4) Computed based on the total borrowings over total equity as at the respective FYE/FPE.

(a) Trade receivables turnover period

	Audited			
	FYE 2023	FYE 2024	FYE 2025	FPE 2026
	RM'000	RM'000	RM'000	RM'000
Opening trade receivables	2,209	2,100	3,445	4,230
Closing trade receivables	2,100	3,445	4,230	5,841
Average trade receivables	2,155	2,773	3,838	5,036
Revenue	24,933	34,924	33,296	33,166
Trade receivables turnover period (days)	32	29	42	42

All our Group's trade receivables are classified as current assets. The normal credit terms granted by our Group range from 30 days to 120 days from the date of invoice. Our Group managed the credit risk through credit limit and credit monitoring procedures. Generally, we assess and approve new customers taking into consideration, among others, their profile and creditworthiness.

12. FINANCIAL INFORMATION (cont'd)

We use ageing analysis to monitor the credit quality of our trade receivables. Our trade receivable turnover periods for the FYE 2023, FYE 2024, FYE 2025 and FPE 2026 were 32 days, 29 days, 42 days and 42 days, respectively which were within the credit period granted to our customers.

Our average trade receivable turnover period decreased from 32 days in the FYE 2023 to 29 days in the FYE 2024. This was mainly due to our Group's efforts to follow up closely on collections and timely collection from our customers.

Our Group's trade receivable turnover period increased from 29 days in the FYE 2024 to 42 days in the FYE 2025, mainly due to outstanding balances owing by a trade receivable with longer credit term granted of 60 days to 120 days. This primarily relates to a project-specific circumstance relating to LRT3 project, where although our Group had completed our scope of work, our customer (subcontractor of the LRT3 project) was unable to issue milestone billings to the end customer as our customer had not reached its billing milestone in its work deliverables. This consequently resulted in a later collection for our Group.

Our Group's trade receivable turnover period remained at 42 days in the FPE 2026 (FYE 2025: 42 days).

Our Group's trade receivable ageing analysis as at 31 March 2026 is as follows:

	Within credit period	Exceeding credit period (past due days)				Total
		1 – 30	31 – 60	61 – 90	Over 90	
Trade receivables as at 31 March 2026 (RM'000)	2,267	1,820	46	-	1,708	5,841
Proportion of total trade receivables (%)	38.81	31.16	0.79	-	29.24	100.00
Subsequent collections up to the LPD (RM'000)	2,267	1,820	46	-	1,697	5,830
Trade receivables after subsequent collections (RM'000)	-	-	-	-	11	11
Proportion of trade receivables after subsequent collections (%)	-	-	-	-	100.00	100.00

As at the LPD, RM5.83 million or 99.81% of our total trade receivables that were outstanding as at 31 March 2026 have been collected.

For Financial Years/Period Under Review, we do not have any bad debts written off. Our management closely monitors the recoverability of trade receivables on a regular basis, and, when appropriate, provides for impairment of these trade receivables. As at 31 March 2026, total allowance for impairment losses recorded at RM0.92 million. Our Board is of the view that the outstanding trade receivables are recoverable and no provision for impairment is required. Among the factors considered in determining whether to provide for impairment losses include, subsequent collections, any past provisions and/or impairments made and/or letter(s) of demand issued as well as the current industry and economic conditions.

(b) Trade payables turnover period

	Audited			
	FYE 2023	FYE 2024	FYE 2025	FPE 2026
	RM'000	RM'000	RM'000	RM'000
Opening trade payables	879	572	2,082	2,187
Closing trade payables	572	2,082	2,187	1,454
Average trade payables	726	1,327	2,135	1,821
Cost of sales (excluding direct staff costs)	11,191	16,892	10,201	16,985
Trade payables turnover period (days)	24	29	76	29

All our Group's trade payables are classified as current liabilities. The normal credit terms granted by suppliers range from 30 days to 120 days from the date of the purchase invoice.

12. FINANCIAL INFORMATION (cont'd)

Our trade payable turnover periods for the FYE 2023, FYE 2024, FYE 2025 and FPE 2026 were 24 days, 29 days, 76 days and 29 days, respectively, which were within the credit terms granted by suppliers.

Our Group's trade payables turnover period increased from 24 days in the FYE 2023, to 29 days in the FYE 2024 and to 76 days in the FYE 2025 due to higher outstanding balances owing to our suppliers and subcontractors as at 30 June 2024 and 2025. The increase in higher trade payables turnover period to 76 days in the FYE 2025 was primarily attributable our Group's management of payment timing to optimise the credit terms granted by our supplier, by aligning with the collections from our customer in relation to the LRT3 project.

In FPE 2026, our Group's trade payables turnover period decreased from 76 days in the FYE 2025 to 29 days in the FPE 2026 due to a reduction in subcontractor costs during the period. Historically, our subcontractors granted us extended credit terms of up to 60 days. The lower utilisation of these subcontractors in FPE 2026 led to a shift in our procurement mix toward suppliers with shorter, standard commercial payment terms. Consequently, this altered mix accelerated our overall payment cycle and compressed the trade payables turnover period to 29 days.

Our Group's trade payables ageing analysis as at 31 March 2026 is as follows:

	Within credit period	Exceeding credit period (past due days)				Total
		1 – 30	31 – 60	61 – 90	Over 90	
Trade payables as at 31 March 2026 (RM'000)	776	288	46	46	298	1,454
Proportion of total trade payables (%)	53.37	19.81	3.16	3.16	20.50	100.00
Subsequent payment up to the LPD (RM'000)	776	288	46	46	298	1,454
Trade payables after subsequent payment as at LPD (RM'000)	-	-	-	-	-	-
Proportion of trade payables after subsequent payment as at LPD (%)	-	-	-	-	-	-

As at the LPD, RM1.45 million or 100.00% of our total trade payables that were outstanding as at 31 March 2026 have been paid.

During the Financial Years/Period Under Review up to the LPD, we did not have any disputes in respect of our trade payables and there were no legal proceedings to demand payment that had been initiated by our suppliers against us.

(c) Current ratio

The table below sets forth a summary of our Group's current ratio for the Financial Years/Period Under Review:

	Audited			
	FYE 2023	FYE 2024	FYE 2025	FPE 2026
	RM'000	RM'000	RM'000	RM'000
Current assets	23,132	29,285	27,750	27,073
Current liabilities	6,125	14,678	17,958	18,804
Net current assets	17,007	14,607	9,792	8,269
Current ratio (times)	3.78	2.00	1.55	1.44

As at 30 June 2024, our Group's current ratio was 2.00 times, which was lower compared to 3.78 times as at 30 June 2023, mainly due to the increase in short-term borrowings of RM3.83 million mainly arising from trust receipts, bank overdraft and terms loans from the inclusion of ATSB's financials following the acquisition of ATSB in December 2023 as well as the increase in other payables and accruals of RM2.66 million mainly arising from amount owing to Lian Wah Seng, NCSB and PPSB (being shareholders of ATSB at that material point in time) of RM1.81 million as at 30 June 2024.

12. FINANCIAL INFORMATION (cont'd)

As at 30 June 2025, our Group's current ratio was 1.55 times, which was lower compared to 2.00 times as at 30 June 2024, mainly due to the increase in other payables and accruals of RM7.26 million that predominantly comprise the amount payable of RM6.50 million for the balance of cash consideration for the acquisition of 49.00% non-controlling interests in ATSB from 3 vendors (i.e. Lian Wah Seng, NCSB and PPSB) which was completed in December 2024.

As at 31 March 2026, our Group's current ratio was 1.44 times, which was lower compared to 1.55 times as at 30 June 2025, mainly due to the increase in other payables and accruals of RM0.93 million that predominantly comprise higher contingent consideration due to reclassification from non-current to current liabilities as the underlying profit guarantee is within 12 months from the reporting date, subject to the fulfilment of the relevant condition precedent.

Overall, our current ratio was more than 1 time (i.e. current assets in excess of current liabilities) during the Financial Years/Period Under Review. This indicates that our Group is able to meet our current obligations – our current assets such as trade receivables, which can be readily converted to cash, together with our cash and bank balance are sufficient to meet immediate current liabilities.

(d) Gearing ratio

Our gearing ratio for the Financial Years/Period Under Review are as follows:

	Audited			
	FYE 2023	FYE 2024	FYE 2025	FPE 2026
	RM'000	RM'000	RM'000	RM'000
Total borrowings (excluding lease liabilities)	-	9,186	6,317	5,711
Total equity	18,851	25,710	18,301	22,427
Gearing ratio (times)	-	0.36	0.35	0.25

Our Group's gearing ratio recorded 0.36 times as at 30 June 2024. This was due to the additional borrowings of RM9.19 million mainly arising from trust receipts, bank overdraft and terms loans from the inclusion of ATSB's financials following the acquisition of ATSB in December 2023 but this was partially cushioned by the increase in equity as a result of higher retained profits recorded and issuance of share capital arising from the issuance of 10,928,571 new Shares at RM0.20 per Share to part satisfy the acquisition of 51.00% equity interest in ATSB.

Our Group's gearing ratio decreased slightly from 0.36 times as at 30 June 2024 to 0.35 times as at 30 June 2025. This was attributable to the decrease in total borrowings of RM2.87 million due to net repayments of borrowings particularly trust receipts and bank overdrafts during FYE 2025. Total equity also decreased by RM7.41 million, mainly due to decrease in retained profits and non-controlling interest which were accounted for in accordance with MFRS 10, as a result of the adjustment made pursuant to changes in the ownership interest in ATSB arising from the acquisition by our Company of the remaining 49.00% equity interest in ATSB in December 2024.

Our Group's gearing ratio decreased from 0.35 times as at 30 June 2025 to 0.25 times as at 31 March 2026. This was attributable to the decrease in total borrowings of RM0.61 million due to net repayments of borrowings particularly term loans, bank overdrafts and hire purchase payables as well as increase in equity of RM4.13 million as a result of higher retained profits recorded during the FPE 2026.

12. FINANCIAL INFORMATION (cont'd)**12.5 TREND INFORMATION**

As at the LPD, our Board confirms that there are no:

- (i) known trends, demands, commitments, events or uncertainties that have had or that we reasonably expect to have, a material favourable or unfavourable impact on our financial performance, positions and operations, other than those disclosed in **Sections 7, 9 and 12** of this Prospectus;
- (ii) material capital commitments;
- (iii) unusual, infrequent events or transactions or any significant economic changes that have materially affected the financial performance, position and operations of our Group, save as disclosed in **Sections 7, 9 and 12** of this Prospectus;
- (iv) known trends, demands, commitments, events or uncertainties that had resulted in a material impact on our total revenue and/or profits save for those that have been disclosed in **Sections 7, 9 and 12** of this Prospectus;
- (v) known trends, demands, commitments, events or uncertainties that are reasonably likely to make our historical financial statements not indicative of the future financial performance and position, other than those disclosed in **Sections 7, 9 and 12** of this Prospectus; and
- (vi) known trends, demands, commitments, events or uncertainties that have had or that we reasonably expect to have, a material favourable or unfavourable impact on our liquidity and capital resources, other than those disclosed in **Sections 7, 9 and 12** of this Prospectus.

12.6 ORDER BOOK

Details of our order book are as follows:

Business segments	As at the LPD
	RM'000
Geospatial solutions	18,165
Intelligent rail solutions	33,575
Total	51,740

The above order book relates to the contract value of projects secured as at the LPD, for which are expected to be recognised as revenue progressively over the next 3 financial years. Based on our current estimates of each project's progress and timing of execution, our Group expects to recognise revenue in the following financial years:

Business segments	From LPD up to FYE 2027	FYE 2028	FYE 2029
	RM'000	RM'000	RM'000
Geospatial solutions	15,246	2,825	94
Intelligent rail solutions	17,219	12,988	3,368
Total	32,465	15,813	3,462

There can be no assurance that the estimated recognition of our order book will be realised in the manner or within the timeframe above, or at all, as such estimates are subject to various factors beyond our control, such as changes in project schedules, delays, variations or job cancellations, and changes in market, regulatory or economic conditions.

Our Group does not maintain an order book for trading of ICT solutions segment as the sales are based on receipt of purchase orders from customers on an on-going, as-needed basis.

12. FINANCIAL INFORMATION (cont'd)**12.7 SIGNIFICANT CHANGES**

There are no significant changes that have occurred which may have a material effect on the financial position and results of our Group subsequent to the FPE 2026 and up to the LPD.

12.8 DIVIDEND POLICY

Our Group presently does not have any formal dividend policy and the declaration of dividends and other distributions are subject to the discretion of our Board. Our ability to pay dividends or make other distributions to our shareholders in the future years is subject to various factors such as having profits and excess funds, which are not required to be retained to fund our business.

Our Board will consider the following factors (which may not be exhaustive) when declaring any dividends:

- (i) the level of cash and level of indebtedness;
- (ii) required and expected interest expense, cash flows, profits, return on equity and retained profits;
- (iii) our expected results of operations and future level of operations; and
- (iv) our projected levels of capital expenditure and other investment plans.

Our Board may from time to time approve a dividend or other distribution. However, no dividend or distribution shall be declared in excess of the amount recommended by our Board. Further, under the Act, our Company may not declare or pay dividend, or make a distribution out of contributed surplus, if there are reasonable grounds for believing that:

- (i) our Company is, or would after the payment, be unable to pay our liabilities as they become due; or
- (ii) the realisable value of our Company's assets would thereby be less than our liabilities.

As at the LPD, save for any applicable financial covenants and the Act, and subject to the availability of distributable profits and reserves, our Group is not subject to dividend restrictions.

Dividends declared and paid by our Company, during Financial Years/Period Under Review and up to the LPD were as follows:

	FYE 2023	FYE 2024	FYE 2025	FPE 2026	From 1 April 2026 up to LPD
	RM'000	RM'000	RM'000	RM'000	RM'000
Dividends declared	1,211 ⁽²⁾	1,294 ⁽³⁾	1,022 ⁽⁴⁾	596 ⁽⁵⁾	-
Dividends paid	1,929	1,154	1,294	1,022	-
PAT attributable to owners of the Company	4,161	4,001	5,184	4,974	-
Dividend payout ratio (%) ⁽¹⁾	29.10	32.34	19.71	11.98	-

Notes:

- (1) Computed based on the dividends declared divided by the PAT attributable to owners of the Company in the respective financial year/period.
- (2) Of the dividends declared in respect of FYE 2023, RM0.65 million was paid in the FYE 2023 and RM0.56 million was paid in the subsequent FYE 2024.
- (3) Of the dividends declared in respect of FYE 2024, RM0.59 million was paid in the FYE 2024 and RM0.70 million was paid in the subsequent FYE 2025.

12. FINANCIAL INFORMATION *(cont'd)*

- (4) Of the dividends declared in respect of FYE 2025, RM0.59 million was paid in the FYE 2025 and RM0.43 million was paid in the subsequent FYE 2026.
- (5) Of the dividends declared in respect of FYE 2026, RM0.59 million was paid in the FYE 2026.

The dividends above were satisfied via internally generated funds of our Group.

As at the LPD, there is no outstanding dividends declared but remained unpaid. Our Group does not intend to declare any further dividends prior to our Listing.

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13. ACCOUNTANTS' REPORT



Crowe Malaysia PLT
201906000005 (LLP0018817-LCA) & AF 1018
Chartered Accountants
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12, Jalan Yap Kwan Seng
50450 Kuala Lumpur
Malaysia
Main +6 03 2788 9999
www.crowe.my

1 September 2026

The Board of Directors
RedPlanet Berhad
No. 1-8, Level 8
The Boulevard, Mid Valley City
Lingkaran Syed Putra
59200 Kuala Lumpur
Wilayah Persekutuan, Malaysia

Dear Sirs and Madams,

REPORTING ACCOUNTANTS' OPINION ON THE CONSOLIDATED FINANCIAL STATEMENTS CONTAINED IN THE ACCOUNTANTS' REPORT OF REDPLANET BERHAD ("REDPLANET" OR "THE COMPANY")

OPINION

We have audited the consolidated financial statements of RedPlanet Berhad and its subsidiaries (collectively referred to as the "Group") which comprise the consolidated statements of financial position as at 30 June 2023, 30 June 2024, 30 June 2025 and 31 March 2026, consolidated statements of profit or loss and other comprehensive income, consolidated statements of changes in equity and consolidated statements of cash flows of the Group for each of the financial years ended ("FYE") 30 June 2023, 30 June 2024, 30 June 2025 and the financial period ended ("FPE") 31 March 2026 and notes to the consolidated financial statements, including material accounting policy information, as set out on pages 4 to 130.

This historical financial information has been prepared for inclusion in the prospectus of the Group in connection with the listing of and quotation for the entire enlarged issued share capital of the Group on the ACE Market of Bursa Malaysia Securities Berhad. This report is required by the Prospectus Guidelines issued by the Securities Commission Malaysia ("SC") (the "Prospectus Guidelines") and is given for the purpose of complying with Chapter 10, Part II Division 1: Equity of the Prospectus Guidelines and for no other purpose.

In our opinion, the consolidated financial statements give a true and fair view of the consolidated financial position of the Group as at 30 June 2023, 30 June 2024, 30 June 2025 and 31 March 2026 and of its consolidated financial performance and its consolidated cash flows for the FYE 30 June 2023, 30 June 2024, 30 June 2025 and FPE 31 March 2026 in accordance with Malaysian Financial Reporting Standards and IFRS Accounting Standards.

BASIS FOR OPINION

We conducted our audit in accordance with approved standards on auditing in Malaysia and International Standards on Auditing. Our responsibilities under those standards are further described in the *Reporting Accountants' Responsibilities for the Audit of the Financial Information* section of our report. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Page 1

13. ACCOUNTANTS' REPORT (cont'd)**BASIS FOR OPINION (CONT'D)***Independence and Other Ethical Responsibilities*

We are independent of the Group in accordance with the *By-Laws (on Professional Ethics, Conduct and Practice)* of the Malaysian Institute of Accountants ("By-Laws") and the International Ethics Standards Board for Accountants' *International Code of Ethics for Professional Accountants (including International Independence Standards)* ("IESBA Code"), and we have fulfilled our other ethical responsibilities in accordance with the By-Laws and the IESBA Code.

RESPONSIBILITIES OF THE DIRECTORS FOR THE CONSOLIDATED FINANCIAL STATEMENTS

The Directors of the Company are responsible for the preparation of the consolidated financial statements of the Group that give a true and fair view in accordance with Malaysian Financial Reporting Standards and IFRS Accounting Standards. The Directors are also responsible for such internal control as the Directors determine is necessary to enable the preparation of consolidated financial statements of the Group that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements of the Group, the Directors are responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Directors either intend to liquidate the Group or to cease operations, or have no realistic alternative but to do so.

REPORTING ACCOUNTANTS' RESPONSIBILITIES FOR THE AUDIT OF THE CONSOLIDATED FINANCIAL STATEMENTS

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements of the Group as a whole are free from material misstatement, whether due to fraud or error, and to issue a report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with approved standards on auditing in Malaysia and International Standards on Auditing will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

As part of an audit in accordance with approved standards on auditing in Malaysia and International Standards on Auditing, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:-

- Identify and assess the risks of material misstatement of the consolidated financial statements of the Group, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the Directors.

13. ACCOUNTANTS' REPORT (cont'd)



REPORTING ACCOUNTANTS' RESPONSIBILITIES FOR THE AUDIT OF THE CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

As part of an audit in accordance with approved standards on auditing in Malaysia and International Standards on Auditing, we exercise professional judgement and maintain professional scepticism throughout the audit. We also (Cont'd):-

- Conclude on the appropriateness of the Directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our report to the related disclosures in the consolidated financial statements of the Group or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the consolidated financial statements of the Group, including the disclosures, and whether the consolidated financial statements of the Group represent the underlying transactions and events in a manner that achieves fair presentation.
- Plan and perform the group audit to obtain sufficient appropriate audit evidence regarding the financial information of the entities or business units within the group as a basis for forming an opinion on the group financial statements. We are responsible for the direction, supervision and review of the audit work performed for purposes of the group audit. We remain solely responsible for our audit opinion.

We communicate with the Directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

RESTRICTION ON DISTRIBUTION AND USE

This report is made solely to the Company for inclusion in the prospectus in relation to the listing of and quotation for the entire issued share capital of RedPlanet on the ACE Market of Bursa Malaysia Securities Berhad. As such, this report should not be used for any other purpose without our prior written consent. We do not assume responsibility to any other person for the content of this report.


Crowe Malaysia PLT
 201906000005 (LLP0018817-LCA) & AF 1018
 Chartered Accountants

Kuala Lumpur


Kaw Hoong Siang
 03379/06/2028 J
 Chartered Accountant

13. ACCOUNTANTS' REPORT (cont'd)**REDPLANET BERHAD
CONSOLIDATED STATEMENTS OF FINANCIAL POSITION**

		Audited			
		←	FYE 30 June	→	FPE 31 March
Note		2023 RM	2024 RM	2025 RM	2026 RM
ASSETS					
NON-CURRENT ASSETS					
Investment in an associate	5	-	48,554	-	-
Property, plant and equipment	6	855,960	8,435,507	8,447,217	8,079,402
Right-of-use assets	7	532,380	469,204	263,952	858,454
Goodwill	8	-	6,679,955	6,679,955	6,679,955
Intangible assets	9	-	324,349	56,860	1,288,121
Deferred tax assets	10	823,539	2,611,953	1,562,586	2,851,358
		<u>2,211,879</u>	<u>18,569,522</u>	<u>17,010,570</u>	<u>19,757,290</u>
CURRENT ASSETS					
Contract cost assets	11	1,091,353	1,540,080	1,781,968	860,105
Trade receivables	12	2,099,956	3,444,782	4,229,928	5,841,018
Other receivables, deposits and prepayments	13	972,988	4,116,729	1,790,841	1,314,146
Contract assets	14	2,917,214	4,761,596	7,258,731	5,158,908
Current tax assets		15,065	652,528	488,793	253,680
Short-term investments	15	5,075	3,676	-	-
Fixed deposits with licensed banks	16	888,916	4,946,094	4,671,453	5,901,240
Cash and bank balances		15,141,581	9,820,056	7,527,943	7,744,354
		<u>23,132,148</u>	<u>29,285,541</u>	<u>27,749,657</u>	<u>27,073,451</u>
TOTAL ASSETS		<u>25,344,027</u>	<u>47,855,063</u>	<u>44,760,227</u>	<u>46,830,741</u>

13. ACCOUNTANTS' REPORT (cont'd)**REDPLANET BERHAD
CONSOLIDATED STATEMENTS OF FINANCIAL POSITION (CONT'D)**

		Audited			
		←	FYE 30 June	→	FPE 31 March
Note		2023 RM	2024 RM	2025 RM	2026 RM
EQUITY AND LIABILITIES					
EQUITY					
Share capital	17	5,544,129	7,729,844	7,729,844	7,729,844
Reorganisation deficit	18	(1,318,043)	(1,318,043)	(1,318,043)	(1,318,043)
Foreign exchange translation reserve	19	1,824	(18,653)	276,805	451,216
Retained profits		14,622,847	17,469,717	11,611,603	15,563,524
Equity attributable to owners of the Company		18,850,757	23,862,865	18,300,209	22,426,541
Non-controlling interests		-	1,846,757	-	-
TOTAL EQUITY		18,850,757	25,709,622	18,300,209	22,426,541
NON-CURRENT LIABILITIES					
Other payables and accruals	20	-	1,799,960	3,118,647	-
Lease liabilities	21	368,022	265,676	95,078	650,743
Long-term borrowings	22	-	5,357,304	5,244,710	4,905,807
Deferred tax liabilities	10	-	44,064	43,514	43,102
		368,022	7,467,004	8,501,949	5,599,652
CURRENT LIABILITIES					
Trade payables	27	571,574	2,082,022	2,186,685	1,453,839
Contract liabilities	14	3,787,225	4,409,185	2,696,532	3,526,531
Other payables and accruals	20	1,384,348	4,043,431	11,302,319	12,235,025
Lease liabilities	21	174,983	219,001	183,073	212,742
Short-term borrowings	22	-	3,828,688	1,072,425	805,087
Current tax liabilities		207,118	96,110	517,035	571,324
		6,125,248	14,678,437	17,958,069	18,804,548
TOTAL LIABILITIES		6,493,270	22,145,441	26,460,018	24,404,200
TOTAL EQUITY AND LIABILITIES		25,344,027	47,855,063	44,760,227	46,830,741

13. ACCOUNTANTS' REPORT (cont'd)

REDPLANET BERHAD
CONSOLIDATED STATEMENTS OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

		Audited FYE 30 June			Unaudited FPE 31 March	
		2023	2024	2025	2025	Audited
	Note	RM	RM	RM	RM	2026
						RM
Revenue	28	24,932,843	34,924,137	33,296,006	24,808,762	33,165,572
Cost of sales		(16,042,694)	(22,417,492)	(16,709,219)	(13,359,688)	(21,238,433)
Gross profit		8,890,149	12,506,645	16,586,787	11,449,074	11,927,139
Other income		721,759	686,339	424,939	346,436	204,257
		9,611,908	13,192,984	17,011,726	11,795,510	12,131,396
Administrative expenses		(3,189,132)	(5,905,783)	(6,767,226)	(4,912,260)	(5,874,695)
Selling and marketing expenses		-	(74,929)	(82,850)	(61,450)	(90,630)
Other expenses		(624,583)	(982,069)	(2,107,735)	(1,607,047)	(1,086,389)
Finance costs		(2,589)	(272,730)	(498,155)	(406,568)	(366,122)
Net reversal of/(allowance for) impairment losses on financial assets	29	40,109	14,988	-	-	(25,374)
Share of results of an equity accounted associate		-	(1,196)	-	-	-
Profit before taxation	30	5,835,713	5,971,265	7,555,760	4,808,185	4,688,186
Income tax (expense)/saving	31	(1,674,778)	(812,805)	(2,334,560)	(1,211,795)	285,687
PROFIT AFTER TAXATION		4,160,935	5,158,460	5,221,200	3,596,390	4,973,873

13. ACCOUNTANTS' REPORT (cont'd)

REDPLANET BERHAD

CONSOLIDATED STATEMENTS OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME (CONT'D)

Note	Audited FYE 30 June			Unaudited FPE 31 March	
	2023 RM	2024 RM	2025 RM	2025 RM	2026 RM
PROFIT AFTER TAXATION	4,160,935	5,158,460	5,221,200	3,596,390	4,973,873
OTHER COMPREHENSIVE INCOME					
<u>Item that Will be Reclassified Subsequently to Profit or Loss</u>					
Foreign currency translation differences	9,109	(37,085)	579,735	590,138	174,411
TOTAL COMPREHENSIVE INCOME FOR THE FINANCIAL YEARS/PERIOD	4,170,044	5,121,375	5,800,935	4,186,528	5,148,284
PROFIT AFTER TAXATION ATTRIBUTABLE TO:-					
Owners of the Company	4,160,935	4,000,897	5,184,335	3,559,525	4,973,873
Non-controlling interests	-	1,157,563	36,865	36,865	-
	4,160,935	5,158,460	5,221,200	3,596,390	4,973,873
TOTAL COMPREHENSIVE INCOME ATTRIBUTABLE TO:-					
Owners of the Company	4,170,044	3,980,420	5,391,259	3,776,852	5,148,284
Non-controlling interests	-	1,140,955	409,676	409,676	-
	4,170,044	5,121,375	5,800,935	4,186,528	5,148,284
EARNINGS PER SHARE (SEN)					
Basic	32 1.26	1.19	1.52	1.04	1.46
Diluted	32 1.26	1.19	1.52	1.04	1.46

13. ACCOUNTANTS' REPORT *(cont'd)*
REDPLANET BERHAD
CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY

		← Non-Distributable		→	Distributable			
	Note	Share Capital RM	Reorganisation Deficit RM	Foreign Exchange Translation Reserve RM	Retained Profits RM	Equity Attributable to Owners of the Company RM	Non- controlling Interests RM	Total Equity RM
Balance at 1.7.2022		5,544,129	(1,318,043)	(7,285)	12,390,612	16,609,413	-	16,609,413
Profit after taxation for the financial year		-	-	-	4,160,935	4,160,935	-	4,160,935
Other comprehensive income for the financial year:								
- Foreign currency translation differences		-	-	9,109	-	9,109	-	9,109
Total comprehensive income for the financial year		-	-	9,109	4,160,935	4,170,044	-	4,170,044
Distribution to owners:								
- Dividends	33	-	-	-	(1,928,700)	(1,928,700)	-	(1,928,700)
Balance at 30.6.2023/1.7.2023		5,544,129	(1,318,043)	1,824	14,622,847	18,850,757	-	18,850,757

13. ACCOUNTANTS' REPORT *(cont'd)*
REDPLANET BERHAD
CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY (CONT'D)

Note	← Non-Distributable		→ Distributable		Equity Attributable to Owners of the Company RM	Non- controlling Interests RM	Total Equity RM
	Share Capital RM	Reorganisation Deficit RM	Foreign Exchange Translation Reserve RM	Retained Profits RM			
Balance at 30.6.2023/1.7.2023	5,544,129	(1,318,043)	1,824	14,622,847	18,850,757	-	18,850,757
Profit after taxation for the financial year	-	-	-	4,000,897	4,000,897	1,157,563	5,158,460
Other comprehensive income for the financial year:							
- Foreign currency translation differences	-	-	(20,477)	-	(20,477)	(16,608)	(37,085)
Total comprehensive income for the financial year	-	-	(20,477)	4,000,897	3,980,420	1,140,955	5,121,375
Balance carried forward	5,544,129	(1,318,043)	(18,653)	18,623,744	22,831,177	1,140,955	23,972,132

13. ACCOUNTANTS' REPORT (cont'd)**REDPLANET BERHAD
CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY (CONT'D)**

	Note	Non-Distributable		Foreign Exchange Translation Reserve	Distributable	Equity Attributable to Owners of the Company	Non- controlling Interests	Total Equity
		Share Capital RM	Reorganisation Deficit RM	RM	Retained Profits RM	RM	RM	RM
Balance brought forward		5,544,129	(1,318,043)	(18,653)	18,623,744	22,831,177	1,140,955	23,972,132
Transactions with owners:								
- Issuance of new ordinary shares	17	2,185,715	-	-	-	2,185,715	-	2,185,715
- Dividends	33	-	-	-	(1,154,027)	(1,154,027)	-	(1,154,027)
Total contributions by and distributions to owners		2,185,715	-	-	(1,154,027)	1,031,688	-	1,031,688
Acquisition of a subsidiary	34(a)	-	-	-	-	-	705,802	705,802
Balance at 30.6.2024/1.7.2024		7,729,844	(1,318,043)	(18,653)	17,469,717	23,862,865	1,846,757	25,709,622

13. ACCOUNTANTS' REPORT (cont'd)**REDPLANET BERHAD**
CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY (CONT'D)

	Note	Non-Distributable		Foreign Exchange Translation Reserve RM	Distributable		Non- controlling Interests RM	Total Equity RM
		Share Capital RM	Reorganisation Deficit RM		Retained Profits RM	Equity Attributable to Owners of the Company RM		
Balance at 30.6.2024/1.7.2024		7,729,844	(1,318,043)	(18,653)	17,469,717	23,862,865	1,846,757	25,709,622
Profit after taxation for the financial year		-	-	-	5,184,335	5,184,335	36,865	5,221,200
Other comprehensive income for the financial year:								
- Foreign currency translation differences		-	-	206,924	-	206,924	372,811	579,735
Total comprehensive income for the financial year		-	-	206,924	5,184,335	5,391,259	409,676	5,800,935
Transactions with owners:								
- Dividends	33	-	-	-	(1,294,472)	(1,294,472)	-	(1,294,472)
- Change in ownership interest in a subsidiary	34(b)	-	-	88,534	(9,747,977)	(9,659,443)	(2,256,433)	(11,915,876)
Total contributions by and distributions to owners		-	-	88,534	(11,042,449)	(10,953,915)	(2,256,433)	(13,210,348)
Balance at 30.6.2025		7,729,844	(1,318,043)	276,805	11,611,603	18,300,209	-	18,300,209

13. ACCOUNTANTS' REPORT *(cont'd)*
REDPLANET BERHAD
CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY (CONT'D)

	Note	← Non-Distributable		→	Distributable	
		Share Capital RM	Reorganisation Deficit RM	Foreign Exchange Translation Reserve RM	Retained Profits RM	Total Equity RM
Balance at 30.6.2025/1.7.2025		7,729,844	(1,318,043)	276,805	11,611,603	18,300,209
Profit after taxation for the financial period		-	-	-	4,973,873	4,973,873
Other comprehensive income for the financial period:						
- Foreign currency translation differences		-	-	174,411	-	174,411
Total comprehensive income for the financial period		-	-	174,411	4,973,873	5,148,284
Transactions to owners:						
- Dividends	33	-	-	-	(1,021,952)	(1,021,952)
Balance at 31.3.2026		7,729,844	(1,318,043)	451,216	15,563,524	22,426,541

13. ACCOUNTANTS' REPORT (cont'd)

REDPLANET BERHAD CONSOLIDATED STATEMENTS OF CASH FLOWS

Note	Audited FYE 30 June			Unaudited FPE 31 March	
	2023 RM	2024 RM	2025 RM	2025 RM	2026 RM
CASH FLOWS FROM/(FOR) OPERATING ACTIVITIES					
Profit before taxation	5,835,713	5,971,265	7,555,760	4,808,185	4,688,186
Adjustments for:-					
Allowance for impairment loss on trade receivables	895,415	-	-	-	25,374
Amortisation of intangible assets	-	273,396	267,489	225,275	45,600
Depreciation of:					
- property, plant and equipment	384,775	432,221	508,466	370,833	387,565
- right-of-use assets	176,880	232,575	229,908	139,864	173,772
Interest expense:					
- financial liabilities that are not at fair value through profit or loss	2,589	351,371	491,561	400,871	358,257
- lease liabilities	18,769	20,572	16,018	12,936	16,252
Listing expenses	-	-	189,664	-	765,366
Property, plant and equipment written off	252	7,901	4	4	-
Share of results from an equity accounted associate	-	1,196	-	-	-
Gain on disposal of an equity accounted associate	-	-	(1,196)	(1,196)	-
Gain on disposal of property, plant and equipment	-	(500)	(13,800)	-	(500)
Gain on lease modification	-	-	-	-	(9,992)
Interest income:					
- short-term investments	(22,898)	(86,461)	(211,747)	(176,338)	(61,495)
- financial assets measured at amortised cost	(49,247)	(126,569)	(49,834)	(101,568)	(80,830)
Balance carried forward	7,242,248	7,076,967	8,982,293	5,678,866	6,307,555

13. ACCOUNTANTS' REPORT (cont'd)

REDPLANET BERHAD
CONSOLIDATED STATEMENTS OF CASH FLOWS (CONT'D)

Note	Audited FYE 30 June			Unaudited FPE 31 March	
	2023 RM	2024 RM	2025 RM	2025 RM	2026 RM
CASH FLOWS FROM/(FOR) OPERATING ACTIVITIES (CONT'D)					
Balance brought forward	7,242,248	7,076,967	8,982,293	5,678,866	6,307,555
Reversal of impairment losses:					
- trade receivables	(8,718)	(14,988)	-	-	-
- contract assets	(895,415)	-	-	-	-
Unrealised (gain)/loss on foreign exchange	(149,879)	2,833	916,006	418,104	438,478
Writeback of impairment loss on trade receivables	(31,391)	-	-	-	-
Operating profit before working capital changes	6,156,845	7,064,812	9,898,299	6,096,970	6,746,033
(Increase)/Decrease in contract cost assets	(113,083)	(448,727)	(241,888)	76,126	921,863
(Increase)/Decrease in contract assets	3,070,715	(1,844,382)	(2,497,135)	(1,605,714)	2,099,823
(Increase)/Decrease in trade and other receivables	(631,533)	(4,290,300)	1,540,742	(771,576)	(1,159,769)
Increase/(Decrease) in trade and other payables	225,760	1,102,555	(1,396,999)	(22,124)	(506,647)
Increase/(Decrease) in contract liabilities	633,587	(1,647,336)	(1,712,653)	1,291,740	829,999
CASH FROM/(FOR) OPERATIONS	9,342,291	(63,378)	5,590,366	5,065,422	8,931,302
Interest paid	(2,589)	(48,065)	(202,094)	(174,129)	(33,447)
Income tax paid	(1,223,203)	(1,493,156)	(1,021,052)	(471,292)	(840,506)
Income tax refunded	29,571	43,157	319,969	319,969	203,107
NET CASH FROM/(FOR) OPERATING ACTIVITIES CARRIED FORWARD	8,146,070	(1,561,442)	4,687,189	4,739,970	8,260,456

13. ACCOUNTANTS' REPORT (cont'd)**REDPLANET BERHAD**
CONSOLIDATED STATEMENTS OF CASH FLOWS (CONT'D)

Note	Audited FYE 30 June			Unaudited FPE 31 March	
	2023 RM	2024 RM	2025 RM	2025 RM	2026 RM
NET CASH FROM/(FOR) OPERATING ACTIVITIES BROUGHT FORWARD	8,146,070	(1,561,442)	4,687,189	4,739,970	8,260,456
CASH FLOWS FOR INVESTING ACTIVITIES					
Acquisition of a subsidiary, net of cash and cash equivalent acquired	34(a)(iii) -	(948,822)	-	-	-
Addition of intangible assets	-	-	-	-	(1,256,613)
Contingent consideration paid	-	-	(637,500)	(637,500)	-
Interest income:					
- short-term investments	22,898	86,461	211,747	176,338	61,495
- financial assets measured at amortised cost	49,247	126,569	49,834	101,568	80,830
Investment in an associate	-	(49,750)	-	-	-
(Increase)/Decrease of fixed deposits:					
- with tenure more than 3 months	(54,506)	(24,685)	78,372	224	(214)
- pledged with licensed banks	(214,928)	(4,032,493)	196,269	118,707	(1,229,573)
Partial payment of cash consideration for the acquisition of non-controlling interests	-	-	-	-	(2,629,875)
Proceeds from disposal of an associate	-	-	49,750	49,750	-
Proceeds from disposal of property, plant and equipment	-	500	118,000	104,200	500
Purchase of property, plant and equipment	35(a) (323,601)	(283,819)	(244,774)	(236,179)	(51,515)
NET CASH FOR INVESTING ACTIVITIES	(520,890)	(5,126,039)	(178,302)	(322,892)	(5,024,965)

13. ACCOUNTANTS' REPORT (cont'd)

REDPLANET BERHAD
CONSOLIDATED STATEMENTS OF CASH FLOWS (CONT'D)

		← Audited FYE 30 June	→	← Unaudited FPE 31 March	→ Audited
		2023 RM	2024 RM	2025 RM	2026 RM
Note					
CASH FLOWS FOR FINANCING ACTIVITIES					
Acquisition of remaining equity interest of an existing subsidiary from non-controlling interests	34(b)(ii)	-	-	(1,212,750)	-
Dividends paid	33	(1,928,700)	(1,154,027)	(1,294,472)	(1,021,952)
Drawdown/(Repayment) of trust receipts	35(b)	-	1,316,114	(1,419,350)	-
Interest paid	35(b)	(18,769)	(323,878)	(291,875)	(205,751)
Listing expenses paid		-	-	(189,664)	(765,366)
Repayment of lease liabilities	35(b)	(169,632)	(227,727)	(172,465)	(172,948)
Repayment of term loans	35(b)	-	(202,545)	(281,954)	(303,346)
Repayment of hire purchase payables	35(b)	-	(12,252)	(19,853)	(107,535)
NET CASH FOR FINANCING ACTIVITIES		(2,117,101)	(604,315)	(4,626,912)	(2,576,898)
NET INCREASE/(DECREASE) IN CASH AND CASH EQUIVALENTS		5,508,079	(7,291,796)	(209,834)	658,593
EFFECTS OF FOREIGN EXCHANGE TRANSLATION		158,786	(39,927)	261,608	(246,822)
CASH AND CASH EQUIVALENTS AT BEGINNING OF THE FINANCIAL YEARS/PERIOD		9,479,791	15,146,656	7,814,933	6,976,390
CASH AND CASH EQUIVALENTS AT END OF THE FINANCIAL YEARS/PERIOD	35(d)	15,146,656	7,814,933	6,976,390	7,388,161

13. ACCOUNTANTS' REPORT (cont'd)

REDPLANET BERHAD
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

1. ABBREVIATION

Unless the context otherwise requires, the following words and abbreviations shall apply throughout this report:-

ASSB	: AZTI Systems Sdn Bhd Registration No.: 200601014858 (734610 - H)
ATSB	: AZTI Technology Sdn Bhd Registration No.: 201401020333 (1096419 - X)
AZTI	: Alpha Zaicon Technology International Inc. Incorporation No.: C1226856
Bursa Securities	: Bursa Malaysia Securities Berhad Registration No.: 200301033577 (635998-W)
FPE	: Financial period ended
FYE	: Financial year ended
GIS	: Geographic Information Systems
ICT	: Information and Communication Technology
GSB	: GBTEK Sdn Bhd Registration No.: 201601009810 (1180738 - T)
Listing	: Listing of and quotation for the entire enlarged issued share capital of the Company on the ACE Market of Bursa Securities
PSB	: Prudentlogic Sdn Bhd Registration No.: 201801045131 (1307163 - H)
RB or the Company	: RedPlanet Berhad Registration No.: 201901014292 (1323620 - A)
RM and sen	: Ringgit Malaysia and sen, the lawful currency of Malaysia
RPS	: RedPlanet Solutions (M) Sdn Bhd Registration No.: 201401041483 (1117638 - T)
RPSA	: RedPlanet Solutions (Aust) Pty Ltd. Company No.: 629 813 743
RPSS	: RedPlanet Spatial Solutions (India) Private Limited Registration No.: U72900TN2021FTC142475

13. ACCOUNTANTS' REPORT *(cont'd)*

REDPLANET BERHAD
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

2. GENERAL INFORMATION

The Company was incorporated on 22 April 2019 as a private limited company and domiciled in Malaysia. The Company is principally engaged in the business of investment holding.

On 5 December 2019, the Company was converted from a private limited company to a public company limited by shares.

On 4 August 2020, the entire issued share capital of the Company was listed on the LEAP Market of Bursa Securities.

The registered office and principal place of business are as follows:-

Registered office :	Office Suite No.603 Block C, Pusat Dagangan Phileo Damansara 1, No.9, Jalan 16/11, Off Jalan Damansara, 46350 Petaling Jaya, Selangor.
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Principal place of business :	No.1-8, Level 8, The Boulevard, Mid Valley City, Lingkaran Syed Putra, 59200 Kuala Lumpur, Wilayah Persekutuan.
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13. ACCOUNTANTS' REPORT (cont'd)

REDPLANET BERHAD NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

2. GENERAL INFORMATION (CONT'D)

The details of the subsidiaries are as follows:-

Name of Subsidiary	Date of Incorporation	Principal Place of Business and Country of Incorporation	Effective Equity Interest				Principal Activities
			FYE 30 June			FPE 31 March	
			2023	2024	2025	2026	
			%	%	%	%	
RPS	12 November 2014	Malaysia	100	100	100	100	Provision of GIS solutions, ICT solutions as well as maintenance and support services.
PSB	12 December 2018	Malaysia	100	100	100	100	Provision of GIS solutions, ICT solutions as well as maintenance and support services.
RPSA	5 November 2018	Australia	100	100	100	100	Provision of GIS solutions, ICT solutions as well as maintenance and support services.
RPSS	30 March 2021	India	100	100	100	100	Provision of GIS solutions, ICT solutions as well as maintenance and support services.
ATSB	4 June 2014	Malaysia	-	51	100	100	Research and development of platform safety system, business development and licensing of intellectual property rights as well as investment holding.
ASSB	22 May 2006	Malaysia	-	51	100	100	Turnkey systems and solutions for platform safety system, ICT, GIS as well as engineering, maintenance, support and related services.
AZTI	25 July 2014	British Columbia	-	51	100	100	Intellectual property licensing.
GSB	23 March 2016	Malaysia	-	51	100	100	IT development support services.

13. ACCOUNTANTS' REPORT (cont'd)**REDPLANET BERHAD
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS****3. BASIS OF PREPARATION**

The consolidated financial statements for the FYEs 30 June 2023 ("FYE 2023"), 30 June 2024 ("FYE 2024"), 30 June 2025 ("FYE 2025") and FPE 31 March 2026 ("FPE 2026") are prepared based on the financial statements of the Group.

The consolidated financial statements of the Group are the consolidation of all the audited financial statements of the entities in the Group and have been prepared based on the financial statements for the relevant financial years/period as follows:-

Entities	FYE 2023	FYE 2024	FYE 2025	FPE 2026
The Company	✓, #	✓, #	✓, #	✓, !
RPS	✓, #	✓, #	✓, #	✓, !
PSB	✓, #	✓, #	✓, #	✓, !
RPSA	✓, ^	✓, ^	✓, ^	✓, ^
RPSS	✓, *	✓, *	✓, *	✓, *
ATSB	#	✓, #, @	✓, #	✓, !
ASSB	#	✓, #, @	✓, #	✓, !
AZTI	\$	✓, @, \$	✓, \$	✓, \$
GSB	^	✓, @, ^	✓, ^	✓, ^

Notes:-

- ✓ - The consolidated financial statements of the Group include the financial statements of these entities for the respective financial years/period.
- # - The consolidated financial statements have been prepared based on the audited financial statements which were audited by Crowe Malaysia PLT and in compliance with Malaysian Financial Reporting Standards and IFRS Accounting Standards. All the financial statements are audited, and auditors' report expressed an unmodified opinion.
- @ - During FYE 2024, the Company acquired ATSB and its subsidiaries using the acquisition method of accounting.
- ^ - These subsidiaries were audited by other firms of chartered accountants.
- \$ - The financial statements of AZTI are unaudited as the Business Corporations Act in British Columbia does not require the accounts to be audited.
- * - The subsidiary was audited by a member firm of Crowe Global of which Crowe Malaysia PLT is a member.
- ! - The consolidated financial statements of the Group for the financial period have been prepared based on the audited financial statements which were audited by Crowe Malaysia PLT for the purpose of inclusion into the consolidated financial statements of the Group.

All material intra-group transactions and balances have been eliminated on consolidation.

The consolidated financial statements of the Group are prepared under the historical cost convention and modified to include other basis of valuation as disclosed in other sections under material accounting policy information, and in compliance with Malaysian Financial Reporting Standards ("MFRSs"), IFRS Accounting Standards and the requirements of the Companies Act 2016 in Malaysia.

13. ACCOUNTANTS' REPORT (cont'd)**REDPLANET BERHAD
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS****3. BASIS OF PREPARATION (CONT'D)**

- 3.1 The Group has adopted all the new accounting standards and/or interpretations (including the consequential amendments, if any) that are effective during the relevant financial years/period. The adoption of these accounting standards and/or interpretations (including the consequential amendments, if any) did not have any material impact on the financial statements of the Group and did not result in significant changes to the Group's existing policies.
- 3.2 The Group has not applied in advance the following accounting standards and/or interpretations (including the consequential amendments, if any) that have been issued by the Malaysian Accounting Standards Board ("MASB") but are not yet effective for the current financial period:-

MFRSs and/or IC Interpretations (Including The Consequential Amendments)	Effective Date
MFRS 18 Presentation and Disclosure in Financial Statements	1 January 2027
MFRS 19 Subsidiaries without Public Accountability: Disclosures	1 January 2027
Amendments to MFRS 9 and MFRS 7: Amendments to the Classification and Measurement of Financial Instruments	1 January 2026
Amendments to MFRS 9 and MFRS 7: Contracts Referencing Nature-dependent Electricity	1 January 2026
Amendments to MFRS 10 and MFRS 128: Sale or Contribution of Assets between an Investor and its Associate or Joint Venture	Deferred
Amendments to MFRS 19: Subsidiaries without Public Accountability: Disclosures	1 January 2027
Amendments to MFRS 121: Translation to a Hyperinflationary Presentation Currency	1 January 2027
Annual Improvements to MFRS Accounting Standards - Volume 11	1 January 2026

The adoption of the above accounting standards and/or interpretations (including the consequential amendments, if any) is expected to have no material impact on the financial statements of the Group upon its initial application except as follows:-

MFRS 18 Presentation and Disclosure of Financial Statements

MFRS 18 'Presentation and Disclosure in Financial Statements' will replace MFRS 101 'Presentation of Financial Statements' upon its adoption. This new standard sets out the new requirements for the presentation and disclosure of information in the primary financial statements and notes. The potential impact of the new standard on the financial statements of the Group has yet to be assessed.

13. ACCOUNTANTS' REPORT (cont'd)**REDPLANET BERHAD
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS****4. MATERIAL ACCOUNTING POLICY INFORMATION****4.1 CRITICAL ACCOUNTING ESTIMATES AND JUDGEMENTS***Key Source of Estimation Uncertainty*

Management believes that there are no key assumptions made concerning the future, and other key sources of estimation uncertainty at the reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year other than as disclosed below:-

(a) Depreciation of Property, Plant and Equipment

The estimates for the residual values, useful lives and related depreciation charges for the property, plant and equipment are based on commercial factors which could change significantly as a result of technical innovations and competitors' actions in response to the market conditions. The Group anticipates that the residual values of its property, plant and equipment will be insignificant. As a result, residual values are not being taken into consideration for the computation of the depreciable amount. Changes in the expected level of usage and technological development could impact the economic useful lives and the residual values of these assets, therefore future depreciation charges could be revised. The carrying amount of property, plant and equipment as at the reporting date is disclosed in Note 6 to the financial statements.

(b) Impairment of Property, Plant and Equipment and Right-of-use Assets

The Group determines whether an item of its property, plant and equipment and right-of-use assets are impaired by evaluating the extent to which the recoverable amount of the asset is less than its carrying amount. This evaluation is subject to changes such as market performance, economic and political situation of the country. A variety of methods is used to determine the recoverable amount, such as valuation reports and discounted cash flows. For discounted cash flows, significant judgement is required in the estimation of the present value of future cash flows generated by the assets, which involve uncertainties and are significantly affected by assumptions used and judgements made regarding estimates of future cash flows and discount rates. The carrying amounts of property, plant and equipment and right-of-use assets as at the reporting date are disclosed in Notes 6 and 7 to the financial statements respectively.

(c) Impairment of Goodwill

The assessment of whether goodwill is impaired requires an estimation of the value in use of the cash-generating unit to which the goodwill is allocated. Estimating a value in use amount requires management to make an estimate of the expected future cash flows from the cash-generating unit and also to choose a suitable discount rate in order to calculate the present value of those cash flows. The carrying amount of goodwill as at the reporting date and the key assumptions is disclosed in Note 8 to the financial statements.

13. ACCOUNTANTS' REPORT (cont'd)**REDPLANET BERHAD
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS****4. MATERIAL ACCOUNTING POLICY INFORMATION (CONT'D)****4.1 CRITICAL ACCOUNTING ESTIMATES AND JUDGEMENTS (CONT'D)***Key Source of Estimation Uncertainty (Cont'd)***(d) Impairment of Trade Receivables and Contract Assets**

The Group uses the simplified approach to estimate a lifetime expected credit loss allowance for all trade receivables and contract assets. The contract assets are grouped with trade receivables for impairment assessment because they have substantially the same risk characteristics as the trade receivables for the same types of contracts. The Group develops the expected loss rates based on the payment profiles of past sales and the corresponding historical credit losses, and adjusts for qualitative and quantitative reasonable and supportable forward-looking information. If the expectation is different from the estimation, such difference will impact the carrying values of trade receivables and contract assets. The carrying amounts of trade receivables and contract assets as at the reporting date are disclosed in Notes 12 and 14 to the financial statements respectively.

(e) Impairment of Non-Trade Receivables

The loss allowances for non-trade financial assets are based on assumptions about risk of default (probability of default) and expected loss if a default happens (loss given default). It also requires the Group to assess whether there is a significant increase in credit risk of the non-trade financial asset at the reporting date. The Group uses judgement in making these assumptions and selecting appropriate inputs to the impairment calculation, based on the past payment trends, existing market conditions and forward-looking information. The carrying amount of other receivables as at the reporting date is disclosed in Note 13 to the financial statements.

(f) Revenue Recognition for System Solution Services

The Group recognises system solution services revenue by reference to the services progress using the input method, determined based on the proportion of services costs incurred for work performed to date over the estimated total services costs. The total estimated costs are based on approved budgets, which require assessment and judgement to be made on changes in, for example, work scope, changes in costs and costs to completion. In making the judgement, management relies on past experience and the work of specialists. The carrying amounts of contract assets and contract liabilities as at the reporting date are disclosed in Note 14 to the financial statements.

(g) Deferred Tax Assets

Deferred tax assets are recognised for all deductible temporary differences to the extent that it is probable that future taxable profits would be available against which the deductible temporary differences could be utilised. Management judgement is required to determine the amount of deferred tax assets that can be recognised, based on the assessment of the probability of the future taxable profits. The carrying amount of deferred tax assets as at the reporting date is disclosed in Note 10 to the financial statements.

13. ACCOUNTANTS' REPORT (cont'd)

REDPLANET BERHAD
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

4. MATERIAL ACCOUNTING POLICY INFORMATION (CONT'D)

4.1 CRITICAL ACCOUNTING ESTIMATES AND JUDGEMENTS (CONT'D)

Key Source of Estimation Uncertainty (Cont'd)

(h) Recognition of Intangible Assets

Expenditure on research activities is recognised as an expense when incurred. Development costs are capitalised as intangible assets when the Group can demonstrate technical feasibility, intention and ability to complete the asset, and the existence of future economic benefits. The Group exercises judgement in determining the stage at which a project enters the development phase, particularly for internally developed software and solutions. The carrying amount of intangible assets as at the reporting date is disclosed in Note 9 to the financial statements.

Critical Judgements Made in Applying Accounting Policies

Management believes that there are no instances of application of critical judgement in applying the Group's accounting policies which will have a significant effect on the amounts recognised in the financial statements other than as disclosed below:-

Lease Terms

Some leases contain extension options exercisable by the Group before the end of the non-cancellable contract period. In determining the lease term, management considers all facts and circumstances including the past practice and any cost that will be incurred to change the asset if an option to extend is not taken. An extension option is only included in the lease term if the lease is reasonably certain to be extended (or not terminated).

4.2 FINANCIAL INSTRUMENTS

(a) Financial Assets

Financial Assets Through Profit or Loss

The financial assets are initially measured at fair value. Subsequent to the initial recognition, the financial assets are remeasured to their fair values at the reporting date with fair value changes recognised in profit or loss. The fair value changes do not include interest and dividend income.

Financial Assets at Amortised Cost

The financial assets are initially measured at fair value plus transaction costs except for trade receivables without significant financing component which are measured at transaction price only. Subsequent to the initial recognition, all financial assets are measured at amortised cost less any impairment losses.

(b) Financial Liabilities

Financial Liabilities Through Profit or Loss

The financial liabilities are initially measured at fair value. Subsequent to the initial recognition, the financial liabilities are remeasured to their fair values at the reporting date with fair value changes recognised in profit or loss. The fair value changes do not include interest expense.

13. ACCOUNTANTS' REPORT *(cont'd)*

REDPLANET BERHAD
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

4. MATERIAL ACCOUNTING POLICY INFORMATION (CONT'D)

4.2 FINANCIAL INSTRUMENTS (CONT'D)

(b) Financial Liabilities (Cont'd)

Financial Liabilities at Amortised Cost

The financial liabilities are initially measured at fair value less transaction costs. Subsequent to the initial recognition, the financial liabilities are measured at amortised cost.

(c) Equity

Ordinary Shares

Ordinary shares are recorded on initial recognition at the proceeds received less directly attributable transaction costs incurred. The ordinary shares are not remeasured subsequently.

4.3 BASIS OF CONSOLIDATION

The consolidated financial statements incorporate the financial statements of the Company and all its subsidiaries made up to the end of the reporting period. The consolidated financial statements are prepared using uniform accounting policies for like transactions in similar circumstances.

The Group reassesses whether it controls an entity if facts and circumstances indicate that there are changes to one or more of the elements of control.

(a) Business Combination

All subsidiaries are consolidated using the acquisition method of accounting from the date of acquisition, being the date on which the Group obtains control, and continue to be consolidated until the date that such control ceases except for business combination for entities under common control which are accounted for using merger method of accounting.

The cost of an acquisition is measured as the aggregate of the consideration transferred, measured at fair value at the acquisition date. Acquisition-related costs are expensed as incurred and included in administrative expenses.

The Group determines that it has acquired a business when the acquired set of activities and assets include an input and a substantive process that together significantly contribute to the ability to create outputs. The acquired process is considered substantive if it is critical to the ability to continue producing outputs, and the inputs acquired include an organised workforce with the necessary skills, knowledge, or experience to perform that process or if it significantly contributes to the ability to continue producing outputs and is considered unique or scarce or cannot be replaced without significant cost, effort, or delay in the ability to continue producing outputs.

13. ACCOUNTANTS' REPORT (cont'd)**REDPLANET BERHAD
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS****4. MATERIAL ACCOUNTING POLICY INFORMATION (CONT'D)****4.3 BASIS OF CONSOLIDATION (CONT'D)****(a) Business Combination (Cont'd)**

When the Group acquires a business, it assesses the financial assets and liabilities assumed for appropriate classification and designation in accordance with the contractual terms, economic circumstances and pertinent conditions as at the acquisition date. This includes the separation of embedded derivatives in host contracts by the acquiree.

Any contingent consideration to be transferred by the acquirer will be recognised at fair value at the acquisition date. Contingent consideration classified as equity is not remeasured and its subsequent settlement is accounted for within equity. Contingent consideration classified as an asset or liability that is a financial instrument and within the scope of MFRS 9 Financial Instruments, is measured at fair value with the changes in fair value recognised in the statements of comprehensive income in accordance with MFRS 9. Other contingent consideration that is not within the scope of MFRS 9 is measured at fair value at each reporting date with changes in fair value recognised in profit or loss.

(b) Business Combination for Entities under Common Control

The financial statements of RPS are consolidated using the merger method of accounting.

Under the merger method of accounting, the assets and liabilities of the merger entities are reflected in the consolidated financial statements at their carrying amounts reported in the individual financial statements. The consolidated statement of profit or loss and other comprehensive income reflects the results of the merger entities for the full reporting period (irrespective of when the combination takes place) and comparatives are presented as if the entities had always been combined since the date for which the entities had come under common control.

The difference between the cost of the merger and the share capital of the merger entities is reflected within equity as merger reserve or merger deficit, as appropriate. The merger deficit is adjusted against suitable reserves of the merger entities to the extent that laws or statutes do not prohibit the use of such reserves.

4.4 GOODWILL

Goodwill is initially measured at cost. Subsequent to the initial recognition, the goodwill is measured at cost less accumulated impairment losses, if any. A bargain purchase gain is recognised in profit or loss immediately.

4.5 INVESTMENTS IN AN ASSOCIATE

Investments in associates are stated in the separate financial statements of the Company at cost less impairment losses, if any, and accounted for using the equity method in the consolidated financial statements.

13. ACCOUNTANTS' REPORT (cont'd)**REDPLANET BERHAD
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS****4. MATERIAL ACCOUNTING POLICY INFORMATION (CONT'D)****4.6 PROPERTY, PLANT AND EQUIPMENT**

All items of property, plant and equipment are initially measured at cost including the estimated costs of dismantling and removing the items and restoring that site on which they are located.

Subsequent to the initial recognition, all property, plant and equipment, other than freehold land, are stated at cost less accumulated depreciation and any accumulated impairment losses. Freehold land is stated at cost less any accumulated impairment losses.

Freehold land is not depreciated. Depreciation on other property, plant and equipment is calculated using the straight-line method to allocate their depreciable amounts over the estimated useful lives. The principal annual depreciation rates are:-

Building	2%
Computer hardware and software	20%
Office equipment	10% - 20%
Renovation	20%
Telecommunication equipment	20%
Motor vehicles	20%
Tools and equipment	20%
Furniture and fittings	20%
Signages	20%

4.7 RIGHT-OF-USE ASSETS AND LEASE LIABILITIES**(a) Short-term Leases and Leases of Low-value Assets**

The Group applies the "short-term lease" and "lease of low-value assets" recognition exemption. For these leases, the Group recognises the lease payments as an operating expense on a straight-line method over the term of the lease unless another systematic basis is more appropriate.

(b) Right-of-use Assets

Right-of-use assets are initially measured at cost. Subsequent to the initial recognition, the right-of-use assets are stated at cost less accumulated depreciation and any accumulated impairment losses, and adjusted for any remeasurement of lease liabilities.

The right-of-use assets are depreciated using the straight-line method from the commencement date to the earlier of the end of the estimated useful lives of the right-of-use assets or the end of the lease term.

(c) Lease Liabilities

Lease liabilities are initially measured at the present value of the lease payments that are not paid at the commencement date, discounted using the entity's incremental borrowing rate. Subsequent to the initial recognition, the lease liabilities are measured at amortised cost and adjusted for any lease reassessment or modifications.

13. ACCOUNTANTS' REPORT *(cont'd)***REDPLANET BERHAD**
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS**4. MATERIAL ACCOUNTING POLICY INFORMATION (CONT'D)****4.8 INTANGIBLE ASSETS****(a) Research and Development Costs**

Research and development costs that do not meet the criteria for capitalisation are recognised as an expense when they are incurred.

Capitalised development costs are initially measured at cost. Subsequent to the initial recognition, the development costs are stated at cost less accumulated amortisation and any accumulated impairment losses. Development costs previously recognised as an expense are not recognised as an asset in the subsequent period.

Capitalised development costs are amortised from the point at which the asset is available for use using the straight-line method over periods of 5 years. Prior to that, the capitalised development costs are tested for impairment annually and whenever there is an indication that they may be impaired.

(b) Other Intangible Assets

Intangible assets are initially measured at cost. The cost of intangible assets recognised in a business combination is their fair values as at the date of acquisition. Subsequent to the initial recognition, the intangible assets are measured at cost less accumulated amortisation and any accumulated impairment losses.

(i) Intangible Assets with Indefinite Useful Lives

Brand name relates to the PIES ®, BLUCOR ®, AZTI ® and Alpha Zaicon ® for the Group's specialisation in providing solutions to the security and detection needs of military, industrial, transit and government customers. The useful life of the brand is estimated to be indefinite. Therefore, the brand name is carried at cost without amortisation but is tested for impairment annually and whenever there is an indication that it may be impaired.

(ii) Intangible Assets with Definite Useful Lives

The intangible assets are amortised using the straight-line method to allocate their depreciable amounts using the following rate:-

Trade secrets and know-how	2%
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13. ACCOUNTANTS' REPORT (cont'd)**REDPLANET BERHAD**
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS**5. INVESTMENT IN AN ASSOCIATE**

	Audited			FPE 31 March
	← 2023	FYE 30 June 2024	2025 →	2026
	RM	RM	RM	RM
Unquoted shares, at cost	-	49,750	-	-
Share of post-acquisition loss	-	(1,196)	-	-
	-	48,554	-	-

The details of the associate, which is incorporated in Malaysia, is as follows:-

Name of Associate	Percentage of Issued Share Capital Held by Parent				Principal Activity
	2023	FYE 30 June 2024	2025	FPE 31 March 2026	
	%	%	%	%	
Neotera Sdn Bhd (formerly known as Agrofood Nature Sdn Bhd)	-	49.75	-	-	Provision of wholesales of agriculture and agro-based products.

- (a) The associate was incorporated in the FYE 30 June 2024.
- (b) Summarised financial information has not been presented as the associate is not material to the Group.
- (c) On 4 November 2024, the Company entered into a Share Sales Agreement to dispose off the 49.75% equity interests at RM49,750. The Group recognised a gain on disposal of an equity accounted associate amounting to RM1,196 in profit or loss under the "Other Income" line item as disclosed in Note 30 to the financial statements.

13. ACCOUNTANTS' REPORT *(cont'd)*

REDPLANET BERHAD
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

6. PROPERTY, PLANT AND EQUIPMENT

	At 1.7.2022 RM	Additions (Note 35(a)) RM	Written Off (Note 30) RM	Translation Differences RM	Depreciation Charges (Note 30) RM	At 30.6.2023 RM
Audited						
FYE 30 June 2023						
<i>Carrying Amount</i>						
Computer hardware and software	561,238	321,101	-	202	(258,073)	624,468
Office equipment	48,398	2,150	-	-	(5,544)	45,004
Renovation	141,325	350	(252)	-	(30,749)	110,674
Telecommunication equipment	1,621	-	-	-	(1,617)	4
Motor vehicles	66,115	-	-	-	(66,114)	1
Furniture and fittings	97,545	-	-	-	(22,472)	75,073
Signages	942	-	-	-	(206)	736
	<u>917,184</u>	<u>323,601</u>	<u>(252)</u>	<u>202</u>	<u>(384,775)</u>	<u>855,960</u>

13. ACCOUNTANTS' REPORT *(cont'd)*
REDPLANET BERHAD
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
6. PROPERTY, PLANT AND EQUIPMENT (CONT'D)

	At 1.7.2023 RM	Acquisition of a Subsidiary (Note 34(a)) RM	Additions (Note 35(a)) RM	Written Off (Note 30) RM	Adjustment [#] RM	Translation Differences RM	Depreciation Charges (Note 30) RM	At 30.6.2024 RM
Audited								
FYE 30 June 2024								
<i>Carrying Amount</i>								
Freehold land	-	5,900,000	-	-	-	-	-	5,900,000
Building	-	1,269,494	-	-	-	-	(15,377)	1,254,117
Computer hardware and software	624,468	68,307	63,708	(5,614)	-	(33)	(257,452)	493,384
Office equipment	45,004	53,147	25,376	-	-	3	(16,749)	106,781
Renovation	110,674	268,364	136,708	-	(1,500)	38	(86,725)	427,559
Telecommunication equipment	4	-	432	-	-	-	(48)	388
Motor vehicles	1	99,934	-	-	-	-	(15,546)	84,389
Tools and equipment	-	31,401	4,648	-	-	-	(4,573)	31,476
Furniture and fittings	75,073	29,707	54,447	(2,287)	-	1	(33,204)	123,737
Signages	736	15,487	-	-	-	-	(2,547)	13,676
	<u>855,960</u>	<u>7,735,841</u>	<u>285,319</u>	<u>(7,901)</u>	<u>(1,500)</u>	<u>9</u>	<u>(432,221)</u>	<u>8,435,507</u>

Note:-

[#] - Represents overtaken of cost in the FYE 30 June 2023.

13. ACCOUNTANTS' REPORT *(cont'd)*
REDPLANET BERHAD
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
6. PROPERTY, PLANT AND EQUIPMENT (CONT'D)

	At 1.7.2024 RM	Additions (Note 35(a)) RM	Written Off (Note 30) RM	Disposal RM	Translation Differences RM	Depreciation Charges (Note 30) RM	At 30.6.2025 RM
Audited							
FYE 30 June 2025							
<i>Carrying Amount</i>							
Freehold land	5,900,000	-	-	-	-	-	5,900,000
Building	1,254,117	-	-	-	-	(26,218)	1,227,899
Computer hardware and software	493,384	27,695	(4)	-	(5,574)	(215,838)	299,663
Office equipment	106,781	43,263	-	-	(984)	(27,816)	121,244
Renovation	427,559	3,180	-	-	(11,667)	(125,732)	293,340
Telecommunication equipment	388	-	-	-	(42)	(135)	211
Motor vehicles	84,389	546,888	-	(104,200)	-	(60,275)	466,802
Tools and equipment	31,476	2,500	-	-	-	(8,770)	25,206
Furniture and fittings	123,737	-	-	-	(1,127)	(39,458)	83,152
Signages	13,676	-	-	-	-	(4,224)	9,452
Work in progress	-	20,248	-	-	-	-	20,248
	<u>8,435,507</u>	<u>643,774</u>	<u>(4)</u>	<u>(104,200)</u>	<u>(19,394)</u>	<u>(508,466)</u>	<u>8,447,217</u>

13. ACCOUNTANTS' REPORT *(cont'd)*
REDPLANET BERHAD
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
6. PROPERTY, PLANT AND EQUIPMENT (CONT'D)

	At 1.7.2025 RM	Additions (Note 35(a)) RM	Translation Differences RM	Transfer RM	Depreciation Charges (Note 30) RM	At 31.03.2026 RM
Audited						
FPE 31 March 2026						
<i>Carrying Amount</i>						
Freehold land	5,900,000	-	-	-	-	5,900,000
Building	1,227,899	-	-	-	(19,664)	1,208,235
Computer hardware and software	299,663	45,216	(2,529)	-	(129,277)	213,073
Office equipment	121,244	5,800	(644)	-	(21,873)	104,527
Renovation	293,340	-	(7,482)	-	(91,871)	193,987
Telecommunication equipment	211	499	(20)	-	(105)	585
Motor vehicles	466,802	-	-	-	(86,390)	380,412
Tools and equipment	25,206	-	-	-	(6,742)	18,464
Furniture and fittings	83,152	-	(842)	-	(28,471)	53,839
Signages	9,452	-	-	-	(3,172)	6,280
Work in progress	20,248	-	-	(20,248)	-	-
	<u>8,447,217</u>	<u>51,515</u>	<u>(11,517)</u>	<u>(20,248)</u>	<u>(387,565)</u>	<u>8,079,402</u>

13. ACCOUNTANTS' REPORT (cont'd)**REDPLANET BERHAD**
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS**6. PROPERTY, PLANT AND EQUIPMENT (CONT'D)**

	At Cost RM	Accumulated Depreciation RM	Accumulated Impairment Losses RM	Carrying Amount RM
Audited				
FYE 30 June 2023				
Computer hardware and software	1,437,628	(813,160)	-	624,468
Office equipment	65,214	(11,779)	(8,431)	45,004
Renovation	162,470	(37,511)	(14,285)	110,674
Telecommunication equipment	12,081	(12,077)	-	4
Motor vehicles	330,575	(330,574)	-	1
Furniture and fittings	123,208	(39,838)	(8,297)	75,073
Signages	950	(214)	-	736
	<u>2,132,126</u>	<u>(1,245,153)</u>	<u>(31,013)</u>	<u>855,960</u>

	At Cost RM	Accumulated Depreciation RM	Carrying Amount RM
Audited			
FYE 30 June 2024			
Freehold land	5,900,000	-	5,900,000
Building	1,300,000	(45,883)	1,254,117
Computer hardware and software	1,740,604	(1,247,220)	493,384
Office equipment	272,609	(165,828)	106,781
Renovation	849,543	(421,984)	427,559
Telecommunication equipment	12,513	(12,125)	388
Motor vehicles	679,759	(595,370)	84,389
Tools and equipment	97,389	(65,913)	31,476
Furniture and fittings	465,305	(341,568)	123,737
Signages	27,558	(13,882)	13,676
	<u>11,345,280</u>	<u>(2,909,773)</u>	<u>8,435,507</u>

13. ACCOUNTANTS' REPORT (cont'd)**REDPLANET BERHAD
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS****6. PROPERTY, PLANT AND EQUIPMENT (CONT'D)**

	At Cost RM	Accumulated Depreciation RM	Carrying Amount RM
Audited			
FYE 30 June 2025			
Freehold land	5,900,000	-	5,900,000
Building	1,300,000	(72,101)	1,227,899
Computer hardware and software	1,385,413	(1,085,750)	299,663
Office equipment	314,611	(193,367)	121,244
Renovation	837,510	(544,170)	293,340
Telecommunication equipment	12,455	(12,244)	211
Motor vehicles	1,049,883	(583,081)	466,802
Tools and equipment	99,889	(74,683)	25,206
Furniture and fittings	464,033	(380,881)	83,152
Signages	27,559	(18,107)	9,452
Work in progress	20,248	-	20,248
	11,411,601	(2,964,384)	8,447,217

	At Cost RM	Accumulated Depreciation RM	Carrying Amount RM
Audited			
FPE 31 March 2026			
<i>Carrying Amount</i>			
Freehold land	5,900,000	-	5,900,000
Building	1,300,000	(91,765)	1,208,235
Computer hardware and software	1,418,953	(1,205,880)	213,073
Office equipment	308,351	(203,824)	104,527
Renovation	824,870	(630,883)	193,987
Telecommunication equipment	12,908	(12,323)	585
Motor vehicles	1,049,883	(669,471)	380,412
Tools and equipment	99,889	(81,425)	18,464
Furniture and fittings	462,977	(409,138)	53,839
Signages	27,558	(21,278)	6,280
	11,405,389	(3,325,987)	8,079,402

13. ACCOUNTANTS' REPORT (cont'd)**REDPLANET BERHAD
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS****6. PROPERTY, PLANT AND EQUIPMENT (CONT'D)**

- (a) The freehold land and building of the Group have been pledged to licensed banks as security for banking facilities granted to the Group as disclosed in Note 23(b)(ii) to the financial statements.
- (b) Included in the property, plant and equipment of the Group held under hire purchase arrangements are as follows:-

	Audited			
	← 2023	FYE 30 June 2024	2025 →	FPE 31 March 2026
	RM	RM	RM	RM
Motor Vehicles	-	84,389	466,802	380,412

These assets had been pledged as security for the hire purchase payables of the Group as disclosed in Note 24 to the financial statements.

7. RIGHT-OF-USE ASSETS

	At 1.7.2022 RM	Modification of Lease Liabilities (Note 21) RM	Depreciation Charge (Note 30) RM	At 30.6.2023 RM
Audited				
FYE 30 June 2023				
<i>Carrying Amount</i>				
Office premises	642,114	67,146	(176,880)	532,380

	At 1.7.2023 RM	Modification of Lease Liabilities (Note 21) RM	Depreciation Charge (Note 30) RM	At 30.6.2024 RM
Audited				
FYE 30 June 2024				
<i>Carrying Amount</i>				
Office premises	532,380	169,399	(232,575)	469,204

13. ACCOUNTANTS' REPORT (cont'd)**REDPLANET BERHAD**
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS**7. RIGHT-OF-USE ASSETS (CONT'D)**

	At 1.7.2024 RM	Modification of Lease Liabilities (Note 21) RM	Depreciation Charge (Note 30) RM	At 30.6.2025 RM
Audited				
FYE 30 June 2025				
<i>Carrying Amount</i>				
Office premises	469,204	24,656	(229,908)	263,952

	At 1.7.2025 RM	Modification of Lease Liabilities (Note 21) RM	Depreciation Charge (Note 30) RM	At 31.03.2026 RM
Audited				
FPE 31 March 2026				
<i>Carrying Amount</i>				
Office premises	263,952	768,274	(173,772)	858,454

- (a) The Group leases office premises of which the leasing activities are summarised below:-

Office premises	The Group has leased a number of office premises between 12 and 60 months during the financial years/period under review, with an option to renew the lease after that date. The Group is not allowed to sublease the office premises.
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- (b) The Group also has leases with lease terms of 12 months or less and leases of office premises and office equipment with low value. The Group has applied 'short-term lease' and 'lease of low-value assets' recognition exemptions for these leases.

13. ACCOUNTANTS' REPORT (cont'd)**REDPLANET BERHAD**
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS**8. GOODWILL**

	← Audited FYE 30 June →			FPE 31 March
	2023 RM	2024 RM	2025 RM	2026 RM
At cost:-				
At 1 July	-	-	6,679,955	6,679,955
Acquisition of a subsidiary (Note 34(a))	-	6,679,955	-	-
At 30 June/31 March	-	6,679,955	6,679,955	6,679,955

The goodwill arose from the investment in a subsidiary and is reviewed for impairment annually. During the financial years/period under review, the Group has assessed the recoverable amount of goodwill and determined that no impairment is required. The recoverable amount is determined using the value in use approach, and this is derived from the present value of the future cash flows from the cash-generating unit computed based on the projections of financial budgets approved by the management covering a period of 3 years and considering terminal value to perpetuity. The key assumptions used in the determination of the recoverable amount are as follows:-

	← FYE 30 June →		FPE 31 March	
	2024 %	2025 %	2026 %	Basis
Projected revenue growth rates	21.5 to 39.5	8.7 to 67.2	-3.4 to 156	Based on past business performance, projection in securing new contracts and management's expectations of current and future market conditions.
Projected gross profit	58.5 to 69.3	28.9 to 44.9	34.0 to 51.7	Based on the historical margins achieved or predetermined profits margins for relevant contracts, products and services.
Discount rates (pre-tax)	10.6	10.6	10.6	Reflects specific risks relating to the cash-generating unit.

Terminal value - Cash flows beyond the 3-year period were extrapolated using a zero terminal growth rate.

The values assigned to the key assumptions represent management's assessment of future projections in the cash-generating unit and are based on both external sources and internal historical data.

The management believes that no reasonable possible change in the above key assumptions applied that is likely to materially cause the carrying amount of the goodwill to exceed its recoverable amount.

13. ACCOUNTANTS' REPORT (cont'd)**REDPLANET BERHAD**
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS**9. INTANGIBLE ASSETS**

	At 1.7.2023 RM	Acquisition of a Subsidiary (Note 34(a)) RM	Amortisation (Note 30) RM	Foreign Exchange Adjustments RM	At 30.6.2024 RM
Audited					
FYE 30 June 2024					
At Cost:-					
Patents and trademark	-	388,249	-	(8,342)	379,907
Trade secrets and know-how	-	1,941,241	-	(41,710)	1,899,531
Business goodwill	-	1,552,992	-	(33,368)	1,519,624
Development cost	-	501,800	-	-	501,800
Project	-	597,745	-	-	597,745
	-	4,982,027	-	(83,420)	4,898,607
Accumulated Amortisation:-					
Patents and trademark	-	-	-	-	-
Trade secrets and know-how	-	(970,613)	-	20,855	(949,758)
Business goodwill	-	-	-	-	-
Development cost	-	(189,185)	-	-	(189,185)
Project	-	-	(273,396)	-	(273,396)
	-	(1,159,798)	(273,396)	20,855	(1,412,339)

13. ACCOUNTANTS' REPORT (cont'd)**REDPLANET BERHAD**
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS**9. INTANGIBLE ASSETS (CONT'D)**

	At 1.7.2023 RM	Acquisition of a Subsidiary (Note 34) RM	Amortisation (Note 30) RM	Foreign Exchange Adjustments RM	At 30.6.2024 RM
Audited					
FYE 30 June 2024					
Accumulated Impairment Loss:-					
Patents and trademark	-	(388,249)	-	8,342	(379,907)
Trade secrets and know-how	-	(970,628)	-	20,855	(949,773)
Business goodwill	-	(1,552,992)	-	33,368	(1,519,624)
Development cost	-	(312,615)	-	-	(312,615)
Project	-	-	-	-	-
	-	(3,224,484)	-	62,565	(3,161,919)
Carrying Amount:-					
Patents and trademark	-	-	-	-	-
Trade secrets and know-how	-	-	-	-	-
Business goodwill	-	-	-	-	-
Development cost	-	-	-	-	-
Project	-	597,745	(273,396)	-	324,349
	-	597,745	(273,396)	-	324,349

13. ACCOUNTANTS' REPORT (cont'd)**REDPLANET BERHAD**
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS**9. INTANGIBLE ASSETS (CONT'D)**

	At 1.7.2024 RM	Amortisation (Note 30) RM	Foreign Exchange Adjustments RM	At 30.6.2025 RM
Audited				
FYE 30 June 2025				
At Cost:-				
Patents and trademark	379,907	-	(40,011)	339,896
Trade secrets and know-how	1,899,531	-	(200,056)	1,699,475
Business goodwill	1,519,624	-	(160,044)	1,359,580
Development cost	501,800	-	-	501,800
Project	597,745	-	-	597,745
	<u>4,898,607</u>	<u>-</u>	<u>(400,111)</u>	<u>4,498,496</u>
Accumulated Amortisation:-				
Patents and trademark	-	-	-	-
Trade secrets and know-how	(949,758)	-	100,026	(849,732)
Business goodwill	-	-	-	-
Development cost	(189,185)	-	-	(189,185)
Project	(273,396)	(267,489)	-	(540,885)
	<u>(1,412,339)</u>	<u>(267,489)</u>	<u>100,026</u>	<u>(1,579,802)</u>
Accumulated Impairment Loss:-				
Patents and trademark	(379,907)	-	40,011	(339,896)
Trade secrets and know-how	(949,773)	-	100,030	(849,743)
Business goodwill	(1,519,624)	-	160,044	(1,359,580)
Development cost	(312,615)	-	-	(312,615)
Project	-	-	-	-
	<u>(3,161,919)</u>	<u>-</u>	<u>300,085</u>	<u>(2,861,834)</u>
Carrying Amount:-				
Patents and trademark	-	-	-	-
Trade secrets and know-how	-	-	-	-
Business goodwill	-	-	-	-
Development cost	-	-	-	-
Project	324,349	(267,489)	-	56,860
	<u>324,349</u>	<u>(267,489)</u>	<u>-</u>	<u>56,860</u>

13. ACCOUNTANTS' REPORT *(cont'd)*
REDPLANET BERHAD
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
9. INTANGIBLE ASSETS (CONT'D)

	At 1.7.2025 RM	Additions RM	Amortisation (Note 30) RM	Transfer (Note 6) RM	Foreign Exchange Adjustments RM	At 31.03.2026 RM
Audited						
FPE 31 March 2026						
At Cost:-						
Patents and trademark	339,896	-	-	-	(19,631)	320,265
Trade secrets and know-how	1,699,475	-	-	-	(98,152)	1,601,323
Business goodwill	1,359,580	-	-	-	(78,522)	1,281,058
Development cost	501,800	-	-	-	-	501,800
Project	597,745	-	-	-	-	597,745
Systems under development	-	1,256,613	-	20,248	-	1,276,861
	<u>4,498,496</u>	<u>1,256,613</u>	<u>-</u>	<u>20,248</u>	<u>(196,305)</u>	<u>5,579,052</u>
Accumulated Amortisation:-						
Patents and trademark	-	-	-	-	-	-
Trade secrets and know-how	(849,732)	-	-	-	49,076	(800,656)
Business goodwill	-	-	-	-	-	-
Development cost	(189,185)	-	-	-	-	(189,185)
Project	(540,885)	-	(45,600)	-	-	(586,485)
Systems under development	-	-	-	-	-	-
	<u>(1,579,802)</u>	<u>-</u>	<u>(45,600)</u>	<u>-</u>	<u>49,076</u>	<u>(1,576,326)</u>

13. ACCOUNTANTS' REPORT *(cont'd)*
REDPLANET BERHAD
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
9. INTANGIBLE ASSETS (CONT'D)

	At 1.7.2025 RM	Additions RM	Amortisation (Note 30) RM	Transfer (Note 6) RM	Foreign Exchange Adjustments RM	At 31.03.2026 RM
Audited						
FPE 31 March 2026						
Accumulated Impairment Loss:-						
Patents and trademark	(339,896)	-	-	-	19,631	(320,265)
Trade secrets and know-how	(849,743)	-	-	-	49,076	(800,667)
Business goodwill	(1,359,580)	-	-	-	78,522	(1,281,058)
Development cost	(312,615)	-	-	-	-	(312,615)
Project	-	-	-	-	-	-
Systems under development	-	-	-	-	-	-
	<u>(2,861,834)</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>147,229</u>	<u>(2,714,605)</u>
Carrying Amount:-						
Patents and trademark	-	-	-	-	-	-
Trade secrets and know-how	-	-	-	-	-	-
Business goodwill	-	-	-	-	-	-
Development cost	-	-	-	-	-	-
Project	56,860	-	(45,600)	-	-	11,260
Systems under development	-	1,256,613	-	20,248	-	1,276,861
	<u>56,860</u>	<u>1,256,613</u>	<u>(45,600)</u>	<u>20,248</u>	<u>-</u>	<u>1,288,121</u>

13. ACCOUNTANTS' REPORT (cont'd)**REDPLANET BERHAD**
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS**10. DEFERRED TAX ASSETS/(LIABILITIES)**

	Audited			
	←	FYE 30 June	→	FPE 31 March
	2023	2024	2025	2026
	RM	RM	RM	RM
At 1 July	780,089	823,539	2,567,889	1,519,072
Acquisition of a subsidiary (Note 34(a))	-	1,575,180	-	-
Recognised in profit or loss (Note 31)	43,450	169,170	(1,048,817)	1,290,566
Translation differences	-	-	-	(1,382)
At 30 June/31 March	<u>823,539</u>	<u>2,567,889</u>	<u>1,519,072</u>	<u>2,808,256</u>
Presented after appropriate offsetting are as follows:-				
Deferred tax assets	823,539	2,611,953	1,562,586	2,851,358
Deferred tax liabilities	-	(44,064)	(43,514)	(43,102)
At 30 June/31 March	<u>823,539</u>	<u>2,567,889</u>	<u>1,519,072</u>	<u>2,808,256</u>

13. ACCOUNTANTS' REPORT (cont'd)**REDPLANET BERHAD**
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS**10. DEFERRED TAX ASSETS/(LIABILITIES) (CONT'D)**

The deferred tax assets/(liabilities) recognised at the end of the reporting period before appropriate offsetting are as follows:-

	At 1.7.2022 RM	Recognised in Profit or Loss (Note 31) RM	At 30.6.2023 RM
Audited			
FYE 30 June 2023			
Deferred tax assets:			
- contract liabilities	753,870	(1,268)	752,602
- excess billings from customers	-	33,503	33,503
- excess of depreciation over capital allowances on right-of-use assets	100,043	(97,493)	2,550
- allowance for impairment losses:			
- trade receivables	13,223	205,274	218,497
- contract assets	285,459	(214,900)	70,559
	1,152,595	(74,884)	1,077,711
Deferred tax liabilities:			
- contract cost assets	(234,785)	5,602	(229,183)
- accelerated of capital allowances over depreciation on property, plant and equipment	(137,721)	112,732	(24,989)
	(372,506)	118,334	(254,172)
	780,089	43,450	823,539

13. ACCOUNTANTS' REPORT (cont'd)**REDPLANET BERHAD
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS****10. DEFERRED TAX ASSETS/(LIABILITIES) (CONT'D)**

The deferred tax assets/(liabilities) recognised at the end of the reporting period before appropriate offsetting are as follows (Cont'd):-

	At 1.7.2023 RM	Acquisition of a Subsidiary (Note 34(a)) RM	Recognised in Profit or Loss (Note 31) RM	At 30.6.2024 RM
Audited				
FYE 30 June 2024				
Deferred tax assets:				
- contract liabilities	752,602	1,322,618	(1,092,703)	982,517
- excess billings from customers	33,503	24,474	(44,847)	13,130
- excess of depreciation over capital allowances on:				
- right-of-use assets	2,550	-	767	3,317
- property, plant and equipment	-	-	24,810	24,810
- unabsorbed capital allowance	-	82,207	14,170	96,377
- unutilised tax losses	-	190,266	1,379,605	1,569,871
- allowance for impairment losses:				
- trade receivables	218,497	-	(3,597)	214,900
- contract assets	70,559	-	-	70,559
	1,077,711	1,619,565	278,205	2,975,481
Deferred tax liabilities:				
- contract cost assets	(229,183)	-	(31,607)	(260,790)
- accelerated of capital allowances over depreciation on property, plant and equipment	(24,989)	(44,385)	416	(68,958)
- intangible assets	-	-	(77,844)	(77,844)
	(254,172)	(44,385)	(109,035)	(407,592)
	823,539	1,575,180	169,170	2,567,889

13. ACCOUNTANTS' REPORT (cont'd)**REDPLANET BERHAD**
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS**10. DEFERRED TAX ASSETS/(LIABILITIES) (CONT'D)**

The deferred tax assets/(liabilities) recognised at the end of the reporting period before appropriate offsetting are as follows (Cont'd):-

	At 1.7.2024 RM	Recognised in Profit or Loss (Note 31) RM	At 30.6.2025 RM
Audited			
FYE 30 June 2025			
Deferred tax assets:			
- contract liabilities	982,517	(457,638)	524,879
- excess billings from customers	13,130	-	13,130
- excess of depreciation over capital allowances on:			
- right-of-use assets	3,317	(3,317)	-
- property, plant and equipment	24,810	3,101	27,911
- unabsorbed capital allowance	96,377	(96,377)	-
- unutilised tax losses	1,569,871	(404,322)	1,165,549
- allowance for impairment losses:			
- trade receivables	214,900	-	214,900
- contract assets	70,559	-	70,559
	2,975,481	(958,553)	2,016,928
Deferred tax liabilities:			
- contract cost assets	(260,790)	(52,515)	(313,305)
- accelerated of capital allowances over depreciation on property, plant and equipment	(68,958)	40,095	(28,863)
- intangible assets	(77,844)	(77,844)	(155,688)
	(407,592)	(90,264)	(497,856)
	2,567,889	(1,048,817)	1,519,072

13. ACCOUNTANTS' REPORT (cont'd)**REDPLANET BERHAD**
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS**10. DEFERRED TAX ASSETS/(LIABILITIES) (CONT'D)**

The deferred tax assets/(liabilities) recognised at the end of the reporting period before appropriate offsetting are as follows (Cont'd):-

	At 1.7.2025 RM	Recognised in Profit or Loss (Note 31) RM	Foreign Exchange Difference RM	At 31.3.2026 RM
Audited				
FPE 31 March 2026				
Deferred tax assets:				
- contract liabilities	524,879	111,526	(369)	636,036
- excess billings from customers	13,130	-	-	13,130
- excess of depreciation over capital allowances on:				
- property, plant and equipment	27,911	5,972	(588)	33,295
- unutilised tax losses	1,165,549	1,210,667	-	2,376,216
- allowance for impairment losses:				
- trade receivables	214,900	6,386	(425)	220,861
- contract assets	70,559	-		70,559
	2,016,928	1,334,551	(1,382)	3,350,097
Deferred tax liabilities:				
- contract cost assets	(313,305)	(43,985)	-	(357,290)
- accelerated of capital allowances over depreciation on property, plant and equipment	(28,863)	-	-	(28,863)
- intangible assets	(155,688)	-	-	(155,688)
	(497,856)	(43,985)	-	(541,841)
	1,519,072	1,290,566	(1,382)	2,808,256

The deferred tax assets have been recognised by subsidiaries of the Company on the basis of their previous history of recording profits and to the extent that it is probable that sufficient future taxable profits will be available against which the temporary differences can be utilised.

13. ACCOUNTANTS' REPORT (cont'd)**REDPLANET BERHAD
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS****10. DEFERRED TAX ASSETS/(LIABILITIES) (CONT'D)**

At the end of the reporting period, the amounts of deferred tax assets not recognised (stated at gross) due to uncertainty of their realisation are as follows:-

	Audited			
	← 2023	FYE 30 June 2024	2025 →	FPE 31 March 2026
	RM	RM	RM	RM
Contract liabilities	591,279	277,242	-	1,229,680
Impairment loss on inventories	74,216	-	74,216	-
Unabsorbed capital allowances	87,891	-	-	-
Unused tax losses:				
- expires in year of assessment ("YA") 2028	-	-	779,524	-
- expires in YA 2029	-	-	95,010	-
- expires in YA 2030	39,645	-	-	-
- expires in YA 2031	261,639	161,069	106,202	-
- expires in YA 2032	3,968,206	191,819	191,819	-
- expires in YA 2033	7,411,026	6,860,104	5,217,255	1,668,632
- expires in YA 2034	-	3,413,131	3,333,033	842,508
Excess of depreciation over capital allowances on:				
- property, plant and equipment	37,660	14,709	-	-
- right-of-use assets	1,709	-	-	-
	<u>12,473,271</u>	<u>10,918,074</u>	<u>9,797,059</u>	<u>3,740,820</u>

Certain comparative figures have been restated to reflect the revised tax losses carry-forward and other temporary differences available to the Group.

Based on the current legislation, the unused tax losses up to the year of assessment 2018 can be carried forward until the year of assessment 2028 and the unused tax losses for 2019 onwards are allowed to be utilised for 10 consecutive years of assessment immediately following that year of assessment.

13. ACCOUNTANTS' REPORT (cont'd)**REDPLANET BERHAD**
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS**11. CONTRACT COST ASSETS**

		Audited		
		FYE 30 June		FPE 31 March
		2023	2024	2025
		RM	RM	RM
Costs to fulfill a contract:				
- system solutions	(a)	-	-	1,067,006
- maintenance and support services	(b)	1,091,353	1,540,080	714,962
		1,091,353	1,540,080	1,781,968
				860,105

- (a) The costs to fulfill a contract in relation to system solutions activities represent the purchases of materials, components and spare parts that are attributable to the fulfillment of system solutions contracts in future. These costs are expected to be recoverable and are charged to profit or loss when the related revenue is recognised.
- (b) The costs to fulfill a contract in relation to maintenance and support services represent the amount charged by the suppliers in advance that are attributable to the fulfillment of the maintenance and support services contract in future. The costs are to be amortised on a straight-line method over the term of the specific contract it relates to, consistent with the pattern of recognition of the associated revenue.

12. TRADE RECEIVABLES

		Audited		
		FYE 30 June		FPE 31 March
		2023	2024	2025
		RM	RM	RM
Third parties		2,928,329	4,340,197	5,125,343
Unbilled receivables		82,030	-	-
		3,010,359	4,340,197	5,125,343
Allowance for impairment losses		(910,403)	(895,415)	(895,415)
		2,099,956	3,444,782	4,229,928
Allowance for impairment losses:-				
At 1 July		(55,097)	(910,403)	(895,415)
Addition (Note 29)		(895,415)	-	-
Reversal (Note 29)		8,718	14,988	-
Writeback (Note 29)		31,391	-	-
Foreign exchange difference		-	-	-
At 30 June/31 March		(910,403)	(895,415)	(895,415)

The Group's normal trade credit terms ranged from 30 to 120 days during the financial years/period under review. Other credit terms are assessed and approved on a case-by-case basis.

13. ACCOUNTANTS' REPORT (cont'd)**REDPLANET BERHAD
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS****13. OTHER RECEIVABLES, DEPOSITS AND PREPAYMENTS**

	Audited			FPE 31 March
	FYE 30 June			2026
	2023	2024	2025	2026
	RM	RM	RM	RM
Other receivables	684,955	1,166,955	1,320,158	873,180
Deposits	193,346	2,627,200	274,369	197,173
Prepayments	94,687	322,574	196,314	243,793
	<u>972,988</u>	<u>4,116,729</u>	<u>1,790,841</u>	<u>1,314,146</u>

14. CONTRACT ASSETS/(LIABILITIES)

	Audited			FPE 31 March
	FYE 30 June			2026
	2023	2024	2025	2026
	RM	RM	RM	RM
Contract assets relating to service contracts	3,211,210	5,055,592	7,552,727	5,452,904
Allowance for impairment losses	<u>(293,996)</u>	<u>(293,996)</u>	<u>(293,996)</u>	<u>(293,996)</u>
	<u>2,917,214</u>	<u>4,761,596</u>	<u>7,258,731</u>	<u>5,158,908</u>
Allowance for impairment losses:-				
At 1 July	(1,189,411)	(293,996)	(293,996)	(293,996)
Reversal (Note 29)	<u>895,415</u>	<u>-</u>	<u>-</u>	<u>-</u>
At 30 June/31 March	<u>(293,996)</u>	<u>(293,996)</u>	<u>(293,996)</u>	<u>(293,996)</u>
Contract liabilities relating to service contracts	<u>(3,787,225)</u>	<u>(4,409,185)</u>	<u>(2,696,532)</u>	<u>(3,526,531)</u>

- (a) The contract assets primarily relate to the Group's right to consideration for services completed on service contracts but not yet billed as at the reporting date. The amount will be transferred to trade receivables when the Group issues billing in the manner as established in the contracts with customers.

Included in the contract assets are unbilled retention sum receivables as follows:-

	Audited			FPE 31 March
	FYE 30 June			2026
	2023	2024	2025	2026
	RM	RM	RM	RM
Unbilled retention sum	<u>459,203</u>	<u>641,203</u>	<u>410,000</u>	<u>-</u>

The retention sums are expected to be collected within 1 year.

13. ACCOUNTANTS' REPORT (cont'd)**REDPLANET BERHAD
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS****14. CONTRACT ASSETS/(LIABILITIES) (CONT'D)**

- (b) The contract liabilities primarily relate to advance consideration received from certain customers of which the amount will be recognised as revenue when the performance obligations are satisfied.
- (c) The changes to contract asset and the contract liability balances during the financial years/period are summarised as below:-

	← Audited →			
	←	FYE 30 June	→	FPE 31 March
	2023 RM	2024 RM	2025 RM	2026 RM
At 1 July	1,938,876	(870,011)	352,411	4,562,199
Acquisition of a subsidiary (Note 34(a))	-	(2,269,296)	-	-
Contract liabilities at the beginning of the financial year/period recognised as revenue	3,153,638	3,787,225	4,409,185	2,696,532
Performance obligations performed	16,014,604	23,359,198	26,640,406	19,623,693
Billings to customers during the financial year/period	(22,872,544)	(23,654,705)	(26,839,803)	(25,250,047)
Reversal allowance for impairment losses	895,415	-	-	-
At 30 June/31 March	(870,011)	352,411	4,562,199	1,632,377
Represented by:-				
Contract assets	2,917,214	4,761,596	7,258,731	5,158,908
Contract liabilities	(3,787,225)	(4,409,185)	(2,696,532)	(3,526,531)
At 30 June/31 March	(870,011)	352,411	4,562,199	1,632,377

- (d) As at the end of the reporting period, the transaction price allocated to the unsatisfied (or partially satisfied) performance obligations of the long-term contracts and the time in which the remaining performance obligations expected to be recognised are as follows:-

	← Audited →			
	←	FYE 30 June	→	FPE 31 March
	2023	2024	2025	2026
Transaction price of remaining performance obligations (RM)	9,408,257	33,536,316	34,396,581	53,113,112
Time expected to be recognised	1 - 2 years	1 - 2 years	1 - 3 years	1 - 3 years

13. ACCOUNTANTS' REPORT (cont'd)**REDPLANET BERHAD
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS****15. SHORT-TERM INVESTMENTS**

	Audited			FPE 31 March
	← 2023	FYE 30 June 2024	2025 →	2026
	RM	RM	RM	RM
Money market funds, at fair value	5,075	3,676	-	-

16. FIXED DEPOSITS WITH LICENSED BANKS

- (a) The effective interest rates per annum and the maturity period of the fixed deposits with licensed banks of the Group at the end of the reporting period are as follows:-

	Audited			FPE 31 March
	← 2023	FYE 30 June 2024	2025 →	2026
Effective interest rate (%)	1.90 - 5.70	2.40 - 6.60	2.20 - 6.60	1.80 - 6.60
Maturity period	12 months	12 months	1 - 12 months	1 - 12 months

- (b) The amount of fixed deposits with licensed banks of the Group at the end of the reporting period which are pledged to licensed banks as security for financing facilities granted to the Group are as follows:-

	Audited			FPE 31 March
	← 2023	FYE 30 June 2024	2025 →	2026
	RM	RM	RM	RM
Fixed deposits pledged to licensed banks	824,033	4,856,526	4,660,257	5,889,829

13. ACCOUNTANTS' REPORT (cont'd)**REDPLANET BERHAD
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS****17. SHARE CAPITAL**

	← Audited →			
	2023	FYE 30 June 2024	2025	FPE 31 March 2026
	Number of shares			
Issued and Fully Paid-Up				
Ordinary Shares				
At 1 July	159,396,700	159,396,700	170,325,271	170,325,271
Issuance of new shares:				
- Acquisition of ATSB (Note 34(a))	-	10,928,571	-	-
At 30 June/31 March	159,396,700	170,325,271	170,325,271	170,325,271

	← Audited →			
	2023 RM	FYE 30 June 2024 RM	2025 RM	FPE 31 March 2026 RM
Issued and Fully Paid-Up				
Ordinary Shares				
At 1 July	5,544,129	5,544,129	7,729,844	7,729,844
Issuance of new shares:				
- Acquisition of ATSB (Note 34(a))	-	2,185,715	-	-
At 30 June/31 March	5,544,129	7,729,844	7,729,844	7,729,844
Analysed by:-				
Share capital in legal form	5,679,400	7,865,115	7,865,115	7,865,115
Less: Listing expenses	(135,271)	(135,271)	(135,271)	(135,271)
Share capital in the statements of financial position	5,544,129	7,729,844	7,729,844	7,729,844

- (a) The holders of ordinary shares are entitled to receive dividends as and when declared by the Company and are entitled to one vote per ordinary share at meetings of the Company. The ordinary shares have no par value.
- (b) In the FYE 30 June 2024, the Company increased its issued and paid-up share capital from RM5,544,129 comprising 159,396,700 ordinary shares to RM7,729,844 comprising 170,325,271 ordinary shares by way of issuance of 10,928,571 new ordinary shares at an issue price of RM0.20 per share amounting to RM2,185,715 for the acquisition of 51% of equity interest in ATSB as disclosed in Note 34(a) to the financial statements.

The new ordinary shares issued rank equally in all respects with the existing ordinary shares of the Company.

13. ACCOUNTANTS' REPORT (cont'd)**REDPLANET BERHAD
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS****18. REORGANISATION DEFICIT**

The reorganisation deficit was resulted from the difference between the carrying value of the investment in RPS and the nominal value of the shares of RPS upon consolidation under the reorganisation exercise.

19. FOREIGN EXCHANGE TRANSLATION RESERVE

The foreign exchange translation reserve arose from the translation of the financial statements of foreign subsidiaries whose functional currency is different from the Group's presentation currency.

20. OTHER PAYABLES AND ACCRUALS

		Audited			
		←	FYE 30 June	→	FPE 31 March
		2023	2024	2025	2026
		RM	RM	RM	RM
<u>Non-Current</u>					
Contingent consideration	(a)	-	1,799,960	3,118,647	-
<u>Current</u>					
Other payables	(b)	367,594	360,211	6,643,606	4,121,243
Amount owing to shareholders	(c)	-	1,808,100	-	-
Sales and services tax payables		190,030	100,174	96,101	92,395
Accruals		826,724	1,151,056	1,682,923	1,887,740
Contingent consideration	(a)	-	623,890	2,879,689	6,133,647
		1,384,348	4,043,431	11,302,319	12,235,025
		1,384,348	5,843,391	14,420,966	12,235,025

13. ACCOUNTANTS' REPORT (cont'd)**REDPLANET BERHAD
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS****20. OTHER PAYABLES AND ACCRUALS (CONT'D)****(a) Contingent Consideration**

The contingent consideration arose from the acquisition of equity interest in ATSB as disclosed in Note 34 to the financial statements.

	← Audited →			
	←	FYE 30 June	→	FPE 31 March
	2023 RM	2024 RM	2025 RM	2026 RM
Acquisition of ATSB:				
- 51% equity interest	-	2,423,850	1,799,960	1,912,500
- 49% equity interest	-	-	4,198,376	4,221,147
	-	2,423,850	5,998,336	6,133,647
Non-current:-				
Acquisition of ATSB:				
- 51% equity interest	-	1,799,960	-	-
- 49% equity interest	-	-	3,118,647	-
	-	1,799,960	3,118,647	-
Current:-				
Acquisition of ATSB:				
- 51% equity interest	-	623,890	1,799,960	1,912,500
- 49% equity interest	-	-	1,079,729	4,221,147
	-	623,890	2,879,689	6,133,647
Represented by:-				
Unconditional	-	-	-	3,015,000
Conditional	-	2,423,850	5,998,336	3,118,647
	-	2,423,850	5,998,336	6,133,647

13. ACCOUNTANTS' REPORT (cont'd)**REDPLANET BERHAD
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS****20. OTHER PAYABLES AND ACCRUALS (CONT'D)****(a) Contingent Consideration (Cont'd)**

The movement of the contingent consideration arising from the acquisition of ATSB is analysed as follows:-

	← Audited →			FPE 31 March
	2023	FYE 30 June	2025	2026
	RM	2024 RM	RM	RM
<u>Acquisition of 51% equity interest in ATSB:-</u>				
At 1 July	-	-	2,423,850	1,799,960
Initial recognition	-	2,423,850	-	-
Unwinding of discount recognised in profit or loss (Note 30)	-	-	13,610	112,540
Payment	-	-	(637,500)	-
At 30 June/31 March	-	2,423,850	1,799,960	1,912,500
<u>Acquisition of 49% equity interest in ATSB:-</u>				
At 1 July	-	-	-	4,198,376
Initial recognition	-	-	4,198,376	-
Unwinding of discount recognised in profit or loss (Note 30)	-	-	-	22,771
At 30 June/31 March	-	-	4,198,376	4,221,147

(b) Included in other payables of the Company is the balance of cash consideration for the acquisition of non-controlling interests as follows:-

	← Audited →			FPE 31 March
	2023	FYE 30 June	2025	2026
	RM	2024 RM	RM	RM
Balance of cash consideration for the acquisition of non-controlling interests	-	-	6,504,750	3,874,875

(c) The amount owing to shareholders of ATSB was unsecured, interest-free and repayable on demand.

13. ACCOUNTANTS' REPORT (cont'd)

REDPLANET BERHAD
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
21. LEASE LIABILITIES

	Audited			FPE 31 March
	← 2023	FYE 30 June 2024	2025 →	2026
	RM	RM	RM	RM
At 1 July	645,491	543,005	484,677	278,151
Interest expenses recognised in profit or loss (Note 30)	18,769	20,572	16,018	16,252
Changes due to lease modification (Notes 7 and 35(b))	67,146	169,399	24,656	758,282
Repayment of principal	(169,632)	(227,727)	(231,182)	(172,948)
Repayment of interest expenses	(18,769)	(20,572)	(16,018)	(16,252)
At 30 June/31 March	543,005	484,677	278,151	863,485
Analysed by:-				
Current liabilities	174,983	219,001	183,073	212,742
Non-current liabilities	368,022	265,676	95,078	650,743
	543,005	484,677	278,151	863,485

13. ACCOUNTANTS' REPORT (cont'd)**REDPLANET BERHAD
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS****22. BORROWINGS**

	Audited			
	← 2023 RM	FYE 30 June 2024 RM	2025 RM	→ FPE 31 March 2026 RM
<u>Non-current</u>				
Secured:-				
Term loans (Note 23)	-	5,301,711	4,949,551	4,721,780
Hire purchase payables (Note 24)	-	55,593	295,159	184,027
	-	5,357,304	5,244,710	4,905,807
<u>Current</u>				
Secured:-				
Term loans (Note 23)	-	378,314	376,893	301,318
Hire purchase payables (Note 24)	-	22,225	143,979	147,576
Bank overdrafts (Note 25)	-	2,008,799	551,553	356,193
Trust receipts (Note 26)	-	1,419,350	-	-
	-	3,828,688	1,072,425	805,087
	-	9,185,992	6,317,135	5,710,894

23. TERM LOANS

	Audited			
	← 2023 RM	FYE 30 June 2024 RM	2025 RM	→ FPE 31 March 2026 RM
Analysed by:-				
Current liabilities (Note 22)	-	378,314	376,893	301,318
Non-current liabilities (Note 22)	-	5,301,711	4,949,551	4,721,780
	-	5,680,025	5,326,444	5,023,098

13. ACCOUNTANTS' REPORT *(cont'd)*

REDPLANET BERHAD
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

23. TERM LOANS (CONT'D)

Details of the term loans at the end of the reporting period are as follows:-

	Effective Interest Rate				Audited			
	← FYE 30 June 2023 %	FYE 30 June 2024 %	2025 %	→ FPE 31 March 2026 %	← FYE 30 June 2023 RM	FYE 30 June 2024 RM	2025 RM	→ FPE 31 March 2026 RM
<u>Floating rate term loans</u>								
- Term loan I	-	7.95	7.95	7.70	-	236,834	156,260	92,116
- Term loan II	-	4.50	4.50	4.50	-	5,276,261	5,108,606	4,930,982
					-	5,513,095	5,264,866	5,023,098
<u>Fixed rate term loan</u>								
- Term loan III	-	3.00	3.00	-	-	166,930	61,578	-
					-	5,680,025	5,326,444	5,023,098

13. ACCOUNTANTS' REPORT *(cont'd)*

REDPLANET BERHAD
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

23. TERM LOANS (CONT'D)

(a) The term loans are secured by:-

(i) Term loan I

- a joint and several guarantee of RM2,000,000 by a director of the Company;
- a corporate guarantee of RM2,000,000 by a subsidiary; and
- a 70% guarantee covered by the Government of Malaysia/Syarikat Jaminan Pembiayaan Perniagaan Berhad ("SJPP") under the Working Capital Guarantee Scheme for RM1,225,338.

(ii) Term loan II

- property, plant and equipment (Freehold land and building - HSD296642, PT5934 Petaling, Pekan Puchong Perdana, Selangor) as disclosed in Note 6 to the financial statements;
- a personal guarantee of RM5,652,500 by a director of the Company; and
- a corporate guarantee of RM5,652,500 by a subsidiary.

(iii) Term loan III

- a corporate guarantee of RM88,000 by the Company;
- a corporate guarantee of RM500,000 by a subsidiary; and
- a guarantee coverage of up to 80% by SJPP.

13. ACCOUNTANTS' REPORT (cont'd)**REDPLANET BERHAD**
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS**24. HIRE PURCHASE PAYABLES**

	Audited			
	← 2023	FYE 30 June 2024	2025 →	FPE 31 March 2026
	RM	RM	RM	RM
Minimum hire purchase payments:				
- not later than 1 year	-	26,532	160,812	160,812
- later than 1 year and not later than 5 years	-	59,643	320,291	199,682
	-	86,175	481,103	360,494
Less: Future finance charges	-	(8,357)	(41,965)	(28,891)
Present value of hire purchase payables	-	77,818	439,138	331,603
Analysed by:-				
Current liabilities (Note 22)	-	22,225	143,979	147,576
Non-current liabilities (Note 22)	-	55,593	295,159	184,027
	-	77,818	439,138	331,603

The hire purchase payables of the Group are secured by the Group's motor vehicles under finance lease as disclosed in Note 6 to the financial statements. The expiration period, effective interest rate per annum and the corporate guarantee by a subsidiary are as follows:-

	Audited			
	← 2023	FYE 30 June 2024	2025 →	FPE 31 March 2026
Expiration period (Years)	-	3	3 - 5	2 - 4
Effective interest rate (%)	-	6.48	3.35 - 6.48	3.35 - 6.48
Corporate guarantee by a subsidiary (RM)	-	-	311,268	251,500

13. ACCOUNTANTS' REPORT (cont'd)

REDPLANET BERHAD
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

25. BANK OVERDRAFTS

(a) Details of the bank overdrafts at the end of the reporting period are as follows:-

	Effective Interest Rate				Audited			
	← FYE 30 June 2023 →	← FYE 30 June 2024 →	← FYE 30 June 2025 →	← FYE 30 June 2026 →	← FYE 30 June 2023 →	← FYE 30 June 2024 →	← FYE 30 June 2025 →	← FYE 30 June 2026 →
	2023 %	2024 %	2025 %	2026 %	2023 RM	2024 RM	2025 RM	2026 RM
<u>Floating rate</u>								
<u>bank overdrafts:</u>								
- Bank overdraft I	-	8.20	8.20	7.95	-	741,019	551,553	356,193
- Bank overdraft II	-	8.65	-	-	-	1,267,780	-	-
					-	2,008,799	551,553	356,193

(b) The bank overdrafts of the Group were secured by:-

- (i) Bank overdraft I
 - secured in the same manner as Term Loan I as disclosed in Note 23(b)(i) to the financial statements.
- (ii) Bank overdraft II
 - a corporate guarantee of RM16,000,000 by the Company; and
 - a corporate guarantee of RM16,000,000 by a subsidiary.

13. ACCOUNTANTS' REPORT *(cont'd)*

REDPLANET BERHAD
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

26. TRUST RECEIPTS

In FYE 30 June 2024,

- (a) The trust receipts of the Group were secured in the same manner as Bank Overdraft II as disclosed in Note 25(b)(ii) to the financial statements.
- (b) The trust receipts of the Group at the end of the reporting period bore a floating interest rate of 8.65% per annum.

27. TRADE PAYABLES

The normal credit terms granted to the Group ranged from 30 to 120 days during the financial years/period under review.

13. ACCOUNTANTS' REPORT (cont'd)

REDPLANET BERHAD NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

28. REVENUE

	← 2023 RM	Audited FYE 30 June 2024 RM	2025 RM	← Unaudited FPE 31 March 2025 RM	Audited 2026 RM
Revenue from Contracts with Customers					
<u>Recognised over time</u>					
System solutions:					
- Geospatial solutions	10,499,930	9,200,512	8,957,873	5,969,256	6,920,212
- Intelligent rail solutions	-	8,510,376	12,350,728	9,424,091	8,713,533
	10,499,930	17,710,888	21,308,601	15,393,347	15,633,745
Maintenance and support services:					
- Geospatial solutions	8,668,312	9,435,535	9,740,990	7,551,127	6,729,294
	19,168,242	27,146,423	31,049,591	22,944,474	22,363,039
<u>Recognised at a point in time</u>					
Sales of goods and software:					
- ICT solutions	5,764,601	7,777,714	2,246,415	1,864,288	10,802,533
	24,932,843	34,924,137	33,296,006	24,808,762	33,165,572

13. ACCOUNTANTS' REPORT (cont'd)**REDPLANET BERHAD**
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS**28. REVENUE (CONT'D)**

- (a) The information on the disaggregation of revenue is disclosed in Note 38 to the financial statements.
- (b) The information about the performance obligations in contracts with customers is summarised below:-

<u>Nature of Goods or Services</u>	<u>Timing and Method of Revenue Recognition</u>	<u>Significant Payment Terms</u>	<u>Variable Consideration</u>	<u>Warranty and Obligation for Returns or Refunds</u>
System solutions	Over time revenue recognition when services are rendered using the input method.	Credit periods ranging from 30 to 120 days from the invoice date.	Not applicable.	Not applicable.
Maintenance and support services	Over time revenue recognition on a straight-line basis over the term of the fixed price contract.	Credit periods ranging from 30 to 90 days from the invoice date.	Not applicable.	Not applicable.
Sales of goods and software	Point in time revenue recognition when the goods are delivered.	Credit periods ranging from 30 to 77 days from the invoice date.	Not applicable.	Not applicable.

13. ACCOUNTANTS' REPORT *(cont'd)*

REDPLANET BERHAD
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

29. NET (REVERSAL OF)/ALLOWANCE FOR IMPAIRMENT LOSSES ON FINANCIAL ASSETS

	← 2023 RM	Audited FYE 30 June 2024 RM	2025 RM	← Unaudited FPE 31 March 2025 RM	Audited 2026 RM →
Allowance for impairment losses:					
- trade receivables (Note 12)	895,415	-	-	-	25,374
Reversal of impairment losses:					
- trade receivables (Note 12)	(8,718)	(14,988)	-	-	-
- contract assets (Note 14)	(895,415)	-	-	-	-
Writeback of impairment losses:					
- trade receivables (Note 12)	(31,391)	-	-	-	-
	(40,109)	(14,988)	-	-	25,374

13. ACCOUNTANTS' REPORT (cont'd)

REDPLANET BERHAD NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

30. PROFIT BEFORE TAXATION

	← 2023 RM	Audited FYE 30 June 2024 RM	→ 2025 RM	← Unaudited FPE 31 March 2025 RM	→ Audited 2026 RM
Profit before taxation is arrived at after charging/(crediting):-					
Auditors' remuneration:					
- audit fees:					
- for the financial years/period	118,653	183,673	223,384	150,517	133,498
- special audit	-	-	-	-	306,641
- under/(over)provision in the previous financial years	6,841	15,000	(26,000)	(26,000)	-
Amortisation of intangible assets (Note 9)	-	273,396	267,489	225,275	45,600
Depreciation of:					
- property, plant and equipment (Note 6)	384,775	432,221	508,466	370,833	387,565
- right-of-use assets (Note 7)	176,880	232,575	229,908	139,864	173,772
Directors' remuneration (Note 36)	564,650	810,372	1,012,141	738,354	733,975
Interest expense on financial liabilities that are not at fair value through profit or loss:					
- bank guarantee	1,728	3,250	9,054	9,111	12,535
- bank overdrafts	-	44,815	144,219	129,495	20,912
- hire purchase payables	-	3,224	7,742	4,666	13,074
- revolving credit	861	-	-	-	-
- trust receipts	-	50,062	16,263	16,263	-
- term loans	-	250,020	251,852	192,203	176,425
- others	-	-	62,431	49,133	135,311
Interest expense on lease liabilities (Notes 21 and 35(b))	18,769	20,572	16,018	12,936	16,252

13. ACCOUNTANTS' REPORT (cont'd)

REDPLANET BERHAD NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

30. PROFIT BEFORE TAXATION (CONT'D)

	← 2023 RM	Audited FYE 30 June 2024 RM	2025 RM	← Unaudited FPE 31 March 2025 RM	Audited 2026 RM
Profit before taxation is arrived at after charging/(crediting) (Cont'd):-					
Lease expenses:					
- short-term leases	84,088	231,541	127,178	97,281	72,484
- low-value assets	6,240	6,240	2,880	2,160	2,323
Listing expenses	-	-	189,664	-	765,366
Property, plant and equipment written off (Note 6)	252	7,901	4	4	-
Share of results from an equity accounted associate	-	1,196	-	-	-
Staff costs:					
- short-term employee benefits	5,763,119	7,187,800	8,990,429	6,488,774	5,408,402
- defined contribution benefits	517,778	630,454	782,651	514,198	457,367
Fair value (gain)/loss on short-term investments	(220,915)	(171,415)	-	4,742	3,457
(Gain)/Loss on foreign exchange:					
- realised	(204,022)	(276,075)	121,709	111,036	847
- unrealised	(149,879)	2,833	916,006	418,104	438,478
Gain on disposal of an equity accounted associate (Note 5(c))	-	-	(1,196)	(1,196)	-
Gain on disposal of property, plant and equipment	-	(500)	(13,800)	-	(500)
Gain on modification of lease	-	-	-	-	(9,992)
Interest income:					
- short-term investments	(22,898)	(86,461)	(211,747)	(176,338)	(61,495)
- financial assets measured at amortised cost	(49,247)	(126,569)	(49,834)	(101,568)	(80,830)

13. ACCOUNTANTS' REPORT *(cont'd)*

REDPLANET BERHAD
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

31. INCOME TAX EXPENSE/(SAVING)

	← 2023 RM	Audited FYE 30 June 2024 RM	→ 2025 RM	← Unaudited FPE 31 March 2025 RM	→ Audited 2026 RM
Current tax:					
- for the financial years/period	1,718,228	1,212,019	1,285,884	1,286,892	1,127,862
- overprovision in prior years	-	(230,044)	(141)	(38,294)	(122,983)
	<u>1,718,228</u>	<u>981,975</u>	<u>1,285,743</u>	<u>1,248,598</u>	<u>1,004,879</u>
Deferred tax assets (Note 10):					
- origination and reversal of temporary differences	9,703	(156,142)	1,059,977	(36,803)	(1,287,597)
- underprovision in prior years	(53,153)	(13,028)	(11,160)	-	(2,969)
	<u>(43,450)</u>	<u>(169,170)</u>	<u>1,048,817</u>	<u>(36,803)</u>	<u>(1,290,566)</u>
	<u>1,674,778</u>	<u>812,805</u>	<u>2,334,560</u>	<u>1,211,795</u>	<u>(285,687)</u>

13. ACCOUNTANTS' REPORT (cont'd)**REDPLANET BERHAD**
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS**31. INCOME TAX EXPENSE/(SAVING) (CONT'D)**

A reconciliation of income tax expense applicable to the profit before taxation at the statutory tax rate to income tax expense at the effective tax rate of the Group is as follows:-

	← 2023 RM	Audited FYE 30 June 2024 RM	→ 2025 RM	← Unaudited FPE 31 March 2025 RM	→ Audited 2026 RM
Profit before taxation	5,835,713	5,971,265	7,555,760	4,808,185	4,688,186
Tax at the statutory tax rate of 24%	1,400,571	1,433,104	1,813,382	1,153,964	1,125,165
Tax effects of:-					
Non-taxable income	(19,266)	(50,987)	(834)	(164)	(16,429)
Non-deductible expenses	327,472	442,937	603,931	414,135	583,026
Differential in tax rates	6,322	9,047	6,106	5,653	7,126
Deferred tax assets not recognised during the financial years/period	12,832	26,193	130,195	5,480	12,583
Utilisation of deferred tax assets previously not recognised	-	(804,417)	(206,919)	(328,979)	(1,871,206)
Overprovision of current tax in prior years	-	(230,044)	(141)	(38,294)	(122,983)
Underprovision of deferred tax assets in prior years	(53,153)	(13,028)	(11,160)	-	(2,969)
Income tax expense for the financial years/period	1,674,778	812,805	2,334,560	1,211,795	(285,687)

13. ACCOUNTANTS' REPORT *(cont'd)***REDPLANET BERHAD**
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS**31. INCOME TAX EXPENSE/(SAVING) (CONT'D)**

- (a) Domestic income tax is calculated at the Malaysian statutory tax rate of 24% (30.06.2025 - 24%, 30.06.2024 - 24%, 30.06.2023 - 24%) of the estimated assessable profit for the financial years/period. The taxation of other jurisdictions is calculated at the rates prevailing in the respective jurisdiction.
- (b) Income tax savings during the financial years/period arising from:-

	Audited FYE 30 June			Unaudited FPE 31 March	
	2023 RM	2024 RM	2025 RM	2025 RM	2026 RM
Utilisation of capital allowances	326,409	356,240	638,455	-	87,975
Utilisation of unutilised tax losses	-	420,336	4,137,657	1,370,744	2,992,505

13. ACCOUNTANTS' REPORT (cont'd)

REDPLANET BERHAD NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

32. EARNINGS PER SHARE

	← 2023 RM	Audited FYE 30 June 2024 RM	→ 2025 RM	← Unaudited FPE 31 March 2025 RM	→ Audited 2026 RM
Profit after taxation attributable to owners of the Company (RM)	4,160,935	4,000,897	5,184,335	3,559,525	4,973,873
Weighted average number of ordinary shares:-					
Ordinary shares at 1 July	159,396,700	159,396,700	170,325,271	170,325,271	170,325,271
Effect of ordinary shares issued during the financial years/period	-	6,137,965	-	-	-
Effect of bonus issue #	170,325,271	170,325,271	170,325,271	170,325,271	170,325,271
Weighted average number of ordinary shares in issue at 30 June/31 March	329,721,971	335,859,936	340,650,542	340,650,542	340,650,542
Basic earnings per share (sen)	1.26	1.19	1.52	1.04	1.46

Note:-

- The weighted average number of ordinary shares for the current and comparative periods has been retrospectively adjusted to reflect the bonus issue of 170,325,271 ordinary shares completed subsequent to the reporting period, as disclosed in Note 41(a).

The Company has not issued any dilutive potential ordinary shares and hence, the diluted earnings per share is equal to the basic earnings per share.

13. ACCOUNTANTS' REPORT (cont'd)

REDPLANET BERHAD NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

33. DIVIDENDS

	← 2023 RM	Audited FYE 30 June 2024 RM	→ 2025 RM	← Unaudited FPE 31 March 2025 RM	Audited 2026 RM →
<u>In respect of the FYE 30 June 2022</u>					
Interim single tier dividend of 0.80 sen per ordinary share	1,275,174	-	-	-	-
<u>In respect of the FYE 30 June 2023</u>					
Interim single tier dividend of 0.41 sen per ordinary share	653,526	-	-	-	-
Interim single tier dividend of 0.35 sen per ordinary share	-	557,889	-	-	-
<u>In respect of the FYE 30 June 2024</u>					
Interim single tier dividend of 0.35 sen per ordinary share	-	596,138	-	-	-
Interim single tier dividend of 0.41 sen per ordinary share	-	-	698,334	698,334	-
<u>In respect of the FYE 30 June 2025</u>					
Interim single tier dividend of 0.35 sen per ordinary share	-	-	596,138	596,138	-
Interim single tier dividend of 0.25 sen per ordinary share	-	-	-	-	425,813
<u>In respect of the FYE 30 June 2026</u>					
Interim single tier dividend of 0.35 sen per ordinary share	-	-	-	-	596,139
	<u>1,928,700</u>	<u>1,154,027</u>	<u>1,294,472</u>	<u>1,294,472</u>	<u>1,021,952</u>

13. ACCOUNTANTS' REPORT (cont'd)**REDPLANET BERHAD**
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS**34. ACQUISITION OF A SUBSIDIARY AND NON-CONTROLLING INTERESTS**

(a) Acquisition of A Subsidiary

On 7 September 2023, the Company entered into a Share Purchase Agreement with Lian Wah Seng, Newventures Capital Sdn Bhd and Puncak Prospek Sdn Bhd (collectively referred as the "Vendors") for the acquisition of 1,020,000 ordinary shares in ATSB representing 51% of the issued and paid-up share capital of ATSB.

The acquisition of this subsidiary is to enable the Group to expand its current portfolio of technology operations. The acquisition of ATSB, which is also involved in the technology business represents a strategic investment and is undertaken in-line with the Group's objectives and strategy to diversify its customer's base. The acquisition was completed on 1 December 2023, pursuant to the fulfilment of the conditions precedent set out in the Share Purchase Agreement for the acquisition.

(i) Fair Value of Purchase Consideration

	Audited FYE 30 June 2024 RM
Cash consideration	2,805,000
Shares consideration of 10,928,571 at issue price of RM0.20 per share (Note 17)	2,185,715
Contingent consideration	2,423,850
Fair value of purchase consideration	<u>7,414,565</u>

13. ACCOUNTANTS' REPORT (cont'd)**REDPLANET BERHAD****NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS****34. ACQUISITION OF A SUBSIDIARY AND NON-CONTROLLING INTERESTS (CONT'D)**

(a) Acquisition of A Subsidiary (Cont'd)

(i) Fair Value of Purchase Consideration (Cont'd)

- (aa) The purchase consideration for the acquisition of ATSB comprises cash, shares and contingent consideration, which are summarised as follows:-

Purchase Consideration	Nominal Value RM	Fair Value RM	Condition Precedent
Cash consideration	2,805,000	2,805,000	Not applicable.
Shares consideration	2,185,715	2,185,715	Not applicable.
Contingent consideration: <u>Profit Guarantees</u>			
- for the 6-month Financial Period Ended 30 June 2024	637,500	623,890	Upon ATSB achieving unaudited profit after taxation ("PAT") of RM1,250,000.
- for the 12-month Financial Year Ended 30 June 2025	1,275,000	1,206,575	Upon ATSB achieving audited PAT of RM2,500,000.
- for the 6-month Financial Period Ended 31 December 2025	637,500	593,385	Upon ATSB achieving unaudited PAT of RM1,250,000.
	<u>2,550,000</u>	<u>2,423,850</u>	
	<u>7,540,715</u>	<u>7,414,565</u>	

- (bb) The fair value of the contingent consideration was estimated by calculating the present value of the future expected cash flows based on a discount rate of 3.29% - 3.37%.
- (cc) As represented in the Share Purchase Agreement, the Vendors had agreed to guarantee that the aggregate consolidated PAT of ATSB of not less than RM5 million for the period of 2 years from 1 January 2024 to 31 December 2025.

As at 30 June 2024, ATSB has achieved Profit Guarantee amount for the 6-month Financial Period Ended 30 June 2024, covering the period from 1 January 2024 to 30 June 2024 with consolidated PAT of RM1,729,763.

13. ACCOUNTANTS' REPORT (cont'd)**REDPLANET BERHAD**
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS**34. ACQUISITION OF A SUBSIDIARY AND NON-CONTROLLING INTERESTS (CONT'D)**

(a) Acquisition of A Subsidiary (Cont'd)

(ii) Identifiable Assets Acquired and Liabilities Assumed

	Audited FYE 30 June 2024 RM
Property, plant and equipment (Note 6)	7,735,841
Intangible assets (Note 9)	597,745
Deferred tax assets (Note 10)	1,575,180
Trade receivables	7,650
Other receivables, deposits and prepayments	175,629
Current tax assets	280,447
Cash and cash equivalents (Note 34(a)(iii))	1,856,178
Trade payables	(1,617,987)
Contract liabilities (Note 14 (c))	(2,269,296)
Other payables and accruals	(810,818)
Amount owing to a director	(14,281)
Term loans	(5,882,570)
Hire purchase payable	(90,070)
Trust receipts	(103,236)
Fair value of net identifiable assets acquired	<u>1,440,412</u>

(iii) Cash Flows Arising from Acquisition

	Audited FYE 30 June 2024 RM
Purchase consideration settled in cash and cash equivalents (item (i) above)	2,805,000
Less: Cash and cash equivalents of acquired subsidiary (item (ii) above)	<u>(1,856,178)</u>
Net cash outflow from the acquisition of a subsidiary	<u>948,822</u>

13. ACCOUNTANTS' REPORT (cont'd)**REDPLANET BERHAD**
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS**34. ACQUISITION OF A SUBSIDIARY AND NON-CONTROLLING INTERESTS (CONT'D)**

(a) Acquisition of A Subsidiary (Cont'd)

(iv) Goodwill Arising from Acquisition

	Audited FYE 30 June 2024 RM
Fair value of consideration transferred (item (i) above)	7,414,565
Less: Fair value of identifiable net assets acquired (item (ii) above)	(1,440,412)
Add: Non-controlling interests based on their proportionate interests	705,802
Goodwill from the acquisition of a subsidiary	<u>6,679,955</u>

(aa) The non-controlling interests are measured at the non-controlling interests' proportionate share of the fair value of the acquiree's identifiable net assets at the date of acquisition.

(bb) The Group incurred acquisition-related costs of RM305,014 related to external legal fees and due diligence costs. These expenses were recognised in "Administrative Expenses" line item of the consolidated statements of profit or loss and other comprehensive income.

(cc) The goodwill is attributable to the workforce and the high profitability of the acquired business as well as the synergies expected to be achieved from integrating the subsidiary into the Group's existing business. The goodwill is not deductible for tax purposes.

(v) Impact of Acquisition on the Group's Results

	Audited FYE 30 June 2024 RM
The acquired subsidiary has contributed the following results to the Group:-	
Revenue	8,547,588
PAT	<u>2,570,061</u>

If the acquisition had taken place at the beginning of the current financial year, the Group's revenue and PAT would have been RM38,616,460 and RM4,648,552 respectively.

13. ACCOUNTANTS' REPORT (cont'd)**REDPLANET BERHAD**
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS**34. ACQUISITION OF A SUBSIDIARY AND NON-CONTROLLING INTERESTS (CONT'D)****(b) Acquisition of Non-controlling Interests**

On 6 December 2024, the Company acquired the remaining 49% equity interest in ATSB for a purchase consideration comprises cash and contingent consideration of RM12,127,500, increasing its ownership from 51% to 100%. The carrying amount of ATSB's net assets in the Group's financial statements on 30 November 2024 was RM4,243,094. The Group recognised a decrease in non-controlling interests of RM2,256,433, a decrease in foreign exchange translation reserve of RM88,534 and a decrease in retained profits of RM9,747,977.

There were no acquisition of non-controlling interests in the previous financial year.

- (i) The following summarises the effect of acquiring additional equity interests in ATSB that is attributable to owners of the Group:

	Audited FYE 30 June 2025 RM
Total fair value of purchase consideration for the acquisition of additional equity interests in ATSB	11,915,876
Other effect arose from change in stake relating to non-controlling interests	88,534
Proportionate share of ATSB's net assets acquired from non-controlling interests	(2,256,433)
Effect of decrease in equity attributable to owners of the Company	<u>9,747,977</u>

(ii) Fair Value of Purchase Consideration

	Audited FYE 30 June 2025 RM
Cash consideration	
- deposit	1,212,750
- balance of cash consideration (Note 20(b))	6,504,750
	<u>7,717,500</u>
Contingent consideration	4,198,376
Fair value of purchase consideration	<u>11,915,876</u>

13. ACCOUNTANTS' REPORT (cont'd)**REDPLANET BERHAD**
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS**34. ACQUISITION OF A SUBSIDIARY AND NON-CONTROLLING INTERESTS (CONT'D)**

(b) Acquisition of Non-controlling Interests (Cont'd)

(ii) Fair Value of Purchase Consideration (Cont'd)

- (aa) The purchase consideration for the acquisition of non-controlling interest comprises cash and contingent consideration, which are summarised as follows:-

Purchase Consideration	Nominal Value RM	Fair Value RM	Condition Precedent
Cash consideration	7,717,500	7,717,500	Not applicable.
Contingent consideration: <u>Profit Guarantees</u>			
- for the 7-month Financial Period Ended 30 June 2025	1,102,500	1,079,729	Upon ATSB achieving unaudited consolidated PAT of RM2,250,000.
- for the 12-month Financial Year Ended 30 June 2026	2,205,000	2,090,186	Upon ATSB achieving audited consolidated PAT of RM4,500,000.
- for the 6-month Financial Period Ended 31 December 2026	1,102,500	1,028,461	Upon ATSB achieving unaudited consolidated PAT of RM2,250,000.
	4,410,000	4,198,376	
	12,127,500	11,915,876	

- (bb) The fair value of the contingent consideration was estimated by calculating the present value of the future expected cash flows based on a discount rate of 3.18% - 3.26%.
- (cc) As represented in the SPA, the Vendors had agreed to guarantee that the aggregate consolidated PAT of ATSB of not less than RM9 million for the period of 2 years from 1 December 2024 to 31 December 2026.

As at 30 June 2025, ATSB has achieved Profit Guarantee amount for the 7-month Financial Period Ended 30 June 2025, covering the period from 1 December 2024 to 30 June 2025 with consolidated PAT of RM2,275,997.

13. ACCOUNTANTS' REPORT *(cont'd)*

REDPLANET BERHAD NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

35. CASH FLOW INFORMATION

(a) The cash disbursed for the purchase of property, plant and equipment and the addition of right-of-use assets are as follows:-

	← 2023 RM	Audited FYE 30 June 2024 RM	→ 2025 RM	← Unaudited FPE 31 March 2025 RM	→ Audited 2026 RM
Property, plant and equipment					
Cost of property, plant and equipment purchased (Note 6)	323,601	285,319	643,774	635,179	51,515
Less: Acquired through hire purchase arrangements	-	-	(399,000)	(399,000)	-
Adjustment on the overtaken of cost (Note 6)	-	(1,500)	-	-	-
	<u>323,601</u>	<u>283,819</u>	<u>244,774</u>	<u>236,179</u>	<u>51,515</u>
Right-of-use assets					
Cost of right-of-use assets acquired (Note 7)	67,146	169,399	24,656	24,656	768,274
Less: Changes due to lease modification (Note 7)	(67,146)	(169,399)	(24,656)	(24,656)	(768,274)
	<u>-</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>-</u>

13. ACCOUNTANTS' REPORT (cont'd)**REDPLANET BERHAD**
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS**35. CASH FLOW INFORMATION (CONT'D)**

(b) The reconciliations of liabilities arising from financing activities are as follows:-

	Lease Liabilities RM
Audited	
FYE 30 June 2023	
At 1 July	645,491
<u>Changes in Financing Cash Flows</u>	
Repayment of principal	(169,632)
Repayment of interests	(18,769)
	(188,401)
<u>Other Changes</u>	
Modification of leases (Notes 7 and 21)	67,146
Interest expense recognised in profit or loss (Note 30)	18,769
	85,915
At 30 June	543,005

13. ACCOUNTANTS' REPORT *(cont'd)*
REDPLANET BERHAD
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
35. CASH FLOW INFORMATION (CONT'D)

(b) The reconciliations of liabilities arising from financing activities are as follows (Cont'd):-

	Lease Liabilities RM	Term Loans RM	Hire Purchase Payable RM	Trust Receipts RM	Total RM
Audited					
FYE 30 June 2024					
At 1 July	543,005	-	-	-	543,005
<u>Changes in Financing Cash Flows</u>					
Proceeds from drawdown	-	-	-	1,316,114	1,316,114
Repayment of principal	(227,727)	(202,545)	(12,252)	-	(442,524)
Repayment of interests	(20,572)	(250,020)	(3,224)	(50,062)	(323,878)
	(248,299)	(452,565)	(15,476)	1,266,052	549,712
<u>Other Changes</u>					
Acquisition of a subsidiary (Note 34(a))	-	5,882,570	90,070	103,236	6,075,876
Modification of leases (Notes 7 and 21)	169,399	-	-	-	169,399
Interest expense recognised in profit or loss (Note 30)	20,572	250,020	3,224	50,062	323,878
	189,971	6,132,590	93,294	153,298	6,569,153
At 30 June	484,677	5,680,025	77,818	1,419,350	7,661,870

13. ACCOUNTANTS' REPORT *(cont'd)*

REDPLANET BERHAD NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

35. CASH FLOW INFORMATION (CONT'D)

(b) The reconciliations of liabilities arising from financing activities are as follows (Cont'd):-

	Lease Liabilities RM	Term Loans RM	Hire Purchase Payables RM	Trust Receipts RM	Total RM
Audited					
FYE 30 June 2025					
At 1 July	484,677	5,680,025	77,818	1,419,350	7,661,870
<u>Changes in Financing Cash Flows</u>					
Repayment of principal	(231,182)	(353,581)	(37,680)	(1,419,350)	(2,041,793)
Repayment of interests	(16,018)	(251,852)	(7,742)	(16,263)	(291,875)
	(247,200)	(605,433)	(45,422)	(1,435,613)	(2,333,668)
<u>Other Changes</u>					
Modification of leases (Notes 7 and 21)	24,656	-	-	-	24,656
Interest expense recognised in profit or loss (Note 30)	16,018	251,852	7,742	16,263	291,875
Property, plant and equipment acquired through hire purchase arrangements	-	-	399,000	-	399,000
	40,674	251,852	406,742	16,263	715,531
At 30 June	278,151	5,326,444	439,138	-	6,043,733

13. ACCOUNTANTS' REPORT *(cont'd)*

REDPLANET BERHAD NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

35. CASH FLOW INFORMATION (CONT'D)

(b) The reconciliations of liabilities arising from financing activities are as follows (Cont'd):-

	Lease Liabilities RM	Term Loans RM	Hire Purchase Payables RM	Trust Receipts RM	Total RM
Unaudited					
FPE 31 March 2025					
At 1 July	484,677	5,680,025	77,818	1,419,350	7,661,870
<u>Changes in Financing Cash Flows</u>					
Repayment of principal	(172,465)	(281,954)	(19,853)	(1,419,350)	(1,893,622)
Repayment of interests	(12,936)	(255,113)	(4,666)	(16,263)	(288,978)
	(185,401)	(537,067)	(24,519)	(1,435,613)	(2,182,600)
<u>Other Changes</u>					
Modification of lease	24,656	-	-	-	24,656
Interest expense recognised in profit or loss (Note 30)	12,936	255,113	4,666	16,263	288,978
Property, plant and equipment acquired through hire purchase arrangements	-	-	399,000	-	399,000
	37,592	255,113	403,666	16,263	712,634
At 31 March	336,868	5,398,071	456,965	-	6,191,904

13. ACCOUNTANTS' REPORT *(cont'd)*

REDPLANET BERHAD NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

35. CASH FLOW INFORMATION (CONT'D)

(b) The reconciliations of liabilities arising from financing activities are as follows (Cont'd):-

	Lease Liabilities RM	Term Loans RM	Hire Purchase Payables RM	Total RM
Audited				
FPE 31 March 2026				
At 1 July	278,151	5,326,444	439,138	6,043,733
<u>Changes in Financing Cash Flows</u>				
Repayment of principal	(172,948)	(303,346)	(107,535)	(583,829)
Repayment of interests	(16,252)	(176,425)	(13,074)	(205,751)
	(189,200)	(479,771)	(120,609)	(789,580)
<u>Other Changes</u>				
Modification of leases (Notes 7 and 21)	758,282	-	-	758,282
Interest expense recognised in profit or loss (Note 30)	16,252	176,425	13,074	205,751
	774,534	176,425	13,074	964,033
At 31 March	863,485	5,023,098	331,603	6,218,186

13. ACCOUNTANTS' REPORT *(cont'd)*

REDPLANET BERHAD
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

35. CASH FLOW INFORMATION (CONT'D)

(c) The total cash outflows for leases as a lessee are as follows:-

	← 2023 RM	Audited FYE 30 June 2024 RM	→ 2025 RM	← Unaudited FPE 31 March 2025 RM	Audited → 2026 RM
Payment of short-term leases	84,088	231,541	127,178	97,281	72,484
Payment of low-value assets	6,240	6,240	2,880	2,160	2,323
Payment of lease liabilities	169,632	227,727	231,182	172,465	172,948
Interest paid on lease liabilities	18,769	20,572	16,018	12,936	16,252
	<u>278,729</u>	<u>486,080</u>	<u>377,258</u>	<u>284,842</u>	<u>264,007</u>

13. ACCOUNTANTS' REPORT *(cont'd)*
REDPLANET BERHAD
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
35. CASH FLOW INFORMATION (CONT'D)

(d) The cash and cash equivalents comprise the following:-

	←	Audited FYE 30 June	→	←	Unaudited FPE 31 March	→
	2023 RM	2024 RM	2025 RM	2025 RM	2026 RM	
Short-term investments (Note 15)	5,075	3,676	-	1,375,273	-	
Fixed deposits with licensed banks	888,916	4,946,094	4,671,453	4,827,163	5,901,240	
Cash and bank balances	15,141,581	9,820,056	7,527,943	7,226,948	7,744,354	
Bank overdrafts (Note 25)	-	(2,008,799)	(551,553)	(735,514)	(356,193)	
	<u>16,035,572</u>	<u>12,761,027</u>	<u>11,647,843</u>	<u>12,693,870</u>	<u>13,289,401</u>	
Less: Fixed deposits pledged with licensed banks (Note 16(b))	(824,033)	(4,856,526)	(4,660,257)	(4,816,039)	(5,889,829)	
Fixed deposits with tenure of more than 3 months	(64,883)	(89,568)	(11,196)	(11,124)	(11,411)	
	<u>15,146,656</u>	<u>7,814,933</u>	<u>6,976,390</u>	<u>7,866,707</u>	<u>7,388,161</u>	

13. ACCOUNTANTS' REPORT *(cont'd)*

REDPLANET BERHAD NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

36. KEY MANAGEMENT PERSONNEL COMPENSATION

The key management personnel of the Group and of the Company include executive directors and non-executive directors.

The key management personnel compensation during the financial years/period are as follows:-

	← 2023 RM	Audited FYE 30 June 2024 RM	→ 2025 RM	← Unaudited FPE 31 March 2025 RM	→ Audited 2026 RM
<u>Directors of the Company</u>					
Short-term employee benefits:					
- fees	60,000	60,000	60,000	43,817	74,903
- salaries, bonuses and other benefits	477,310	706,967	891,432	650,044	616,568
	537,310	766,967	951,432	693,861	691,471
Defined contribution benefits	18,134	42,159	60,709	44,493	42,504
	555,444	809,126	1,012,141	738,354	733,975
<u>Directors of the Subsidiaries</u>					
Short-term employee benefits:					
- fees	9,206	1,246	-	-	-
Total directors' remuneration (Note 30)	564,650	810,372	1,012,141	738,354	733,975

13. ACCOUNTANTS' REPORT (cont'd)

REDPLANET BERHAD NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

37. RELATED PARTY DISCLOSURES

Significant Related Party Transactions and Balances

Other than those disclosed elsewhere in the financial statements, the Group also carried out the following transactions with the related parties during the financial years/period:-

	← 2023 RM	Audited FYE 30 June 2024 RM	2025 RM	← Unaudited FPE 31 March 2025 RM	Audited 2026 RM
Companies in which a director has substantial financial interests					
Advances from	-	1,384,127	-	-	-
Acquisition of a subsidiary	-	5,928,751	-	-	-
Acquisition of non-controlling interests in a subsidiary	-	-	9,398,812	9,398,812	-
A Director					
Acquisition of a subsidiary	-	1,721,249	-	-	-
Acquisition of non-controlling interests in a subsidiary	-	-	2,728,688	2,728,688	-
Advances from	-	423,973	1,176,027	1,176,027	-
Interest expenses charged by	-	-	48,821	35,523	-
Purchase of motor vehicle	-	-	104,200	104,200	-

13. ACCOUNTANTS' REPORT (cont'd)

REDPLANET BERHAD NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

38. OPERATING SEGMENTS

38.1 BUSINESS SEGMENTS

Information about operating segments has not been reported separately as the Group's revenue, profit or loss, assets and liabilities are mainly confined to a single operating segment namely "Information and Technology".

38.2 GEOGRAPHICAL INFORMATION

In presenting the information on the basis of geographical segments, segmental information on non-current assets is not presented, as all non-current assets are located in Malaysia. Segmental revenue based on the geographical location of customers is as follows:-

	←	Audited FYE 30 June	→	←	Unaudited FPE 31 March	→
	2023 RM	2024 RM	2025 RM	2025 RM	2026 RM	
Geographical information						
Malaysia	19,398,403	30,254,538	28,196,320	20,425,376	29,116,683	
India	1,324,842	2,070,185	1,991,106	1,498,703	1,715,109	
Brunei	676,861	1,077,011	602,310	546,699	311,205	
Philippines	1,353,159	802,386	724,934	558,014	643,683	
Saudi Arabia	976,232	-	1,145,296	1,298,276	651,803	
Others [#]	1,203,346	720,017	636,040	481,694	727,089	
	<u>24,932,843</u>	<u>34,924,137</u>	<u>33,296,006</u>	<u>24,808,762</u>	<u>33,165,572</u>	

Note:-

- Comprising South Africa, Netherlands, Australia, Germany, Norway, United States, United Arab Emirates, United Kingdom, Singapore, Netherland, Nigeria, Peru and Dubai.

13. ACCOUNTANTS' REPORT *(cont'd)*

REDPLANET BERHAD
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

38. OPERATING SEGMENTS (CONT'D)

38.3 MAJOR CUSTOMERS

The following are major customers with revenue equal to or more than 10% of the Group's total revenue:-

	←	Audited FYE 30 June	→	←	Unaudited FPE 31 March	→
	2023 RM	2024 RM	2025 RM	2025 RM	2026 RM	
Customer A	17,586,451	16,313,778	14,290,732	9,822,088	7,392,053	
Customer B	-	6,429,428	6,290,507	5,297,768	-	
Customer C	-	-	6,060,221	4,126,323	6,861,031	
Customer D	2,801,671	-	-	-	-	
Customer E	-	3,537,580	-	-	-	
Customer F	-	-	-	-	12,153,650	

13. ACCOUNTANTS' REPORT *(cont'd)*

REDPLANET BERHAD
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

39. FINANCIAL INSTRUMENTS

The Group's activities are exposed to a variety of market risk (including foreign currency risk, interest rate risk and equity price risk), credit risk and liquidity risk. The Group's overall financial risk management policy focuses on the unpredictability of financial markets and seeks to minimise potential adverse effects on the Group's financial performance.

39.1 FINANCIAL RISK MANAGEMENT POLICIES

The policies in respect of the major areas of treasury activity are as follows:-

(a) Market Risk

(i) Foreign Currency Risk

The Group is exposed to foreign currency risk on transactions and balances that are denominated in currencies other than the respective functional currencies of entities within the Group. The currencies giving rise to this risk are primarily United States Dollar ("USD"), Singapore Dollar ("SGD"), Euro ("EUR") and Indian Rupee ("INR"). Foreign currency risk is monitored closely on an ongoing basis to ensure that the net exposure is at an acceptable level. The Group also holds cash and cash equivalents denominated in foreign currencies for working capital purposes.

13. ACCOUNTANTS' REPORT (cont'd)**REDPLANET BERHAD**
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS**39. FINANCIAL INSTRUMENTS (CONT'D)****39.1 FINANCIAL RISK MANAGEMENT POLICIES (CONT'D)****(a) Market Risk (Cont'd)****(i) Foreign Currency Risk (Cont'd)**

The Group's exposure to foreign currency risk (a currency which is other than the functional currency of the entities within the Group) based on the carrying amounts of the financial instruments at the end of the reporting period is summarised below:-

Foreign Currency Exposure

	USD RM	SGD RM	EUR RM	INR RM	Others [#] RM	Ringgit Malaysia RM	Total RM
Audited							
FYE 30 June 2023							
<u>Financial Assets</u>							
Trade receivables	567,359	86,710	40,810	1,200,542	-	204,535	2,099,956
Other receivables	-	-	-	9,008	906	675,041	684,955
Short-term investments	-	-	-	-	-	5,075	5,075
Fixed deposits with licensed banks	-	-	-	54,298	-	834,618	888,916
Cash and bank balances	1,074,696	1,441,511	1,029,740	285,630	333,957	10,976,047	15,141,581
	1,642,055	1,528,221	1,070,550	1,549,478	334,863	12,695,316	18,820,483

13. ACCOUNTANTS' REPORT (cont'd)

REDPLANET BERHAD NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

39. FINANCIAL INSTRUMENTS (CONT'D)

39.1 FINANCIAL RISK MANAGEMENT POLICIES (CONT'D)

(a) Market Risk (Cont'd)

(i) Foreign Currency Risk (Cont'd)

Foreign Currency Exposure (Cont'd)

	USD RM	SGD RM	EUR RM	INR RM	Others# RM	Ringgit Malaysia RM	Total RM
Audited							
FYE 30 June 2023							
<u>Financial Liabilities</u>							
Trade payables	-	66,996	-	338,352	-	166,226	571,574
Other payables and accruals	-	-	-	120,119	12,486	1,061,713	1,194,318
	-	66,996	-	458,471	12,486	1,227,939	1,765,892
Net financial assets	1,642,055	1,461,225	1,070,550	1,091,007	322,377	11,467,377	17,054,591
Less: Net financial assets denominated in the respective entities' functional currencies	-	-	-	(1,091,007)	(57,602)	(11,467,377)	(12,615,986)
Currency exposure	1,642,055	1,461,225	1,070,550	-	264,775	-	4,438,605

13. ACCOUNTANTS' REPORT *(cont'd)*

REDPLANET BERHAD NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

39. FINANCIAL INSTRUMENTS (CONT'D)

39.1 FINANCIAL RISK MANAGEMENT POLICIES (CONT'D)

(a) Market Risk (Cont'd)

(i) Foreign Currency Risk (Cont'd)

Foreign Currency Exposure (Cont'd)

	USD RM	SGD RM	EUR RM	INR RM	Others# RM	Ringgit Malaysia RM	Total RM
Audited							
FYE 30 June 2024							
<u>Financial Assets</u>							
Trade receivables	633,015	-	-	137,819	-	2,673,948	3,444,782
Other receivables	-	-	-	261,221	8,778	896,956	1,166,955
Short-term investments	3,676	-	-	-	-	-	3,676
Fixed deposits with licensed banks	-	-	-	78,668	-	4,867,426	4,946,094
Cash and bank balances	1,031,480	32,130	246,582	379,531	264,791	7,865,542	9,820,056
	1,668,171	32,130	246,582	857,239	273,569	16,303,872	19,381,563

13. ACCOUNTANTS' REPORT *(cont'd)***REDPLANET BERHAD**
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS**39. FINANCIAL INSTRUMENTS (CONT'D)****39.1 FINANCIAL RISK MANAGEMENT POLICIES (CONT'D)****(a) Market Risk (Cont'd)****(i) Foreign Currency Risk (Cont'd)***Foreign Currency Exposure (Cont'd)*

	USD RM	SGD RM	EUR RM	INR RM	Others# RM	Ringgit Malaysia RM	Total RM
Audited							
FYE 30 June 2024							
<u>Financial Liabilities</u>							
Trade payables	-	-	-	-	-	2,082,022	2,082,022
Other payables and accruals	-	-	-	142,919	27,647	5,572,651	5,743,217
Term loans	-	-	-	-	-	5,680,025	5,680,025
Hire purchase payable	-	-	-	-	-	77,818	77,818
Bank overdrafts	-	-	-	-	-	2,008,799	2,008,799
Trust receipts	-	-	-	-	-	1,419,350	1,419,350
	-	-	-	142,919	27,647	16,840,665	17,011,231

13. ACCOUNTANTS' REPORT *(cont'd)***REDPLANET BERHAD**
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS**39. FINANCIAL INSTRUMENTS (CONT'D)****39.1 FINANCIAL RISK MANAGEMENT POLICIES (CONT'D)****(a) Market Risk (Cont'd)****(i) Foreign Currency Risk (Cont'd)***Foreign Currency Exposure (Cont'd)*

	USD RM	SGD RM	EUR RM	INR RM	Others# RM	Ringgit Malaysia RM	Total RM
Audited							
FYE 30 June 2024							
Net financial assets/(liabilities)	1,668,171	32,130	246,582	714,320	245,922	(536,793)	2,370,332
Less: Net financial (assets)/ liabilities denominated in the respective entities' functional currencies	-	-	-	(714,320)	(34,081)	536,793	(211,608)
Currency exposure	1,668,171	32,130	246,582	-	211,841	-	2,158,724

13. ACCOUNTANTS' REPORT *(cont'd)*

REDPLANET BERHAD NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

39. FINANCIAL INSTRUMENTS (CONT'D)

39.1 FINANCIAL RISK MANAGEMENT POLICIES (CONT'D)

(a) Market Risk (Cont'd)

(i) Foreign Currency Risk (Cont'd)

Foreign Currency Exposure (Cont'd)

	USD RM	SGD RM	EUR RM	INR RM	Others# RM	Ringgit Malaysia RM	Total RM
Audited							
FYE 30 June 2025							
<u>Financial Assets</u>							
Trade receivables	242,252	-	-	227,487	-	3,760,189	4,229,928
Other receivables	-	-	-	370,867	10,484	938,807	1,320,158
Fixed deposits with licensed banks	-	-	-	71,409	-	4,600,044	4,671,453
Cash and bank balances	1,822,181	709,674	78,144	1,252,165	215,710	3,450,069	7,527,943
	2,064,433	709,674	78,144	1,921,928	226,194	12,749,109	17,749,482

13. ACCOUNTANTS' REPORT *(cont'd)*

REDPLANET BERHAD NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

39. FINANCIAL INSTRUMENTS (CONT'D)

39.1 FINANCIAL RISK MANAGEMENT POLICIES (CONT'D)

(a) Market Risk (Cont'd)

(i) Foreign Currency Risk (Cont'd)

Foreign Currency Exposure (Cont'd)

	USD RM	SGD RM	EUR RM	INR RM	Others# RM	Ringgit Malaysia RM	Total RM
Audited							
FYE 30 June 2025							
<u>Financial Liabilities</u>							
Trade payables	-	-	-	987,868	-	1,198,817	2,186,685
Other payables and accruals	-	-	-	134,323	21,896	14,168,646	14,324,865
Term loans	-	-	-	-	-	5,326,444	5,326,444
Hire purchase payables	-	-	-	-	-	439,138	439,138
Bank overdrafts	-	-	-	-	-	551,553	551,553
	-	-	-	1,122,191	21,896	21,684,598	22,828,685

13. ACCOUNTANTS' REPORT *(cont'd)***REDPLANET BERHAD**
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS**39. FINANCIAL INSTRUMENTS (CONT'D)****39.1 FINANCIAL RISK MANAGEMENT POLICIES (CONT'D)****(a) Market Risk (Cont'd)****(i) Foreign Currency Risk (Cont'd)***Foreign Currency Exposure (Cont'd)*

	USD RM	SGD RM	EUR RM	INR RM	Others# RM	Ringgit Malaysia RM	Total RM
Audited							
FYE 30 June 2025							
Net financial assets/(liabilities)	2,064,433	709,674	78,144	799,737	204,298	(8,935,489)	(5,079,203)
Less: Net financial (assets)/ liabilities denominated in the respective entities' functional currencies	-	-	-	(799,737)	(5,684)	8,935,489	8,130,068
Currency exposure	2,064,433	709,674	78,144	-	198,614	-	3,050,865

13. ACCOUNTANTS' REPORT *(cont'd)*

REDPLANET BERHAD NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

39. FINANCIAL INSTRUMENTS (CONT'D)

39.1 FINANCIAL RISK MANAGEMENT POLICIES (CONT'D)

(a) Market Risk (Cont'd)

(i) Foreign Currency Risk (Cont'd)

Foreign Currency Exposure (Cont'd)

	USD RM	SGD RM	INR RM	Others# RM	Ringgit Malaysia RM	Total RM
Audited						
FPE 31 March 2026						
<u>Financial Assets</u>						
Trade receivables	356,928	-	456,990	-	5,027,100	5,841,018
Other receivables	-	-	268,025	10,068	595,087	873,180
Fixed deposits with licensed banks	-	-	64,824	-	5,836,416	5,901,240
Cash and bank balances	2,173,269	147,529	500,555	191,112	4,731,889	7,744,354
	2,530,197	147,529	1,290,394	201,180	16,190,492	20,359,792

13. ACCOUNTANTS' REPORT *(cont'd)*

REDPLANET BERHAD
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

39. FINANCIAL INSTRUMENTS (CONT'D)

39.1 FINANCIAL RISK MANAGEMENT POLICIES (CONT'D)

(a) Market Risk (Cont'd)

(i) Foreign Currency Risk (Cont'd)

Foreign Currency Exposure (Cont'd)

	USD RM	SGD RM	INR RM	Others# RM	Ringgit Malaysia RM	Total RM
Audited						
FPE 31 March 2026						
<u>Financial Liabilities</u>						
Trade payables	595,643	-	101,361	-	756,835	1,453,839
Other payables and accruals	-	-	91,626	40,624	12,010,380	12,142,630
Term loans	-	-	-	-	5,023,098	5,023,098
Hire purchase payables	-	-	-	-	331,603	331,603
Bank overdrafts	-	-	-	-	356,193	356,193
	595,643	-	192,987	40,624	18,478,109	19,307,363

13. ACCOUNTANTS' REPORT *(cont'd)*

REDPLANET BERHAD
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

39. FINANCIAL INSTRUMENTS (CONT'D)

39.1 FINANCIAL RISK MANAGEMENT POLICIES (CONT'D)

(a) Market Risk (Cont'd)

(i) Foreign Currency Risk (Cont'd)

Foreign Currency Exposure (Cont'd)

	USD RM	SGD RM	INR RM	Others# RM	Ringgit Malaysia RM	Total RM
Audited						
FPE 31 March 2026						
Net financial assets/(liabilities)	1,934,554	147,529	1,097,407	160,556	(2,287,617)	1,052,429
Less: Net financial (assets)/liabilities denominated in the respective entities' functional currencies	-	-	(1,097,407)	17,092	2,287,617	1,207,302
Currency exposure	1,934,554	147,529	-	177,648	-	2,259,731

Note:-

- Comprising Australian Dollar and Canadian Dollar

13. ACCOUNTANTS' REPORT (cont'd)**REDPLANET BERHAD
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS****39. FINANCIAL INSTRUMENTS (CONT'D)****39.1 FINANCIAL RISK MANAGEMENT POLICIES (CONT'D)****(a) Market Risk (Cont'd)****(i) Foreign Currency Risk (Cont'd)***Foreign Currency Risk Sensitivity Analysis*

The following table details the sensitivity analysis to a reasonably possible change in the foreign currencies at the end of the reporting period, with all other variables held constant:-

	Audited			
	← 2023	FYE 30 June 2024	2025 →	FPE 31 March 2026
	RM	RM	RM	RM
Effects on Profit After Taxation				
USD/RM				
- strengthened by 5%	62,398	63,390	78,448	73,513
- weakened by 5%	(62,398)	(63,390)	(78,448)	(73,513)
SGD/RM				
- strengthened by 5%	55,527	1,221	26,968	5,606
- weakened by 5%	(55,527)	(1,221)	(26,968)	(5,606)
EUR/RM				
- strengthened by 5%	40,681	9,370	2,969	-
- weakened by 5%	(40,681)	(9,370)	(2,969)	-
OTHERS/RM				
- strengthened by 5%	10,061	8,050	7,547	6,751
- weakened by 5%	(10,061)	(8,050)	(7,547)	(6,751)

There is no impact on the Group's equity.

(ii) Interest Rate Risk

Interest rate risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates. The Group's exposure to interest rate risk arises mainly from long-term borrowings with variable rates. The Group adopts a policy of obtaining the most favourable interest rates available and by maintaining a balanced portfolio mix of fixed and floating rate borrowings.

13. ACCOUNTANTS' REPORT *(cont'd)***REDPLANET BERHAD**
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS**39. FINANCIAL INSTRUMENTS (CONT'D)****39.1 FINANCIAL RISK MANAGEMENT POLICIES (CONT'D)****(a) Market Risk (Cont'd)****(ii) Interest Rate Risk (Cont'd)**

The fixed rate debt instruments of the Group are not subject to interest rate risk since neither carrying amounts nor the future cash flows will fluctuate because of a change in market interest rates.

The Group's exposure to interest rate risk based on the carrying amounts of the financial instruments at the end of the reporting period is summarised as follows:-

	← Audited →			
	← 2023 RM	FYE 30 June 2024 RM	2025 RM →	FPE 31 March 2026 RM
Floating Rate Instruments				
Term loans (Note 23)	-	5,513,095	5,264,866	5,023,098
Bank overdrafts (Note 25)	-	2,008,799	551,553	356,193
Trust receipts (Note 26)	-	1,419,350	-	-
	-	8,941,244	5,816,419	5,379,291

13. ACCOUNTANTS' REPORT *(cont'd)***REDPLANET BERHAD**
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS**39. FINANCIAL INSTRUMENTS (CONT'D)****39.1 FINANCIAL RISK MANAGEMENT POLICIES (CONT'D)****(a) Market Risk (Cont'd)****(ii) Interest Rate Risk (Cont'd)***Interest Rate Risk Sensitivity Analysis*

The following table details the sensitivity analysis to a reasonably possible change in the interest rates at the end of the reporting period, with all other variables held constant:-

	← Audited →			
	← 2023 RM	FYE 30 June 2024 RM	2025 RM	→ FPE 31 March 2026 RM
Effects on Profit After Taxation				
Increase of 100 basis points	-	(67,953)	(44,205)	(40,883)
Decrease of 100 basis points	-	67,953	44,205	40,883

There is no impact on the Group's equity.

(iii) Equity Price Risk

The Group does not have any quoted investments and hence, is not exposed to equity price risk.

13. ACCOUNTANTS' REPORT (cont'd)**REDPLANET BERHAD
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS****39. FINANCIAL INSTRUMENTS (CONT'D)****39.1 FINANCIAL RISK MANAGEMENT POLICIES (CONT'D)****(b) Credit Risk**

The Group's exposure to credit risk, or the risk of counterparties defaulting, arises mainly from trade and other receivables. The Group manages its exposure to credit risk by the application of credit approvals, credit limits and monitoring procedures on an ongoing basis. For other financial assets (including cash and bank balances), the Group minimises credit risk by dealing exclusively with high credit rating counterparties.

(i) Credit Risk Concentration Profile

At the end of the reporting period, the Group's major concentration of credit risk are as follows:-

	← Audited →			
	← 2023	FYE 30 June 2024	2025 →	FPE 31 March 2026 RM
Number of major customers	3	4	1	4
Percentage over total receivables	77%	86%	76%	81%

(ii) Maximum Exposure to Credit Risk

At the end of the reporting period, the maximum exposure to credit risk is represented by the carrying amount of each class of financial assets recognised in the statement of financial position of the Group after deducting any allowance for impairment losses (where applicable).

(iii) Assessment of Impairment Losses

At each reporting date, the Group evaluates whether any of the financial assets at amortised cost and contract assets are credit impaired.

The gross carrying amounts of financial assets are written off against the associated impairment, if any, when there is no reasonable expectation of recovery despite the fact that they are still subject to enforcement activities.

A financial asset is credit impaired when any of following events that have a detrimental impact on the estimated future cash flows of the financial asset have occurred:

- Significant financial difficulty of the receivable;
- A breach of contract, such as a default or past due event;
- Restructuring of a debt in relation to the receivable's financial difficulty; or
- It is becoming probable that the receivable will enter bankruptcy or other financial reorganisation.

13. ACCOUNTANTS' REPORT (cont'd)

REDPLANET BERHAD
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

39. FINANCIAL INSTRUMENTS (CONT'D)

39.1 FINANCIAL RISK MANAGEMENT POLICIES (CONT'D)

(b) Credit Risk (Cont'd)

(iii) Assessment of Impairment Losses (Cont'd)

The Group considers a receivable to be in default when the receivable is unlikely to repay its debt to the Group in full or is more than a year past due unless the Group has reasonable and supportable information to demonstrate that a more lagging default criterion is more appropriate.

Trade Receivables and Contract Assets

The Group applies the simplified approach to measure expected credit losses using a lifetime expected credit loss allowance for all trade receivables and contract assets.

Inputs, Assumptions and Techniques used for Estimating Impairment Losses

To measure the expected credit losses, trade receivables and contract assets have been grouped based on shared credit risk characteristics and the days past due. The contract assets relate to unbilled work in progress and have substantially the same risk characteristics as the trade receivables for the same types of contracts. Therefore, the Group concluded that the expected loss rates for trade receivables are a reasonable approximation of the loss rates for the contract assets.

The Group measures the expected credit losses of certain major customers, trade receivables that are credit impaired and trade receivables with a high risk of default on an individual basis.

The expected loss rates are based on the payment profiles of sales over 12 months (30.06.2025 - 12 months, 30.06.2024 - 12 months, 30.06.2023 - 12 months) before the reporting date and the corresponding historical credit losses experienced within this period. The historical loss rates are adjusted to reflect current and forward-looking information on macroeconomic factors affecting the ability of the trade receivables to settle their debts. The Group has identified the Gross Domestic Product (GDP) and inflation rate as the key macroeconomic factors of the forward-looking information.

13. ACCOUNTANTS' REPORT (cont'd)**REDPLANET BERHAD
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS****39. FINANCIAL INSTRUMENTS (CONT'D)****39.1 FINANCIAL RISK MANAGEMENT POLICIES (CONT'D)****(b) Credit Risk (Cont'd)****(iii) Assessment of Impairment Losses (Cont'd)**Trade Receivables and Contract Assets (Cont'd)

There are no significant changes in the estimation techniques and assumptions as compared to the previous financial years/period.

Allowance for Impairment Losses

The reconciliations of allowance for impairment losses are as follows:-

	Non-credit Impaired RM	Credit Impaired RM	Total RM
<u>Trade Receivables</u>			
Balance at 1.7.2022	55,097	-	55,097
Additions (Note 29)	895,415	-	895,415
Reversal (Note 29)	(8,718)	-	(8,718)
Writeback (Note 29)	(31,391)	-	(31,391)
Balance at 30.6.2023/ 1.7.2023	910,403	-	910,403
Reversal (Note 29)	(14,988)	-	(14,988)
Balance at 30.6.2024/ 30.6.2025/1.7.2025	895,415	-	895,415
Additions (Note 29)	25,374	-	25,374
Foreign exchange difference	(1,690)	-	(1,690)
Balance at 31.3.2026	919,099	-	919,099
<u>Contract Assets</u>			
Balance at 1.7.2022	1,189,411	-	1,189,411
Reversal (Note 29)	(895,415)	-	(895,415)
Balance at 30.6.2023/ 30.6.2024/30.6.2025/ 31.3.2026	293,996	-	293,996

13. ACCOUNTANTS' REPORT (cont'd)**REDPLANET BERHAD**
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS**39. FINANCIAL INSTRUMENTS (CONT'D)****39.1 FINANCIAL RISK MANAGEMENT POLICIES (CONT'D)****(b) Credit Risk (Cont'd)****(iii) Assessment of Impairment Losses (Cont'd)**Trade Receivables and Contract Assets (Cont'd)Allowance for Impairment Losses (Cont'd)

The information about the credit exposure and loss allowances recognised for trade receivables and contract assets are as follows:-

	Gross Amount RM	Lifetime Individual Allowance RM	Lifetime Collective Allowance RM	Carrying Amount RM
Audited				
FYE 30 June 2023				
Current (not past due)	1,566,245	-	(3,018)	1,563,227
Past due:				
- 1 to 30 days	223,687	-	(11,970)	211,717
- 31 to 60 days	58,645	-	-	58,645
- 61 to 90 days	130,941	-	-	130,941
- more than 90 days	948,811	(895,415)	-	53,396
Trade receivables	2,928,329	(895,415)	(14,988)	2,017,926
Unbilled receivables	82,030	-	-	82,030
Contract assets	3,211,210	(293,996)	-	2,917,214
	6,221,569	(1,189,411)	(14,988)	5,017,170

13. ACCOUNTANTS' REPORT (cont'd)**REDPLANET BERHAD**
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS**39. FINANCIAL INSTRUMENTS (CONT'D)****39.1 FINANCIAL RISK MANAGEMENT POLICIES (CONT'D)****(b) Credit Risk (Cont'd)****(iii) Assessment of Impairment Losses (Cont'd)**Trade Receivables and Contract Assets (Cont'd)Allowance for Impairment Losses (Cont'd)

The information about the credit exposure and loss allowances recognised for trade receivables and contract assets are as follows (Cont'd):-

	Gross Amount RM	Lifetime Individual Allowance RM	Lifetime Collective Allowance RM	Carrying Amount RM
Audited				
FYE 30 June 2024				
Current (not past due)	2,825,015	-	-	2,825,015
Past due:				
- 1 to 30 days	136,042	-	-	136,042
- 31 to 60 days	258,262	-	-	258,262
- 61 to 90 days	-	-	-	-
- more than 90 days	1,120,878	(895,415)	-	225,463
Trade receivables	4,340,197	(895,415)	-	3,444,782
Contract assets	5,055,592	(293,996)	-	4,761,596
	9,395,789	(1,189,411)	-	8,206,378

13. ACCOUNTANTS' REPORT (cont'd)**REDPLANET BERHAD
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS****39. FINANCIAL INSTRUMENTS (CONT'D)****39.1 FINANCIAL RISK MANAGEMENT POLICIES (CONT'D)****(b) Credit Risk (Cont'd)****(iii) Assessment of Impairment Losses (Cont'd)**Trade Receivables and Contract Assets (Cont'd)Allowance for Impairment Losses (Cont'd)

The information about the credit exposure and loss allowances recognised for trade receivables and contract assets are as follows (Cont'd):-

	Gross Amount RM	Lifetime Individual Allowance RM	Lifetime Collective Allowance RM	Carrying Amount RM
Audited				
FYE 30 June 2025				
Current (not past due)	1,878,505	-	-	1,878,505
Past due:				
- 1 to 30 days	240,256	-	-	240,256
- 31 to 60 days	3,600	-	-	3,600
- 61 to 90 days	2,043,566	-	-	2,043,566
- more than 90 days	959,416	(895,415)	-	64,001
Trade receivables	5,125,343	(895,415)	-	4,229,928
Contract assets	7,552,727	(293,996)	-	7,258,731
	12,678,070	(1,189,411)	-	11,488,659

	Gross Amount RM	Lifetime Individual Allowance RM	Lifetime Collective Allowance RM	Carrying Amount RM
Audited				
FPE 31 March 2026				
Current (not past due)	2,278,123	(11,397)	-	2,266,726
Past due:				
- 1 to 30 days	1,826,361	(6,221)	-	1,820,140
- 31 to 60 days	52,344	(6,066)	-	46,278
- 61 to 90 days	-	-	-	-
- more than 90 days	2,603,289	(895,415)	-	1,707,874
Trade receivables	6,760,117	(919,099)	-	5,841,018
Contract assets	5,452,904	(293,996)	-	5,158,908
	12,213,021	(1,213,095)	-	10,999,926

13. ACCOUNTANTS' REPORT (cont'd)**REDPLANET BERHAD
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS****39. FINANCIAL INSTRUMENTS (CONT'D)****39.1 FINANCIAL RISK MANAGEMENT POLICIES (CONT'D)****(b) Credit Risk (Cont'd)****(iii) Assessment of Impairment Losses (Cont'd)**Trade Receivables and Contract Assets (Cont'd)Allowance for Impairment Losses (Cont'd)

Trade receivables and contract assets that are individually determined to be impaired relate to debtors who are in significant financial difficulties and have defaulted on payments. These debtors are not secured by any collateral or credit enhancements.

Trade receivables and contract assets that are collectively determined to be impaired relate to expected credit losses measured based on the Group's observed default rates.

Other Receivables

The Group applies the 3-stage general approach to measure expected credit losses for other receivables.

Inputs, Assumptions and Techniques used for Estimating Impairment Losses

Under this approach, the Group assesses whether there is a significant increase in credit risk for receivables by comparing the risk of a default as at the reporting date with the risk of default as at the date of initial recognition. The Group considers there has been a significant increase in credit risk when there are changes in contractual terms or delay in payment. Regardless of the assessment, a significant increase in credit risk is presumed if a receivable is more than 30 days past due in making a contractual payment.

The Group uses 3 categories to reflect its credit risk and how the loss allowance is determined for each category:-

<u>Category</u>	<u>Definition of Category</u>	<u>Loss Allowance</u>
Performing:	Receivables have a low risk of default and a strong capacity to meet contractual cash flows	12-months expected credit losses
Underperforming:	Receivables for which there is a significant increase in credit risk	Lifetime expected credit losses
Not performing:	There is evidence indicating the receivable is credit impaired or more than 90 days past due	Lifetime expected credit losses

13. ACCOUNTANTS' REPORT (cont'd)**REDPLANET BERHAD
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS****39. FINANCIAL INSTRUMENTS (CONT'D)****39.1 FINANCIAL RISK MANAGEMENT POLICIES (CONT'D)****(b) Credit Risk (Cont'd)****(iii) Assessment of Impairment Losses (Cont'd)**Other Receivables (Cont'd)*Inputs, Assumptions and Techniques used for Estimating Impairment Losses (Cont'd)*

The Group measures the expected credit losses of receivables having significant balances, receivables that are credit impaired and receivables with a high risk of default on individual basis. Other receivables are grouped based on shared credit risk characteristics and assessed on collective basis.

Loss allowance is measured on either 12-month expected credit losses or lifetime expected credit losses, by considering the likelihood that the receivable would not be able to repay during the contractual period (probability of default, PD), the percentage of contractual cash flows that will not be collected if default happens (loss given default, LGD) and the outstanding amount that is exposed to default risk (exposure at default, EAD).

In deriving the PD and LGD, the Group considers the receivable's past payment status and its financial condition as at the reporting date. The PD is adjusted to reflect current and forward-looking information on macroeconomic factors affecting the ability of the receivable to settle its debts.

There are no significant changes in the estimation techniques and assumptions as compared to previous financial years.

Allowance for Impairment Losses

Based on the assessment performed, the identified impairment loss was immaterial and hence, it is not provided for.

Fixed Deposits with Licensed Banks, Cash and Bank Balances

The Group considers the licensed banks to be of low credit risk. In addition, some of the bank balances are insured by the Government agencies. Therefore, the Group is of the view that the loss allowance is immaterial and hence, it is not provided for.

13. ACCOUNTANTS' REPORT (cont'd)

REDPLANET BERHAD NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

39. FINANCIAL INSTRUMENTS (CONT'D)

39.1 FINANCIAL RISK MANAGEMENT POLICIES (CONT'D)

(c) Liquidity Risk

Liquidity risk arises mainly from general funding and business activities. The Group practises prudent risk management by maintaining sufficient cash balances and the availability of funding through certain committed credit facilities.

Maturity Analysis

The following table sets out the maturity profile of the financial liabilities at the end of the reporting period based on contractual undiscounted cash flows (including interest payments computed using contractual rates or, if floating, based on the rates at the end of the reporting period):-

	Effective Interest Rate %	Carrying Amount RM	Contractual Undiscounted Cash Flows RM	Within 1 Year RM	1 - 5 Years RM	Over 5 Years RM
Audited						
FYE 30 June 2023						
<u>Non-derivative Financial Liabilities</u>						
Trade payables	-	571,574	571,574	571,574	-	-
Other payables and accruals	-	1,194,318	1,194,318	1,194,318	-	-
Lease liabilities	3.32% - 5.05%	543,005	574,200	190,200	384,000	-
		2,308,897	2,340,092	1,956,092	384,000	-

13. ACCOUNTANTS' REPORT (cont'd)

REDPLANET BERHAD NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

39. FINANCIAL INSTRUMENTS (CONT'D)

39.1 FINANCIAL RISK MANAGEMENT POLICIES (CONT'D)

(c) Liquidity Risk (Cont'd)

Maturity Analysis (Cont'd)

	Effective Interest Rate %	Carrying Amount RM	Contractual Undiscounted Cash Flows RM	Within 1 Year RM	1 - 5 Years RM	Over 5 Years RM
Audited						
FYE 30 June 2024						
<u>Non-derivative Financial Liabilities</u>						
Trade payables	-	2,082,022	2,082,022	2,082,022	-	-
Other payables and accruals	-	5,743,217	5,743,217	3,943,257	1,799,960	-
Lease liabilities	3.32% - 7.95%	484,677	507,100	234,600	272,500	-
Term loans	3.00% - 7.95%	5,680,025	8,156,666	632,208	1,937,421	5,587,037
Hire purchase payable	6.48%	77,818	86,175	26,532	59,643	-
Bank overdrafts	8.20% - 8.65%	2,008,799	2,008,799	2,008,799	-	-
Trust receipts	8.65%	1,419,350	1,419,350	1,419,350	-	-
		17,495,908	20,003,329	10,346,768	4,069,524	5,587,037

13. ACCOUNTANTS' REPORT *(cont'd)*

REDPLANET BERHAD NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

39. FINANCIAL INSTRUMENTS (CONT'D)

39.1 FINANCIAL RISK MANAGEMENT POLICIES (CONT'D)

(c) Liquidity Risk (Cont'd)

Maturity Analysis (Cont'd)

	Effective Interest Rate %	Carrying Amount RM	Contractual Undiscounted Cash Flows RM	Within 1 Year RM	1 - 5 Years RM	Over 5 Years RM
Audited						
FYE 30 June 2025						
<u>Non-derivative Financial Liabilities</u>						
Trade payables	-	2,186,685	2,186,685	2,186,685	-	-
Other payables and accruals	-	14,324,865	14,324,865	11,206,218	3,118,647	-
Lease liabilities	3.32% - 7.95%	278,151	285,100	189,100	96,000	-
Term loans	3.00% - 7.95%	5,326,444	7,579,494	584,741	1,779,612	5,215,141
Hire purchase payables	3.35% - 6.48%	439,138	481,103	160,812	320,291	-
Bank overdrafts	8.20%	551,553	551,553	551,553	-	-
		23,106,836	25,408,800	14,879,109	5,314,550	5,215,141

13. ACCOUNTANTS' REPORT *(cont'd)*

REDPLANET BERHAD NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

39. FINANCIAL INSTRUMENTS (CONT'D)

39.1 FINANCIAL RISK MANAGEMENT POLICIES (CONT'D)

(c) Liquidity Risk (Cont'd)

Maturity Analysis (Cont'd)

	Effective Interest Rate %	Carrying Amount RM	Contractual Undiscounted Cash Flows RM	Within 1 Year RM	1 - 5 Years RM	Over 5 Years RM
Audited						
FPE 31 March 2026						
<u>Non-derivative Financial Liabilities</u>						
Trade payables	-	1,453,839	1,453,839	1,453,839	-	-
Other payables and accruals	-	12,142,630	12,142,630	12,142,630	-	-
Lease liabilities	4.80% - 7.95%	863,485	988,400	260,400	728,000	-
Term loans	3.00% - 7.95%	5,023,098	6,883,840	522,840	1,707,264	4,653,736
Hire purchase payables	3.35% - 6.48%	331,603	360,494	160,812	199,682	-
Bank overdrafts	7.95%	356,193	356,193	356,193	-	-
		20,170,848	22,185,396	14,896,714	2,634,946	4,653,736

13. ACCOUNTANTS' REPORT (cont'd)**REDPLANET BERHAD
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS****39. FINANCIAL INSTRUMENTS (CONT'D)****39.2 CAPITAL RISK MANAGEMENT**

The Group manages its capital to ensure that entities within the Group will be able to maintain an optimal capital structure so as to support their businesses and maximise shareholders' value. To achieve this objective, the Group may make adjustments to the capital structure in view of changes in economic conditions, such as adjusting the amount of dividend payment, returning of capital to shareholders or issuing new shares.

The Group manages its capital based on debt-to-equity ratio that complies with debt covenants and regulatory, if any. The debt-to-equity ratio is calculated as net debt divided by total equity. The Group includes within net debt, interest bearing loans and borrowings less cash and cash equivalents. Capital includes equity attributable to the owners of the Company and non-controlling interest.

The debt-to-equity ratio of the Group at the end of the reporting period is not presented as its cash and cash equivalents exceeded the total external borrowings.

There was no change in the approach to capital management during the financial years/period under review.

39.3 CLASSIFICATION OF FINANCIAL INSTRUMENTS

	Audited			
	← 2023	FYE 30 June 2024	2025 →	FPE 31 March 2026
	RM	RM	RM	RM
Financial Assets				
<u>Fair Value through Profit or Loss</u>				
Short-term investments (Note 15)	5,075	3,676	-	-
<u>Amortised Cost</u>				
Trade receivables (Note 12)	2,099,956	3,444,782	4,229,928	5,841,018
Other receivables (Note 13)	684,955	1,166,955	1,320,158	873,180
Fixed deposits with licensed banks	888,916	4,946,094	4,671,453	5,901,240
Cash and bank balances	15,141,581	9,820,056	7,527,943	7,744,354
	18,815,408	19,377,887	17,749,482	20,359,792

13. ACCOUNTANTS' REPORT (cont'd)**REDPLANET BERHAD**
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS**39. FINANCIAL INSTRUMENTS (CONT'D)****39.3 CLASSIFICATION OF FINANCIAL INSTRUMENTS (CONT'D)**

	← Audited →			
	2023	FYE 30 June 2024	2025	FPE 31 March 2026
	RM	RM	RM	RM
Financial Liabilities				
<u>Fair Value through Profit or Loss</u>				
Other payables and accruals (Note 20)	-	2,423,850	5,998,336	6,133,647
<u>Amortised Cost</u>				
Trade payables (Note 27)	571,574	2,082,022	2,186,685	1,453,839
Other payables and accruals (Note 20)	1,194,318	3,319,367	8,326,529	6,008,983
Term loans (Note 23)	-	5,680,025	5,326,444	5,023,098
Hire purchase payables (Note 24)	-	77,818	439,138	331,603
Bank overdrafts (Note 25)	-	2,008,799	551,553	356,193
Trust receipts (Note 26)	-	1,419,350	-	-
	<u>1,765,892</u>	<u>14,587,381</u>	<u>16,830,349</u>	<u>13,173,716</u>

13. ACCOUNTANTS' REPORT (cont'd)

REDPLANET BERHAD NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

39. FINANCIAL INSTRUMENTS (CONT'D)

39.4 GAINS OR LOSSES ARISING FROM FINANCIAL INSTRUMENTS

	← 2023 RM	Audited FYE 30 June 2024 RM	→ 2025 RM	← Unaudited FPE 31 March 2025 RM	→ Audited 2026 RM
Financial Assets					
<u>Fair Value through Profit or Loss</u>					
Net gains recognised in profit or loss	243,813	257,876	211,747	171,596	58,038
<u>Amortised Cost</u>					
Net gains/(losses) recognised in profit or loss	403,148	399,811	(987,881)	427,572	(12,321)
Financial Liabilities					
<u>Fair Value through Profit or Loss</u>					
Net losses recognised in profit or loss	-	-	13,610	13,610	135,311
<u>Amortised Cost</u>					
Net losses recognised in profit or loss	2,589	351,371	477,951	450,171	594,494

13. ACCOUNTANTS' REPORT *(cont'd)*

REDPLANET BERHAD
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

39. FINANCIAL INSTRUMENTS (CONT'D)

39.5 FAIR VALUE INFORMATION

The fair value of the financial assets and financial liabilities of the Group which are maturing within the next 12 months approximated their carrying amounts due to the relatively short-term maturity of the financial instruments or repayable on demand terms.

The following tables sets out the fair value profile of financial instruments that are carried at fair value and those not carried at fair value at the end of the reporting period:-

	Fair Value of Financial Instruments Carried At Fair Value			Fair Value of Financial Instruments Not Carried At Fair Value			Total Fair Value RM	Carrying Amount RM
	Level 1	Level 2	Level 3	Level 1	Level 2	Level 3		
	RM	RM	RM	RM	RM	RM		
Audited								
FYE 30 June 2023								
<u>Financial Asset</u>								
Short-term investments:								
- money market funds	5,075	-	-	-	-	-	5,075	5,075

13. ACCOUNTANTS' REPORT *(cont'd)*

REDPLANET BERHAD NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

39. FINANCIAL INSTRUMENTS (CONT'D)

39.5 FAIR VALUE INFORMATION (CONT'D)

	Fair Value of Financial Instruments Carried At Fair Value			Fair Value of Financial Instruments Not Carried At Fair Value			Total Fair Value	Carrying Amount
	Level 1	Level 2	Level 3	Level 1	Level 2	Level 3	Value	
	RM	RM	RM	RM	RM	RM	RM	RM
Audited								
FYE 30 June 2024								
Financial Asset								
Short-term investments:								
- money market funds	3,676	-	-	-	-	-	3,676	3,676
Financial Liabilities								
Other payables and accruals:								
- contingent consideration	-	-	2,423,850	-	-	-	2,423,850	2,423,850
Term loans:								
- fixed rate	-	-	-	-	159,899	-	159,899	166,930
- floating rate	-	-	-	-	5,513,095	-	5,513,095	5,513,095
Hire purchase payable	-	-	-	-	86,175	-	86,175	77,818

13. ACCOUNTANTS' REPORT *(cont'd)*

REDPLANET BERHAD
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

39. FINANCIAL INSTRUMENTS (CONT'D)

39.5 FAIR VALUE INFORMATION (CONT'D)

	Fair Value of Financial Instruments Carried At Fair Value			Fair Value of Financial Instruments Not Carried At Fair Value			Total Fair Value RM	Carrying Amount RM
	Level 1 RM	Level 2 RM	Level 3 RM	Level 1 RM	Level 2 RM	Level 3 RM		
Audited								
FYE 30 June 2025								
<u>Financial Liabilities</u>								
Other payables and accruals:								
- contingent consideration	-	-	5,998,336	-	-	-	5,998,336	5,998,336
Term loans:								
- fixed rate	-	-	-	-	62,333	-	62,333	61,578
- floating rate	-	-	-	-	5,264,866	-	5,264,866	5,264,866
Hire purchase payables	-	-	-	-	481,103	-	481,103	439,138

13. ACCOUNTANTS' REPORT *(cont'd)*

REDPLANET BERHAD
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

39. FINANCIAL INSTRUMENTS (CONT'D)

39.5 FAIR VALUE INFORMATION (CONT'D)

	Fair Value of Financial Instruments Carried At Fair Value			Fair Value of Financial Instruments Not Carried At Fair Value			Total Fair Value RM	Carrying Amount RM
	Level 1 RM	Level 2 RM	Level 3 RM	Level 1 RM	Level 2 RM	Level 3 RM		
Audited								
FPE 31 March 2026								
<u>Financial Liabilities</u>								
Other payables and accruals:								
- contingent consideration	-	3,015,000	3,118,647	-	-	-	6,133,647	6,133,647
Term loans:								
- floating rate	-	-	-	-	5,023,098	-	5,023,098	5,023,098
Hire purchase payables	-	-	-	-	360,494	-	360,494	331,603

13. ACCOUNTANTS' REPORT (cont'd)**REDPLANET BERHAD
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS****39. FINANCIAL INSTRUMENTS (CONT'D)****39.5 FAIR VALUE INFORMATION (CONT'D)****(a) Fair Value of Financial Instruments Carried at Fair Value****(i) The fair values above have been determined using the following basis:-**

- (aa) The fair value of the Group's short-term investments are determined by reference to statement provided by the financial institution, with which the investments were entered into.
- (bb) The fair values of the Group's contingent consideration are estimated by discounting expected future cash flows using risk-free rate.

(ii) There were no transfers between level 1 and level 2 during the financial years/period.**(b) Fair Value of Financial Instruments Not Carried at Fair Value**

The fair values, which are for disclosure purposes, have been determined using the following basis:-

- (i) The fair value of the Group's term loans that carry floating interest rates approximated their carrying amounts as they are repriced to market interest rates on or near the reporting date.
- (ii) The fair value of the Group's term loan and hire purchase payables that carry fixed interest rates are determined by discounting the relevant future contractual cash flows using current market interest rates for similar instruments at the end of the reporting period. The interest rates used to discount the estimated cash flows are as follows:-

	Audited			FPE 31 March
	2023	FYE 30 June	2025	2026
	%	2024	%	%
		%		
Term loan	-	7.95	7.95	-
Hire purchase payables	-	6.48	5.39	6.20 - 6.40

13. ACCOUNTANTS' REPORT (cont'd)

REDPLANET BERHAD
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

40. SIGNIFICANT EVENTS DURING THE FINANCIAL YEARS/PERIOD

During the FYE 30 June 2024,

- (a) On 21 July 2023, the Company subscribed for an additional 500,000 new ordinary shares in RPS for a total consideration of RM2,500,000.
- (b) On 30 August 2023, the Company declared an interim dividend of 0.35 sen per ordinary share amounting to RM557,888 in respect of the financial year ended 30 June 2023, payable on 29 September 2023, to shareholders whose names appeared in the record of depositors on 15 September 2023. The financial statements for the financial year ended 30 June 2023 do not reflect this interim dividend. Such dividend will be accounted for in equity as an appropriation of retained profits in the financial year ending 30 June 2024.
- (c) On 7 September 2023, the Company entered into a Share Purchase Agreement with Lian Wah Seng, Newventures Capital Sdn Bhd and Puncak Prospek Sdn Bhd (collectively referred as the "Vendors") for the acquisition of 1,020,000 ordinary shares in AZTI Technology Sdn Bhd ("ATSB"), representing 51% of the issued and paid-up share capital of ATSB. The total purchase consideration of RM7,650,000 was satisfied via a combination of cash consideration of RM5,355,000 and share consideration of RM2,295,000 via issuance of 10,928,571 new ordinary shares in the Company at an issue price of RM0.21 per share.
- (d) The details of the acquisition are disclosed in Note 34(a) to the financial statements. The acquisition was completed on 1 December 2023 pursuant to the condition precedents as set out in the Share Purchase Agreement for the acquisition have been fulfilled. Following the completion, ATSB became a 51%-owned subsidiary of the Company.

During the FYE 30 June 2025,

On 18 September 2024, the Company entered into a Share Purchase Agreement with the Vendors for the acquisition of 980,000 ordinary shares in ATSB, representing the remaining 49% of the issued and paid-up share capital of ATSB not already owned by the Company. The total purchase consideration of RM12,127,500 was satisfied entirely via cash.

The acquisition was completed on 6 December 2024, pursuant to the fulfilment of the conditions precedent set out in the Share Purchase Agreement for the Acquisition. Following the completion, ATSB became a wholly-owned subsidiary of the Company.

13. ACCOUNTANTS' REPORT (cont'd)

REDPLANET BERHAD
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

40. SIGNIFICANT EVENTS DURING THE FINANCIAL YEARS/PERIOD (CONT'D)

During the FPE 31 March 2026,

- (a) On 28 August 2025, the Board of Directors of the Company ("Board") had announced that the Company had on the same date received a letter from PKSen Ventures Sdn Bhd, Newventures Equity Sdn Bhd, Fajar Muda Sdn Bhd and Lian Wah Seng (collectively referred as the "Proposers"), requesting the Company to consider undertaking a transfer of listing from the LEAP Market of Bursa Securities to the ACE Market of Bursa Securities ("Proposal Letter"). Pursuant to the Proposal Letter, the Board (save for Lian Wah Seng, Panjetty Kumaradevan Senthil Kumar and Mohamad Azhar Bin Ahmad) had deliberated on the Proposal Letter from the Proposers and agreed to undertake the following:-
 - (i) proposed voluntary withdrawal of listing of the Company from the LEAP Market of Bursa Securities pursuant to Rules 8.05 and 8.06 of the LEAP Market Listing Requirements of Bursa Securities ("LEAP Market Listing Requirements") ("Proposed Withdrawal"); and
 - (ii) proposed listing of the Company on the ACE Market of Bursa Securities pursuant to Rules 3A.02(1) and 3A.02(2) of the ACE Market Listing Requirements of Bursa Securities ("ACE Market Listing Requirements") ("Proposed Listing").

(collectively referred to as the "Proposed Transfer")

In conjunction with, and as an integral part of the Company's Proposed Listing, the Company proposes to undertake a bonus issue of 170,325,271 new ordinary shares in the Company ("Share(s)") ("Bonus Share(s)") on the basis of 1 Bonus Share for every 1 existing Share held on the entitlement date to be determined later ("Proposed Bonus Issue").

The Proposed Bonus Issue is intended to be undertaken by the Company purely as a pre-listing reorganisation exercise prior to the Proposed Transfer, where it forms an integral part of the Company's listing of and quotation for its enlarged issued share capital on the ACE Market of Bursa Securities pursuant to the Proposed Transfer.

In addition to the above and to facilitate the implementation of the Proposed Transfer, the Company proposes to adopt a new Constitution of the Company ("Proposed Adoption").

- (b) On 17 October 2025, the Company submitted the draft Circular to the shareholders in relation to the Proposed Withdrawal, Proposed Listing, Proposed Bonus Issue and Proposed Adoption (collectively referred to as the "Proposals"). The Proposals have been approved by the shareholders during Extraordinary General Meeting held on 10 November 2025.
- (c) On 28 November 2025, the Company approved the Pre-Admission Consulting Pack in relation to the Proposed Listing of the Company on the ACE Market of Bursa Securities and authorised UOB Kay Hian (M) Sdn Bhd (formerly known as UOB Kay Hian Securities (M) Sdn Bhd) to make the submission to Bursa Securities, or other authorities if required, on the same day.

13. ACCOUNTANTS' REPORT *(cont'd)*

REDPLANET BERHAD
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

40. SIGNIFICANT EVENTS DURING THE FINANCIAL YEARS/PERIOD (CONT'D)

- (d) On 3 February 2026, the Company submitted the following applications to the relevant authorities:-
- (i) the listing application, draft prospectus and application to Bursa Securities for the Proposed Transfer;
 - (ii) the application to Equity Compliance Unit of the Securities Commission Malaysia for the resultant equity structure of the Company pursuant to the Proposed Transfer; and
 - (iii) the application to Ministry of Investment, Trade and Industry for the Proposed Transfer.

41. SIGNIFICANT EVENTS OCCURING AFTER THE REPORTING PERIOD

- (a) The Company undertook a bonus issue of 170,325,271 new ordinary shares in RedPlanet Berhad ("RedPlanet Share(s)" or "Share(s)") ("Bonus Share(s)") on the basis of 1 Bonus Share for every 1 existing RedPlanet Share held on 1 April 2026. The Proposed Bonus Issue has been completed following the listing of and quotation for 170,325,271 Bonus Shares on the LEAP Market of Bursa Securities on 2 April 2026. Following the completion of the Proposed Bonus Issue, the issued share capital of RedPlanet has increased from 170,325,271 Shares to 340,650,542 Shares.
- (b) In connection with the Proposed Transfer as disclosed in Note 40(a)(i), Bursa Securities had, on 1 July 2026, approved the Company's proposed transfer of listing from the LEAP Market to the ACE Market of Bursa Securities. The approval includes the quotation of the Company's entire enlarged issued share capital of 410,650,542 ordinary shares on the ACE Market of Bursa Securities upon completion of the proposed transfer.

13. ACCOUNTANTS' REPORT *(cont'd)*

REDPLANET BERHAD

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

We, Lian Wah Seng and Panjetty Kumaradevan Senthil Kumar, being two of the directors of RedPlanet Berhad, state that, in the opinion of the directors, the consolidated financial statements set out on pages 4 to 130 are drawn up in accordance with Malaysian Financial Reporting Standards, IFRS Accounting Standards and the Prospectus Guidelines so as to give a true and fair view of the consolidated financial position of the Group as of 30 June 2023, 30 June 2024, 30 June 2025 and 31 March 2026 and of its consolidated financial performance and cash flows for the financial years/period ended on those dates.

Signed in accordance with a resolution of the directors dated 28 August 2026.



Lian Wah Seng



Panjetty Kumaradevan Senthil Kumar

14. REPORTING ACCOUNTANTS' REPORT ON THE COMPILATION OF PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION



Crowe Malaysia PLT
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Chartered Accountants
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Malaysia
Main +6 03 2788 9999
www.crowe.my

Date: 1 September 2026

The Board of Directors
RedPlanet Berhad
No. 1-8, Level 8
The Boulevard, Mid Valley City
Lingkaran Syed Putra
59200 Kuala Lumpur
Wilayah Persekutuan, Malaysia

Dear Sirs and Madam,

**REDPLANET BERHAD ("REDPLANET" OR "THE COMPANY")
REPORT ON THE COMPILATION OF PRO FORMA CONSOLIDATED STATEMENTS OF
FINANCIAL POSITION AS AT 31 MARCH 2026**

We have completed our assurance engagement to report on the compilation of the Pro Forma Consolidated Statements of Financial Position of RedPlanet and its subsidiaries (collectively known as "the Group") as at 31 March 2026 and the related notes (as set out in Appendix A which we have stamped for the purpose of identification) prepared by the Board of Directors of the Company for inclusion in the Prospectus to be issued in connection with the listing of and quotation for the entire issued share capital of the Company on the ACE Market of Bursa Malaysia Securities Berhad ("the Listing").

The application criteria on the basis of which the Board of Directors of the Company have compiled the Pro Forma Consolidated Statements of Financial Position are described in the notes thereon to the Pro Forma Consolidated Statements of Financial Position. The Pro Forma Consolidated Statements of Financial Position are prepared in accordance with the Prospectus Guidelines issued by the Securities Commission Malaysia ("the Prospectus Guidelines") and the Guidance Note for issuers of Pro Forma Financial Information issued by the Malaysian Institute of Accountants ("Guidance Note").

The Pro Forma Consolidated Statements of Financial Position have been compiled by the Board of Directors of the Company to illustrate the impact of the events or transactions as set out in notes thereon to the Pro Forma Consolidated Statements of Financial Position as if these events or transactions have occurred or transactions have been undertaken on 31 March 2026.

As part of this process, information about the Group's financial position as at 31 March 2026 has been extracted by the Board of Directors of the Company from the consolidated statements of financial position of the Group as at 31 March 2026 as set out in Accountants' Report of the Company.

THE BOARD OF DIRECTORS' RESPONSIBILITIES

The Board of Directors of the Company is responsible for compiling the Pro Forma Consolidated Statements of Financial Position on the basis as described in the notes thereon to the Pro Forma Consolidated Statements of Financial Position and in accordance with the requirements of the Prospectus Guidelines and Guidance Note.

14. REPORTING ACCOUNTANTS' REPORT ON THE COMPILATION OF PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION (cont'd)



REPORTING ACCOUNTANTS' INDEPENDENCE AND QUALITY CONTROL

We are independent of the Company in accordance with the *By-Laws (on Professional Ethics, Conduct and Practice)* of the Malaysian Institute of Accountants ("By-Laws") and the International Ethics Standards Board for Accountants' *International Code of Ethics for Professional Accountants (including International Independence Standards)* ("IESBA Code") and we have fulfilled our other ethical responsibilities in accordance with the By-Laws and the IESBA Code.

Our firm applies International Standard on Quality Management 1 (ISQM 1), Quality Management for Firms that Perform Audits or Reviews of Financial Statements, or Other Assurance or Related Services Engagements issued by the International Auditing and Assurance Standards Board and adopted by the Malaysian Institute of Accountants and accordingly maintains a comprehensive system of quality management including documented policies and procedures regarding compliance with ethical requirements, professional standards and applicable legal regulatory requirements.

REPORTING ACCOUNTANTS' RESPONSIBILITIES

Our responsibility is to express an opinion, as required by the Prospectus Guidelines issued by the Securities Commission Malaysia, about whether the Pro Forma Consolidated Statements of Financial Position have been compiled, in all material respects, by the Board of Directors of the Company on the basis as described in the notes thereon to the Pro Forma Consolidated Statements of Financial Position and in accordance with the requirements of the Prospectus Guidelines and Guidance Note.

We conducted our engagement in accordance with the International Standard on Assurance Engagement (ISAE) 3420, Assurance Engagement to Report on the Compilation of Pro Forma Financial Information Included in a Prospectus, issued by the International Auditing and Assurance Standards Board as adopted by the Malaysian Institute of Accountants. This standard requires that we plan and perform procedures to obtain reasonable assurance about whether the Board of Directors has compiled, in all material respects, the Pro Forma Consolidated Statements of Financial Position on the basis as described in the notes thereon to the Pro Forma Consolidated Statements of Financial Position and in accordance with the requirements of the Prospectus Guidelines and Guidance Note.

For the purpose of this engagement, we are not responsible for updating or reissuing any reports or opinion on any historical financial information used in compiling the Pro Forma Consolidated Statements of Financial Position, nor have we, in the course of this engagement, performed an audit or review of the financial information used in compiling the Pro Forma Consolidated Statements of Financial Position.

The purpose of Pro Forma Consolidated Statements of Financial Position included in a prospectus is solely to illustrate the impact of a significant event or transaction on unadjusted financial information of the entity as if the event had occurred or the transaction had been undertaken at an earlier date selected for purposes of the illustration. Accordingly, we do not provide any assurance that the actual outcome of the event or transaction would have been as presented.

A reasonable assurance engagement to report on whether the Pro Forma Consolidated Statements of Financial Position have been compiled, in all material respects, on the basis of the applicable criteria involves performing procedures to assess whether the applicable criteria used by the Board of Directors in the compilation of the Pro Forma Consolidated Statements of Financial Position provide a reasonable basis for presenting the significant effects directly attributable to the events or transactions, and to obtain sufficient appropriate evidence about whether:-

- The related pro forma adjustments give appropriate effect to those criteria; and
- The Pro Forma Consolidated Statements of Financial Position reflects the proper application of those adjustments to the unadjusted financial information.

14. REPORTING ACCOUNTANTS' REPORT ON THE COMPILATION OF PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION (cont'd)



REPORTING ACCOUNTANTS' RESPONSIBILITIES (CONT'D)

The procedures selected depend on our judgement, having regard to our understanding of the nature of the Group, the events or transactions in respect of which the Pro Forma Consolidated Statements of Financial Position have been compiled, and other relevant engagement circumstances.

The engagement also involves evaluating the overall presentation of the Pro Forma Consolidated Statements of Financial Position.

We believe that the evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

OPINION

In our opinion, Pro Forma Consolidated Statements of Financial Position of the Group have been compiled, in all material respects, on the basis as described in the notes thereon to the Pro Forma Consolidated Statements of Financial Position and in accordance with the requirements of the Prospectus Guidelines.

OTHER MATTER

This letter has been prepared solely for the purpose stated above, for inclusion in the Prospectus of RedPlanet in connection with the Listing. As such, this letter should not be used for any other purpose without our prior written consent. Neither the firm nor any member or employee of the firm undertakes responsibility arising in any way whatsoever to any party in respect of this letter contrary to the aforesaid purpose.

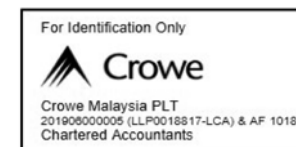
Yours faithfully,


Crowe Malaysia PLT
201906000005 (LLP0018817-LCA) & AF 1018
Chartered Accountants

Kuala Lumpur


Kaw Hoong Siang
03379/06/2028 J
Chartered Accountant

14. REPORTING ACCOUNTANTS' REPORT ON THE COMPILATION OF PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION (cont'd)



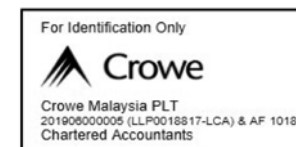
Appendix A

REDPLANET BERHAD

PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION AS AT 31 MARCH 2026

Note	Pro Forma I				Pro Forma II		Pro Forma III
	Audited as at	Bonus Issue	After Bonus Issue	Public Issue	After Pro Forma I and Public Issue	Utilisation of Proceeds	After Pro Forma II and Utilisation of Proceeds
	31 March 2026						
	RM	RM	RM	RM	RM	RM	RM
ASSETS							
NON-CURRENT ASSETS							
Property, plant and equipment	8,079,402		8,079,402		8,079,402		8,079,402
Right-of-use assets	858,454		858,454		858,454		858,454
Goodwill	6,679,955		6,679,955		6,679,955		6,679,955
Intangible assets	1,288,121		1,288,121		1,288,121		1,288,121
Deferred tax assets	2,851,358		2,851,358		2,851,358		2,851,358
	19,757,290		19,757,290		19,757,290		19,757,290
CURRENT ASSETS							
Contract cost assets	860,105		860,105		860,105		860,105
Trade receivables	5,841,018		5,841,018		5,841,018		5,841,018
Other receivables, deposits and prepayments	1,314,146		1,314,146		1,314,146		1,314,146
Contract assets	5,158,908		5,158,908		5,158,908		5,158,908
Current tax assets	253,680		253,680		253,680		253,680
Fixed deposits with licensed banks	5,901,240		5,901,240		5,901,240		5,901,240
Cash and bank balances	6(a) 7,744,354		7,744,354	13,300,000	21,044,354	(1,844,970)	19,199,384
	27,073,451		27,073,451		40,373,451		38,528,481
TOTAL ASSETS	46,830,741		46,830,741		60,130,741		58,285,771

14. REPORTING ACCOUNTANTS' REPORT ON THE COMPILATION OF PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION (cont'd)



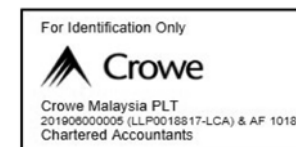
Appendix A

REDPLANET BERHAD

PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION AS AT 31 MARCH 2026 (CONT'D)

		Pro Forma I			Pro Forma II		Pro Forma III	
		Audited as at			After Pro	Utilisation of	After Pro	
	Note	31 March	Bonus Issue	After Bonus	Forma I and	Proceeds	Forma II and	
		2026		Issue	Public Issue		Utilisation of	
		RM	RM	RM	RM	RM	Proceeds	
							RM	
EQUITY AND LIABILITIES								
EQUITY								
Share capital	6(b)	7,729,844		7,729,844	13,300,000	21,029,844	(773,833)	20,256,011
Reorganisation deficit		(1,318,043)		(1,318,043)		(1,318,043)		(1,318,043)
Foreign exchange translation reserve		451,216		451,216		451,216		451,216
Retained profits	6(c)	15,563,524		15,563,524		15,563,524	(1,071,137)	14,492,387
TOTAL EQUITY		22,426,541		22,426,541		35,726,541		33,881,571
NON-CURRENT LIABILITIES								
Other payables and accruals		-		-		-		-
Lease liabilities		650,743		650,743		650,743		650,743
Long-term borrowings		4,905,807		4,905,807		4,905,807		4,905,807
Deferred tax liabilities		43,102		43,102		43,102		43,102
		5,599,652		5,599,652		5,599,652		5,599,652

14. REPORTING ACCOUNTANTS' REPORT ON THE COMPILATION OF PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION (cont'd)



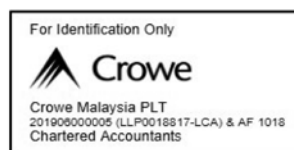
Appendix A

REDPLANET BERHAD

PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION AS AT 31 MARCH 2026 (CONT'D)

Note	Pro Forma I				Pro Forma II		Pro Forma III
	Audited as at	Bonus Issue	After Bonus Issue	Public Issue	After Pro Forma I and Public Issue	Utilisation of Proceeds	After Pro Forma II and Utilisation of Proceeds
	31 March 2026						
	RM	RM	RM	RM	RM	RM	RM
CURRENT LIABILITIES							
Trade payables	1,453,839		1,453,839		1,453,839		1,453,839
Contract liabilities	3,526,531		3,526,531		3,526,531		3,526,531
Other payables and accruals	12,235,025		12,235,025		12,235,025		12,235,025
Lease liabilities	212,742		212,742		212,742		212,742
Short-term borrowings	805,087		805,087		805,087		805,087
Current tax liabilities	571,324		571,324		571,324		571,324
	18,804,548		18,804,548		18,804,548		18,804,548
TOTAL LIABILITIES	24,404,200		24,404,200		24,404,200		24,404,200
TOTAL EQUITY AND LIABILITIES	46,830,741		46,830,741		60,130,741		58,285,771
Number of ordinary shares in issue	170,325,271	170,325,271	340,650,542	70,000,000	410,650,542		410,650,542
Net assets (RM)	22,426,541		22,426,541		35,726,541		33,881,571
Net assets per share (RM)	0.13		0.07		0.09		0.08
Total borrowings (excluding lease liabilities)	5,710,894		5,710,894		5,710,894		5,710,894
Gearing (times)	0.25		0.25		0.16		0.17

14. REPORTING ACCOUNTANTS' REPORT ON THE COMPILATION OF PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION (cont'd)



Appendix A

REDPLANET BERHAD

NOTES TO PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION AS AT 31 MARCH 2026

1. Abbreviation

Unless the context otherwise requires, the following words and abbreviations shall apply throughout this report:-

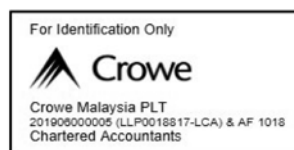
Companies Within The Group

ASSB	: AZTI Systems Sdn Bhd Registration No.: 200601014858 (734610 - H)
ATSB	: AZTI Technology Sdn Bhd Registration No.: 201401020333 (1096419 - X)
AZTI	: Alpha Zaicon Technology International Inc. Incorporation No.: C1226856
GSB	: GBTEK Sdn Bhd Registration No.: 201601009810 (1180738 - T)
PSB	: Prudentlogic Sdn Bhd Registration No.: 201801045131 (1307163 - H)
RedPlanet or the Company	: RedPlanet Berhad Registration No.: 201901014292 (1323620 - A)
RedPlanet Group or the Group	: RedPlanet and its subsidiaries, collectively
RPS	: RedPlanet Solutions (M) Sdn Bhd Registration No.: 201401041483 (1117638 - T)
RPSA	: RedPlanet Solutions (Aust) Pty Ltd. Company No.: 629 813 743
RPSS	: RedPlanet Spatial Solutions (India) Private Limited Registration No.: U72900TN2021FTC142475

General

ACE Listing	: Listing and quotation of the entire enlarged issued share capital of RedPlanet Berhad on the ACE Market of Bursa Securities pursuant to Rules 3A.02(1) and 3A.02(2) of the ACE Market Listing Requirements of Bursa Securities
Bursa Securities	: Bursa Malaysia Securities Berhad Registration No.: 200301033577 (635998-W)

14. REPORTING ACCOUNTANTS' REPORT ON THE COMPILATION OF PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION (cont'd)



Appendix A

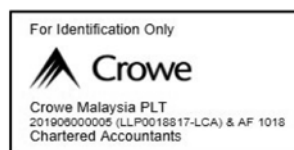
REDPLANET BERHAD NOTES TO PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION AS AT 31 MARCH 2026 (CONT'D)

1. Abbreviation (Cont'd)

Unless the context otherwise requires, the following words and abbreviations shall apply throughout this report (Cont'd):-

Eligible Persons	: Eligible Directors of RedPlanet Group, eligible employees of RedPlanet Group and persons who have contributed to the success of the Group, collectively
FPE	: Financial period ended
Issue Share(s)	: New Share(s) to be issued by the Company under the Public Issue
Malaysian Public	: Citizens of Malaysia and companies, societies, cooperatives and institutions incorporated, organised or formed under the laws of Malaysia
MITI	: Ministry of Investment, Trade and Industry, Malaysia
Offer for Sale	: Offer for sale of up to 10,000,000 Offer Shares at the Offering Price by the Selling Shareholder, subject to the terms and conditions of the Prospectus
Offer Share(s)	: Existing Share(s) to be offered by the Selling Shareholder pursuant to the Offer for Sale
Offering Price	: Issue/Offer price of RM0.19 for each Offering Share
Public Issue	: Public issue of 70,000,000 Issue Shares at the Offering Price by the Company, subject to the terms and conditions of the Prospectus
Pro Forma Consolidated SOFP	: Pro Forma Consolidated Statements of Financial Position
RM and sen	: Ringgit Malaysia and sen, the lawful currency of Malaysia
Selling Shareholder	: PKSen Ventures Sdn Bhd Registration No. 201801042664 (1304696-M)
Share(s)	: Ordinary share(s) in RedPlanet

14. REPORTING ACCOUNTANTS' REPORT ON THE COMPILATION OF PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION (cont'd)



Appendix A

**REDPLANET BERHAD
NOTES TO PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION AS AT 31 MARCH 2026 (CONT'D)**

1. Abbreviation (Cont'd)

Unless the context otherwise requires, the following words and abbreviations shall apply throughout this report (Cont'd):-

Transfer of Listing	:	Transfer of the listing and quotation of the entire issued share capital of RedPlanet from the LEAP Market of Bursa Securities to the ACE Market of Bursa Securities which involves the Withdrawal of LEAP Listing and admission to ACE Listing
Withdrawal of LEAP Listing	:	Voluntary withdrawal of the listing and quotation of the entire issued share capital of RedPlanet from the LEAP Market of Bursa Securities pursuant to Rules 8.05 and 8.06 of the LEAP Market Listing Requirements of Bursa Securities

2. Introduction

The Pro Forma Consolidated SOFP of the Group as at 31 March 2026 together with the notes thereon, for which the Board of Directors are solely responsible, have been prepared for illustrative purposes only and for inclusion in the Prospectus in connection with the ACE Listing which shall not be relied upon for any other purposes.

3. Basis of Preparation

3.1 Accountants' Report

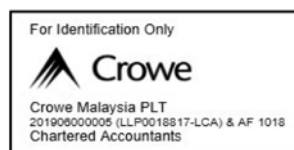
The Pro Forma Consolidated SOFP have been prepared based on the Accountants' Report of RedPlanet for the FPE 31 March 2026 which were prepared in accordance with Malaysian Financial Reporting Standards ("MFRSs") and IFRS Accounting Standards ("IFRS"), and in a manner consistent with the format of the audited consolidated financial statements and accounting policies of the Group.

The Accountants' Report used in the preparation of the Pro Forma Consolidated SOFP was not subject to any audit qualification, modification or disclaimer of opinion. All amounts are presented in RM.

3.2 Applicable Criteria

The Pro Forma Consolidated SOFP as at 31 March 2026 have been prepared solely to illustrate the impact of the events or transactions as set out in Note 4 herein, had the events or transactions been effected on 31 March 2026 and should be read in conjunction with the notes thereon to the Pro Forma Consolidated SOFP.

14. REPORTING ACCOUNTANTS' REPORT ON THE COMPILATION OF PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION (cont'd)



Appendix A

REDPLANET BERHAD

NOTES TO PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION AS AT 31 MARCH 2026 (CONT'D)

3. Basis of Preparation (Cont'd)

3.2 Applicable Criteria (Cont'd)

The Pro Forma Consolidated SOFP are not necessarily indicative of the financial position of the Group that would have been attained as if the events and transactions as set out in Note 4 actually occurred on 31 March 2026. The Pro Forma Consolidated SOFP have been prepared for illustrative purposes only, and because of their nature, may not give a true picture of the actual effects of the events and transactions on the Group's financial position. Further, such financial information does not purport to predict the future financial position of the Group.

4. LISTING SCHEME

The following proposals are undertaken in conjunction with, and as an integral part of the ACE Listing:

4.1 Bonus Issue of Shares

The Bonus Issue of Shares will entail the issuance of 1 Bonus Share for every 1 existing Share. The number of Shares in issue is 170,325,271. Upon the completion of the Bonus Issue of Shares, the enlarged issued shares of the Company will be 340,650,542 Shares.

4.2 Public Issue

The Public Issue involves the offering of 70,000,000 Issue Shares, representing approximately 17.05% of the enlarged issued Shares of the Company, at the Offering Price and will be allocated in the following manner:

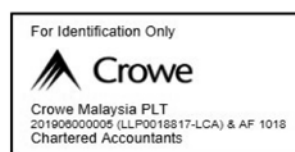
(i) Malaysian Public

20,540,000 Issue Shares, representing approximately 5.00% of the enlarged issued Shares, will be made available for application by the Malaysian Public through a balloting process, of which 10,270,000 Issue Shares will be set aside for application by Bumiputera investors including individuals, companies, cooperatives, societies and institutions.

(ii) Eligible Persons

19,711,200 Issue Shares, representing approximately 4.80% of the enlarged issued Shares, will be reserved for application by the Eligible Persons.

14. REPORTING ACCOUNTANTS' REPORT ON THE COMPILATION OF PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION (cont'd)



Appendix A

**REDPLANET BERHAD
NOTES TO PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION AS AT 31 MARCH 2026 (CONT'D)**

4. LISTING SCHEME (CONT'D)

4.2 Public Issue (Cont'd)

The Public Issue involves the offering of 70,000,000 Issue Shares, representing approximately 17.05% of the enlarged issued Shares of the Company, at the Offering Price and will be allocated in the following manner (Cont'd):

(iii) Selected Investors via Private Placement

11,528,600 Issue Shares, representing approximately 2.81% of the enlarged issued Shares, will be made available for application via private placement to selected investors.

(iv) Bumiputera Investors via Private Placement

18,220,200 Issue Shares, representing approximately 4.44% of the enlarged issued Shares, will be made available for application via private placement to Bumiputera Investors approved by the MITI.

4.3 Offer for Sale

The Selling Shareholder is offering up to 10,000,000 Offer Shares, representing approximately 2.43% of the enlarged issued Shares of the Company at the Offering Price, by way of private placement to selected investors.

The Company will not receive any proceeds from the Offer for Sale and the Offer for Sale will not have any financial impact to the Pro Forma Consolidated SOFP of RedPlanet.

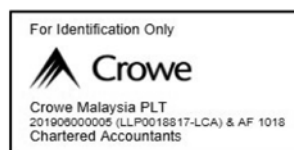
5. PRO FORMA ADJUSTMENTS TO THE PRO FORMA CONSOLIDATED SOFP

5.1 Pro Forma I

Pro Forma I incorporates the effects of the Bonus Issue as set out in Note 4.1.

5.2 Pro Forma II

Pro Forma II incorporates the effects of Pro Forma I and the effects of the Public Issue as set out in Note 4.2.

14. REPORTING ACCOUNTANTS' REPORT ON THE COMPILATION OF PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION (cont'd)


Appendix A

**REDPLANET BERHAD
NOTES TO PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION AS AT 31 MARCH 2026 (CONT'D)**
5. PRO FORMA ADJUSTMENTS TO THE PRO FORMA CONSOLIDATED SOFP (CONT'D)
5.3 Pro Forma III

Pro Forma III incorporates the effects of Pro Forma I, II and the effects of the utilisation of proceeds from the Public Issue.

The proceeds from the Public Issue will be utilised as follows:-

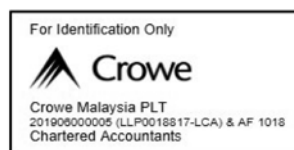
Purpose	RM	% of proposed utilisation	Estimated timeframe for utilisation upon completion of the Transfer of Listing
Business expansion ^	8,125,000	61.09	Within 24 months
Working capital ^	2,375,000	17.86	Within 18 months
Estimated expenses for the Transfer of Listing *	2,800,000	21.05	Within 1 month
	<u>13,300,000</u>	<u>100.00</u>	

Notes:-

^ - As at the latest practicable date, the Company has yet to enter into any contractual binding arrangements or issue any purchase orders in relation to the above purposes. Accordingly, the use of proceeds earmarked for these purposes are not reflected in the Pro Forma Consolidated SOFP.

* - The estimated expenses for the Transfer of Listing comprise the following:

	RM
Professional fees	1,759,000
Brokerage and underwriting fees	343,000
Regulatory fees	151,000
Printing, advertising and other miscellaneous expenses	547,000
	<u>2,800,000</u>

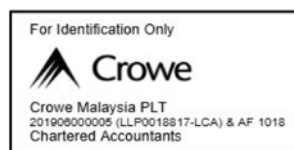
14. REPORTING ACCOUNTANTS' REPORT ON THE COMPILATION OF PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION (cont'd)**Appendix A****REDPLANET BERHAD****NOTES TO PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION AS AT 31 MARCH 2026 (CONT'D)****5. PRO FORMA ADJUSTMENTS TO THE PRO FORMA CONSOLIDATED SOFP (CONT'D)****5.3 Pro Forma III (Cont'd)**

Of the total estimated expenses to be incurred in relation to the Transfer of Listing of RM2.80 million, a total of approximately RM0.77 million is assumed to be directly attributable to the issuance of new Shares under the Public Issue and therefore will be set off against the share capital of the Company, while the remaining RM2.03 million will be charged to the consolidated statements of profit or loss and other comprehensive income of the Company.

	RM
Total estimated expenses for the Transfer of Listing	2,800,000
Less: Expenses paid and charged to the profit or loss	<u>(955,030)</u>
Remaining estimated expenses for the Transfer of Listing as at 31 March 2026	<u>1,844,970</u>

6. EFFECTS ON THE PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION**(a) Cash and bank balances**

	Note	RM
As at 31 March 2026 and as per Pro Forma I		7,744,354
Pursuant to the Public Issue	4.2	<u>13,300,000</u>
As per Pro Forma II		21,044,354
Pursuant to utilisation of proceeds:		
- Estimated expenses for the Transfer of Listing	5.3	<u>(1,844,970)</u>
As per Pro Forma III		<u>19,199,384</u>

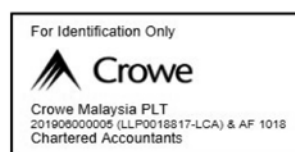
14. REPORTING ACCOUNTANTS' REPORT ON THE COMPILATION OF PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION (cont'd)

Appendix A
REDPLANET BERHAD
NOTES TO PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION AS AT 31 MARCH 2026 (CONT'D)
6. EFFECTS ON THE PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION (CONT'D)
(b) Share capital

	Note	Number of Ordinary Shares	RM
As at 31 March 2026		170,325,271	7,729,844
Bonus issue		170,325,271	-
As per Pro Forma I		340,650,542	7,729,844
Pursuant to the Public Issue		70,000,000	13,300,000
As per Pro Forma II		410,650,542	21,029,844
Pursuant to utilisation of proceeds:			
- Estimated expenses for the			
Transfer of Listing	5.3	-	(773,833)
As per Pro Forma III		410,650,542	20,256,011

(c) Retained profits

	Note	RM
As at 31 March 2026 and as per Pro Forma I and II		15,563,524
Pursuant to utilisation of proceeds:		
- Estimated expenses for the Transfer of Listing	5.3	(1,071,137)
As per Pro Forma III		14,492,387

14. REPORTING ACCOUNTANTS' REPORT ON THE COMPILATION OF PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION (cont'd)



Appendix A

REDPLANET BERHAD

APPROVAL BY THE BOARD OF DIRECTORS

Approved and adopted by the Board of Directors of RedPlanet Berhad in accordance with a resolution dated 28 August 2026.

On behalf of the Board of Directors,

A handwritten signature in black ink, appearing to read "Lian Wah Seng".

Lian Wah Seng

A handwritten signature in black ink, appearing to read "P. le Senthil Kumar".

**Panjetty Kumaradevan
Senthil Kumar**

15. ADDITIONAL INFORMATION

15.1 SHARE CAPITAL

- (i) No Shares will be allotted, issued or offered on the basis of this Prospectus later than 6 months after the date of this Prospectus.
- (ii) As at the LPD, we only have 1 class of shares, namely ordinary shares, all of which rank equally with one another. There are no special rights attached to our Shares.
- (iii) As at the LPD, none of the share capital of our Company and subsidiaries is under any option or agreed conditionally or unconditionally to be put under any option.
- (iv) Save for the Pink Form Allocation as set out in **Section 4.3.3(ii)** of this Prospectus:
 - (a) no Director or employee of our Group has been or is entitled to be given an option to subscribe for any share, stock, debenture or other security of our Company or our subsidiaries; and
 - (b) there is no scheme involving our Directors and employees in the Shares of our Company or our Subsidiaries.
- (v) Save for the Shares issued as set out in **Section 6.1.2** of this Prospectus, no shares, debentures, warrants, options, convertible securities or uncalled capital of our Company or our subsidiaries have been or are proposed to be issued as fully or partly paid-up, in cash or otherwise than in cash, within the Financial Years/Period Under Review and up to the LPD.
- (vi) As at the LPD, our Group does not have any outstanding convertible debt securities, options, warrants or uncalled capital.

15.2 EXTRACTS OF OUR CONSTITUTION

The following provisions relating to the selected matters are reproduced from our Constitution which complies with the Listing Requirements, the Act and the Rules of Bursa Depository.

The words, terms and expressions appearing in the following provisions shall bear the same meanings used in our Constitution unless they are otherwise defined herein or the context otherwise requires.

15.2.1 Remuneration of Directors

Clause 84 – Appointment of Managing and Executive Directors

A Managing Director or an Executive Director shall, subject to the terms of any agreement entered into in any particular case, receive such remuneration (whether by way of salary, bonus, commission, or participation in profits, or partly in one way and partly in another and other benefits) as the Board of Directors may determine.

Clause 93 – Remuneration of Directors

- (1) The Company may from time to time by an ordinary resolution passed at a General Meeting, approve the remuneration of the Directors, who hold non-executive office with the Company, for their services as non-executive Directors.
- (2) Subject to Clause 84, the fees of the Directors and any benefits payable to the Directors shall be subject to annual shareholders' approval at a General Meeting.

15. ADDITIONAL INFORMATION *(cont'd)*

- (3) If the fee and benefit of each such non-executive Director is not specifically fixed by the Members, then the quantum of fees and benefit to be paid to each non-executive Director within the overall limits fixed by the Members, shall be decided by resolution of the Board. In default of any decision being made in this respect by the Board, the fees and benefit payable to the non-executive Directors shall be divided equally amongst themselves and such a Director holding office for only part of a year shall be entitled to a proportionate part of a full year's fees and benefit. The non-executive Directors shall be paid by a fixed sum and not by a commission on or percentage of profits or turnover.
- (4) The following expenses shall be determined by the Directors:
 - (a) Traveling, hotel and other expenses properly incurred by the Directors in attending and returning from meetings of the Directors or any committee of the Directors or General Meetings of the Company or in connection with the business of the Company; and
 - (b) Other expenses properly incurred by the Directors arising from the requirements imposed by the authorities to enable the Directors to effectively discharge their duties.
- (5) Executive Directors of the Company shall be remunerated in the manner referred to in Clause 84 but such remuneration shall not include a commission on or percentage of turnover.

15.2.2 Voting of Directors

Clause 105 – Directors' Interest in Contracts

- (1) A Director shall not vote in regard to any contract or proposed contract or arrangement in which he has, directly or indirectly, an interest.
- (2) Every Director shall observe the provisions of Sections 221 and 222 of the Act relating to the disclosure of the interest of the Directors in contracts or proposed contracts with the Company or of any office or property held by the Directors which might create duties or interest in conflict with their duties or interest as Directors and participation in discussion and voting. Such disclosure of material personal interest by the Directors shall be in the form of a notice. Such notice shall be in the form and manner prescribed under Section 221 of the Act.

Clause 118 – Voting at Board meetings

- (1) Subject to this Constitution, questions arising at a Board Meeting shall be decided by a majority of votes of Directors present and voting and any such decision shall for all purposes be deemed a decision of the Directors.
- (2) Each Director is entitled to cast one (1) vote on each matter for determination.

Clause 119 – Casting Vote

In the case of an equality of votes, the chairperson of the Board Meeting is entitled to a second or casting vote, except where two (2) Directors form a quorum and only such a quorum is present at the meeting, or at which only two (2) Directors are competent to vote on the question at issue at which the chairperson of a meeting shall not have a casting vote.

15. ADDITIONAL INFORMATION *(cont'd)*

15.2.3 Borrowing powers of Directors

Clause 95 – Powers of Directors

Without limiting the generality of Clause 94(1) and (2), the Directors may, subject to the Act and the Listing Requirements, exercise all the powers of the Company to do all or any of the following for any debt, liability, or obligation of the Company or of any third party:

- (1) borrow money;
- (2) mortgage or charge its undertaking, property, and uncalled capital, or any part of the undertaking, property and uncalled capital;
- (3) issue debentures and other Securities whether outright or as security; and/or
- (4)
 - (a) lend and advance money or give credit to any person or company;
 - (b) guarantee and give guarantees or indemnities for the payment of money or the performance of contracts or obligations by any person or company;
 - (c) secure or undertake in any way the repayment of moneys lent or advanced to or the liabilities incurred by any person or company;

and otherwise to assist any person or company.

15.2.4 Changes to share capital

Clause 46 – Alteration of Capital

- (1) The Company may from time to time by ordinary resolution and subject to other applicable laws or requirements:
 - (a) consolidate and divide all or any of its share capital, the proportion between the amount paid and the amount, if any, unpaid on each subdivided share shall be the same as it was in the case of the share from which the subdivided share is derived; or
 - (b) subdivide its shares or any of them into shares, whichever is in the subdivision; the proportion between the amount paid and the amount, if any, unpaid on each subdivided share shall be the same as it was in the case of the share from which the subdivided share is derived.
- (2) The Company may from time to time by special resolution and subject to other applicable requirements:
 - (a) cancel shares which, at the date of the passing of the resolution in that regard, have not been taken or agreed to be taken by any person or which have been forfeited and diminish the amount of its share capital by the amount of the shares so cancelled or in such other manner allowed by law; or
 - (b) reduce its share capital in such manner permitted by law, and (where applicable) subject to the relevant required approvals being obtained.
- (3) The Company shall have the power, subject to and in accordance with the provisions of the Act, the Listing Requirements and any rules, regulations and guidelines in respect thereof for the time being in force, to purchase its own shares and thereafter to deal with the shares purchased in accordance with the provisions of the Act, the Listing Requirements and any rules, regulations and guidelines thereunder or issued by Bursa Securities and any other relevant authorities in respect thereof.

15. ADDITIONAL INFORMATION *(cont'd)*

15.2.5 Transfer of securities

Clause 14 – Transfer of securities

The transfer of any Deposited Security or class of Deposited Security of the Company, shall be by way of book entry by the Depository in accordance with the Rules and, notwithstanding Sections 105, 106 or 110 of the Act, but subject to Section 148(2) of the Act and any exemption that may be made from compliance with Section 148(1) of the Act, the Company shall be precluded from registering and effecting any transfer of the Deposited Securities.

Clause 17 – Transfer of Shares or Debentures

- (1) Subject to this Constitution and other written laws, any Shareholder or debenture holder may transfer all or any of his shares or debentures by instrument of transfer as prescribed under the Act.
- (2) The instrument of transfer must be executed by or on behalf of the transferor and the transferee.
- (3) The transferor shall remain as the holder of such shares or debentures until the transfer is registered and the name of the transferee is entered in the Register of Members or register of debenture holders in respect of the shares or debentures respectively.

Clause 18 – Items for transfer of shares or debentures

- (1) To enable the Company to register the name of the transferee, the following items in relation to the transfer of shares or debentures must be delivered by the transferor or transferee, as the case may be, to the Office of the Company:
 - (a) the instrument of transfer duly executed and stamped;
 - (b) the certificate of the shares or debentures which the instrument of transfer relates; and
 - (c) any other evidence as the Directors may reasonably require showing the right of the transferor to make the transfer.
- (2) Upon receipt of the items referred to in Clause 18(1), the Company shall, upon the approval of the Board and unless otherwise resolved, register the name of the transferee in the Register of Members or register of debenture holders (as applicable).

Clause 19 – Refusal of registration

- (1) The Directors may decline or delay to register the transfer of shares within thirty (30) days from the receipt of the instrument of transfer if:
 - (a) the shares are not fully paid shares;
 - (b) the Directors passed a resolution with full justification to refuse or delay the registration of transfer;
 - (c) the Company has a lien on the shares; and/or
 - (d) the Shareholder fails to pay the Company an amount due in respect of those shares, whether by way of consideration for the issue of the shares or in respect of the sums payable by the Shareholder in accordance with this Constitution.

15. ADDITIONAL INFORMATION *(cont'd)*

- (2) Where applicable, the Company shall send a notice of the resolution referred to in Clause 19(1)(b) to the transferor and transferee, within seven (7) days of the resolution being passed by the Directors.

Clause 20 – Closing the Register of Members or Register of Debenture Holders

On giving at least fourteen (14) days' notice to the Registrar to close the Register of Members or register of debenture holders, the Company may close the Register of Members or register for any class of members or register of debenture holders (collectively, the "**Registers**") for the purpose of updating the Registers. The registration of transfer may be suspended at such time and for such period as the Directors may from time to time determine, provided that no part of the relevant Register(s) be closed for more than thirty (30) days in aggregate in any calendar year.

15.2.6 Rights, preferences and restrictions attached to each class of securities relating to voting, dividend, liquidation and any special rights

Clause 7 – Classes of Shares

- (1) The capital of the Company shall consist of ordinary shares.
- (2) A holder of ordinary share(s) shall have the following voting rights:
- (a) Right to vote on a show of hands to one (1) vote on any resolution of the Company; and
 - (b) Right to vote on a poll to one (1) vote for every share held on any resolution of the Company.
- (3) Subject to the Act and any applicable laws and any other requirements of Bursa Securities and the SC, any preference shares may with the sanction of an ordinary resolution be issued on the terms that they are liable, or at the option of the Company are liable to be redeemed and the Company shall not issue preference shares ranking in priority over preference shares already issued but may issue preference shares ranking equally therewith.
- (a) A holder of preference shares must have a right to vote in each of the following circumstances:
 - (i) when the dividend or part of the dividend on the share is in arrears for more than six (6) months;
 - (ii) on a proposal to reduce the Company's share capital;
 - (iii) on a proposal for the disposal of the whole of the Company's property, business and undertaking;
 - (iv) on a proposal that affects the rights attached to the preference shares;
 - (v) on a proposal to wind up the Company; and
 - (vi) during the winding up of the Company.
 - (b) A holder of preference shares shall be entitled to the same rights as a holder of ordinary shares in relation to receiving notices, reports, audited financial statements and attending meetings.

15. ADDITIONAL INFORMATION *(cont'd)*

- (4) Notwithstanding Clause 7(3) hereof, the repayment of preference share capital other than redeemable preference shares or any alteration of preference shareholders' rights shall only be made pursuant to a special resolution of the preference shareholders concerned provided always that where the necessary majority for such a resolution is not obtained at the meeting of the preference shareholders concerned, consent in writing representing not less than seventy-five percent (75%) of the total voting rights of the holders of the preference shares obtained within two (2) months of the meeting shall be valid and effectual as a special resolution carried at the meeting.

15.3 PUBLIC TAKE-OVERS

None of the following has occurred during the last financial year up to the LPD:

- (i) public take-over offers by third parties in respect of our Shares; and
- (ii) public take-over offers by us in respect of other company's shares.

15.4 REPATRIATION OF CAPITAL, REMITTANCE OF PROFIT AND TAXATION

As at the LPD, save as disclosed below, there are no governmental law, decree, regulation or other requirement that may impact the availability of cash and cash equivalents for use by RedPlanet Group and the remittance of dividends, interest or other payments to shareholders of RedPlanet Group:

(i) Malaysia

Malaysia does not impose foreign exchange controls on the repatriation of capital or remittance of profits by Malaysian companies to their shareholders. There are no governmental laws, regulations or administrative requirements that restrict Malaysian companies from remitting dividends or returning capital to shareholders, whether resident or non-resident, provided that the relevant corporate and tax obligations are complied with. Malaysia liberalised its foreign exchange regime some time ago, and capital and profit remittances are generally unrestricted.

Malaysia operates a single-tier tax system under which dividends distributed by Malaysian resident companies are generally exempt from tax in the hands of shareholders. Companies are not required to withhold tax on dividend payments, and no tax credits are available to shareholders for set-off against their tax liabilities. With effect from the year of assessment 2025, a tax at the rate of 2% is imposed on chargeable dividend income exceeding MYR 100,000 per annum received by resident individuals, non-resident individuals and individuals holding shares through nominees, after taking into account any eligible tax deductions, in respect of dividends distributed by Malaysian resident companies.

Effective from 1 January 2022, generally, all types of foreign income (including dividends) received in Malaysia by a resident in Malaysia is subject to tax. For the period from 1 January 2022 to 30 June 2022, foreign income received in Malaysia will be taxed at a rate of 3% at gross under the Income Tax Act 1967. Effective from 1 July 2022, foreign income received in Malaysia is subject to the prevailing tax rate.

Notwithstanding the above, the Income Tax (Exemption) (No. 6) Order 2022 (Amendment) Order 2024 provides for exemption on foreign sourced dividend income received in Malaysia by, amongst others, a resident company incorporated under the Act for the period from 1 January 2022 to 31 December 2026. The exemption is given subject to the following qualifying conditions:

- (a) the dividend income has been subjected to tax in the country of origin and the highest tax rate (headline tax) in the country of origin is not less than 15.0%; or
- (b) comply with the economic substance requirements.

15. ADDITIONAL INFORMATION *(cont'd)*

Reference can be made to the Technical Guidelines issued by the Inland Revenue Board of Malaysia on 20 June 2024 to determine whether the above conditions are met for the purposes of the exemption on foreign sourced dividend income received in Malaysia.

(ii) Australia

Pursuant to the Income-tax Assessment Act 1936 of Australia, the tax implications of a repatriation of capital by the Australian company to a non-resident shareholder will depend on the particular structure adopted to implement the repatriation, including by way of a share buy-back, a capital reduction or a distribution made on the winding-up of the Australian company.

A non-resident shareholder may be subject to Australian income tax in connection with a repatriation of capital, depending on the specific facts and circumstances. In particular, the tax outcome will be influenced by whether the shares are held on capital account and whether the shares constitute, or derive their value principally from, Australian real property interests.

Where the shares are taxable Australian property, including shares whose value is predominantly attributable to Australian real property, a return of capital may give rise to Australian capital gains tax consequences for the non-resident shareholder. Conversely, where the shares are not taxable Australian property and are held on capital account, a genuine return of capital may not be subject to Australian income tax, subject always to the application of the Australian tax integrity provisions.

Section 45B of the ITA 1936 provides that the Commissioner of Taxation ("**Commissioner**") has the discretion to classify a return of capital as a dividend, if pursuant to the determination of the Commissioner, the Commissioner is satisfied that the capital return was made in substitution for a dividend. Such determination is made on a case to case basis. Where the Commissioner makes a determination under Section 45B, the portion of the capital return treated as a dividend will be unfrankable and subject to dividend withholding tax ("**DWT**"), and the Commissioner may also impose a corresponding franking debit on the Australian company making the distribution.

Where the share capital account of an Australian company is tainted, distributions made from that account to a non-resident shareholder are treated as unfranked dividends pursuant to Division 197 of the Income Tax Assessment Act 1997 and may give rise to a DWT obligation. A share capital account becomes tainted where the company transfers profits into the share capital account, with the effect that any distribution from that account is taxed as an unfranked dividend in the hands of the shareholder.

DWT is generally imposed at a rate of 30.0% on the gross amount of such unfranked dividend, subject to reduction under an applicable double tax treaty. In this regard, the Australia–Malaysia tax treaty generally reduces the applicable rate to 15.0% on qualifying dividends, subject to conditions. Whether a share capital account is tainted is a question of fact.

Where DWT is imposed, the Australian company is required to remit the withheld amount to the Australian Taxation Office ("**ATO**") within 21 days of the end of the month in which the relevant dividend was paid, or within such further time as the Commissioner may allow. Where such DWT is imposed, it operates as a final tax in Australia, such that a non-resident shareholder is generally not required to lodge an Australian income tax return or pay any further Australian tax in respect of dividends subject to such withholding tax. Likewise, where dividends paid to a non-resident shareholder are fully franked, no Australian tax liability should arise and the non-resident shareholder should not be required to file an Australian income tax return in respect thereof.

15. ADDITIONAL INFORMATION *(cont'd)***(iii) India**

Foreign exchange controls in India are governed primarily by the Foreign Exchange Management Act, 1999 ("**FEMA**") and the regulations, notifications and master directions issued by the Reserve Bank of India. Under FEMA, remittance of current income, including dividends, to non-residents is generally permitted, subject to compliance with applicable tax laws and procedural requirements. Repatriation of dividends and buyback proceeds must be routed through an Authorised Dealer Category-I bank authorised by the Reserve Bank of India under FEMA to deal in foreign exchange and to process cross-border remittances and transactions on behalf of customers.

Under the Income-tax Act 1961 of India, dividends paid by an Indian company to a non-resident are taxable in India and subject to withholding tax at the rate of 20.0%, together with any applicable surcharge and cess.

Notwithstanding the foregoing, pursuant to the India–Malaysia Double Taxation Avoidance Agreement ("**DTAA**"), dividends paid by an Indian company to a Malaysian tax resident shall be subject to withholding tax in India at a reduced rate not exceeding 5.0% of the gross amount of such dividend, provided that the Malaysian recipient is the beneficial owner thereof and satisfies the applicable DTAA eligibility conditions, including the furnishing of a valid tax residency certificate. For the purposes of the DTAA, dividends include income from shares or other rights participating in profits that are treated as dividends under Indian law.

Pursuant to the Income-tax Act, 1961 of India, read together with the DTAA, an Indian company shall be obligated to withhold tax on dividends distributed to a Malaysian resident shareholder at 20.0% (inclusive of applicable surcharge and cess), or at the concessional rate of 5.0% (without surcharge and cess) under the DTAA, as the case may be. Such withholding obligation shall arise upon the earlier of: (i) crediting the dividend to the account of the Malaysian resident shareholder; or (ii) actual payment thereof.

With respect to the buyback of shares occurring on or after 1 April 2026, pursuant to Section 69(1) of the Income-tax Act, 2025, any consideration received by a shareholder shall be taxed strictly under the head "Capital gains". The taxable gain shall be computed by deducting the cost of acquisition of the repurchased shares directly from the gross buyback consideration. For unlisted shares held for more than 24 months, the applicable long-term capital gains tax rate applies without indexation; for shares held 24 months or less, short-term capital gains apply at the applicable rate. Where the Malaysian shareholder meets the definition of a "promoter" under Section 69(3) of the Act—a status that includes any person holding, directly or indirectly, more than 10% of the shareholding in an unlisted company, or a promoter as defined under Section 2(69) of the Companies Act, 2013—an additional income-tax levy under Section 69(2) applies, resulting in a higher effective tax burden for both corporate and non-corporate promoters.

Article 14 of the India–Malaysia DTAA governs the treaty characterisation of buyback gains. Article 14(5) of the India–Malaysia DTAA allocates taxing rights over gains from the alienation of ordinary shares to the State of which the company is resident — i.e., for shares of an Indian company — India retains the right to tax such capital gains under domestic law, subject to any relief available under Article 24 (Methods for Elimination of Double Taxation) in Malaysia.

15.5 LIMITATION ON THE RIGHT TO OWN SECURITIES

There is no limitation on the right to own our Shares, including any limitation on the right of a non-resident or non-Malaysian shareholder to hold or exercise their voting rights on our Shares, which is imposed by Malaysian law or by our Constitution.

As our Shares are proposed for quotation on the Official List, such Shares must be prescribed as shares required to be deposited with Bursa Depository. Upon such prescription, a holder of our Shares must deposit his Shares with Bursa Depository on or before the date is fixed, failing which our Share Registrar will be required to transfer his Shares to the Minister of Finance and such Shares may not be traded on Bursa Securities.

15. ADDITIONAL INFORMATION *(cont'd)*

Dealing in our Shares deposited with Bursa Depository may only be effected by a Depositor by means of entries in the securities account of that Depositor.

A Depositor whose name appears in the Record of Depositors maintained by Bursa Depository in respect of our Shares shall be deemed to be a shareholder of our Company and shall be entitled to all rights, benefits, powers and privileges and be subject to all liabilities, duties and obligations in respect of, or arising from, such Shares.

15.6 MATERIAL LITIGATION

As at the LPD, our Group is not engaged in any material litigation and/or arbitration, either as plaintiff or defendant, which has a material effect on our financial position, and our Directors are not aware of any proceedings pending or threatened, or of any fact likely to give rise to any proceedings, which might materially and adversely affect our financial position or business.

15.7 MATERIAL CONTRACTS

Save as disclosed below, our Group has not entered into any material contract which is not in the ordinary course of our Group's business during the Financial Years/Period Under Review and up to the date of this Prospectus:

- (i) share purchase agreement dated 7 September 2023 between RedPlanet and Lian Wah Seng, NCSB and PPSB for the acquisition of the 51.00% equity interest in ATSB for a purchase consideration of RM7,650,000. On 1 December 2023, the conditions precedent as stipulated in the share purchase agreement for the acquisition have been fulfilled, and accordingly, ATSB became a 51%-owned subsidiary of RedPlanet;
- (ii) shareholder's agreement dated 7 September 2023 between ATSB with RedPlanet, Lian Wah Seng, NCSB and PPSB, being the shareholders of ATSB ("**ATSB SHA**"). Pursuant to the completion of the ATSB SSA (as defined herein) set out in **Section 15.7(iv)** below, the ATSB SHA has ceased to be of effect;
- (iii) shareholders' agreement dated 26 March 2024 between Agrofood Nature Sdn Bhd (now known as Neotera Sdn Bhd) with RedPlanet, Farhana Hazwanee Binti Mohd Jais, Eimir Huzaimi Bin Md Noh, Syed Shah Redza Bin Syed Mohamed Redza and Abdul Kadir Bin Othman, being the shareholders of Agrofood Nature Sdn Bhd (now known as Neotera Sdn Bhd) ("**Agrofood SHA**"). Pursuant to the completion of the Agrofood SSA (as defined herein) set out in **Section 15.7(v)** below, the Agrofood SHA has ceased to be of effect;
- (iv) share purchase agreement dated 18 September 2024 between RedPlanet and Lian Wah Seng, NCSB and PPSB for the acquisition of the remaining 49.00% equity interest in ATSB for a purchase consideration of RM12,127,500. On 6 December 2024, the conditions precedent as stipulated in the share purchase agreement for the acquisition have been fulfilled, and accordingly, ATSB became a wholly-owned subsidiary of RedPlanet ("**ATSB SSA**");
- (v) share sale agreement dated 4 November 2024 between Syed Shah Redza Bin Syed Mohamed Redza and RedPlanet for the disposal of 49.75% equity interest held by RedPlanet in Agrofood Nature Sdn Bhd (now known as Neotera Sdn Bhd) for a disposal consideration of RM49,750 ("**Agrofood SSA**"). On 27 November 2024, the Agrofood SSA was completed and on 2 December 2024, Agrofood Nature Sdn Bhd (now known as Neotera Sdn Bhd) ceased to be an associate company of RedPlanet; and
- (vi) the Underwriting Agreement. Further details of the Underwriting Agreement are set out in **Section 4.9** of this Prospectus.

15. ADDITIONAL INFORMATION *(cont'd)*

15.8 CONSENTS

- (i) the written consents of the Principal Adviser, Sponsor, Underwriter and Placement Agent, Solicitors, Share Registrar, Issuing House and Company Secretaries for the inclusion in this Prospectus of their names in the form and context in which their names appear in this Prospectus have been given before the issuance of this Prospectus, and have not subsequently been withdrawn;
- (ii) the written consent of the Auditors and Reporting Accountants for the inclusion in this Prospectus of their name, the Accountants' Report on the consolidated financial statements of RedPlanet and the Reporting Accountants' letter on the pro forma consolidated statement of financial position in the form and context in which they are contained in this Prospectus has been given before the issuance of this Prospectus, and has not subsequently been withdrawn; and
- (iii) the written consent of the IMR for the inclusion in this Prospectus of its name and the IMR Report, and all references thereto in the form and context in which they are contained in this Prospectus has been given before the issuance of this Prospectus, and has not subsequently been withdrawn.

15.9 DOCUMENTS AVAILABLE FOR INSPECTION

Copies of the following documents may be inspected at our registered office during office hours for a period of 6 months from the date of this Prospectus:

- (i) our Constitution;
- (ii) the IMR Report as referred to in **Section 8** of this Prospectus;
- (iii) the audited financial statements of our Company for the Financial Years/Period Under Review and each of our subsidiaries for the Financial Years Under Review;
- (iv) the Accountants' Report as referred to in **Section 13** of this Prospectus;
- (v) the Reporting Accountants' letter on the pro forma consolidated statement of financial position referred to in **Section 14** of this Prospectus;
- (vi) the material contracts referred to in **Section 15.7** of this Prospectus; and
- (vii) the letters of consent referred to in **Section 15.8** of this Prospectus.

15.10 RESPONSIBILITY STATEMENTS

- (i) our Directors and Promoters have seen and approved this Prospectus. They collectively and individually accept full responsibility for the accuracy of the information and confirm that, after having made all reasonable enquiries, and to the best of their knowledge and belief, there is no false or misleading statement or other facts which if omitted, would make any statement in this Prospectus false or misleading.
- (ii) UOBKH, being our Principal Adviser, Sponsor, Underwriter and Placement Agent, acknowledges that, based on all available information and to the best of its knowledge and belief, this Prospectus constitutes a full and true disclosure of all material facts concerning the IPO.

16. SUMMARISED PROCEDURES FOR APPLICATION AND ACCEPTANCE

THIS SUMMARY OF PROCEDURES FOR APPLICATION AND ACCEPTANCE DOES NOT CONTAIN THE DETAILED PROCEDURES AND FULL TERMS AND CONDITIONS AND YOU CANNOT RELY ON THIS SUMMARY FOR PURPOSES OF ANY APPLICATION FOR OUR IPO SHARES. YOU MUST REFER TO THE DETAILED PROCEDURES AND TERMS AND CONDITIONS AS SET OUT IN THE "DETAILED PROCEDURES FOR APPLICATION AND ACCEPTANCE" ACCOMPANYING THE ELECTRONIC COPY OF OUR PROSPECTUS ON THE WEBSITE OF BURSA SECURITIES. YOU SHOULD ALSO CONTACT ISSUING HOUSE FOR FURTHER ENQUIRIES.

Unless otherwise defined, all words and expressions used here shall carry the same meaning as ascribed to them in our Prospectus.

Unless the context otherwise requires, words used in the singular include the plural, and vice versa.

16.1 OPENING AND CLOSING OF APPLICATIONS

OPENING OF THE APPLICATION PERIOD: 10.00 A.M., 28 SEPTEMBER 2026

CLOSING OF THE APPLICATION PERIOD: 5.00 P.M., 8 OCTOBER 2026

Applications for our IPO Shares will open and close at the dates stated above.

In the event there is any change to the dates stated above, we will advertise the notice of the changes in a widely circulated daily English and Bahasa Malaysia newspaper in Malaysia, and make an announcement on Bursa Securities' website.

Late Applications will not be accepted.

16.2 METHODS OF APPLICATION**16.2.1 Application for our Issue Shares by the Malaysian Public and the Eligible Persons**

Applications must accord with our Prospectus and our Constitution. The submission of an Application Form does not mean that your Application will succeed.

Types of Application	Application Method
Applications by the Eligible Persons	Pink Application Form only
Applications by the Malaysian Public:	
(i) Individuals	White Application Form or Electronic Share Application or Internet Share Application
(ii) Non-Individuals	White Application Form only

16.2.2 Application by selected investors and Bumiputera investors approved by the MITI via placement

Types of Application	Application Method
Applications by:	
(i) Selected investors	The Placement Agent will contact the selected investors directly. They should follow the Placement Agent's instructions.
(ii) Bumiputera investors approved by the MITI	MITI will contact the Bumiputera investors directly. They should follow MITI's instructions.

16. SUMMARISED PROCEDURES FOR APPLICATION AND ACCEPTANCE (cont'd)

16.3 ELIGIBILITY

16.3.1 General

You must have a CDS Account and a correspondence address in Malaysia. If you do not have a CDS Account, you may open a CDS Account by contacting any of the ADAs set out in **Section 12** of the Detailed Procedures for Application and Acceptance accompanying the electronic copy of our Prospectus on the website of Bursa Securities. The CDS Account must be in your own name. **Invalid, nominee or third party CDS Accounts will not be accepted** for the Applications.

Only **ONE** Application Form for each category from each applicant will be considered and **APPLICATIONS MUST BE FOR AT LEAST 100 IPO SHARES OR MULTIPLES OF 100 IPO SHARES.**

MULTIPLE APPLICATIONS WILL NOT BE ACCEPTED UNLESS EXPRESSLY ALLOWED IN THESE TERMS AND CONDITIONS. AN APPLICANT WHO SUBMITS MULTIPLE APPLICATIONS IN HIS OWN NAME OR BY USING THE NAME OF OTHERS, WITH OR WITHOUT THEIR CONSENT, COMMITS AN OFFENCE UNDER SECTION 179 OF THE CMSA AND IF CONVICTED, MAY BE PUNISHED WITH A MINIMUM FINE OF RM1,000,000 AND A JAIL TERM OF UP TO 10 YEARS UNDER SECTION 182 OF THE CMSA.

AN APPLICANT IS NOT ALLOWED TO SUBMIT MULTIPLE APPLICATIONS IN THE SAME CATEGORY OF APPLICATION.

APPLICANTS WHO WISH TO SUBMIT APPLICATIONS USING A JOINT BANK ACCOUNT MUST ENSURE THAT THE DETAILS PROVIDED BY THE FINANCIAL INSTITUTION TO THE ISSUING HOUSE MATCH THE INFORMATION REGISTERED UNDER THEIR CDS ACCOUNT. ANY DISCREPANCY BETWEEN THE INFORMATION PROVIDED BY YOUR FINANCIAL INSTITUTION AND THE CDS ACCOUNT RECORDS WILL RESULT IN THE REJECTION OF YOUR IPO APPLICATIONS. TO AVOID SUCH REJECTIONS, APPLICANTS ARE STRONGLY ADVISED TO CONTACT THEIR FINANCIAL INSTITUTION IN ADVANCE TO VERIFY AND CONFIRM THE DETAILS. PLEASE NOTE THAT OUR COMPANY, PRINCIPAL ADVISER AND ISSUING HOUSE WILL NOT BE HELD RESPONSIBLE FOR ANY ISSUES OR LOSSES ARISING FROM DISCREPANCIES IN THE INFORMATION SUBMITTED.

16.3.2 Application by the Malaysian Public

You can only apply for our Issue Shares if you fulfill all of the following:

- (i) You must be one of the following:
 - (a) a Malaysian citizen who is at least 18 years old as at the date of the application for our Issue Shares; or
 - (b) a corporation/institution incorporated in Malaysia with a majority of Malaysian citizens on your board of directors/trustees and if you have a share capital, more than half of the issued share capital, excluding preference share capital, is held by Malaysian citizens; or
 - (c) a superannuation, co-operative, foundation, provident, pension fund established or operating in Malaysia.
- (ii) You must not be a director or employee of the Issuing House or an immediate family member of a director or employee of the Issuing House; and

16. SUMMARISED PROCEDURES FOR APPLICATION AND ACCEPTANCE *(cont'd)*

- (iii) You must submit Applications by using only one of the following methods:
 - (a) White Application Form;
 - (b) Electronic Share Application; or
 - (c) Internet Share Application.

16.3.3 Application by the Eligible Persons

The Eligible Persons will be provided with Pink Application Forms and letters from us detailing their respective allocation. The applicants must follow the notes and instructions in those documents and where relevant, in this Prospectus.

The Eligible Persons may request for a copy of the printed Prospectus from our Company at no cost and are given an option to have the printed Prospectus delivered to them free of charge, or to obtain the printed Prospectus from our Company, the Issuing House, the Principal Adviser, Participating organisations of Bursa Securities and Members of the Association of Banks in Malaysia or Malaysian Investment Banking Association.

16.4 PROCEDURES FOR APPLICATION BY WAY OF APPLICATION FORMS

The Application Form must be completed in accordance with the notes and instructions contained in the respective category of the Application Form. Applications made on the incorrect type of Application Form or which do not conform **STRICTLY** to the terms of our Prospectus or the respective category of Application Form or notes and instructions or which are illegible will not be accepted.

The FULL amount payable is **RM0.19** each IPO Share.

Payment must be made out in favour of "**ACM SHARE ISSUE ACCOUNT NO. 109**" and crossed "**A/C PAYEE ONLY**" and endorsed on the reverse side with your name and address.

Each completed Application Form, accompanied by the appropriate remittance and legible photocopy of the relevant documents may be submitted using one of the following methods:

- (i) despatch by **ORDINARY POST** in the official envelopes provided, to the following address:

AscendServ Capital Markets Services Sdn Bhd
 (Registration No: 202401031272 (1577121-P))
 Unit 705 Block G
 Pusat Dagangan Phileo Damansara 1
 No. 9, Jalan 16/11, Off Jalan Damansara
 46350 Petaling Jaya, Selangor

- (ii) **DELIVER BY HAND AND DEPOSIT** in the Issuing House's drop-in box provided in front of AscendServ Capital Markets Services Sdn Bhd's office at Unit 705 Block G, Pusat Dagangan Phileo Damansara 1, No. 9, Jalan 16/11, Off Jalan Damansara, 46350 Petaling Jaya, Selangor,

so as to arrive not later than 5.00 p.m. on 8 October 2026 or by such other time and date specified in any change to the date or time for closing.

We, together with the Issuing House, will not issue any acknowledgement of the receipt of your Application Forms or Application monies. Please direct all enquiries in respect of the White Application Form to the Issuing House.

16. SUMMARISED PROCEDURES FOR APPLICATION AND ACCEPTANCE (cont'd)

16.5 PROCEDURES FOR APPLICATION BY WAY OF ELECTRONIC SHARE APPLICATION

Only Malaysian individuals may apply for our Issue Shares offered to the Malaysian Public by way of Electronic Share Application.

Electronic Share Applications may be made through the ATM of the following Participating Financial Institutions and their branches, namely, Alliance Bank Malaysia Berhad, Malayan Banking Berhad and RHB Bank Berhad. A processing fee will be charged by the respective Participating Financial Institutions (unless waived) for each Electronic Share Application.

The exact procedures, terms and conditions for Electronic Share Application are set out on the ATM screens of the relevant Participating Financial Institutions.

16.6 PROCEDURES FOR APPLICATION BY WAY OF INTERNET SHARE APPLICATION

Only Malaysian individuals may use the Internet Share Application to apply for our Issue Shares offered to the Malaysian Public.

Internet Share Applications may be made through an internet financial services website of the Internet Participating Financial Institutions or Participating Securities Firms, namely, Alliance Bank Malaysia Berhad, CGS International Securities Malaysia Sdn Bhd, Hong Leong Investment Bank Berhad, iFast Capital Sdn Bhd, Kenanga Investment Bank Berhad, Malacca Securities Sdn Bhd, Malayan Banking Berhad, Moomoo Securities Malaysia Sdn Bhd, Public Bank Berhad, RHB Bank Berhad and UOB Kay Hian (M) Sdn Bhd. A processing fee will be charged by the respective Internet Participating Financial Institutions or Participating Securities Firms (unless waived) for each Internet Share Application.

The exact procedures, terms and conditions for Internet Share Application are set out on the internet financial services website of the respective Internet Participating Financial Institutions or Participating Securities Firms.

16.7 AUTHORITY OF OUR BOARD AND OUR ISSUING HOUSE

The Issuing House, on the authority of our Board reserves the right to:

- (i) reject Applications which:
 - (a) do not conform to the instructions of our Prospectus, Application Forms, Electronic Share Application and Internet Share Application (where applicable); or
 - (b) are illegible, incomplete or inaccurate; or
 - (c) are accompanied by an improperly drawn up, or improper form of, remittance; or
- (ii) reject or accept any Application, in whole or in part, on a non-discriminatory basis without the need to give any reason; and
- (iii) bank in all Application monies (including those from unsuccessful/partially successful applicants) which would subsequently be refunded, where applicable (without interest), in accordance with **Section 16.9** below.

If you are successful in your Application, our Board reserves the right to require you to appear in person at the registered office of the Issuing House at any time within 14 days of the date of the notice issued to you to ascertain that your Application is genuine and valid. Our Board shall not be responsible for any loss or non-receipt of the said notice nor will it be accountable for any expenses incurred or to be incurred by you for the purpose of complying with this provision.

16. SUMMARISED PROCEDURES FOR APPLICATION AND ACCEPTANCE *(cont'd)*

16.8 OVER/UNDER-SUBSCRIPTION

In the event of over-subscription, the Issuing House will conduct a ballot in the manner approved by our Directors to determine the acceptance of Applications in a fair and equitable manner. In determining the manner of balloting, our Directors will consider the desirability of allotting and allocating our Issue Shares to a reasonable number of applicants for the purpose of broadening the shareholding base of our Company and establishing a liquid and adequate market for our Shares.

The basis of allocation of Issue Shares and the balloting results in connection therewith will be furnished by the Issuing House to Bursa Securities, all major Bahasa Malaysia and English newspapers as well as posted on the Issuing House's website at <https://www.ascendserv.com> within 1 Market Day after the balloting event.

Pursuant to the Listing Requirements, we are required to have a minimum of 25% of our Company's issued share capital to be held by at least 200 public shareholders holding not less than 100 Shares each upon Listing and completion of our IPO. We expect to achieve this at the point of Listing. In the event the above requirement is not met, we may not be allowed to proceed with our Listing. In the event thereof, monies paid in respect of all Applications will be returned in full (without interest).

In the event of an under-subscription of our Issue Shares by the Malaysian Public and/or Eligible Persons, subject to the clawback and reallocation provisions as set out in **Section 4.3.5** of this Prospectus, any of the abovementioned Issue Shares not applied for will then be subscribed by the Underwriter based on the terms of the Underwriting Agreement.

16.9 UNSUCCESSFUL/PARTIALLY SUCCESSFUL APPLICANTS

If you are unsuccessful/partially successful in your Application, your Application monies (without interest) will be refunded to you in the following manner.

16.9.1 For applications by way of Application Form

- (i) The Application monies or the balance of it, as the case may be, will be returned to you through the self-addressed and stamped Official "A" envelope you provided by ordinary post (for fully unsuccessful applications) or by crediting into your bank account (the same bank account you have provided to Bursa Depository for the purposes of cash dividend/distribution) or if you have not provided such bank account information to Bursa Depository, the balance of Application monies will be refunded via banker's draft sent by ordinary/registered post to your registered or correspondence address last maintained with Bursa Depository (for partially successful applications) within 10 Market Days from the date of the final ballot at your own risk.
- (ii) If your Application is rejected because you did not provide a CDS Account number, your Application monies will be refunded via banker's draft sent by ordinary/registered post to your address as stated in the NRIC or any official valid temporary identity documents issued by the relevant authorities from time to time or the authority card (if you are a member of the armed forces or police) at your own risk.
- (iii) A number of Applications will be reserved to replace any successfully balloted Applications that are subsequently rejected. The Application monies relating to these Applications which are subsequently rejected or unsuccessful or only partly successful will be refunded (without interest) by the Issuing House as per items (i) and (ii) above (as the case may be).
- (iv) The Issuing House reserves the right to bank into its bank account all Application monies from unsuccessful applicants. These monies will be refunded (without interest) within 10 Market Days from the date of the final ballot by crediting into your bank account (the same bank account you have provided to Bursa Depository for the purposes of cash dividend/distribution) or by issuance of banker's draft sent by ordinary/registered post to your registered or correspondence address last maintained with Bursa Depository if you have not provided such bank account information to Bursa Depository or as per item (ii) above (as the case may be).

16. SUMMARISED PROCEDURES FOR APPLICATION AND ACCEPTANCE *(cont'd)*

16.9.2 For applications by way of Electronic Share Application and Internet Share Application

- (i) The Issuing House shall inform the Participating Financial Institutions or Internet Participating Financial Institutions or Participating Securities Firms of the unsuccessful or partially successful Applications within 2 Market Days after the balloting date. The full amount of the Application monies or the balance of it will be credited (without interest) into your account with the Participating Financial Institutions or Internet Participating Financial Institutions or Participating Securities Firms (or arranged with the Authorised Financial Institutions) within 2 Market Days after the receipt of confirmation from the Issuing House.
- (ii) You may check your account on the 5th Market Day from the balloting date.
- (iii) A number of Applications will be reserved to replace any successfully balloted Applications that are subsequently rejected. The Application monies relating to these Applications which are subsequently rejected will be refunded (without interest) by the Issuing House by crediting into your account with the Participating Financial Institutions or Internet Participating Financial Institutions or Participating Securities Firms (or arranged with the Authorised Financial Institutions) not later than 10 Market Days from the date of the final ballot. For Applications that are held in reserve and which are subsequently unsuccessful or partially successful, the relevant Participating Financial Institutions or Internet Participating Financial Institutions or Participating Securities Firms will be informed of the unsuccessful or partially successful Applications within 2 Market Days after the final balloting date. The Participating Financial Institutions or Internet Participating Financial Institutions or Participating Securities Firms will credit the Application monies or any part thereof (without interest) within 2 Market Days after the receipt of confirmation from the Issuing House.

16.10 SUCCESSFUL APPLICANTS

If you are successful in your Application:

- (i) Our IPO Shares allotted to you will be credited into your CDS Account.
- (ii) A notice of allotment will be despatched to you at your last registered or correspondence address last maintained with the Bursa Depository, at your own risk, before our Listing. This is your only acknowledgement of acceptance of your Application.
- (iii) In accordance with Section 14(1) of the SICDA, Bursa Securities has prescribed our Shares as prescribed securities. As such, our IPO Shares issued through our Prospectus will be deposited directly with Bursa Depository and any dealings in these Shares will be carried out in accordance with the SICDA and Rules of Bursa Depository.
- (iv) In accordance with Section 29 of the SICDA, all dealings in our Shares will be by book entries through CDS Accounts. No physical share certificates will be issued to you and you shall not be entitled to withdraw any deposited securities held jointly with Bursa Depository or its nominee as long as our Shares are listed on Bursa Securities.

16. SUMMARISED PROCEDURES FOR APPLICATION AND ACCEPTANCE (cont'd)**16.11 ENQUIRIES**

Enquiries in respect of the Applications may be directed as follows:

Mode of application	Parties to direct the enquiries
Application Form	Issuing House Enquiry Services Telephone at 03-7890 0238
Electronic Share Application	Participating Financial Institution
Internet Share Application	Internet Participating Financial Institution, Participating Securities Firms and Authorised Financial Institution

The results of the IPO share allocation, based on successful balloting, will be published on the Issuing House's website at <https://www.ascendserv.com>. Applicants can also check the status of their application on the same website after 5.00 p.m. on the allotment date. Alternatively, you may contact the Authorised Depository Agents (ADAs) listed in the Detailed Procedures for Application and Acceptance, which is available in the Electronic Prospectus on the Bursa Securities website.